



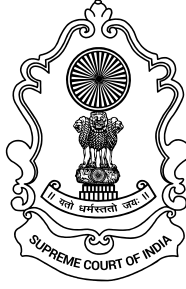
SUPREME COURT REPORTS

The Official Law Report
Fortnightly

2026 | Volume 5 | Part 1

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Contents

1. Save Mon Region Federation & Anr. v. The State of Arunachal Pradesh & Ors.	1
2. Renuka v. The State of Maharashtra and Another	26
3. UCO Bank & Ors. v. SK Shrivastava	37
4. Hem Raj v. The State of Himachal Pradesh	67
5. Maharashtra State Electricity Distribution Company Limited (MSEDCL) & Ors. v. R Z Malpani	86
6. The State of Kerala v. M. Vijayakumar & Ors.....	119
7. Kamal Prasad Dubey v. The State of Madhya Pradesh and Others	135
8. Nitendra Kumar Tomer, Suspended Director, Ambro Asia Private Limited v. Unox S.P.A. and Another	146
9. State of West Bengal & Ors. v. M/s B.B.M. Enterprises	154
10. Aspinwall and Co. Ltd. v. Inspecting Assistant Commissioner ...	160
11. Dhananjay Rathi v. Ruchika Rathi	175
12. J&K Economic Reconstruction Agency v. Rash Builders India Private Limited	210
13. Shuvendu Saha v. The State of West Bengal and Anr.....	221
14. S. Valliammai & Others v. S. Ramanathan & Another	238
15. Sujal Vishwas Attavar & Anr. v. The State of Maharashtra & Ors.....	273
16. Rajasthan Public Service Commission v. Lavanshu Sankhla & Ors.	290

**Save Mon Region Federation & Anr.
v.
The State of Arunachal Pradesh & Ors.**

(Writ Petition (Civil) No. 54 of 2024)

06 April 2026

[Vikram Nath,* Sandeep Mehta and N.V. Anjaria, JJ.]

Issue for Consideration

The principal issue that arises for consideration is whether the allegations and the *prima facie* material relating to the award and execution of public works contracts, including the asserted pattern of repeated departures from open and competitive tendering, gaps in official documentation, and the stated award of works to Respondent Nos. 4 to 6 or firms and individuals related to them, warrant a direction by this Court for an independent investigation by the CBI and or the constitution of a SIT, and, if so, the scope of such investigation and the consequential directions required to secure the integrity of the process.

Headnotes[†]

Constitution of India – Arts.14, 21, 32 – Public procurement – Award of public contracts – The present Writ Petition u/Art.32 of the Constitution of India has been filed in public interest, alleging that the award and execution of public works contracts in the State have been marked by arbitrariness, favouritism and serious departures from the governing financial and procurement norms, including allegations of preferential allotment of works to respondent nos. 4 to 6 and to firms or individuals stated to be related to them – On that basis, the petitioners seek, *inter alia*, a direction for an independent investigation by a Special Investigation Team (SIT) and or the Central Bureau of Investigation (CBI):

Held: In a constitutional democracy governed by the rule of law, the exercise of public power is always subject to constitutional discipline – The State does not hold public resources as a private proprietor, but as a trustee on behalf of the people – Whenever

* Author

Supreme Court Reports

the State undertakes the allocation of public resources, the award of public contracts, or the execution of public works, it is bound to act in a manner that is transparent, fair, and consistent with the guarantee of equality u/Art.14 of the Constitution of India – The process through which such decisions are taken must therefore be capable of withstanding objective scrutiny and must reflect a decision-making framework that is free from arbitrariness, favouritism, or undisclosed conflicts of interest – That the petitioners' allegations are not confined to a mere grievance about the outcome of a tender – They raise issues that go to the integrity of public procurement and the traceability of public expenditure – The audit report, the petitioners' additional affidavit, and the State's replies together disclose repeated resort to non-tender methods, repeated absence of recorded reasons for such resort, and repeated non-production of vouchers and tender-related records in relation to high value public projects – The State's reliance on aggregate percentages does not, by itself, answer the concerns arising from specific instances where the procurement trail is incomplete or absent – These are matters that require structured investigation into the decision making process, the custody and availability of records, the reasons for deviations, the identification of beneficiaries and related-party links, and the ascertainment of whether any cognizable offences or other legal breaches are disclosed – This is a fit case where an independent investigation is necessary – The nature of allegations, the institutional proximity of the persons against whom allegations are made, and the recurring deficiencies in the procurement record make it necessary to entrust the investigation to an agency which is institutionally independent of the State executive – The CBI is the appropriate agency for this purpose. [Paras 1, 2 ,29, 41]

Constitution of India – Art.14 – Award of public contracts – Legality, Transparency, and Institutional accountability:

Held: Public confidence in governance rests upon the assurance that opportunities created by the State are administered through institutions that respect equality, integrity, and accountability – Where the distribution of public resources is clouded by allegations of nepotism, patronage, or opaque decisionmaking, the issue is not merely one of administrative irregularity – It raises concerns that go to the heart of the constitutional promise that State action shall

**Save Mon Region Federation & Anr. v.
The State of Arunachal Pradesh & Ors.**

be fair, impartial, and guided by reason – Constitutional courts, as guardians of that promise, are therefore required to ensure that the exercise of public authority remains anchored in legality, transparency, and institutional accountability. [Para 2]

Constitution of India – Art.32 – Applicable standard for invoking Court-directed investigation:

Held: It is well settled that, in exercise of jurisdiction u/Art. 32 of the Constitution, this Court possesses the constitutional authority to direct that an investigation be carried out by an agency other than the ordinary State investigating machinery, including the CBI, where the circumstances of the case so warrant – At the same time, the jurisprudence of this Court has consistently emphasised that such power is to be exercised with restraint – The governing principle is that transfer of investigation to the CBI is justified only in rare and exceptional cases where it is necessary to do justice between the parties and to instil confidence in the public mind, or where the investigation by the State police lacks credibility and it is necessary to secure a fair, honest and complete investigation – In determining whether the extraordinary jurisdiction to entrust investigation to the CBI should be exercised, the Court ordinarily examines whether the material placed before it discloses (i) a *prima facie* case raising serious questions of legality, (ii) circumstances suggesting that investigation by the ordinary State machinery may not inspire confidence where high public functionaries are implicated, and (iii) the necessity of an independent inquiry to preserve public confidence in the rule of law. [Paras 6, 8,9]

Conatitution of India – Public contracts – Constitutional Discipline in public procurement – Discussed. [Paras 10-15]

Constitution of India – Art. 32 – Award of Public contracts – Allegation that the award and execution of public works contracts in the State have been marked by arbitrariness, favouritism and serious departures from the governing financial and procurement norms – Directions issued:

Held: 1) The Central Bureau of Investigation (CBI) to register a preliminary enquiry; 2) The preliminary enquiry and the consequential investigation, if any, shall cover the award and execution of public works contracts and work orders in the State of

Supreme Court Reports

Arunachal Pradesh for the period from 01.01.2015 to 31.12.2025, including the works and compilations placed on record in these proceedings; 3) The CBI shall not be precluded from examining transactions outside the above period to the limited extent necessary for tracing beneficial ownership, related-party links, fund flows, or other connected circumstances that bear upon the transactions within the above period; 4) The State of Arunachal Pradesh and all its concerned departments, authorities and instrumentalities directed to cooperate fully with the CBI; 5) The Chief Secretary, State of Arunachal Pradesh to designate a nodal officer for coordination with the CBI, and each of the concerned departments shall also designate a nodal officer within the same period; 6) The State of Arunachal Pradesh to ensure that no record, physical or electronic, relevant to the subject matter of the enquiry and investigation is destroyed, altered, or rendered inaccessible. [Para 44]

Case Law Cited

State of W.B. v. Committee for Protection of Democratic Rights [2010] 2 SCR 979 : (2010) 3 SCC 571 – followed.

Sachidanand Pandey v. State of W.B. [1987] 2 SCR 223 : (1987) 2 SCC 295; *Akhil Bhartiya Upbhokta Congress v. State of M.P.* [2011] 5 SCR 77 : (2011) 5 SCC 29; *Centre for Public Interest Litigation v. Union of India* [2012] 3 SCR 147 : (2012) 3 SCC 1 – referred to.

List of Acts

Constitution of India; Arunachal Pradesh District Based Entrepreneurs and Professionals (Incentives, Development and Promotional) Act, 2015.

List of Keywords

Article 14 of Constitution; Article 32 of Constitution; Public Trust Doctrine; Arbitrariness & Malafide; Preliminary Enquiry; Public Procurement; Open Tender; Conflict of Interest; Work Orders; Fiduciary Duty; Systemic Irregularity; Transparency & Accountability; Exchequer Loss; Constitutional discipline; Objective scrutiny; Nepotism; Abuse of official position; Judicial review; constitution of an SIT; Irregularities in procurement process.

**Save Mon Region Federation & Anr. v.
The State of Arunachal Pradesh & Ors.**

Case Arising From

CIVIL ORIGINAL JURISDICTION: Writ Petition (Civil) No. 54 of 2024
Under Article 32 of the Constitution of India

Appearances for Parties

Advs. for the Petitioner(s):

Prashant Bhushan, Ms. Neha Rathi, Ms. Kajal Giri.

Advs. for the Respondent(s):

Tushar Mehta, Solicitor General, K M Nataraj, A.S.G., Anil Shrivastav, A.A.G., Rauf Rahim, Sr. Adv., Mukesh Kumar Maroria, Madhav Sinhal, Vinayak Sharma, Aaditya Shankar Dixit, Santosh Kumar, Sarthak Karol, Himanshu Satija, Aman Mehta, Ms. Avni Shrivastav, Mohsin Rahim, Ali Asghar Rahim, Gurmeet Singh Makker, Vinayak Sharma, Anuj Udupa, Anmol Chandan, Disha Thakkar, Vinayak Sharma, Anuj Udupa, Anmol Chandan, Alabhya Dhamija, Ms. Disha Thakkar, Amrish Kumar.

Judgment / Order of the Supreme Court

Judgment

Vikram Nath, J.

1. In a constitutional democracy governed by the rule of law, the exercise of public power is always subject to constitutional discipline. The State does not hold public resources as a private proprietor, but as a trustee on behalf of the people. Whenever the State undertakes the allocation of public resources, the award of public contracts, or the execution of public works, it is bound to act in a manner that is transparent, fair, and consistent with the guarantee of equality under Article 14 of the Constitution of India. The process through which such decisions are taken must therefore be capable of withstanding objective scrutiny and must reflect a decision-making framework that is free from arbitrariness, favouritism, or undisclosed conflicts of interest.
2. Public confidence in governance rests upon the assurance that opportunities created by the State are administered through institutions that respect equality, integrity, and accountability. Where the distribution of public resources is clouded by allegations of

Supreme Court Reports

nepotism, patronage, or opaque decision-making, the issue is not merely one of administrative irregularity. It raises concerns that go to the heart of the constitutional promise that State action shall be fair, impartial, and guided by reason. Constitutional courts, as guardians of that promise, are therefore required to ensure that the exercise of public authority remains anchored in legality, transparency, and institutional accountability.

3. The present Writ Petition under Article 32 of the Constitution of India has been instituted by the petitioners, namely, Save Mon Region Federation, a civil society organisation working for the residents of the Mon region in the State of Arunachal Pradesh, and Mr. Joddik Tali, stated to be its authorised representative and a resident of the State. The petition has been filed in public interest, alleging that the award and execution of public works contracts in the State have been marked by arbitrariness, favouritism and serious departures from the governing financial and procurement norms, including allegations of preferential allotment of works to Respondent Nos. 4 to 6 and to firms or individuals stated to be related to them. On that basis, the petitioners seek, inter alia, a direction for an independent investigation by a Special Investigation Team (hereinafter referred to as “SIT”) and or the Central Bureau of Investigation (hereinafter referred to as “CBI”), along with such further consequential directions as this Court may deem fit.
4. The facts giving rise to the present writ petition are as follows:
 - 4.1. The gravamen of the petition is an allegation of systemic illegality and arbitrariness in public procurement and award of public works in the State of Arunachal Pradesh, with a particular emphasis on the award of works to firms and individuals stated to be closely connected with respondent No. 4 (the present Chief Minister of Arunachal Pradesh) and respondent Nos. 5 and 6, and to their close political associates. The petitioners assert that the pattern reflected in the listed works indicates nepotism, conflict of interest and abuse of official position, resulting in diversion of public contracts to a narrow set of beneficiaries.
 - 4.2. In support of the above, the petitioners allege, inter alia, that several works were awarded through work orders without an open and competitive tender process, including works of substantial value, and that the record placed by the State

**Save Mon Region Federation & Anr. v.
The State of Arunachal Pradesh & Ors.**

is incomplete as it does not disclose the underlying tender documents, comparative statements, approvals, file notings and other material particulars needed to demonstrate fairness and transparency. The petitioners also rely upon procurement norms which emphasise transparency, competition, fairness, and avoidance of conflict of interest, and contend that even where general procurement rules are stated not to apply proprio vigore to State Governments, the State's own sanction conditions often require adherence to procedural formalities and competitive bidding.

- 4.3. As regards the period of the alleged irregularities, the petitioners place reliance upon a range of works spanning multiple years. They rely, in particular, upon earlier allegations examined through audit scrutiny, and also allege continuation of the pattern in later years. For purposes of affidavits and compilation of details directed by this Court, the controversy has been addressed with reference to the period between 2015 and 2025, and the petitioners contend that even within that period the material suggests persistent procedural departures and preferential treatment.
- 4.4. On the aforesaid premise, the petitioners seek directions for an independent investigation, including constitution of a SIT or a Court-monitored investigation by the CBI, asserting that the allegations implicate public faith in governance and the integrity of public expenditure, and therefore warrant scrutiny beyond departmental or internal mechanisms.
- 4.5. The present writ petition also bears a close connection with SLP (C) No. 34696 of 2010, titled Voluntary Arunachal Sena v. State of Arunachal Pradesh and Others, which arose out of an earlier public interest litigation before the High Court. By order dated 20.03.2024, this Court disposed of the said special leave petition and directed that the complaint or complaints on which the proceeding was founded be examined by the Comptroller and Auditor General of India (hereinafter referred to as "the CAG").
- 4.6. In the said order, this Court also took note that interlocutory applications seeking interference in respect of certain subsequent contracts were not being examined in those proceedings, as an independent writ petition had been filed in relation to such

Supreme Court Reports

subsequent set of contracts, which is the present writ petition. Pursuant to the directions issued thereafter in these proceedings, the CAG has filed its final report dated 21.07.2025 in relation to the nine allegations which formed part of the record in SLP (C) No. 34696 of 2010. The petitioners rely upon the report to contend that it reflects repeated departures from tender based procurement and serious gaps in official documentation. The State, on the other hand, relies upon the portions of the report which record verification of payments with reference to measurement books and joint physical verification of certain works.

5. Having heard learned counsel for the parties and having perused the pleadings, affidavits and the material placed on record, the principal issue that arises for consideration is whether the allegations and the prima facie material relating to the award and execution of public works contracts, including the asserted pattern of repeated departures from open and competitive tendering, gaps in official documentation, and the stated award of works to Respondent Nos. 4 to 6 or firms and individuals related to them, warrant a direction by this Court for an independent investigation by the CBI and or the constitution of a SIT, and, if so, the scope of such investigation and the consequential directions required to secure the integrity of the process.

Applicable standard for invoking Court-directed investigation

6. The petitioners seek a direction for investigation by the CBI or, in the alternative, the constitution of a SIT. It is well settled that, in exercise of jurisdiction under Article 32 of the Constitution, this Court possesses the constitutional authority to direct that an investigation be carried out by an agency other than the ordinary State investigating machinery, including the CBI, where the circumstances of the case so warrant. At the same time, the jurisprudence of this Court has consistently emphasised that such power is to be exercised with restraint.
7. In ***State of W.B. v. Committee for Protection of Democratic Rights***¹, the Constitutional Bench of this Court held that a direction by a constitutional court to the CBI to investigate a cognizable offence within the territory of a State is not barred merely for want of State

1 (2010) 3 SCC 571

**Save Mon Region Federation & Anr. v.
The State of Arunachal Pradesh & Ors.**

consent, and such a direction does not violate the federal structure or the doctrine of separation of powers. The Court also underscored that constitutional courts, as protectors of civil liberties, have not only the power but also the obligation to protect fundamental rights, including under Article 21. However, the same decision cautions that the very amplitude of the power under Articles 32 and 226 of the Constitution of India requires great care in its exercise. It has been reiterated that a direction to the CBI is not to be made as a matter of routine or merely because allegations have been levelled against the local police. The extraordinary power is to be exercised sparingly and cautiously, and in exceptional situations where it becomes necessary to lend credibility and instil confidence in the investigation, or where the incident has wider ramifications, or where such a course is necessary for doing complete justice and enforcing fundamental rights. The relevant portion from the judgement is as follows:

“69. In the final analysis, our answer to the question referred is that a direction by the High Court, in exercise of its jurisdiction under Article 226 of the Constitution, to CBI to investigate a cognizable offence alleged to have been committed within the territory of a State without the consent of that State will neither impinge upon the federal structure of the Constitution nor violate the doctrine of separation of power and shall be valid in law. Being the protectors of civil liberties of the citizens, this Court and the High Courts have not only the power and jurisdiction but also an obligation to protect the fundamental rights, guaranteed by Part III in general and under Article 21 of the Constitution in particular, zealously and vigilantly.

70. Before parting with the case, we deem it necessary to emphasise that despite wide powers conferred by Articles 32 and 226 of the Constitution, while passing any order, the Courts must bear in mind certain self-imposed limitations on the exercise of these constitutional powers. The very plenitude of the power under the said articles requires great caution in its exercise. Insofar as the question of issuing a direction to CBI to conduct investigation in a case is concerned, although no inflexible guidelines can be laid down to decide whether or not such power should be exercised but time and again it has been reiterated that

Supreme Court Reports

such an order is not to be passed as a matter of routine or merely because a party has levelled some allegations against the local police. This extraordinary power must be exercised sparingly, cautiously and in exceptional situations where it becomes necessary to provide credibility and instil confidence in investigations or where the incident may have national and international ramifications or where such an order may be necessary for doing complete justice and enforcing the fundamental rights. Otherwise CBI would be flooded with a large number of cases and with limited resources, may find it difficult to properly investigate even serious cases and in the process lose its credibility and purpose with unsatisfactory investigations.”

8. The governing principle is that transfer of investigation to the CBI is justified only in rare and exceptional cases where it is necessary to do justice between the parties and to instil confidence in the public mind, or where the investigation by the State police lacks credibility and it is necessary to secure a fair, honest and complete investigation. Illustratively, such transfer may be warranted where high officials of the State are involved, where the accusation is against top officials of the investigating agency such that they may influence the course of investigation, or where the investigation is *prima facie* found to be tainted or biased.
9. These principles also make it clear that this Court, while considering a request for CBI investigation or constitution of an SIT, does not undertake an adjudication on culpability. The Court examines whether the material placed discloses a *prima facie* case which necessitates entrustment of investigation to an independent agency so that the rule of law is upheld and the investigative process commands confidence, particularly where the status or authority of persons implicated may reasonably give rise to apprehensions about the impartiality of the ordinary investigative process. In determining whether the extraordinary jurisdiction to entrust investigation to the CBI should be exercised, the Court ordinarily examines whether the material placed before it discloses (i) a *prima facie* case raising serious questions of legality, (ii) circumstances suggesting that investigation by the ordinary State machinery may not inspire confidence where high public functionaries are implicated, and (iii) the necessity of an independent inquiry to preserve public confidence in the rule of law

**Save Mon Region Federation & Anr. v.
The State of Arunachal Pradesh & Ors.**

Constitutional discipline in public procurement

10. The award of public contracts is an exercise of public power. It involves the expenditure of public funds and the conferment of economic benefit by the State. Such decisions are not insulated as matters of private contract. They are subject to the discipline of Article 14 of the Constitution of India, because the State must act fairly, transparently, and in a non-arbitrary manner when it distributes public resources.
11. This Court has repeatedly recognised that State owned or public owned resources cannot be dealt with at the absolute discretion of the executive. Public interest is the paramount consideration. One of the ordinary and safest methods of securing that public interest is by inviting competition through tenders. A departure from competitive tendering may be permissible in a limited set of situations, but only when the departure is justified by rational and recorded reasons that do not suggest discrimination. In **Sachidanand Pandey v. State of W.B.**², this Court emphasised that appearance of public justice is as important as doing justice, and nothing should be done which gives an appearance of bias, jobbery or nepotism. That principle has particular force in matters of public contracting, because secrecy, discretion and personal proximity are precisely the conditions in which abuse of power becomes difficult to detect.
12. The constitutional requirement is not satisfied merely because a work exists on the ground or because an authority asserts that funds were utilised. Public procurement has two distinct dimensions. One is the physical execution of work. The other is the integrity of the process by which public money is committed and paid out. A project may be visible at the site and yet the procurement decision may still be unconstitutional if it was arrived at through an arbitrary, opaque or conflicted process. It is the decision-making process which must be capable of scrutiny through contemporaneous records, including the tender trail where tender is required, and the recorded justification where tender is dispensed with.
13. The discipline that governs State largesse reinforces this position. The State and its instrumentalities cannot confer benefits according to the whims of any political or administrative functionary. In **Akhil**

Supreme Court Reports

Bhartiya Upbhokta Congress v. State of M.P.³, this Court held that every decision to confer benefit must be founded on a sound, transparent and discernible policy and must be implemented by a non-discriminatory method, free from favouritism and nepotism. The same understanding informs the statement in ***Centre for Public Interest Litigation v. Union of India***⁴, that whenever a contract or licence is granted the public authority must adopt a transparent and fair method so that eligible persons have a fair opportunity of competition. These decisions do not lay down tendering as a mechanical ritual. They treat transparency and fair opportunity as constitutional essentials in the disposition of public resources.

14. These principles are especially stringent where the allegation is of conflict of interest or related party benefit. In such situations, the constitutional concern is not limited to whether the State obtained value for money. The concern is whether public power was used, directly or indirectly, to confer private advantage, or whether the process was structured in a manner that excluded competition and enabled a preferred beneficiary. Once such a concern arises on the record, it is not answered by showing that the overall percentage of work awarded to related parties is numerically small. A constitutional violation in public contracting is not diluted by statistics. Even a single instance, if established, undermines equality, the rule of law and public confidence in fair administration.
15. At the same time, it must be emphasized that judicial review in this field does not convert the Court into a tender approving authority. The Court does not sit to choose the contractor or to re-evaluate technical bids. The Court examines whether the process conforms to constitutional standards of fairness, transparency and non-arbitrariness, and whether the record supports the decision. Where the complaint is not about comparative merits of bidders but about systemic opacity, repeated departures from competitive methods, missing records and alleged conflict of interest, the matter travels beyond an ordinary contractual grievance and raises questions of constitutional accountability.

3 (2011) 5 SCC 29

4 (2012) 3 SCC 1

**Save Mon Region Federation & Anr. v.
The State of Arunachal Pradesh & Ors.**

Procurement deviations and missing records as red flags

16. A separate but closely connected aspect concerns the legal significance of a departure from competitive tendering and the non-availability of core procurement records. Competitive tendering is not an inflexible ritual, but it remains the ordinary method by which the State demonstrates fairness and secures public confidence in the disposition of public resources. When the State dispenses with an open tender, the exception must be strictly conditioned. The decision to depart from competition must be supported by reasons recorded by the competent authority, and those reasons must be rational and capable of objective scrutiny. In administrative law, the insistence on reasons is a restraint on arbitrariness and a safeguard of transparency, and it enables effective judicial review. The requirement of reasons is not satisfied by broad assertions made after the event. Even where the order itself does not contain a detailed narration, the record must disclose why the ordinary rule was departed from and what safeguards were adopted to ensure that the departure did not become a vehicle for favouritism. This Court has recognised that, at the least, the record should disclose reasons, even if those reasons are brief.
17. The non production of core records such as tender documents, comparative statements, evaluation material, approvals, measurement records and vouchers raises a distinct and serious concern. The State is the custodian of public records and it is expected to maintain them in a manner that makes public expenditure traceable and accountable. When material records that ought to exist are not produced, the Court is not required to treat that circumstance as innocuous. The law also permits a court to draw a presumption against a party that withholds evidence within its power, and that principle applies with greater force where the custodian is the State.
18. It must also be emphasised that a physical trace of a project, by itself, does not answer the constitutional question. The distinction between physical execution and legality of the procurement process assumes particular importance where the State seeks to rely on the mere existence of completed works as a defence. One is whether some work was executed. The other is whether the process by which public money was committed and paid out was fair, competitive where competition was required, and free from conflict of interest.

Supreme Court Reports

Judicial review in contract matters focuses on the decision making process and tests it for legality and absence of arbitrariness, bias and mala fides.

19. For these reasons, where the material placed before the Court indicates repeated resort to non-competitive methods without a demonstrable record of reasons, or indicates gaps in the record trail that prevent meaningful scrutiny, the matter travels beyond a routine contractual grievance. Such features become relevant indicators for determining whether an independent investigation is required, so that responsibility for deviations and missing records may be fixed and the integrity of public procurement is secured in accordance with the rule of law.

Appreciation of the record in the present case

20. The pleadings in the writ petition proceed on the basis that the petitioners have placed on record a list of public works, across multiple departments and schemes, which according to them reveals a sustained pattern of award of contracts and work orders to a narrow set of entities claimed to be closely connected with Respondent Nos. 4 to 6. The petitioners allege that the works were repeatedly awarded without an open and competitive tender process, that the requirement of disclosing and addressing conflicts of interest was bypassed, and that the procurement record does not contain the contemporaneous decision trail that would ordinarily demonstrate fairness and transparency.
21. In particular, the petitioners identify certain firms and individuals as forming the core of the alleged pattern. The petitioners allege that contracts were awarded to firms stated to be owned or controlled by the close family members of Respondent No. 4, who is the present Chief Minister of Arunachal Pradesh, and to entities stated to be owned by Respondent Nos. 5 and 6 and by close political associates. The petitioners contend that the scale and frequency of such awards, when viewed together, disclose a prima facie case of nepotism, conflict of interest and abuse of public office.
22. The petitioners further allege that a significant number of the works were executed through the work order system without tender, including works of substantial value. The petitioners assert that the work order method was not employed as an exception justified by genuine urgency

**Save Mon Region Federation & Anr. v.
The State of Arunachal Pradesh & Ors.**

or special circumstances, but was used in a manner that displaced competition and facilitated repeated awards to a preferred class of contractors. The petitioners also contend that even where a tender is stated to have been issued, the contemporaneous material that would ordinarily support the award, including comparative statements, evaluation records and file notings, has not been produced.

23. The record also includes the final report filed by the CAG on 21.07.2025 in relation to the directions arising from SLP (C) No. 34696 of 2010. The final audit report deals with nine allegations and contains findings which are material for appreciating the nature of the issues raised before us. For example, in relation to the award of carriage contract work for transportation of 24,800 MT of rice under Sampoorana Gramin Rozgar Yojana, the audit records that the Department concerned did not invite tender or quotation, though four firms submitted offers, and the work order was issued to the firm selected as the lowest bidder. The audit also records that the proprietor of the concerned firm was Shri Jambey Tashi as alleged in the special leave petition, but that there was no information on record regarding his family relationship with Shri Dorjee Khandu. The audit further notes that the Department verified claims on distances on the basis of notifications issued by Deputy Commissioners and that, on cross-verification, it did not find differences between the contractor's claims and the supporting records. At the same time, the audit records that monthly progress reports contemplated under the scheme guidelines were not prepared and that details for certain districts were not furnished, and it also notes that joint physical verification was undertaken in respect of a sample of works shown as executed.
24. More significantly, across several other allegations, the audit report records repeated features that have a direct bearing on procurement integrity and record accountability. The audit records multiple instances of execution of works without call of tender, and it repeatedly notes that the basis for selection of contractors and the reasons for dispensing with tender were not on record. The audit report also records several instances where vouchers were not produced, or where crucial tender-related documentation was stated to be unavailable. Illustratively, the audit records that for the NLCPR project relating to improvement and re-alignment of the porter track from Jang to Sulungthi, vouchers for an amount of

Supreme Court Reports

Rs. 107.11 lakhs were not produced, and for the NLCPR project relating to construction of the porter track from Nuranang to Mago, vouchers for an amount of Rs. 23.20 lakhs were not produced. In the NLCPR project relating to construction of the road from Lhou Nallah to Mukto CO Headquarters via Gomkeling and Serjong, the audit records that vouchers for an amount of Rs. 12.24 crores were not produced and that documents relating to comparative bid statements and award of work where tender notice was issued were not made available, resulting in the audit being unable to probe the award further. These are not minor clerical omissions. They directly affect the traceability of public expenditure and the ability of the audit process to verify whether procurement decisions were taken in accordance with law. They go to the heart of whether the expenditure is traceable and whether the procurement decision is capable of objective scrutiny.

25. The audit report similarly records that in the project relating to improvement and upgradation of road network in Tawang township, a large part of the work was executed through multiple contractors without call of tender and vouchers for a part of the expenditure were not produced. In the project relating to providing water supply in Tawang township, the audit records that while certain components were put to tender, several other components were executed without call of tender, and that vouchers for an amount of Rs. 273.92 lakhs were not made available. In the allegation relating to the corpus fund of Rs. 23 crores sanctioned to the Bodhi Language and Literature Promotional Society, the audit records that the corpus fund remained as a fixed deposit, but that the accrued interest amounting to several crores of rupees was transferred to a savings account and the audit could not directly confirm its utilisation due to lack of documentation linking expenditures to specific end uses. The audit further records that as per information furnished by the Registrar of Societies, the Society never renewed its registration after the initial registration in 1993. In relation to the PMGSY projects, the audit report records that in certain projects works were executed without inviting tender by engaging a large number of contractors, and in certain other projects, although tenders were stated to have been issued and awarded, the relevant comparative statements or award documentation was stated to be unavailable, thereby disabling scrutiny of whether competition was fair and how the award decision was taken.

**Save Mon Region Federation & Anr. v.
The State of Arunachal Pradesh & Ors.**

26. The petitioners filed an additional affidavit after the CAG report was on record, wherein they expressly dispute and criticise parts of the audit conclusions. The petitioners contend that the work order system, even where used for so-called petty or emergent works, does not dispense with statutory requirements such as fair opportunity and recorded justification, and that the absence of tenders and the absence of complete records cannot be normalised as an administrative practice. The petitioners also contend that the audit's reliance on joint physical verification cannot be treated as a substitute for verifying adherence to procurement norms and technical specifications, and that physical existence of a work does not answer questions of conflict of interest, distortion of competition, record tampering, or unexplained expenditure. The petitioners further allege that the State's disclosure in its additional affidavit is incomplete, that certain works referred to by the petitioners were omitted, and that the State did not furnish the contemporaneous procurement record, including tender committee material, comparative statements and file findings.
27. The State of Arunachal Pradesh, in its reply, has sought to meet the petitioners' case on a broad platform. The State asserts that the CAG is a constitutional authority and that the audit report is now within the domain of constitutional and legislative scrutiny. The State further asserts that award of works through the work order system is not peculiar to the respondents alleged by the petitioners, and that the work order system is rooted in the geographical and socio-economic conditions prevailing in Arunachal Pradesh. The State explains the process by which administrative approval and expenditure sanction is granted, followed by technical sanction, and states that works valued below Rs. 50.00 lakhs are executed on work order basis in terms of the statutory framework, while works above that value are ordinarily executed through tenders. The State relies upon the Arunachal Pradesh District Based Entrepreneurs and Professionals (Incentives, Development and Promotional) Act, 2015, including Section 3A, which contemplates that works costing up to Rs. 50.00 lakhs, for which no special technical know-how is required and subject to the statutory conditions, may be given through work order without tender. The State denies that Section 3A has been violated and asserts that the petitioners have not placed explicit proof of such violation. The State also asserts that a large proportion of the works referred to by the petitioners were awarded through tender and that

Supreme Court Reports

the petition is being projected beyond the factual foundation laid by the petitioners themselves.

28. The State has also placed on record a compilation which it states has been prepared across seven major works departments, covering the period 01.04.2014 to 31.12.2025, and including a summary of tenders and work orders, and a summary of the percentage of works awarded to Respondent Nos. 4 to 6 or firms related to them. The State asserts that the share of such awards is miniscule in terms of both tenders and work orders and places reliance on departmental percentages which include figures such as 0.32 per cent and 0.07 per cent for the Department of Power, 0.03 per cent and 0.01 per cent for the Public Health Engineering and Water Supply Department, 1.03 per cent and 0.08 per cent for the Rural Works Department, 0.79 per cent and 0.06 per cent for the Water Resource Department, 0.80 per cent and 0.26 per cent for the Public Works Department, 1.20 per cent and 0.00 per cent for the Department of Hydro-Power Development, and 0.37 per cent and 0.36 per cent for the Department of Urban Development.
29. Having considered the record at this stage, we find that the petitioners' allegations are not confined to a mere grievance about the outcome of a tender. They raise issues that go to the integrity of public procurement and the traceability of public expenditure. The audit report, the petitioners' additional affidavit, and the State's replies together disclose repeated resort to non-tender methods, repeated absence of recorded reasons for such resort, and repeated non-production of vouchers and tender-related records in relation to high value public projects. The State's reliance on aggregate percentages does not, by itself, answer the concerns arising from specific instances where the procurement trail is incomplete or absent. These are matters that require structured investigation into the decision-making process, the custody and availability of records, the reasons for deviations, the identification of beneficiaries and related-party links, and the ascertainment of whether any cognizable offences or other legal breaches are disclosed.

Problems with the State's arguments

30. We are unable to accept the attempt of the State to answer allegations of this nature by reference to broad generalities. The first response of the State is that the CAG is a constitutional authority and that its report

**Save Mon Region Federation & Anr. v.
The State of Arunachal Pradesh & Ors.**

now lies within the domain of the Governor and the State Legislature. That submission proceeds on a misconception. Legislative scrutiny through the Public Accounts Committee is an important mechanism of financial accountability, but it does not displace the constitutional role of this Court when allegations before it implicate arbitrariness in public procurement, possible conflict of interest, and prima facie misuse of public office. The proceedings before this Court are not rendered infructuous merely because an audit report is also capable of being examined in the legislative domain. The CAG report has been called for and placed on record in these proceedings pursuant to orders of this Court, and it forms part of the material that must be assessed for the limited purpose of determining whether an independent investigation is warranted.

31. The second response of the State is to normalise the work order system by attributing it to the geographical and socio-economic conditions of Arunachal Pradesh and to rely upon the Arunachal Pradesh District Based Entrepreneurs and Professionals (Incentives, Development and Promotional) Act, 2015. We do not doubt that the State may, consistent with law, design procurement modalities that respond to local conditions. We also accept that certain works may be executed through work orders within the statutory framework. However, what is under scrutiny in these proceedings is not the existence of a work order system as a concept. The concern is the manner of its deployment in relation to public works and the procurement trail that accompanies it. A statutory framework permitting limited dispensation with tender does not authorise unstructured discretion. It does not dilute the requirements of Article 14. It does not permit repeated departures from competition without recorded reasons. It does not permit the State to proceed without a decision trail that makes the award capable of objective scrutiny, particularly where allegations of related-party benefit are made.
32. The third response of the State is that the petitioners have failed to produce “explicit proof” of violation of Section 3A of the Act of 2015. That submission reverses the constitutional burden. The petitioners are not public record custodians. The State is. The State awards contracts, maintains the files, sanctions expenditure, records the reasons for deviations, and holds the tender and work order record. When serious allegations of unfairness and conflict of interest arise and the record itself shows gaps in essential documents, the Court

Supreme Court Reports

cannot place the entire onus on the petitioners to establish the illegality by materials they do not control. At the prima facie stage, what is material is whether the record discloses circumstances that warrant an independent investigation. Missing vouchers, missing comparative statements, and absence of recorded reasons are not neutral facts. They are indicia that the State must answer and that require independent verification.

33. The fourth response of the State is to rely on aggregate percentages and to assert that the share of works awarded to Respondent Nos. 4 to 6 or firms related to them is “minuscule”. We are not persuaded that such arithmetic can answer the constitutional concern. The Constitution does not tolerate a breach of public trust merely because the breach is numerically small when measured against the total universe of State expenditure. Even a single instance of award of public work through a process tainted by conflict of interest, or by a deliberate bypass of competition, constitutes an affront to Article 14. A low percentage cannot become a licence. It cannot be a defence to nepotism. It cannot neutralise the illegality that attaches to an award which is not supported by a transparent process and contemporaneous records.
34. Moreover, the percentage argument is inherently capable of masking what the Court is required to examine. A Statewide denominator can conceal concentration within a district, concentration within a particular department, concentration in high-value projects, or concentration within a small set of contractors. Even assuming that the share is small in aggregate, the constitutional question remains whether public power has been used to confer private benefit, whether open competition has been displaced without justification, and whether the decision trail is intact. The State’s compilation, which is presented as a statistical answer, does not address the absence of tender records and vouchers noted in the audit material. It also does not answer why, where tender is claimed, comparative statements and related records are unavailable.
35. We also find it difficult to accept the State’s posture that its compliance is complete because it has furnished details only with reference to the works listed by the petitioners. The orders of this Court required a detailed disclosure and a transparent response on the contracts in issue, including those relating to Respondent Nos. 4 to 6 or firms

**Save Mon Region Federation & Anr. v.
The State of Arunachal Pradesh & Ors.**

related to them, and the subsequent order clarified that the scope was not confined to a single district. The State cannot choose a narrow construction of disclosure obligations when the controversy concerns the integrity of public procurement. In any event, where the State asserts that the petition is “Tawang-centric”, it is still obliged to answer, with complete procurement records, how the questioned awards were made, why tender was dispensed with, and why essential documents are missing.

36. Ultimately, what emerges from the record is that the State does not deny that the work order system has been used extensively. The audit material reflects multiple instances of non-tender execution and missing documentation. The petitioners allege related-party benefit and conflict of interest. In response, the State offers broad justifications, invokes percentages, and disclaims comment on the audit report. These answers do not meet the gravity of the allegations. They do not restore the confidence that a matter of this nature requires. They reinforce the need for an investigation by an independent agency that can trace the decision-making process, locate responsibility for missing records, and examine whether the pattern disclosed is an outcome of lawful administration or an abuse of public office.

Necessity of an independent investigation by the CBI

37. Having regard to the principles set out above and the material placed on record, we are satisfied that this is a fit case where an independent investigation is necessary. The record discloses repeated resort to non-tender methods in relation to public works, repeated absence of recorded reasons explaining why competition was dispensed with, and repeated non-production of vouchers and tender-related documentation in relation to projects of substantial value. Such circumstances raise legitimate concerns not merely of administrative irregularity but of possible abuse of public office, manipulation of procurement processes, and concealment or destruction of official records, matters which require investigation by an independent agency vested with statutory powers of criminal investigation. The petitioners further allege that a significant cluster of such awards has accrued to Respondent Nos. 4 to 6 or to firms and individuals related to them, thereby raising a serious question of conflict of interest and abuse of public office. These are not matters that can be left to be

Supreme Court Reports

answered by broad affidavits or by statistical summaries. They require a structured investigation into the decision-making process, the manner of selection of contractors, the justification for deviations from tender-based procurement, and the integrity and custody of public records.

38. The final report filed by the CAG has evidentiary relevance in this context, though it is not determinative of criminal culpability. The audit identifies repeated gaps in the documentary trail, including non-availability of vouchers and non-availability of tender evaluation material, and in several instances it records that it could not probe the award process further for want of essential records. These features, when read with the petitioners' assertions of related-party benefit and with the State's inability to furnish a complete contemporaneous procurement trail, provide a sufficient *prima facie* foundation for entrustment of investigation to an independent agency.
39. We are also mindful that the allegations in the present proceedings concern public contracting under the authority of the State and are directed, in material part, against persons who occupy, or are stated to be closely connected with those who occupy, high constitutional and political office in the State. In such circumstances, leaving the matter to be investigated by agencies that function under the administrative control of the State would raise a serious and reasonable apprehension, in the public mind, about institutional independence. The credibility of the process is as important as its eventual outcome. Where a case concerns the integrity of public procurement and involves allegations of conflict of interest at the highest levels, an investigation must be not only fair but must also appear fair.
40. A CAG audit is not designed to perform the role of a criminal investigation. An audit may verify accounts, test compliance, and record deficiencies. It cannot, however, conduct searches and seizures, trace beneficial ownership and related-party links through layered entities, examine the money trail, identify the persons responsible for custody and disappearance of files, or determine whether the facts disclose the commission of cognizable offences. These are functions that lie within the domain of an investigating agency empowered by law.
41. We have considered whether constitution of an SIT under the supervision of the State would suffice. In the facts of the present case, we are of the view that the nature of allegations, the institutional

**Save Mon Region Federation & Anr. v.
The State of Arunachal Pradesh & Ors.**

proximity of the persons against whom allegations are made, and the recurring deficiencies in the procurement record make it necessary to entrust the investigation to an agency which is institutionally independent of the State executive. The CBI is the appropriate agency for this purpose.

42. Accordingly, we deem it appropriate that CBI shall register a preliminary enquiry forthwith and shall conduct a time-bound investigation into the award and execution of the public works contracts and work orders which form the subject matter of this writ petition and the affidavits filed in these proceedings. The investigation shall include examination of the procurement process, the reasons and approvals for dispensing with tender, the availability and custody of records including vouchers, comparative statements and file notings, the identity of beneficial owners of the contractor entities, the fund flow and payments made, and any other connected matter necessary to ascertain whether any illegality or cognizable offence is disclosed.
43. Before issuing directions for investigation, it is also necessary to clarify the temporal scope of the inquiry. During the course of these proceedings, affidavits and compilations of records were directed to be furnished with reference to the period 2015 to 2025, and the State itself has placed materials covering substantially the same timeframe. The allegations in the writ petition, the audit scrutiny, and the record placed before this Court together indicate that the questioned pattern of procurement practices is alleged to have occurred across multiple departments during this period. In order to ensure that the investigation is both effective and structured, while at the same time avoiding an unbounded or roving inquiry into earlier periods for which no material has been placed before this Court, it is appropriate that the investigation be confined to the period 01.01.2015 to 31.12.2025.

Conclusion

44. For the reasons recorded above, and in exercise of the jurisdiction of this Court under Article 32 of the Constitution of India, the writ petition is disposed of with the following directions:
 - I. The Central Bureau of Investigation (CBI) shall register a preliminary enquiry within two weeks from the date of this judgment and shall proceed in accordance with law.

Supreme Court Reports

- II. The preliminary enquiry and the consequential investigation, if any, shall cover the award and execution of public works contracts and work orders in the State of Arunachal Pradesh for the period from 01.01.2015 to 31.12.2025, including the works and compilations placed on record in these proceedings. The CBI shall, in particular, examine awards made to Respondent Nos. 4 to 6 and to firms or individuals related to them, and shall examine the procurement process, the reasons and approvals for dispensing with open tender, the compliance with the applicable statutory and statutory requirements, the availability and custody of records, the flow of funds and payments, and such other connected aspects as are necessary to ascertain whether any illegality or cognizable offence is disclosed.
- III. The CBI shall not be precluded from examining transactions outside the above period to the limited extent necessary for tracing beneficial ownership, related-party links, fund flows, or other connected circumstances that bear upon the transactions within the above period.
- IV. The State of Arunachal Pradesh and all its concerned departments, authorities and instrumentalities shall cooperate fully with the CBI. They shall, within four weeks from the date of this judgment, make available all relevant records, including sanction orders, administrative approvals, technical sanctions, tenders, comparative statements, tender committee records, work orders, agreements, measurement books, bills, vouchers, utilisation certificates, completion certificates, and all electronic data relating to e-procurement and payments.
- V. The Chief Secretary, State of Arunachal Pradesh shall, within one week from the date of this judgment, designate a nodal officer for coordination with the CBI, and each of the concerned departments shall also designate a nodal officer within the same period. The nodal officers shall ensure timely production of records and shall facilitate access to offices, servers and record rooms as may be required.
- VI. The State of Arunachal Pradesh shall ensure that no record, physical or electronic, relevant to the subject matter of the enquiry and investigation is destroyed, altered, or rendered inaccessible. The Chief Secretary shall issue necessary

**Save Mon Region Federation & Anr. v.
The State of Arunachal Pradesh & Ors.**

directions to all concerned departments within one week from the date of this judgment to secure preservation of records and electronic logs.

- VII. The CBI shall file a status report before this Court within sixteen weeks from the date of this judgment.
45. We clarify that the observations made in this judgment are for the purposes of deciding whether an independent investigation is warranted. They shall not be construed as findings on the merits of any allegation, and they shall not prejudice any person in any proceedings that may arise.
46. Pending applications, if any, stand disposed of. There shall be no order as to costs.

Result of the case: Directions issued.

[†]Headnotes prepared by: Ankit Gyan

Renuka
v.
The State of Maharashtra and Another

(Criminal Appeal No. 1783 of 2026)

07 April 2026

[J.K. Maheshwari and Atul S. Chandurkar,* JJ.]

Issue for Consideration

Whether the Sessions Court as well as the High Court erred in holding that the complaint as filed by the appellant u/s.138 of the N.I. Act was liable to be dismissed at the pre-trial stage on the ground that the cheque issued by the second respondent was not towards any legally enforceable debt.

Headnotes[†]

Negotiable Instruments Act, 1881 – ss.138, 139 – Once the basic ingredients of s.138 are satisfied, the complaint cannot be dismissed at the pre-trial stage on the ground that the cheque issued was not towards a legally enforceable debt – Appellant’s case that in terms of the settlement agreement between her and her husband, her husband had to *inter alia* pay ₹50 crores to her – Second respondent acted as a guarantor and issued the cheque in question drawn in favour of the appellant – On being presented, the cheque got dishonoured with the remark ‘payment stopped by drawer’ – Eventually, complaint filed by the appellant u/s.138 against the second respondent – Process issued by Metropolitan Magistrate – Order set aside by Sessions Court holding that on the date of issuance of the cheque in question, there was no legally enforceable debt to be satisfied by the drawer – Challenged by the appellant, writ petition dismissed by High Court – Interference with:

Held: Once the basic ingredients of s.138 are duly satisfied by the complainant, the rebuttal of statutory presumption by the drawer can only be made during the course of trial – The basic ingredients for attracting the provisions of s.138 had been duly

* Author

Renuka v. The State of Maharashtra and Another

satisfied by the appellant, at least for issuance of process – When the basic ingredients of s.138 stand duly satisfied and the statutory presumption u/s.139 gets triggered, coming to a conclusion that the cheque was not issued for a legally enforceable debt at the pre-trial stage itself without granting an opportunity to the complainant to substantiate her case by leading evidence would amount to ignoring the statutory presumption that the cheque had been issued for a legally enforceable debt or liability – As a consequence, the presumption u/s.139 gets washed away even prior to commencement of the trial – On facts, the dismissal of the complaint as a consequence of setting aside the order issuing process is totally unjustified in the absence of any material being brought on record by the second respondent to rebut the statutory presumption and prove his contention that the cheque was issued not towards any enforceable debt or liability – Sessions Court committed an error in setting aside the order passed by the Metropolitan Magistrate issuing process u/s.138 – High Court also fell into error in upholding the order passed by the Sessions Judge – Both the orders set aside – Complaint filed by the appellant restored for adjudication on merits. [Paras 10, 11]

Negotiable Instruments Act, 1881 – ss.138, 139 – At the stage of issuance of process, the statutory presumption u/s.139 cannot be dislodged in a summary manner merely by contending that the cheque issued was not for any legally enforceable debt or liability:

Held: At the stage of issuance of process by the Metropolitan Magistrate, what is *prima facie* required to be seen is the issuance of cheque by the drawer in favour of the complainant, its dishonour on presentation by the payee, issuance of statutory notice u/s.138 and filing of the complaint within the prescribed statutory period – If the drawer does not dispute issuance of such a cheque nor does he deny his signature on the dishonoured cheque, the statutory presumption as contemplated u/s.139 comes into play – As a result, the burden would shift on the drawer of the cheque to prove that the cheque was not issued for any legally enforceable debt or liability – This exercise has to be undertaken during the trial either by relying upon the material brought on record by the complainant or by the drawer leading evidence in rebuttal. [Para 8]

Supreme Court Reports

Case Law Cited

Sunil Todi and Others v. State of Gujarat and Another, **2021 INSC 823** : [2021] 9 SCR 1086; *Rangappa v. Sri Mohan*, **2010 INSC 289** : [2010] 6 SCR 507; *Rajesh Jain v. Ajay Singh*, **2023 INSC 888** : [2023] 13 SCR 788 – referred to.

List of Acts

Negotiable Instruments Act, 1881.

List of Keywords

Cheque dishonoured; Complaint under Section 138 of the Negotiable Instruments Act, 1881 dismissed at pre-trial stage; Cheque not towards any legally enforceable debt; Basic ingredients of Section 138 of the Negotiable Instruments Act, 1881 duly satisfied by complainant; Order issuing process set aside; Dismissal of complaint under Section 138 of the Negotiable Instruments Act, 1881 unjustified; Statutory presumption under Section 139 of the Negotiable Instruments Act, 1881; Cheque issued for a legally enforceable debt or liability; Drawer does not dispute issuance of cheque; Drawer does not deny signature on the dishonoured cheque.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 1783 of 2026

From the Judgment and Order dated 29.03.2023 of the High Court of Judicature at Bombay in WP No. 1071 of 2023.

Appearances for Parties

Advs. for the Appellant(s):

Mukul Rohatgi, Siddharth Bhatnagar, Sr. Advs., Ms. Ranjeeta Rohatgi, Gaurav Srivastava, Ms. Shrika Gautam.

Advs. for the Respondent(s):

Dr. A.M. Singhvi, Kavin Gulati, Sr. Advs., Omkar Deshpande, Siddharth Dharmadhikari, Aaditya Aniruddha Pande, Shrirang B. Varma, C.D. Mehta, Mahesh Agarwal, Ankur Saigal, Bhavik Mehta, Ms. Kajal Dalal, Ms. Deepshika Mishra, Ms. Prakruti, E. C. Agrawala.

Renuka v. The State of Maharashtra and Another**Judgment / Order of the Supreme Court****Judgment****Atul S. Chandurkar, J.**

1. Leave granted.
2. On a complaint filed under Section 138 of the Negotiable Instruments Act, 1881¹, learned Metropolitan Magistrate on being satisfied that there was prima-facie material to proceed against the second respondent issued process on 17th June 2022. The second respondent invoked the revisional jurisdiction of the Sessions Court for challenging the said order. The Sessions Court was of the view that on the date of issuance of the cheque in question, there was no legally enforceable debt to be satisfied by the drawer. By the order dated 30th December 2022, it set aside the order passed by the learned Metropolitan Magistrate issuing process. The complainant approached the High Court of Bombay by filing a writ petition under Article 227 of the Constitution of India and challenged the order passed by the Sessions Court. The learned Single Judge, however, dismissed the writ petition observing that no error of jurisdiction was found in the impugned order. Being aggrieved, the complainant has challenged the aforesaid orders in this Criminal Appeal.
3. Shorn of necessary details, the facts relevant for considering the challenge as raised are that it is the case of the appellant that she had some disputes with her husband, Mr. Ashwin Natwarlal Sheth in the matter of alleged illegal and fraudulent transfer of shares pertaining to Sheth Developers and Realtors (India) Limited and Sheth Developers Private Limited. She had filed various complaints after which her husband commenced negotiations for amicable settlement of the disputes. On 12th January 2022, a final draft settlement agreement was finalised and drawn up between the parties. One of the terms of the settlement was that the appellant's husband would gift to the appellant the fifth, sixth and seventh floor premises of Natwar Bungalow along with interest in a plot located in a Co-operative

1 For short, the N.I. Act

Supreme Court Reports

Housing Society. He also agreed to pay the appellant a sum of ₹50 crores on executing a Declaration-cum-Indemnity document so as to withdraw the complaints filed by her against her husband. With a view to safeguard the interest of the appellant, the second respondent, who was a close friend of the appellant's husband, agreed to act as a mediator and to keep the amount of ₹50 crores in an escrow account till the actual payment was made by the appellant's husband. Accordingly, on 12th January 2022, the second respondent issued Cheque No.080261 for an amount of ₹50 crores in favour of the appellant. The appellant claims to have signed the document titled as Declaration-cum-Indemnity on 13th January 2022. It is the further case of the appellant that the sale of shares of the concerned entity was completed contrary to the settlement agreement and the appellant's husband received the sale consideration. The appellant accordingly deposited the cheque that had been issued by the second respondent for encashment. However, on 06th April 2022, the said cheque was dishonoured and returned with the remark 'payment stopped by drawer'. The appellant, on 20th April 2022, issued a notice under Section 138 of the N.I. Act to the second respondent. The said notice was replied by the second respondent on 04th May 2022, denying any liability to make such payment. The appellant gave her further reply to the second respondent and again called upon him to make the necessary payment. Since no further steps were taken by the second respondent, the appellant on 16th June 2022 filed a complaint against the second respondent under Section 138 of the N.I. Act.

4. Mr. Mukul Rohatgi, learned Senior Advocate for the appellant submitted that the Sessions Court erred in setting aside the order passed by the learned Metropolitan Magistrate issuing process on the premise that the dishonoured cheque had been issued for a debt that was not legally enforceable. According to him, on a plain reading of the complaint filed by the appellant under Section 138 of the N.I. Act coupled with the undisputed position as regards the issuance of the cheque by the second respondent, its valid presentation, its subsequent dishonour, issuance of the statutory notice and failure on the part of the second respondent to comply with the statutory notice were the only relevant considerations at the stage of issuance of process in the complaint. In other words, it was urged that the

Renuka v. The State of Maharashtra and Another

presumption under Section 139 of the N.I. Act that operated in favour of the payee could be dislodged by the drawer of the cheque only during the course of trial and not at the pre-trial stage. When the basic ingredients for making out an offence under Section 138 of the N.I. Act had been made out and process had been issued by the learned Metropolitan Magistrate, scuttling the proceedings at this stage was unjustified. To substantiate this contention, reliance was placed on the decision in **Sunil Todi and others Vs. State of Gujarat and another**² by urging that the Sessions Court had misread the said judgment. It was, thus, submitted that the Sessions Court was not justified in coming to the conclusion that the cheque in question had not been issued for discharge of any legal liability. Such a finding could be rendered only at the trial and not on the basis of the statements made during the course of proceedings challenging the issuance of process. He, therefore, submitted that the impugned orders be set aside and the complaint be restored for its adjudication on merits.

5. On the other hand, Dr. A. M. Singhvi, learned Senior Advocate for the second respondent supported the impugned orders and opposed the contentions raised on behalf of the appellant. He submitted that both the Courts were justified in coming to the conclusion that the cheque in question had not been shown to have been issued towards the discharge of any legally enforceable debt. The document dated 12th January 2022, which was in the form of a settlement agreement, was admittedly not signed by the second respondent. There was no concluded agreement as such and, therefore, the second respondent could not be bound by the statements made in that agreement. The liability under the cheque issued by the second respondent would arise only after the agreement between the parties was complete. The Courts were justified in relying upon the decision in *Sunil Todi (supra)* wherein it was held that where the payment of debt was dependent on the happening of an event which never occurred, there would be no legally recoverable liability to be satisfied. In view of this position on record, no useful purpose would be served by continuing the proceedings under Section 138 of the N.I. Act as it would amount to an abuse of the process of law. It was, thus,

Supreme Court Reports

submitted that the complaint having been rightly dismissed by the learned Sessions Judge, which order was upheld by the High Court, no interference therein was called for. He, therefore, urged that the appeal ought to be dismissed.

6. We have heard the learned Senior Advocates appearing for the parties at length and we have also perused the relevant documentary material on record. Having given due consideration to the rival submissions, we are of the view that the Sessions Court as well as the High Court were not justified in coming to the conclusion that the complaint as filed by the appellant under Section 138 of the N.I. Act was liable to be dismissed at the pre-trial stage on the ground that the cheque issued by the second respondent was not towards any legally enforceable debt.
7. Perusal of the complaint filed by the appellant under Section 138 of the N.I. Act indicates reference to an amicable settlement of various disputes between the appellant and her husband, pursuant to which the appellant's husband executed a registered irrevocable Power of Attorney dated 10th December 2022 in favour of the appellant. It was agreed under the settlement agreement that the appellant's husband would transfer by way of gift three properties and also pay an amount of ₹50 crores on the execution of a Declaration-cum-Indemnity document. In reciprocation, complaints made by the appellant as regards fraudulent transfer of her shares in two companies were to be withdrawn. To ensure execution of the Declaration-cum-Indemnity document, the second respondent acted as a guarantor and issued the cheque in question drawn in favour of the appellant. The appellant accordingly signed the Declaration-cum Indemnity document on 13th January 2022. On getting knowledge of the sale of certain shares contrary to the settlement agreement, the appellant presented the cheque issued by the second respondent for being honoured. It has been further stated that said cheque was dishonoured with the remark 'payment stopped by drawer'. A reference is thereafter made to the issuance of a statutory notice under Section 138 of the N.I. Act dated 20th April 2022, its service on the second respondent and his reply dated 04th May 2022 denying any liability. Accordingly, the said complaint came to be filed by the appellant. The appellant's statement was duly verified by the learned Metropolitan Magistrate and on being *prima facie* satisfied that the ingredients of Section

Renuka v. The State of Maharashtra and Another

138 of the N.I. Act were present, process came to be issued to the second respondent.

8. It is to be borne in mind that at the stage of issuance of process by the learned Metropolitan Magistrate, what is *prima facie* required to be seen is the issuance of cheque by the drawer in favour of the complainant, its dishonour on presentation by the payee, issuance of statutory notice under Section 138 of the N.I. Act and filing of the complaint within the prescribed statutory period. If the drawer does not dispute issuance of such a cheque nor does he deny his signature on the dishonoured cheque, the statutory presumption as contemplated under Section 139 of the N.I. Act comes into play. As a result, the burden would shift on the drawer of the cheque to prove that the cheque was not issued for any legally enforceable debt or liability. This exercise has to be undertaken during the trial either by relying upon the material brought on record by the complainant or by the drawer leading evidence in rebuttal. At the stage of issuance of process, the statutory presumption under Section 139 of the N.I. Act cannot be dislodged in a summary manner merely by contending that the cheque issued was not for any legally enforceable debt or liability.
9. We may in this regard refer to two decisions of this Court that have reiterated the view that once the basic ingredients of Section 138 of the N.I. Act are duly satisfied by the complainant, the rebuttal of statutory presumption by the drawer can only be made during the course of trial.

In **Rangappa Vs. Sri Mohan**³, it has been explicitly reiterated that the presumption mandated by Section 139 of the N.I. Act includes the presumption as regards existence of a legally enforceable debt or liability. It has been held that Section 139 is an example of a reverse onus clause that has been included in furtherance of the legislative object of improving the credibility of negotiable instruments. The presumption is rebuttable and the accused can raise a defence wherein the existence of a legally enforceable debt or liability can be contested.

Supreme Court Reports

In **Rajesh Jain Vs. Ajay Singh**⁴, it has been held as under:

“**34.** The NI Act provides for two presumptions: Section 118 and Section 139. Section 118 of the Act inter alia directs that it shall be presumed, until the contrary is proved, that every negotiable instrument was made or drawn for consideration. Section 139 of the Act stipulates that ‘unless the contrary is proved, it shall be presumed, that the holder of the cheque received the cheque, for the discharge of, whole or part of any debt or liability’. It will be seen that the ‘*presumed fact*’ directly relates to one of the crucial ingredients necessary to sustain a conviction under Section 138.

35. Section 139 of the NI Act, which takes the form of a ‘*shall presume*’ clause is illustrative of a presumption of law. Because Section 139 requires that the Court ‘*shall presume*’ the fact stated therein, it is obligatory on the Court to raise this presumption in every case where the factual basis for the raising of the presumption had been established. But this does not preclude the person against whom the presumption is drawn from rebutting it and proving the contrary as is clear from the use of the phrase ‘*unless the contrary is proved*’.

36. The Court will necessarily presume that the cheque had been issued towards discharge of a legally enforceable debt/liability in two circumstances. *Firstly*, when the drawer of the cheque admits issuance/execution of the cheque and *secondly*, in the event where the complainant proves that cheque was issued/executed in his favour by the drawer. The circumstances set out above form the fact(s) which bring about the activation of the presumptive clause. **[Bharat Barrel Vs. Amin Chand] [(1999) 3 SCC 35]**

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38. As soon as the complainant discharges the burden to prove that the instrument, say a cheque, was issued by the accused for discharge of debt, the presumptive device

Renuka v. The State of Maharashtra and Another

under Section 139 of the Act helps shifting the burden on the accused. The effect of the presumption, in that sense, is to transfer the evidential burden on the accused of proving that the cheque was not received by the Bank towards the discharge of any liability. Until this evidential burden is discharged by the accused, the presumed fact will have to be taken to be true, without expecting the complainant to do anything further.”

10. A perusal of the revisional order passed by the learned Judge of the Sessions Court indicates that he has given much importance to the fact that the agreement dated 12th January 2022 was not signed by the second respondent and, hence, the issuance of the cheque in question was not for any enforceable debt. He also appears to have given importance to the dispute between the appellant and her husband by stating that it was a matrimonial dispute and civil litigation between the said parties was pending in various Courts. In our view, the learned Judge misdirected himself when he proceeded to give more weightage to the document dated 12th January 2022 and in the process, ignored the fact that the basic ingredients for attracting the provisions of Section 138 of the N.I. Act had been duly satisfied by the appellant, at least for issuance of process. The drawing of the cheque by the second respondent, its presentation and subsequent dishonour at the instructions of the second respondent is not in dispute. The second respondent does not also dispute that he had issued the said cheque and that it was duly signed by him. The issuance of statutory notice as well as filing of the complaint within the prescribed period are also not in dispute. In such a situation, when the basic ingredients of Section 138 stand duly satisfied and the statutory presumption under Section 139 gets triggered, coming to a conclusion that the cheque was not issued for a legally enforceable debt at the pre-trial stage itself without granting an opportunity to the complainant to substantiate her case by leading evidence would amount to ignoring the statutory presumption that the cheque had been issued for a legally enforceable debt or liability. As a consequence, the presumption under Section 139 of the N.I. Act gets washed away even prior to commencement of the trial. We are of the view that in the facts of the present case, the dismissal of the complaint as a consequence of setting aside the order issuing process is totally unjustified in the absence of any material being

Supreme Court Reports

brought on record by the second respondent to rebut the statutory presumption and prove his contention that the cheque was issued not towards any enforceable debt or liability.

Since we are inclined to restore the complaint for being tried on merits, it is not necessary to deal with the decision in *Sunil Todi and others (supra)* in detail. Suffice it to observe that even in the said decision, it has been held that disputed questions as regards existence of outstanding liability are questions of fact that have to be determined at the trial on the basis of evidence.

11. For all these reasons, we are of the view that the learned Judge of the Sessions Court committed an error in setting aside the order dated 17th June 2022 passed by the learned Metropolitan Magistrate issuing process under Section 138 of the N.I. Act. The High Court also fell into error in upholding the order passed by the learned Sessions Judge. Accordingly, both the aforesaid orders are set aside. The complaint filed by the appellant being CC1831/SC/2022 stands restored for its adjudication on merits.

We clarify that the complaint shall be decided on its own merits and in accordance with law after giving due opportunity to all parties concerned. Any observations made in this judgment shall not be construed as an expression of opinion on the merits of the said case.

12. The Criminal Appeal is allowed in aforesaid terms.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Divya Pandey

UCO Bank & Ors.

v.

SK Shrivastava

(Civil Appeal No. 375 of 2020)

07 April 2026

[J.K. Maheshwari* and Vijay Bishnoi, JJ.]

Issue for Consideration

Under Regulation 29 of UCO Bank (Employees') Pension Regulations, 1995 (Pension Regulation), a notice of voluntary retirement if not refused within the prescribed period of three months or before the date as specified in the notice, whether such notice would be deemed to be accepted on expiry of such period; whether issuance of show cause notice dated 11.11.2010 by the Appellant may fall within the purview of institution of the disciplinary proceedings and such proceedings be treated as pending in terms of Regulation 20(3)(i) & (ii) of the Service Regulation; whether further action taken by the Appellant in issuing chargesheet to conduct an inquiry and pass consequential order of dismissal from service would withstand the scrutiny of law; in the facts and looking to the legal position, whether the judgments of the High Court warrant interference.

Headnotes[†]

UCO Bank (Employees') Pension Regulations, 1995 – Regulation 29 – UCO Bank (Officers') Service Regulations, 1979 – Regulation 20(3)(ii) – Respondent-Branch Manager sent a notice of voluntary retirement on 04.10.2010 giving three months' notice as required, effective till 04.01.2011 – In the meantime, a show-cause notice dtd.11.11.2010 was issued to the Respondent seeking explanation regarding some suspicious transactions however, initiation of disciplinary proceedings was not indicated therein – *Vide* letter dtd.14.05.2011, Respondent stopped working with the bank w.e.f. 16.05.2011 – On 29.06.2011, Respondent was informed that his request for voluntary retirement was not accepted – Respondent was subsequent charge-sheeted – Non-acceptance of voluntary

* Author

Supreme Court Reports

retirement and consequent initiation of inquiry and dismissal, challenged by the Respondent – Writ petitions allowed by Single Judge directing grant of terminal benefits to the Respondent, order confirmed in writ appeal by the High Court:

Held: Impugned order upheld – Regulation 29 of Pension Regulation governs the voluntary retirement and its acceptance until refused by the appointing authority within notice period, otherwise it would become effective on lapse of the time specified in the notice – A positive act of passing an order of refusal is required to be undertaken by the appointing authority – Thus, the request of voluntary retirement if not refused within the period specified in the notice or withheld, the deemed approval of voluntary retirement would be effective on expiry of notice period – Officer submitted his notice of voluntary retirement on 04.10.2010, giving three months' notice as required, which would be effective till 04.01.2011 – Show cause notice issued in the meantime by the Appellant on 11.11.2010 did not indicate the intention to institute disciplinary proceedings in terms of Regulation 20(3)(ii) of the Service Regulation – Nonetheless, the existence of such a show cause notice itself is not sufficient without refusal by competent authority to stop the automatic operation of the notice of voluntary retirement – In absence, the notice of voluntary retirement would take its course – In the present case, no such order of refusal or order of withholding was passed by the competent authority within the stipulated period – The notice of voluntary retirement, therefore, became effective automatically by efflux of time upon the expiry of the three-month period on 04.01.2011 – The non-approval communicated on 29.06.2011, after expiry of the notice period and cessation of work vide notice dtd.14.05.2011 with effect from 16.05.2011, is of no avail to the bank – When an employee decides to sever master servant relationship and serves a notice indicating such intention specifying the period, by operation of law it will become effective in absence of any order of refusal – The subsequent act of issuing chargesheet and consequential order of dismissal is also not justified in law – No infirmity in the view taken by the High Court. [Paras 26, 28, 30, 33, 43, 45]

Interpretation of Statutes – Harmonious construction – UCO Bank (Employees') Pension Regulations, 1995 – Regulation 29(1) and (2) – UCO Bank (Officers') Service Regulations, 1979 – Regulation 20(3)(i)-(iii):

UCO Bank & Ors. v. SK Shrivastava

Held: Provision of Regulation 20(3)(i), (ii), (iii) of Service Regulations and Regulation 29(1) and (2) of the Pension Regulation, ought to be read in tandem harmoniously – Regulation 20(3)(i) & (ii) of the Service Regulation deals with cessation of service and when it would not affect the pendency of disciplinary proceedings – It puts an embargo only in two specific contingencies, first, where the officer is placed under suspension, second, where a show-cause notice has been issued for institution of disciplinary proceedings – In either of the situation, an officer would require prior approval of the competent authority – Indeed it is true that voluntary retirement is also a mode to ‘leave or discontinue’ service, therefore to such extent, Regulation 20(3)(i) & (ii) may have relevance – Nonetheless, voluntary retirement is not a mere act of leaving or discontinuing, rather, a distinct right of an employee that is available on completion of the requisite number of years of service, etc. – As per intent of Regulation 20(3)(i) & (ii), the employee cannot leave without approval of the competent authority pending the disciplinary proceedings irrespective of the fact that he has tendered notice to that effect – However, on literal reading of proviso to Regulation 29(2) of Pension Regulation, the intent thereof seems to be otherwise *i.e.*, unless refused by the competent authority within the period prescribed in the notice, the voluntary retirement shall become automatically effective – It is in this context provisions of both regulations ought to be harmoniously constructed – While Regulation 20(3) (i) & (ii) of Service Regulation permits the authority to not grant ‘approval’ where disciplinary proceedings are pending; Regulation 29 of Pension Regulation also achieves the same effectively, through its proviso, by permitting the authority to ‘refuse’ voluntary retirement, but within the notice period – Therefore, essence and intent are the same subject to some restrictions. [Para 34]

UCO Bank (Officers’) Service Regulations, 1979 – Regulation 20(3)(iii) – When not applicable:

Held: If disciplinary proceedings against an officer are pending and he wishes to leave/discontinue or resign, he may be permitted to do so by prior approval of the competent authority in writing – Such notice, if any, given by the officer before or during the disciplinary proceedings, shall not be given effect unless accepted by the competent authority – The pendency of the disciplinary proceedings

Supreme Court Reports

would include suspension or issuance of a show-cause notice for institution of the disciplinary proceedings – Regulation 20(3)(iii) of the Service Regulation applies where the disciplinary proceedings were initiated prior to attaining the age of superannuation, and prescribes the recourse to the bank after attaining the age of superannuation, which is not of much relevance in the facts of this case. [Para 32]

Case Law Cited

UCO Bank v. Rajinder Lal Capoor [2007] 7 SCR 543 : (2007) 6 SCC 694; *UCO Bank v. Rajinder Lal Capoor* [2008] 5 SCR 775 : (2008) 5 SCC 257; *State Bank of India & Ors. v. Navin Kumar Sinha* [2024] 11 SCR 799 : 2024 SCC OnLine SC 3369; *UCO Bank & Ors. v. M.B. Motwani (Dead) thr. L.Rs and Ors.* [2023] 16 SCR 525 : (2024) 13 SCC 109; *Canara Bank v. D.R.P. Sundharam* (2016) 12 SCC 724 – held not applicable.

State of Haryana & Ors. v. S.K. Singhal [1999] 2 SCR 714 : (1999) 4 SCC 293; *Tek Chand v. Dile Ram* [2001] 1 SCR 527 : (2001) 3 SCC 290; *Dinesh Chandra Sangma v. State of Assam & Ors.* [1978] 1 SCR 607 : (1977) 4 SCC 441; *B.J. Shelat v. State of Gujarat and Ors.* [1978] 3 SCR 553 : (1978) 2 SCC 202; *Union of India and Ors. v. Sayed Muzaffar Mir* [1994] Supp. 3 SCR 729 : (1995) Supp. 1 SCC 76 – referred to.

List of Acts

UCO Bank (Employees') Pension Regulations, 1995; UCO Bank (Officers') Service Regulations, 1979.

List of Keywords

Regulation 29 of UCO Bank (Employees') Pension Regulations, 1995; Regulation 20(3) of UCO Bank (Officers') Service Regulations, 1979; Notice of voluntary retirement; Notice of voluntary retirement not refused within prescribed period would be deemed to be accepted; Deemed approval of voluntary retirement effective on expiry of notice period; Notice of voluntary retirement effective automatically by efflux of time; Retired prior to institution of the disciplinary proceedings; No intention to institute disciplinary proceedings; Absence of order of refusal of voluntary retirement.

UCO Bank & Ors. v. SK Shrivastava**Case Arising From**

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 375 of 2020

From the Judgment and Order dated 7.01.2019 of the High Court of Chhattisgarh at Bilaspur in WA No. 824 of 2018

With

Civil Appeal No. 376 of 2020

Appearances for Parties

Gaurav Agarwal, Sr. Adv./ *Amicus Curiae*

Advs. for the Appellant(s):

Brijesh Kumar Tamber, Vinay Singh Bisht, Prateek Kushwaha, Ms. Arani Mukherjee, Yashu Rustagi, Sahas Bhasin, Vaibhav Dayma.

Respondent-in-person

Judgment / Order of the Supreme Court**Judgment**

J.K. Maheshwari, J.

1. The Civil Appeal No. 375 of 2020 is arising out of the judgment dated 07.01.2019 in Writ Appeal No. 824 of 2018 by the High Court of Chhattisgarh, Bilaspur (*hereinafter 'High Court'*) preferred against the judgment dated 28.09.2018 in WP (S) No. 1620 of 2012, wherein the direction for grant of terminal benefits to Respondent No. 1 was issued. Learned Single Judge was of the view that after completion of the notice period of three months as specified in the notice for voluntary retirement or from the date of stopping to attend the service, the Respondent be treated retired voluntarily. Since he stood retired prior to institution of the disciplinary proceedings, therefore, he is entitled to all consequential benefits as per Rules governing the field. The Division Bench reaffirmed the finding of the learned Single Judge *inter alia* observing that since option of refusal of notice for voluntary retirement was not exercised by the Appellant-Bank before the expiry of notice period i.e. 04.01.2011 or even prior to 16.05.2011 i.e. the date since when the employee decided to sever the master servant relationship, therefore, communication made

Supreme Court Reports

subsequently to refuse the request of voluntary retirement cannot be given retrospective effect to undo an act which was deemed to have been done.

2. In Civil Appeal No. 376 of 2020, the judgment dated 12.07.2019 in Writ Appeal No. 321 of 2019 is under challenge, whereby, the judgment dated 24.04.2019 passed in WP (S) No. 5109 of 2012 was assailed. Learned Single Judge while allowing the writ petition opined that the employee stood retired with effect from the date of severance of master servant relationship i.e. 16.05.2011, therefore, the chargesheet issued on 05.03.2012 after retirement is liable to be quashed. In view of the judgment dated 28.09.2018 delivered in WP (S) No. 1620 of 2012 which was affirmed by the Division Bench, the learned Single Judge quashed the chargesheet and the consequential order of dismissal along with costs of Rs. 25,000/-.
3. In the present two appeals filed by the Appellant-bank, the Respondent herein was the petitioner before High Court. The former writ petition relates to grant of terminal benefits to him and the latter relates to challenge to chargesheet and his dismissal from service. Consequent upon the decision in the previous writ petition, the latter writ petition was allowed. Since both the appeals have been filed in relation to the same employee, therefore, both the Civil Appeals are heard analogously and being decided by this common judgment.
4. The issue pertaining to the voluntary retirement is governed by the UCO Bank (Employees') Pension Regulations, 1995 (*hereinafter referred to as 'Pension Regulation'*) as stood on the date on which notice for voluntary retirement was submitted by the Respondent. The service conditions of the employee are governed by the UCO Bank (Officers') Service Regulations, 1979 (*hereinafter referred to as 'Service Regulation'*) applicable for termination or discontinuation from employment of the Bank. The said Regulation was later amended on 30.04.2011.

FACTUAL MATRIX

5. The facts unveiling the controversy are that the Respondent was appointed as Clerk-cum-Godown Keeper in UCO Bank on 10.09.1983 and promoted as an Assistant Manager with effect from 01.01.2000. He was further promoted as Manager w.e.f. 26.04.2007. In July 2010, while working as Branch Manager at Raipur Branch, some suspicious

UCO Bank & Ors. v. SK Shrivastava

transactions in the account of M/s. Bhanu Road Carriers and M/s. Progressive Exim Ltd. came to the knowledge of the Appellant. Internal correspondence was made from Head Office to Zonal Office regarding the same. In the meantime, Respondent sent a notice of voluntary retirement on 04.10.2010 to the General Manager, Kolkata. In response, Zonal Office asked for fresh application under the Pension Regulation. The Head Office also sought information regarding vigilance, non-vigilance or court case and an undertaking to the effect that he would not accept any commercial employment for two years from the date of acceptance of his voluntary retirement.

6. In the interregnum, the Zonal Office issued a show-cause notice dated 11.11.2010 and asked explanation regarding alleged transactions and suspicious entries in the accounts as referred above. An internal communication between the Head Office and the Zonal Office dated 11.12.2010 indicates that voluntary retirement of Respondent was not considered because of proposed changes in Pension Regulation, therefore, the Respondent was advised to continue in service, and a communication from Zonal Office to the Chief Manager, UCO Bank, Bilaspur was made on 20.12.2010 to that effect. The Head Office wrote another letter to Zonal Office on 06.04.2011 stating that since show cause notice has been issued on 11.11.2010 to the Respondent, therefore his request for voluntary retirement cannot be considered, and the same was communicated to the branch office.
7. On 09.05.2011, reply to the show cause notice was submitted, and in the meantime, an undertaking was furnished by the Respondent on 11.04.2011 that he shall not take any commercial employment. Since the period specified in the notice for voluntary retirement had elapsed, hence, after writing a letter dated 14.05.2011, Respondent stopped working with the bank w.e.f. 16.05.2011. Later, *vide* communication dated 29.06.2011 it was informed to the Respondent by post sent from Bilaspur Branch that his request for voluntary retirement is not being accepted. As per information supplied by the Postal Department, the said letter was never delivered to the Respondent and the High Court has also taken note of the said fact.
8. After about eight months from the date when he severed his employment with the Appellant, the Respondent was charge-sheeted on 05.03.2012 alleging the suspicious transactions as mentioned hereinabove. Challenging the non-acceptance of voluntary retirement

Supreme Court Reports

and consequent initiation of inquiry and dismissal, the Respondent filed the respective writ petitions, which were allowed by the learned Single Judge and confirmed in writ appeal by the High Court *vide* impugned order. Hence, the present two appeals.

9. In the course of hearing, both the parties have placed reliance on the judgments of this Court in ***UCO Bank v. Rajinder Lal Capoor***¹ (hereinafter '***R.L. Capoor - I***'), ***UCO Bank v. Rajinder Lal Capoor***² (hereinafter '***R.L. Capoor - II***') and the judgment of Three-Judge Bench in ***Canara Bank v. D.R.P. Sundharam***³. All the said judgments deal with Regulation 20(3)(iii) of the Service Regulation, consequential effect of show cause notice and meaning of deemed pendency. Considering the peculiar facts of the case and that the Respondent himself was appearing in person as well as looking to the questions of law as involved, Mr. Gaurav Agrawal, learned senior counsel, was appointed as *amicus curiae* to assist the Court, who agreed to assist us in examining the legal issues involved in these two appeals.

ARGUMENTS ADVANCED BY THE PARTIES

10. Learned counsel for the Appellant, the Respondent-in-person and learned *amicus curiae* have advanced their arguments and were heard at length. Learned counsel for the Appellant assailed the judgment of the High Court placing reliance on Regulation 20(3)(ii) of the Service Regulation and contended that in case a notice to show cause for institution of disciplinary action has been issued, it would amount to pendency of the disciplinary proceedings, and during such pendency, the request for voluntary retirement cannot be accepted. It is further argued that the deeming fiction as contained in Regulation 29(1) and (2) of the Pension Regulation may not be applicable on elapse of three months' notice period as specified therein, in case the disciplinary proceeding is pending as per Regulation 20(3)(ii) of the Service Regulation. In support of his contentions, reliance has been placed upon the aforementioned judgments.
11. *Per contra*, the Respondent-in-person, submitted that while allowing the writ petition, the High Court recorded the reasons in detail

1 (2007) 6 SCC 694

2 (2008) 5 SCC 257

3 (2016) 12 SCC 724

UCO Bank & Ors. v. SK Shrivastava

indicating that the voluntary retirement was deemed to have been accepted w.e.f. the date of expiry of three months' notice period or from the date of cessation of employment i.e., 16.05.2011. It was contended that the show cause notice dated 11.11.2010 does not indicate about initiation of disciplinary proceedings, as required under Regulation 20(3)(ii) of the Service Regulation. It is also contended, in case the disciplinary proceedings is not initiated prior to retirement, dismissal from service consequent to such proceedings is arbitrary and without any sanction under the law, and as such, the findings of the High Court do not warrant interference. In view of the above submissions, it was prayed that the Appeals preferred by the Bank may be dismissed with direction to pay the post retiral and pensionary benefits within time frame along with interest.

12. Mr. Gaurav Agrawal, learned senior counsel and *amicus*, has placed all the facts in detail in his brief note of submissions and argued that Regulation 29 of the Pension Regulation would apply for voluntary retirement on completion of 20 years of service in case the notice to that effect proposing a date of not less than three months has been given in writing to the appointing authority. As per the proviso to Regulation 29(2), such notice shall become effective if not refused during the notice period. He submits that Clauses (i), (ii) and (iii) of Regulation 20(3) of the Service Regulation operate in different spheres and the judgments referred hereinabove only deal with the contingency of Regulation 20(3)(iii), therefore, Regulation 20(3)(ii) of the Service Regulation, particularly in facts of the present case, requires independent consideration. As per his contention, show cause notice dated 11.11.2010 does not indicate the institution of disciplinary proceedings and satisfy the requirement contemplated in Regulation 20(3)(ii) of the Service Regulation. It was also stated that nothing has been placed on record to indicate that the competent authority fulfilling the requirement of clause 20(3)(ii) of Service Regulation and Clause 29(2) of Pension Regulation has passed any order refusing voluntary retirement within the notice period. Lastly, it was submitted that the judgment of the High Court is just, equitable and in accordance with law, therefore, warrants no interference.
13. It is pointed out, the documents dated 28.07.2010 (communication of Vigilance Department advising to lodge FIR) and 12.08.2010 (a draft show cause notice) placed before this Court along with additional affidavit were not filed with counter affidavit before the High Court. The

Supreme Court Reports

communication of these two documents and internal correspondences of the Head Office to the Zonal Office dated 11.12.2010, 20.12.2010 and 06.04.2011 to the Respondent was also not averred in counter affidavit.

14. Learned *amicus* has drawn a distinction between “notice to retire” and “request seeking permission to retire” placing reliance on the judgment of this Court in ***State of Haryana & Ors. v. S.K. Singhal***⁴. It is his contention that any refusal to accept notice within the period specified in the notice has not been placed before the Court. Therefore, in terms of proviso of Regulation 29(2) of the Pension Regulations, the voluntary retirement is deemed to come into force immediately after expiry of the date as specified in the notice. In support, reliance was also placed on ***Tek Chand v. Dile Ram***⁵.
15. In the facts of both these Appeals, the following four questions falls for our consideration - **(a)** *Under Regulation 29 of Pension Regulation, a notice of voluntary retirement if not refused within the prescribed period of three months or before the date as specified in the notice, whether such notice would be deemed to be accepted on expiry of such period?* **(b)** *Whether issuance of show cause notice dated 11.11.2010 by the Appellant may fall within the purview of institution of the disciplinary proceedings and such proceedings be treated as pending in terms of Regulation 20(3)(i) & (ii) of the Service Regulation?* **(c)** *Whether further action taken by the Appellant in issuing chargesheet to conduct an inquiry and pass consequential order of dismissal from service would withstand the scrutiny of law?* **(d)** *In the facts and looking to the legal position discussed, whether the judgments of the High Court warrant interference?*

ANAYISIS

16. On appraisal of the rival contentions and to deal with the questions posed above, for ready reference, it is necessary to first refer the relevant provisions of the Pension Regulation applicable as on the date, governing the issue of voluntary retirement. Regulation 29 of Chapter V of the Pension Regulation is relevant therefore reproduced as under:

4 (1999) 4 SCC 293

5 (2001) 3 SCC 290

UCO Bank & Ors. v. SK Shrivastava

“29. Pension on Voluntary Retirement. – (1) On or after the 1st day of November, 1993 at any time after an employee has completed twenty years of qualifying service he may, by giving notice of not less than three months in writing to the appointing authority retire from service;

Provided that this sub-regulation shall not apply to an employee who is on deputation or on study leave abroad unless after having been transferred or having returned to India he has resumed charge of the post in India and has served for a period of not less than one year;

Provided further that this sub-regulation shall not apply to an employee who seeks retirement from service for being absorbed permanently in an autonomous body or a public sector undertaking or company or institution or body, whether incorporated or not to which he is on deputation at the time of seeking voluntary retirement;

Provided that this sub-regulation shall not apply to an employee who is deemed to have retired in accordance with clause (I) of regulation 2.

(2) The notice of voluntary retirement given under sub-regulation (1) shall require acceptance by the appointing authority;

Provided that where the appointing authority does not refuse to grant the permission for retirement before the expiry of the period specified in the said notice, the retirement shall become effective from the date of expiry of the said period.”

(emphasis supplied)

17. Upon reading, it is quite clear, if an employee on or after 1st day of November 1993 completes twenty years of qualifying service, and furnishes a notice of not less than three months to the appointing authority, he may retire voluntarily. Provisos of Regulation 29(1) of the Pension Regulation deal with the contingencies which are not relevant for the present case. Regulation 29(2) makes it further clear that notice for voluntary retirement is required to be given as per Regulation 29(1), which is required to be accepted by the appointing

Supreme Court Reports

authority. Regulation 29(2) of Pension Regulation applies subject to proviso to the said sub-regulation, whereby in case the appointing authority does not refuse the permission of voluntary retirement before the period specified in the notice, the voluntary retirement would be effective *ipso facto* from the date specified in the notice. Therefore, in Regulation 29(2), voluntary retirement is qualified by an act of the appointing authority to refuse within the notice period. Otherwise, the notice of voluntary retirement shall be deemed to be accepted from the date or period as indicated in the notice.

18. In view of the discussions made regarding provisions contained in Pension Regulation and to understand the import of the said provision, we may take guidance from judgments delivered by this Court dealing with *pari materia* provisions and interpretation thereto.
19. In the case of ***Dinesh Chandra Sangma Vs. State of Assam & Ors.***⁶ a Three-Judge bench of this Court was having an occasion to deal with a similar issue of voluntary retirement in the context of Fundamental Rule 56 (c), wherein this Court observed as follows -

7. Before we proceed further we may read F. Rule 56 as amended:

"F. Rule 56. (a) The date of compulsory retirement of a Government servant is the date on which he attains the age of 55 years. He may be retained in service after this age with sanction of the State Government on public grounds which must be recorded in writing, and proposals for the retention of a Government servant in service after this age should not be made except in very special circumstances.

(b) Notwithstanding anything contained in these rules the appropriate authority may, if he is of the opinion that it is in the public interest to do so, retire government servant by giving him notice of not less than three months in writing or three months' pay and allowances in lieu of such notice, after he has attained fifty years of age or has completed 25 years of service, whichever is earlier.

UCO Bank & Ors. v. SK Shrivastava

(c) Any government servant may, by giving notice of not less than three months in writing to the appropriate authority, retire from service after he has attained the age of fifty years or has completed 25 years of service, whichever is earlier."

8.While the Government reserves its right to compulsorily retire a government servant, even against his wish, there is a corresponding right of the government servant under F. Rule 56(c) to voluntarily retire from service by giving the Government three months' notice in writing. There is no question of acceptance of the request for voluntary retirement by the Government when the government servant exercises his right under F. Rule 56 (c). Mr Niren De is therefore right in conceding this position.

17. The High Court committed an error of law holding that consent of the Government was necessary to give legal effect to the voluntary retirement of the Appellant under F. Rule 56(c). Since the conditions of F. Rule 56(c) are fulfilled in the instant case, the Appellant must be held to have lawfully retired as notified by him with effect from August 2, 1976.

20. By the said judgment it was made clear that, as per relevant rules, to give effect to the voluntary retirement, the consent of the Government was not necessary since the notice given by employee reflects the intention to retire voluntarily from the date so specified in the notice. Nonetheless, it appears that the said provision did not contain any option on the part of the government to refuse the request for voluntary retirement.
21. In another judgment of three-Judge Bench in ***B.J. Shelat Vs. State of Gujarat and Ors.***⁷, wherein this Court dealt with the question of jurisdiction of the authority to take a disciplinary action and was observed as thus: -

Supreme Court Reports

“6. We will proceed to consider the question of the jurisdiction of the authority to take disciplinary action against the Appellant after his retirement. It may be recalled that the Appellant gave a notice intimating his intention to retire on July 17, 1973 stating that he intended to retire on reaching the age of 55 years on December 3, 1973. He attained the age of 55 years on December 3, 1973 and it is common ground that the notice of suspension was issued by the High Court only on December 11, 1973. But before December 3, 1973 it is admitted that a show-cause notice was issued on November 23, 1973 by the Chief City Magistrate on the directions of the High Court calling upon the petitioner to submit his explanation and the Appellant submitted his explanation on November 26, 1973.

7. Rule 161 of the Bombay Civil Services Rules provides for the retirement of Government servants before attaining the age of superannuation. Rule 161(1)(aa) provides—

“Notwithstanding anything contained in clause (a):

(1) An appointing authority shall, if he is of the opinion that it is in the public interest so to do, have the absolute right to retire any Government servant to whom clause (a) applies by giving him notice of not less than three months in writing or three months’ pay and allowances in lieu of such notice:

Sub-rule (2)(ii) is as follows:

“Any Government servant to whom clause (a) applies may, by giving notice of not less than three months in writing to the Appointing Authority, retire from service... and in any other case, after he has attained the age of 55 years.”

There is no dispute that the Rule applicable is Rule 161(2)(ii) and the Appellant is entitled to retire by giving a notice of not less than 3 months after he has attained the age of 55 years. Under Rule 161(1)(aa)(1) the appointing authority has an absolute right to retire any Government

UCO Bank & Ors. v. SK Shrivastava

servant to whom clause (a) applies in public interest by giving him notice of not less than three months in writing or three months' pay and allowances in lieu of such notice. But the Government servant has no such absolute right. A right is conferred on the Government servant under Rule 161(2)(ii) to retire by giving not less than three months' notice on his attaining the prescribed age. Such a right is subject to the proviso which is incorporated to the sub-section which reads as follows:

“Provided that it shall be open to the appointing authority to withhold permission to retire to a Government servant who is under suspension, or against whom departmental proceedings are pending or contemplated, and who seeks to retire under this sub-clause.”

But for the proviso a Government servant would be at liberty to retire by giving not less than three months' notice in writing to the appointing authority on attaining the prescribed age.”

22. In the above case, the judgment of **Dinesh Chandra Sangma** (Supra) was relied upon and applying the law as prevalent, the Court observed as thus:

“8. In the case before us it is incumbent on the appointing authority to withhold permission to retire on one of the conditions mentioned in the proviso. We are of the view that the proviso contemplates a positive action by the appointing authority. The words “It shall be open to the appointing authority to withhold permission” would indicate that the appointing authority has got an option to withhold permission and that could be exercised by communicating its intention to withhold permission to the Government servant. The appointing authority may have considered the question and might not have taken a decision either way or after considering the facts of the case might have come to the conclusion that it is better to allow the Government servant to retire than take any action against him. For the proviso to become operative it is necessary that the Government

Supreme Court Reports

should not only take a decision but communicate it to the Government servant."

23. The Court also interpreted the meaning of the word 'withhold' in case the disciplinary proceedings are pending and a person applied for voluntary retirement, wherein following was observed :-

"9. Mr Patel next referred us to the meaning of the word "withhold" in Webster's Third New International Dictionary which is given as "hold back" and submitted that the permission should be deemed to have been withheld if it is not communicated. We are not able to read the meaning of the word "withhold" as indicating that in the absence of a communication it must be understood as the permission having been withheld.

*10. It will be useful to refer to the analogous provision in the Fundamental Rules issued by the Government of India applicable to the Central Government servants. Fundamental Rule 56(a) provides that except as otherwise provided in this Rule, every Government servant shall retire from service on the afternoon of the last day of the month in which he attains the age of fifty-eight years. Fundamental Rule 56(j) is similar to Rule 161(aa)(1) of the Bombay Civil Services Rules conferring an absolute right on the appropriate authority to retire a Government servant by giving not less than three months' notice. Under Fundamental Rule 56(k) the Government servant is entitled to retire from service after he has attained the age of fifty-five years by giving notice of not less than three months in writing to the appropriate authority on attaining the age specified. But proviso (b) to sub-rule 56(k) states that it is open to the appropriate authority to withhold permission to a Government servant under suspension who seeks to retire under this clause. Thus under the Fundamental Rules issued by the Government of India also the right to the Government servant to retire is not an absolute right but is subject to the proviso whereunder the appropriate authority may withhold permission to a Government servant under suspension. **On a consideration to Rule 161(2)(ii) and***

UCO Bank & Ors. v. SK Shrivastava

the proviso, we are satisfied that it is incumbent on the Government to communicate to the Government servant its decision to withhold permission to retire on one to the grounds specified in the proviso.

11. In the view we have taken that the appointing authority has no jurisdiction to take disciplinary proceedings against a Government servant who had effectively retired, the question as to whether the High Court was right in holding that the disciplinary authority had sufficient grounds for dismissing the Appellant does not arise.

.....As already stated, as we have come to the conclusion that the disciplinary action cannot be taken after the date of his retirement, we refrain from expressing any opinion on the correctness of the decision taken by the appointing authority."

In the said context, it is evident that until the appointing authority withholds the permission to let an employee voluntarily retire, pendency of disciplinary proceedings against such Government servant has no adverse consequence. Therefore, withholding permission in terms of the rules was found to be a prerequisite.

24. Both the above referred judgments have been further cited with approval in the case of **Union of India and Ors. v. Sayed Muzaffar Mir**⁸ and the Court held as thus: -

"3. The learned Additional Solicitor General, Shri Ahmed appearing for the Appellants, has contended that the right of premature retirement conferred by the aforesaid provision could be denied to a railway servant in case he be under suspension, as was the Respondent at the relevant time. This is what finds place in the proviso to the aforesaid provision. The Additional Solicitor General also seeks to place reliance on what has been stated in Rule 1801(d) which starts with non-obstante clause and states that the competent authority may require a railway

Supreme Court Reports

servant under suspension to continue his service beyond the date of his retirement in which case he shall not be permitted by that authority to retire from service and shall be retained in service till such time as required by that authority. Relying on these provisions the contention advanced is that though the Respondent had sought premature retirement by his letter dated 22-7-1985 and though the three months' period had expired on 21-10-1985, the Railways were within the rights not to permit the premature retirement because of the suspension of the Respondent at the relevant time, which had come to be ordered in the course of a disciplinary proceeding which was then pending against the Respondent.

4. There are two answers to this submission. The first is that both the provisions relied upon by the learned counsel would require, according to us, passing of appropriate order, when the government servant is under suspension (as was the Respondent), either of withholding permission to retire or retaining of the incumbent in service. It is an admitted fact that no such order had been passed in the present case. So, despite the right given to the appropriate/competent authority in this regard, the same is of no avail in the present case as the right had not come to be exercised. We do not know the reason(s) thereof. May be, for some reason the authority concerned thought that it would be better to see off the Respondent by allowing him to retire.

5. The second aspect of the matter is that it has been held by a three-Judge Bench of this Court in *Dinesh Chandra Sangma v. State of Assam* [(1977) 4 SCC 441 : 1978 SCC (L&S) 7] , which has dealt with a *pari materia* provision finding place in Rule 56(c) of the Fundamental Rules, that where the government servant seeks premature retirement the same does not require any acceptance and comes into effect on the completion of the notice period. This decision was followed by another three-Judge Bench in *B.J. Shelat v. State of Gujarat* [(1978) 2 SCC 202 : 1978

UCO Bank & Ors. v. SK Shrivastava

SCC (L&S) 208].

6. The period of notice in the present case having expired on 21-10-1985, and the first order of removal having been passed on 4-11-1985, we hold that the Tribunal had rightly come to the conclusion that the order of removal was non est in the eye of law.”

25. In another case of **S.K. Singhal** (Supra), this Court was having an occasion to consider the *pari materia* provision of Punjab Civil Services Rules wherein the rule contemplates about “notice to retire” and “not a request seeking permission to retire”. In the said case, this Court has relied upon the above referred three judgments and held as thus: -

“13. Thus, from the aforesaid three decisions it is clear that if the right to voluntarily retire is conferred in absolute terms as in *Dinesh Chandra Sangma* case [(1977) 4 SCC 441 : 1978 SCC (L&S) 7] by the relevant rules and there is no provision in the rules to withhold permission in certain contingencies the voluntary retirement comes into effect automatically on the expiry of the period specified in the notice. If, however, as in *B.J. Shelat* case [(1978) 2 SCC 202 : 1978 SCC (L&S) 208] and as in *Sayed Muzaffar Mir* case [1995 Supp (1) SCC 76 : 1995 SCC (L&S) 256] **the authority concerned is empowered to withhold permission to retire if certain conditions exist, viz., in case the employee is under suspension or in case a departmental enquiry is pending or is contemplated, the mere pendency of the suspension or departmental enquiry or its contemplation does not result in the notice for voluntary retirement not coming into effect on the expiry of the period specified. What is further needed is that the authority concerned must pass a positive order withholding permission to retire and must also communicate the same to the employee as stated in B.J. Shelat case [(1978) 2 SCC 202 : 1978 SCC (L&S) 208] and in Sayed Muzaffar Mir case [1995 Supp (1) SCC 76 : 1995 SCC (L&S) 256] before the expiry of the notice period.** Consequently, there is no requirement of an order of acceptance of the notice to be communicated to the employee nor can it be said that

Supreme Court Reports

non-communication of acceptance should be treated as amounting to withholding of permission."

14. Before referring to the second category of cases where the rules require a positive acceptance of the notice of voluntary retirement and communication thereof, it is necessary to refer to the decision of this Court in *Baljit Singh (Dr) v. State of Haryana* [(1997) 1 SCC 754 : 1997 SCC (L&S) 313] strongly relied upon by the learned counsel for the Appellants and to *Power Finance Corpn. Ltd. v. Pramod Kumar Bhatia* [(1997) 4 SCC 280 : 1997 SCC (L&S) 941]. The former case arose under Rule 5.32(B) of the Punjab Civil Services Rules. That rule extracted earlier contains an express provision in the proviso to sub-rule (2) that the retirement takes effect automatically if refusal is not communicated within 3 months. In that case, when the employee gave notice for voluntary retirement on 20-9-1993, criminal cases were pending against him. After expiry of 3 months, on 25-2-1994, the competent authority declined to accept the notice. A two-Judge Bench of this Court, however, held that the voluntary retirement did not come about automatically on the expiry of the notice period but that it could take effect only upon acceptance of the notice by the Government and that the acceptance must also be communicated and till then the jural relationship of master and servant continues. This Court referred only to the decision of the two-Judge Bench in *Sayed Muzaffar Mir* case [1995 Supp (1) SCC 76 : 1995 SCC (L&S) 256] and stated that that case was to be confined to its own facts. **The two-Judge Bench of this Court in *Baljit Singh* case [(1997) 1 SCC 754 : 1997 SCC (L&S) 313] did not notice that there were two three-Judge Bench cases in *Dinesh Chandra Sangma* [(1977) 4 SCC 441 : 1978 SCC (L&S) 7] and *Shelat* [(1978) 2 SCC 202 : 1978 SCC (L&S) 208] taking the view under similar rules that a positive order was to be passed within the notice period withholding permission to retire and that the said order was also to be communicated to the employee during the said period. By stating that an order of acceptance of the notice was necessary and that the**

UCO Bank & Ors. v. SK Shrivastava

said acceptance must be communicated to the employee and till that was done the jural relationship continued and there was no automatic snapping thereof on the expiry of 3 months' period, the two-Judge Bench, in our view, has gone contrary to the two three-Judge Bench cases which were not brought to its notice. In the above circumstances, we follow the two three-Judge Bench cases for deciding the case before us."

26. After taking clue from the above judgments, if we look into the language of Regulation 29(2) of the Pension Regulation which deals with the voluntary retirement, acceptance of the notice by the appointing authority is subject to compliance of proviso, whereby refusal to let the employee retire voluntarily ought to be ordered before expiry of the notice period, and communicate, otherwise, in terms of proviso to Regulation 29(2), voluntary retirement shall be deemed to be effective on lapse of the notice period. Therefore, a positive act of passing an order of refusal is required to be undertaken by the appointing authority.
27. In the judgment of **Tek Chand** (Supra) decided by another Three-Judge Bench, this Court has considered all the above referred judgments and in the context of the language used in the proviso to sub-rule (2) of Rule 48-A of the Central Services Pension Rules, 1972 dealing with the voluntary retirement, the Court in paragraphs 33 and 35, held as thus: -

"33. It is clear from sub-rule (2) of the Rule that the appointing authority is required to accept the notice of voluntary retirement given under sub-rule (1). It is open to the appointing authority to refuse also, on whatever grounds available to it, but such refusal has to be before the expiry of the period specified in the notice. The proviso to sub-rule (2) is clear and certain in its terms. If the appointing authority does not refuse to grant the permission for retirement before the expiry of the period specified in the said notice, the retirement sought for becomes effective from the date of expiry of the said period. In this case, admittedly, the appointing authority did not refuse to grant the permission for retirement to Nikka Ram before the expiry of the period specified in

Supreme Court Reports

*the notice dated 5-12-1994. The learned Senior Counsel for the Respondent argued that the acceptance of voluntary retirement by appointing authority in all cases is mandatory. In the absence of such express acceptance the government servant continues to be in service. In support of this submission, he drew our attention to Rule 56(k) of the Fundamental Rules. He also submitted that acceptance may be on a later date, that is, even after the expiry of the period specified in the notice and the retirement could be effective from the date specified in the notice. Since the proviso to sub-rule (2) of Rule 48-A is clear in itself and the said Rule 48-A is self-contained, in our opinion, it is unnecessary to look to other provisions, more so in the light of law laid down by this Court. **An argument that acceptance can be even long after the date of the expiry of the period specified in the notice and that the voluntary retirement may become effective from the date specified in the notice, will lead to anomalous situation.** Take a case, if an application for voluntary retirement is accepted few years later from the date specified in the notice and voluntary retirement becomes operative from the date of expiry of the notice period itself, what would be the position or status of such a government servant during the period from the date of expiry of the notice period up to the date of acceptance of the voluntary retirement by the appointing authority? One either continues in service or does not continue in service. It cannot be both that the voluntary retirement could be effective from the date of expiry of the period mentioned in the notice and still a government servant could continue in service till the voluntary retirement is accepted. The proviso to sub-rule (2) of Rule 48-A of the Rules does not admit such situation.*

*35. In our view, this judgment fully supports the contention urged on behalf of the Appellant in this regard. **In this judgment, it is observed that there are three categories of rules relating to seeking of voluntary retirement after notice. In the first category, voluntary retirement automatically comes into force on expiry of notice***

UCO Bank & Ors. v. SK Shrivastava

period. In the second category also, retirement comes into force unless an order is passed during notice period withholding permission to retire and in the third category voluntary retirement does not come into force unless permission to this effect is granted by the competent authority. In such a case, refusal of permission can be communicated even after the expiry of the notice period. It all depends upon the relevant rules. In the case decided, the relevant Rule required acceptance of notice by appointing authority and the proviso to the Rule further laid down that retirement shall come into force automatically if the appointing authority did not refuse permission during the notice period. Refusal was not communicated to the Respondent during the notice period and the Court held that voluntary retirement came into force on expiry of the notice period and subsequent order conveyed to him that he could not be deemed to have voluntarily retired had no effect. The present case is almost identical to the one decided by this Court in the aforesaid decision.”

28. In the above mentioned precedents, the *pari materia* provisions dealing with the contingency of voluntary retirement have been dealt with and it was made clear that subject to applicable law, the request if not refused within the period specified in the notice or withheld, the deemed approval of voluntary retirement would be effective on expiry of notice period.
29. There may be three contingencies for the employees with respect of retirement. *First* is on attaining the age of superannuation; *second* would be a situation of compulsory retirement in public interest and *third* is where an employee sought retirement voluntarily indicating his intention to cease the master-servant relationship. In the third contingency, subject to applicable regulations or rules, where an employee voluntarily ceases the employment and indicates his intention in the notice of voluntary retirement, until it is refused or withheld by an order within the notice period, the intention of the employee would become effective from the date as specified by him. Meaning thereby, if an employee voluntarily wishes to sever his relationship with employer, and by virtue of rule, the prescription is

Supreme Court Reports

not followed, i.e., requiring the authorities to indicate their intention to refuse the request, as per deemed approval clause, in our opinion, the request becomes effective ipso facto.

30. In the case at hand, the notice of three months indicating intention to retire voluntarily was given on 04.10.2010 and the period was supposed to expire on 04.01.2011, to which refusal was not ordered within the notice period. The non-approval communicated on 29.06.2011, after expiry of the notice period and cessation of work *vide* notice dated 14.05.2011 with effect from 16.05.2011, is of no avail to the bank.
31. Reverting to the arguments as advanced by the Appellant, relying upon Regulation 20(3)(ii) of Service Regulation, it sets forth an embargo upon an officer against *leaving or discontinuing or resigning* from service of bank without giving a notice in writing. The said provision is relevant, therefore, reproduced for ready reference as under: -

“20. Termination of Service. –

(1) **** **

(2) **** **

(3) (i) *An officer against whom disciplinary proceedings are pending shall not leave/discontinue or resign from his service in the bank without the prior approval in writing of competent authority and any notice or resignation given by such an officer before or during the disciplinary proceedings shall not take effect unless it is accepted by the Competent Authority.*

(ii) *Disciplinary proceedings shall deemed to be pending against any employee for the purpose of this regulation if he has been placed under suspension or any notice has been issued to him to show cause why disciplinary proceedings shall not be instituted against him and will be deemed to be pending until final orders are passed by the Competent Authority.*

(iii) *The officer against whom disciplinary proceedings have been initiated will cease to be in service on the date of superannuation but the disciplinary proceedings will*

UCO Bank & Ors. v. SK Shrivastava

continue as if he was in service until the proceedings are concluded and final order is passed in respect thereof. The concerned officer will not receive any pay and/or allowance after the date of superannuation. He will also not be entitled for the payment of retirement benefits till the proceedings are completed and final order is passed thereon except his own contributions to CPF.”

32. Upon reading, it is discernable that if disciplinary proceedings against an officer are pending and he wishes to leave/discontinue or resign, he may be permitted to do so by prior approval of the competent authority in writing. Such notice, if any, given by the officer before or during the disciplinary proceedings, shall not be given effect unless accepted by the competent authority. The pendency of the disciplinary proceedings would include suspension or issuance of a show-cause notice for institution of the disciplinary proceedings. Regulation 20(3)(iii) of the Service Regulation applies where the disciplinary proceedings were initiated prior to attaining the age of superannuation, and prescribes the recourse to the bank after attaining the age of superannuation, which is not of much relevance in the facts of this case.
33. The argument as advanced to apply Regulation 20(3)(i) and 20(3)(ii) of the Service Regulation may have some relevance as it imposes embargo upon an officer against ‘*leaving or discontinuing or resigning*’ from service without the prior approval of the authority if disciplinary proceedings are pending. It also provides what would mean by pendency of disciplinary proceedings. As discussed, Regulation 29 of Pension Regulation governs the voluntary retirement and its acceptance until refused by the appointing authority within notice period, otherwise it would become effective on lapse of the time specified in the notice.
34. Looking at the provision of Regulation 20(3)(i), (ii), (iii) of Service Regulations and Regulation 29(1) and (2) of the Pension Regulation, it ought to be read in tandem harmoniously. Regulation 20(3)(i) & (ii) of the Service Regulation deals with cessation of service and when it would not affect the pendency of disciplinary proceedings. It puts an embargo only in two specific contingencies, *first*, where the officer is placed under suspension, *second*, where a show-cause notice has been issued for institution of disciplinary proceedings. In

Supreme Court Reports

either of the situation, an officer would require prior approval of the competent authority. Indeed it is true that voluntary retirement is also a mode to '*leave or discontinue*' service, therefore to such extent, Regulation 20(3)(i) & (ii) may have relevance. Nonetheless, voluntary retirement is not a mere act of leaving or discontinuing, rather, a distinct right of an employee that is available on completion of the requisite number of years of service, etc. For exercising the option of voluntary retirement, Regulation 29 of the Pension Regulation is the main provision. Given the situation, without considering both provisions harmoniously, otherwise, this leads to an anomalous situation. We say so because as per intent of Regulation 20(3)(i) & (ii), the employee cannot leave without approval of the competent authority pending the disciplinary proceedings irrespective of the fact that he has tendered notice to that effect. However, on literal reading of proviso to Regulation 29(2) of Pension Regulation, the intent thereof seems to be otherwise i.e., unless refused by the competent authority within the period prescribed in the notice, the voluntary retirement shall become automatically effective. It is in this context provisions of both regulations ought to be harmoniously constructed.

35. Under Regulation 20(3)(i) & (ii) of Service Regulation, competent authority can retain the employee against whom disciplinary proceedings are pending, unless permitted. At the same time, Regulation 29(2) of the Pension Regulation requires acceptance of the notice of voluntary retirement by authority. Nonetheless, its proviso contemplates that the notice for voluntary retirement becomes effective unless positively refused by the competent authority. On said reading, the intent can be gathered that while drafting Regulation 29 of Pension Regulation, the intent of Regulation 20(3)(i) and (ii) of Service Regulation has been duly taken care of, albeit in a different language. While Regulation 20(3)(i) & (ii) of Service Regulation permits the authority to not grant 'approval' where disciplinary proceedings are pending; Regulation 29 of Pension Regulation also achieves the same effectively, through its proviso, by permitting the authority to 'refuse' voluntary retirement, but within the notice period. Therefore, essence and intent are the same subject to some restrictions. In this manner, said provisions are to be applied harmoniously.
36. Now reverting to the argument of issuance of the show cause notice dated 11.11.2010 is concerned, such notice must indicate the intention

UCO Bank & Ors. v. SK Shrivastava

of institution of disciplinary proceedings, to trigger the embargo under Regulation 20(3)(ii) of the Service Regulation. For understanding the nature and context of the show-cause notice dated 11.11.2010, its relevant operative part is reproduced hereunder: -

“Due to above action M/s. Progressive Exim Ltd. is aggrieved on the Bank and the Bank’s image has suffered. Since money was withdrawn from Current account of M/s. Bhanu Road Carriers, which was not belonging to them, the Bank was out of fund for a period from 08/10/2008 to 02/06/2010.

*You are advised to submit your explanation within seven days from the receipt of this letter. **If no reply received from you it will be construed that you have nothing to say in the matter and further course of action will be taken against you.**”*

37. After reading the operative portion as above, it is clear, an explanation vis-à-vis allegations was sought from the officer and in absence of which, bank was to take further recourse. In our view, the aforesaid content of show cause notice, is not suggestive of the intention to institute disciplinary action. Mere mention of ‘*further course of action*’ cannot be construed as intention to institute disciplinary proceedings. Therefore, even said contention of the Appellant falls flat.
38. Insofar as reliance is placed on the judgments of **R.L. Capoor – I** (Supra) and its review in **R.L. Capoor – II** (Supra), it is necessary to understand its factual matrix. In the said case, the employee was working as a Branch Manager in UCO Bank and was allowed to superannuate on 1-11-1996. Prior to his retirement, only show-cause notices were issued to him on 24-10-1996 and 30-10-1996 in connection with alleged irregularities committed while sanctioning and disbursing loans under the PMRY Scheme. A charge-sheet was issued only on 13-11-1998, nearly two years after his superannuation, and upon conclusion of enquiry, the penalty of removal from service was imposed, which was also affirmed in appeal. The Respondent’s writ petition was allowed in part by the High Court, which converted the penalty into compulsory retirement, and the LPA preferred by the Bank was dismissed, taking the matter to this Court.
39. In the judgment of **R.L. Capoor – I** (Supra), this Court dismissed the

Supreme Court Reports

Bank's appeal and held the entire disciplinary proceeding is illegal and without jurisdiction on the ground that Regulation 20(3)(iii) of the Service Regulation could be invoked only when disciplinary proceedings had been initiated prior to superannuation, and since initiation of a proceeding is only upon issuance of a charge-sheet and not merely upon a show-cause notice, the legal fiction thereunder could not be attracted.

40. The Bank thereafter filed a Review Petition, giving rise to the judgment of ***R.L. Capoor – II*** (Supra), seeking to rely upon Regulation 20(3)(ii) of the Service Regulation. The review petition was dismissed and this Court held that the legal fiction of deemed pendency under Regulation 20(3)(ii) of the Service Regulation is of limited scope, operating only to prevent an officer from resigning during such proceedings, and cannot be extended to constitute initiation of disciplinary proceedings for purposes of Regulation 20(3)(iii).
41. In both of these cases, therefore, this Court primarily examined the scope and import of Regulations 20(3)(i), 20(3)(ii) and 20(3)(iii) of the Service Regulation, and elaborated upon the meaning of the legal fiction as created by the expression '*deemed to be pending*'. Therefore, both these judgements only dealt with a very specific issue i.e., applicability of legal fiction contained in Regulation 20(3)(ii) for the purpose of Regulation 20(3)(iii). As such, we find ourselves in agreement with the submission made by the learned *amicus* that ***R.L. Capoor - I*** (Supra) and ***R.L. Capoor – II*** (Supra) only deals with the contingency of Regulation 20(3)(iii) and do not apply on the facts of the present case.
42. The view taken in ***RL Capoor – I*** (Supra) and ***R.L. Capoor - II*** (Supra) has also been reiterated in the judgment of ***D.R.P. Sundharam*** (Supra) by a Three-Judge Bench of this Court. It is to observe here that in neither of these judgements the effect of the Regulation 29 of Pension Regulation has been considered. More so, all the judgments relate to the Regulation 20(3)(iii) of the Service Regulation without dealing with the purport of Regulation 20(3)(i) & (ii) of Service Regulation which is applicable to the facts of the case at hand. Judgements of this Court in ***State Bank of India & Ors. v. Navin Kumar Sinha***⁹ and ***UCO Bank & Ors. v. M.B.Motwani (Dead) thr.***

UCO Bank & Ors. v. SK Shrivastava

L.Rs and Ors*¹⁰**, dealt with the cases involving retirement on attaining the age of superannuation and the dispute was adjudicated in light of ***R.L.Capoor – I (Supra), ***R.L.Capoor – II*** (Supra) and ***D.R.P. Sudharam*** (Supra). As such, these judgements will not have any implication on the fact of the present appeals.

43. In light of the discussions made above and by applying the rule of harmonious construction with respect to the interplay of the said provisions of the Pension Regulation and the Service Regulation, the situation as emerges is that the officer submitted his notice of voluntary retirement on 04.10.2010, giving three months' notice as required, which would be effective till 04.01.2011. In the meantime, a show cause notice was issued by the Appellant on 11.11.2010 and as discussed, it would not indicate the intention to institute disciplinary proceedings in terms of Regulation 20(3)(ii) of the Service Regulation. Nonetheless, the existence of such a show cause notice itself is not sufficient without refusal by competent authority to stop the automatic operation of the notice of voluntary retirement. In absence, the notice of voluntary retirement would take its course. In the present case, no such order of refusal or order of withholding was passed by the competent authority within the stipulated period. The notice of voluntary retirement, therefore, became effective automatically by efflux of time upon the expiry of the three-month period on 04.01.2011. This Court, accordingly, finds no infirmity in the view taken by the High Court, which is liable to be upheld.
44. Before parting with this judgment, we deem it necessary to place on record our appreciation for the invaluable assistance rendered by learned Amicus Curiae Mr. Gaurav Agrawal, Senior Advocate by way of filing erudite submissions, therefore, we acknowledge his assistance and place the same on record.

CONCLUSION

45. In the light of discussion made hereinabove, in our view, while passing the impugned judgment, the High Court has not committed any infirmity. The judgment rendered by the High Court is after a thorough examination of facts and applicable regulations, therefore, the conclusion drawn as such is in right perspective. In our view, it

Supreme Court Reports

is correct to hold that when an employee decides to sever master servant relationship and serves a notice indicating such intention specifying the period, by operation of law it will become effective in absence of any order of refusal. The subsequent act of issuing chargesheet and consequential order of dismissal is also not justified in law. As directed by the High Court, the Respondent shall be entitled to all consequential post-retiral benefits in terms of this order as well. The Bank is directed to settle all the dues within a period of three months along with applicable interest rate. Accordingly, the appeals filed by the Appellant-Bank fail and are, hereby, dismissed.

46. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeals dismissed.

[†]Headnotes prepared by: Divya Pandey

Hem Raj
v.
The State of Himachal Pradesh
(Criminal Appeal No. 1833 of 2026)

08 April 2026

[Prashant Kumar Mishra and N.V. Anjaria,* JJ.]

Issue for Consideration

(i) What is contended by the appellant is that punishment imposed u/s.20 of the Narcotic Drugs and Psychotropic Substances Act, 1985 on the appellant would take care of the punishment for the conviction u/s.25 and s.29 of the Act, which according to the appellant, are only part of substantive offence. Given the legislative mandate, whether the said contention has to be negated; (ii) Whether the fine imposed separately as part of the punishment of two offences would be liable to be treated concurrent along with the sentences of imprisonment.

Headnotes[†]

Narcotic Drugs and Psychotropic Substances Act, 1985 – ss.20(b)(ii)(c), 25, 29 – Prosecution case that a blue coloured carry bag containing charas of the quantity of 4 kgs.100 gms was found in possession of two accused persons including appellant herein – Both the accused including the appellant came to be convicted for commission of offence punishable u/ss.20(b)(ii)(C) and 25 r/w. s.29 of NDPS Act – Special Judge by the order dated 16.11.2019 sentenced both the convicts to undergo rigorous imprisonment for a period of 12 years each and to pay fine of Rs.1,20,000/- each and in default of payment of the amount of fine, to undergo rigorous imprisonment for a period of one year each for the commission of offence punishable u/s.20(b)(ii)(C) of the NDPS Act – In respect of offence punishable u/s.25 r/w. s.29 of the NDPS Act, the appellant and the co-convict were sentenced to undergo rigorous imprisonment for a period of 12 years each and to pay fine of Rs.1,20,000/- each and in default of payment of fine, to undergo rigorous imprisonment of further period of one

* Author

Supreme Court Reports

year each – It was directed that both the sentences shall run concurrently – What is contended is that punishment imposed u/s.20 on the appellant would take care of the punishment for the conviction u/s.25 and s.29 of the Act, which according to the appellant, are only part of substantive offence – Correctness:

Held: Reading ss.15 to 19, 21 to 24, 25A, 27 as well as s.20 which is relevant to the present case, it would be noticed that all these sections prescribed punishment and sentence separately for the offence related to contraband mentioned therein – s.25 however says that a person who is found to be owner or occupier or having the control or use of any house, room, enclosure, space, place, animal or conveyance, is found to be knowingly permitting it to be used for the commission by any other person of an offence punishable under any provision of this Act shall be punishable with “the punishment provided for that offence” – Similar phraseology is employed in respect of punishment in s.29 which says that a person found guilty of abetment and criminal conspiracy to commit an offence under Chapter IV “be punishable with the punishment provided for the offence”, notwithstanding anything contained in s.116 of the IPC – Various sections in Chapter IV of the Act relate to different independent offences pertaining to the contraband – s.25 and s.29, which are part of the group of sections, also speak of the offences – Allowing premises etc. to be used for commission of an offence is conceived by the legislature to be a separate offence and engrafted in the Act accordingly as an independent offence u/s.25 – Criminal conspiracy, which is an independent offence, is so incorporated in s.29 of the NDPS Act – Given the legislative mandate, the contention has to be negated that no separate punishment and sentence is contemplated in respect of s.25 and s.29 of the Act – When the offence u/s.25 is entirely possible to be committed separately as an independent offence to remain distinct in itself, and when the offences of abetment and criminal conspiracy mentioned in s.29 are in themselves independent offences, it is entirely logical to deduce and conclude that commission of these offences once established, would attract separate punishment and sentence – It may happen in large number of cases that offences u/ss.25 and 29, as the case may be, take place along with the other substantive offences mentioned in Chapter IV, in course of the same transaction – The two offences may be part of an inclusive transaction – In other words, though separately punishable, the

Hem Raj v. The State of Himachal Pradesh

offences u/ss.25 and 29 could be parasitic and derivative – The conviction is possible for two offences which may be inclusive or interdependent arising out of same course of action or the transaction – Even while imposing separate punishment for such different offences, it would be the rule of wisdom to be followed by the court that in such cases, the sentence is made to run concurrently. [Paras 5.3, 5.6, 5.8.2, 6, 7.2, 8, 8.1]

Narcotic Drugs and Psychotropic Substances Act, 1985 – ss.20(b)(ii)(c), 25, 29 – Penal Code, 1860 – s.53 – Appellant submitted that due to his poor condition, he is not in a position to pay the fine – Whether the fine imposed separately as part of the punishment of two offences would be liable to be treated concurrent along with the sentences of imprisonment:

Held: In the present case, the appellant is sentenced by the High Court to undergo 10 years rigorous imprisonment, and to pay fine of ₹1,20,000/- and in default to undergo further rigorous imprisonment for one year – This is a default imprisonment – What it implies is that although the default imprisonment clause is taken out of the concept of sentence and is treated as penalty for not observing sentence of fine, the amount of fine imposed required to be paid by the convict is a sentence and has to be treated as part of sentence – s.53, IPC mentioned above also includes fine as a punishment to be part of sentence – In that view when the sentence is directed to run concurrently, the appellant cannot be made to pay fine twice – It is not in dispute that the appellant has undergone total 11 years of imprisonment till January 2026, which includes the default imprisonment – Since the appellant has suffered the default imprisonment also and that he is not required to pay double amount of fine, he is entitled to be released from the jail. [Paras 9.2, 9.3, 10]

Case Law Cited

Shahejadjkhan Maheubkhan Pathan v. State of Gujarat [2012] 8 SCR 1177 : (2013) 1 SCC 570; *Shantilal v. State of M.P.* [2007] 10 SCR 727 : (2007) 11 SCC 243; *Gurdev Singh v. State of Punjab* [2021] 4 SCR 439 : (2021) 6 SCC 558; *Gurdeep Singh v. State of Punjab* (2025) SCC OnLine SC 1669; *State (NCT of Delhi) v. Navjot Sandhu* [2005] Supp. 2 SCR 79 : (2005) 11 SCC 600; *Noor Mohammad Mohd. Yusuf Momin v. State of Maharashtra* [1971] 1 SCR 119 : (1970) 1 SCC 696 – referred to.

Supreme Court Reports

List of Acts

Penal Code, 1860; Code of Criminal Procedure, 1973; Narcotic Drugs and Psychotropic Substances Act, 1985.

List of Keywords

Section 20(b)(ii)(C), NDPS Act; Section 25, NDPS Act; Section 29, NDPS Act; Same Transaction; Concurrent Sentences; Double Punishment; Doctrine of Reference; Default Imprisonment; Commercial Quantity; Independent Offenses; No Double Fine; Penalty; Sentence.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 1833 of 2026

From the Judgment and Order dated 05.12.2023 of the High Court of Himachal Pradesh at Shimla in CRA No. 93 of 2020.

Appearances for Parties

Advs. for the Appellant(s):

Ajay Marwah, Swaroop Anad Mishra, Mrigank Bhardwaj, Ms. Dhriti Sharma, Rahul Kumar.

Advs. for the Respondent(s):

D K Thakur, Rohit Kumar, Bimlesh Kumar Singh.

Judgment / Order of the Supreme Court

Judgment

N.V. Anjaria, J.

Leave granted.

2. The present appeal is directed against common judgment and order dated 05.12.2023 passed by the High Court of Himachal Pradesh in Criminal Appeal No. 93 of 2020 and Criminal Appeal No. 230 of 2020, in so far as the decision relates to Criminal Appeal No. 93 of 2020, which was the appeal preferred by the appellant herein.
 - 2.1. The High Court partly allowed the appeal by modifying the sentence part of the judgment of learned Special Judge by

Hem Raj v. The State of Himachal Pradesh

reducing the substantive sentence of the appellant to 10 years of rigorous imprisonment from 12 years of rigorous imprisonment, separately imposed for the offences under Section 20(b)(ii)(C) and also under Sections 25 and 29 of the Narcotic Drugs and Psychotropic Substances Act, 1985¹. Rest of the sentence awarded by the Special Judge remained unaffected.

2.2. The Court of learned Special Judge, Chamba Division, Chamba (H.P.) decided Sessions Trial No. 8 of 2015 (NDPS Act) by its judgment dated 07.11.2019 against the present appellant Hem Raj, son of Shri Devi Singh and co-accused Kulwant, son of Shri Bhagwant. Both the accused including the appellant herein came to be convicted for commission of offence punishable under Sections 20(b)(ii)(C) and 25 read with Section 29 of NDPS Act.

2.2.1. After hearing the convicts on the quantum of sentence, learned Special Judge by the order dated 16.11.2019 sentenced both the convicts to undergo rigorous imprisonment for a period of 12 years each and to pay fine of Rs. 1,20,000/- each and in default of payment of the amount of fine, to undergo rigorous imprisonment for a period of one year each for the commission of offence punishable under Section 20(b)(ii)(C) of the NDPS Act.

2.2.2. In respect of offence punishable under Section 25 read with Section 29 of the NDPS Act, the appellant and the co-convict were sentenced to undergo rigorous imprisonment for a period of 12 years each and to pay a fine of Rs. 1,20,000/- each and in default of payment of fine, to undergo rigorous imprisonment of further period of one year each.

2.2.3. It was directed that both the sentences shall run concurrently. In the appeal preferred by appellant Hem Raj before the High Court as stated above, the sentence came to be reduced to 10 years from 12 years of rigorous imprisonment. The remainder part of the sentence stood confirmed as awarded by learned Special Judge.

1 Hereinafter, "NDPS Act".

Supreme Court Reports

- 2.3. As noted by this Court in order dated 28.11.2025, the assail to the judgment and order of the High Court in this appeal is on two grounds. Firstly, that the appellant could not have been convicted separately for offence punishable under Section 20(b)(ii)(C) on one hand and Sections 25 and 29 of the NDPS Act on the other. Second ground has been that the fine sentence could not have been imposed separately for both the offences and that since the sentences were ordered to run concurrently, the appellant is not required to pay the double amount of fine.
3. Noticing the facts, on 22.12.2014, the police squad was exercising *Nakabandi* duty at Tunnuhatti Police Barrier in wee hours. At around 3.50 a.m., while checking the vehicles, a grey coloured Esteem car bearing registration No. PB-65A-9377 was seen coming from the side of Banikhet. The police party stopped the car for checking. The driver revealed his name to be Kulwant Singh who was also the registered owner of the car, and the appellant Hem Raj sitting on the front seat, were the two occupying the car. When driver Kulwant Singh opened the window glass, the smell of cannabis spread out.
- 3.1. Upon search of the said two persons and the vehicle, a blue coloured carry bag having transparent polythene packets containing black hard substance was found kept below the leg space of the front seat occupied by the appellant herein. The said blue coloured bag had in it eight transparent polythene packets containing black substance in round and stick shape. When it was checked with the drugs detection kit, the same was found to be *charas* of the quantity of 4 kgs.100 gms.
- 3.2. After undertaking the necessary procedure both the accused were nabbed and were charged with the offence punishable under Sections 20(b)(ii)(C) and 25 read with Section 29 of the NDPS Act in the chargesheet filed on 14.08.2015.
4. Learned Counsel for the appellant Mr. Ajay Marwah while not challenging the conviction, highlighting the limited yet substantial challenge to the sentence imposed, submitted that the courts below were not justified in imposing separate punishments for the offences under Section 20 as well as under Section 25 read with Section 29 of the NDPS Act, despite the fact that both the convictions arose from one indivisible transaction. Learned counsel took the court through Sections 20, 25 and 29 of the Act to pinpoint that no

Hem Raj v. The State of Himachal Pradesh

separate punishment was provided under Section 25 and Section 29 of the Act.

4.1. It was additionally submitted that as borne out from chargesheet, the registered owner of the vehicle was co-accused Kulwant Singh and not the appellant herein, therefore, it was submitted, in absence of ownership, the 'occupation' and 'control' over the vehicle was not of the appellant and that he could not have "knowingly permitted its use". On such basis it was sought to be submitted that the very foundation of invoking Section 25 of the Act against the appellant was lacking and that the appellant could not have been convicted under Section 25.

4.1.1. It was next submitted without prejudice that even if the appellant could be booked for the offence under Sections 25 and 29, the said provision does not prescribe an independent punishment or sentence. According to the learned counsel for the appellant, the offences contemplated under these Sections are merely in the nature of extension of the main offence in the nature of commission of supplemented act creating vicarious liability with the principal offence, which was under Section 20(b)(ii)(C) of the Act. It was submitted that the sentence awarded to the appellant amounted to double punishment which is prohibited under Section 71 of the Indian Penal Code, 1860² as well.

4.1.2. It was the next submission on behalf of the appellant that when the sentences for the said offences were directed to run concurrently, the entire punishment including the fine should have a concurrent operation. In this regard it was submitted that 'punishments' under Section 53, IPC includes both imprisonment and fine, therefore, treating imprisonment to be concurrent but treating the fine as cumulative would be illogical and would not be permissible.

4.1.3. Learned counsel for the appellant submitted that due to poor condition, the appellant is not in a position to

2 Hereinafter, "IPC".

Supreme Court Reports

pay the fine. It was submitted that till January 2026, the appellant has already suffered incarceration for about 11 years including the remission, as indicated in the custody certificate.

- 4.2. On the other hand, learned counsel for the respondent State Mr. Bimlesh Kumar Singh refuted the arguments advanced on behalf of the appellant to submit that FIR No. 140 of 2014 dated 22.12.2014 was registered against the appellant and the co-convict which was for the offences punishable under Sections 20, 25 and 29 of the NDPS Act for possessing, transporting and commissioning the crime with criminal conspiracy, to have in the car below the front driver seat 4 kgs and 100 gms of *Charas* and that both the persons came to be convicted for the said offence, the appellant having not challenged the said conviction.
- 4.2.1. It was submitted that the High Court considering the aspect that appellant had already undergone 9 years of imprisonment and further that there was no complaint in the jail conduct of the appellant, the substantive sentence came to be reduced to 10 years from 12 years for the offences committed under Section 20 as well as 25 and 29 of the Act.
- 4.2.2. Learned counsel for the respondent further submitted that the sentence prescribed under Section 20(b)(ii)(C) is of rigorous imprisonment of not less than 10 years which may extend to 20 years and fine to be not less than Rs. 1 lakh extendable to Rs. 2 lakh. It was highlighted that the commercial quantity of *Charas* was found to be in possession of the accused persons which was proved in the trial leading to conviction under Section 20(b)(ii)(C) of the Act. The car was used for transportation of narcotics, submitted learned counsel for the respondent, the offence attracted Section 25 read with Section 29, which provisions prescribed for awarding same sentence as of the main offence.
- 4.2.3. It was emphasised that the appellant was “occupier” of the car from whom the contraband was found and recovered and both acted in criminal conspiracy as held by the courts below. It was submitted that therefore the

Hem Raj v. The State of Himachal Pradesh

conviction and imposition of sentence under the said sections separately done is justified. Learned counsel for the respondent submitted that there is no error in imposition of separate fine amounts which is part of sentence.

- 4.2.4. Learned counsel for the respondent also submitted that the sentence awarded is in consonance with the provision of the Section 65 of the IPC which provides that the term for which the court may direct the offender to be in prison in default of payment of fine shall not exceed up to 1/4th of the term of imprisonment which is the imprisonment maximum fixed for the offence if the offence is punishable with imprisonment as well as with fine.
- 4.2.5. By relying on the decision of this Court in **Shahejadhkhan Mahebubkhan Pathan v. State of Gujarat**³, it was submitted by learned counsel for the respondent that the term of imprisonment in default of payment of fine is not a sentence, but it is a penalty which a person incurs on account of non-payment of fine. Same principle was sought to be highlighted from another decision of this Court in **Shantilal v. State of M.P.**⁴ It was submitted that the minimum sentence prescribed is 10 years of rigorous imprisonment, therefore no option is available but to impose such minimum sentence in the list, which is done by the High Court.
- 4.2.6. Learned counsel for the respondent proceeded to submit about deleterious impact of narcotic drugs and the activities in dealing with the narcotic drugs on the society and that how the menace of drug addiction has the tendency of destroying the life of an individual and the derailing the quality of the society to have the effect on the generations to come, by pressing into service the observation of this Court in **Gurdev Singh v. State of Punjab**⁵.

3 (2013) 1 SCC 570

4 (2007) 11 SCC 243

5 (2021) 6 SCC 558

Supreme Court Reports

5. In order to find an answer as to whether separate sentence for the offence under Section 20 on one hand and, on the other hand, for the offences committed under Sections 25 and 29 of the Act is permissible to be awarded and whether offences under Sections 25 and 29 could be considered as part of the main offence under Section 20, and therefore not attracting separate punishment and sentence, it is necessary to consider various provisions in Chapter IV of the NDPS Act 1985, titled as "Offences and Penalties". In different Sections, the punishment for contravention of different kinds of contrabands prohibited under the Act is considered.
 - 5.1. Section 15 of the Act is about punishment for contravention in relation to poppy straw, whereas punishment for contravention in relation to coca plant and coca leaves is dealt in Section 16. Punishment for contravention in relation to prepared opium in Section 17 whereas punishment for contravention in relation to opium poppy and opium is contemplated in Section 18.
 - 5.1.1. The measure of sentence in Sections 15, 17 and 18 is made dependent upon whether the quantity involved is small quantity or the quantity lesser than commercial but greater than small quantity or whether the contravention involves commercial quantity as the case may be. Section 16 as well as Section 19 provide for punishment for embezzlement of opium by cultivator. In the provisions from Section 15 onwards, the specific punishment of the term of imprisonment, is expressly provided for.
 - 5.1.2. Similar is the punishment for contravention in relation to manufactured drugs and preparations under Section 21, wherein also the specific punishment is provided for, depending upon the quantity of the contraband involved. Provision of Section 22 is in respect of punishment for contravention in relation to psychotropic substances whereas Section 23 is for punishment for illegal import into India, export from India, or transshipments of narcotic drugs and psychotropic substances. Section 24 is about punishment for external dealings in narcotic drugs and psychotropic substances in contravention of Section 20. For the offences under these sections also, punishment is expressly and specifically provided.

Hem Raj v. The State of Himachal Pradesh

- 5.2. In the present case, the commission of offence under Section 20(b)(ii)(C) is established against the appellant convict. Section 20 which is in respect for punishment for contravention in relation to cannabis plant and cannabis reads as under,

‘20. Punishment for contravention in relation to cannabis plant and cannabis.—Whoever, in contravention of any provision of this Act or any rule or order made or condition of licence granted thereunder,—

(a) cultivates any cannabis plant; or

(b) produces, manufactures, possesses, sells, purchases, transports, imports inter-State, exports inter-State or uses cannabis, shall be punishable,— (i) where such contravention relates to clause (a) with rigorous imprisonment for a term which may extend to ten years, and shall also be liable to fine which may extend to one lakh rupees; and

(ii) where such contravention relates to sub-clause (b),—

(A) and involves small quantity, with rigorous imprisonment for a term which may extend to one year, or with fine which may extend to ten thousand rupees, or with both;

(B) and involves quantity lesser than commercial quantity but greater than small quantity, with rigorous imprisonment for a term which may extend to ten years, and with fine which may extend to one lakh rupees;

(C) and involves commercial quantity, with rigorous imprisonment for a term which shall not be less than ten years but which may extend to twenty years and shall also be liable to fine which shall not be less than one lakh rupees but which may extend to two lakh rupees:

Provided that the court may, for reasons to be recorded in the judgment, impose a fine exceeding two lakh rupees.’

- 5.2.1. The conviction against the appellant is also recorded under Sections 25 and 29 of the Act. Section 25 relates

Supreme Court Reports

to the punishment for allowing premises, etc., to be used for commission of an offence. The said section is extracted hereinbelow,

‘25. Punishment for allowing premises, etc., to be used for commission of an offence.-Whoever, being the owner or occupier or having the control or use of any house, room, enclosure, space, place, animal or conveyance, knowingly permits it to be used for the commission by any other person of an offence punishable under any provision of this Act, shall be punishable with the punishment provided for that offence.’

- 5.2.2. Section 29 dealing with the punishment of abetment and criminal conspiracy, is reproduced hereinbelow,

‘29. Punishment for abetment and criminal conspiracy.—(1) Whoever abets, or is a party to a criminal conspiracy to commit, an offence punishable under this Chapter, shall, whether such offence be or be not committed in consequence of such abetment or in pursuance of such criminal conspiracy, and notwithstanding anything contained in section 116 of the Indian Penal Code (45 of 1860), be punishable with the punishment provided for the offence.

(2) A person abets, or is a party to a criminal conspiracy to commit, an offence, within the meaning of this section, who, in India, abets or is a party to the criminal conspiracy to the commission of any act in a place without and beyond India which—

(a) would constitute an offence if committed within India; or

(b) under the laws of such place, is an offence relating to narcotic drugs or psychotropic substances having all the legal conditions required to constitute it such an offence the

Hem Raj v. The State of Himachal Pradesh

same as or analogous to the legal conditions required to constitute it an offence punishable under this Chapter, if committed within India.’

- 5.3. Reading Sections 15 to 19, 21 to 24, 25A, 27 as well as Section 20 which is relevant to the present case, it would be noticed that all these sections prescribed punishment and sentence separately for the offence related to contraband mentioned therein. Section 25 however says that a person who is found to be owner or occupier or having the control or use of any house, room, enclosure, space, place, animal or conveyance, is found to be knowingly permitting it to be used for the commission by any other person of an offence punishable under any provision of this Act shall be punishable with “the punishment provided for that offence”. Similar phraseology is employed in respect of punishment in Section 29 which says that a person found guilty of abetment and criminal conspiracy to commit an offence under Chapter IV “be punishable with the punishment provided for the offence”, notwithstanding anything contained in Section 116 of the IPC.
- 5.4. The argument is sought to be founded on the variation of language in Section 20 (as also noticeable in other sections mentioned above) vis-a-vis Sections 25 and 29 that since Section 20 specifically provides for a particular punishment and Sections 25 and 29 only says that punishment for the said offences which may be imposed would be the same “as provided for that offence”, the conviction under Sections 25 and 29 could not have attracted a separate and distinct punishment. What is contended is that punishment imposed under Section 20 on the appellant would take care of the punishment for the conviction under Section 25 and Section 29 of the Act, which according to learned counsel of the appellant, are only part of substantive offence.
- 5.5. The submission namely that the appellant could not have been held to have committed offence under Section 25 of the Act in as much as the appellant was only sitting in the front seat in the car belonging to the other person – the co-convict, therefore, could not have been said to have ‘knowingly permitted’ the car to be used for the commission of offence by that another person,

Supreme Court Reports

may be dealt with. The submission which looks attractive at the first blush, has no substance when Section 25 is read carefully.

- 5.5.1. The provision contains the words “occupier” as well as “use of any house, space, conveyance, etc. by person”. The appellant was an occupier of the car. In capacity of occupier the appellant could be said to have committed the crime under Section 25. Section 25 could be applied to operate in two ways. In any view, along with Section 25, conviction is also recorded under Section 29. The conviction is not challenged.
- 5.6. There exists an apparent fallacy in what is sought to be canvassed that separate sentence is not permissible to be awarded. Various sections in Chapter IV of the Act relate to different independent offences pertaining to the contraband. Section 25 and Section 29, which are part of the group of sections, also speak of the offences. Allowing premises etc. to be used for commission of an offence is conceived by the legislature to be a separate offence and engrafted in the Act accordingly as an independent offence under Section 25.
 - 5.6.1. In a given case, an offender may have permitted the other person to use the house, room, space, place, animal or conveyance etc. to facilitate the commission of any offence under the Act. This conduct would fall squarely within Section 25 to become a distinct and independent offence by that person who so permits the use of house, conveyance etc. for the purpose of committing an offence by the other person.
- 5.7. Looking at Section 29, it speaks of punishment for the offence of abetment and criminal conspiracy. An abetment of a thing is an independent offence mentioned in the IPC. Section 116, IPC mentions about the abetment of offence punishable with imprisonment - if offence be or be not committed.
 - 5.7.1. Section 116, IPC is relevant to be noticed as under,

‘116. Abetment of offence punishable with imprisonment—if offence be not committed.— Whoever abets an offence punishable with imprisonment shall, if that

Hem Raj v. The State of Himachal Pradesh

offence be not committed in consequence of the abetment, and no express provision is made by this Code for the punishment of such abetment, be punished with imprisonment of any description provided for that offence for a term which may extend to one-fourth part of the longest term provided for that offence; or with such fine as is provided for that offence, or with both; if abettor or person abetted be a public servant whose duty it is to prevent offence.— and if the abettor or the person abetted is a public servant, whose duty it is to prevent the commission of such offence, the abettor shall be punished with imprisonment of any description provided for that offence, for a term which may extend to one-half of the longest term provided for that offence, or with such fine as is provided for the offence, or with both.’

5.7.2. Now, Section 29 says that “notwithstanding anything contained in Section 116 of the IPC, be punishable with the punishment provided for the offence”. What it contemplates is that whoever abets the offence under the NDPS Act in Chapter IV shall be punished for the ‘punishment provided for the offence’. In other words, the fetter and limitation about the term of imprisonment mentioned in Section 116 IPC, is done away with in relation to offence of abetment under Section 29 of the NDPS Act.

5.8. The offence of criminal conspiracy which is inherently covert and rarely leaves behind direct traces and whose existence could be inferred from the surrounding facts and circumstances, where any overt commission of act not always present, is seldom capable to be proved by direct evidence. Section 120B, IPC is the punishment for the offence of criminal conspiracy.

5.8.1. It is well settled that conspiracy is an independent offence. In **Gurdeep Singh v. State of Punjab**⁶, this

Supreme Court Reports

Court referred to its earlier decision in **State (NCT of Delhi) v. Navjot Sandhu**⁷, as also in **Noor Mohammad Mohd. Yusuf Momin v. State of Maharashtra**⁸, to underline that conspiracy is an independent offence and may be punishable even if the substantive offence committed by the conspirators does not ultimately materialise.

- 5.8.2. It was held in **Noor Mohammad** (supra) that Section 120B, IPC makes criminal conspiracy a substantive offence which postulates an agreement between two or more persons to do or cause to be done an act by illegal means. Thus, criminal conspiracy, which is an independent offence, is so incorporated in Section 29 of the NDPS Act.
6. When the offence under Section 25 is entirely possible to be committed separately as an independent offence to remain distinct in itself, and when the offences of abetment and criminal conspiracy mentioned in Section 29 are in themselves independent offences, it is entirely logical to deduce and conclude that commission of these offences once established, would attract separate punishment and sentence.
 - 6.1. It would not be right to say that when Section 25 and Section 29 mention the punishment for allowing premises to be used for the offence or for abetment and criminal conspiracy in the commission of an offence under the Chapter, and that punishment is not expressly mentioned, but what is mentioned is “punishment for that offence,” it would mean that the imposition of separate punishment is not contemplated. Both the Sections 25 and 29 mention that the commission of offence in question shall be punishable with the punishment provided for “that offence” or “the offence”.
7. Section 25 and Section 29 insofar as they provide that the punishment for the respective offences mentioned therein is same which would be for the principal offence, is an instance of legislation by reference. The legislature has referred to the punishment mentioned in the

⁷ (2005) 11 SCC 600

⁸ (1970) 1 SCC 696

Hem Raj v. The State of Himachal Pradesh

particular section to be referred to and applied for the purpose of punishment and sentence to be imposed under another section. Stating differently, the punishment provided for the offence under Section 20 of the Act is mentioned by way of reference under Section 25 and Section 29 to be read into it in a similar way to be applied for the imposition.

- 7.1. The doctrine of reference is a well-recognised tool of legislation. It is a process whereby the legislature refers to the provision of one statute in the provisions of the other statute to be read into the other statute. In that way, the provision in one statute becomes part of the provisions of the other statute in which it is referred to. Analogous is the doctrine of incorporation, which bears a fine distinction with the doctrine of reference where provision from one statute is bodily lifted to be incorporated to be part of provision in another enactment.
- 7.2. While the Court is not concerned in this case with the distinction, it would suffice to say that the provisions of Section 20, or as the case may be, vis-à-vis Sections 25 and 29 in the NDPS Act, when refers to the punishment under Section 20 conforming to the main offence, as the case may be, to be also the punishment under Section 25 and Section 29 of the Act, it also becomes legislation by incorporation, since provision in one section of the statute is made to be referred, to be read into, and to be applied in the provision of other sections of the same statute. Given this legislative mandate, the contention has to be negated that no separate punishment and sentence is contemplated in respect of Section 25 and Section 29 of the Act.
8. However, a riding clarification may be necessary. Even though punishment for the offences under Section 25 and Section 29 of the Act is separately contemplated and could be imposed independently and additionally, in a given case and in most of the cases these offences have a connect and an interaction with any of the main offences mentioned in Sections 15 to 19, 20 to 24 and others. It may happen in large number of cases that offences under Section 25 and 29, as the case may be, take place along with the other substantive offences mentioned in Chapter IV, in course of the same transaction. The two offences may be part of an inclusive transaction. In other words, though separately punishable, the offences under Sections 25 and 29 could be parasitic and derivative.

Supreme Court Reports

- 8.1. The conviction is possible for two offences which may be inclusive or interdependent arising out of same course of action or the transaction. However, since the offences committed for their kind and nature, would be distinct offences, would entail separate punishment. Therefore, even while imposing separate punishment for such different offences, it would be the rule of wisdom to be followed by the court that in such cases, the sentence is made to run concurrently. In the instant case, the sentences are ordered to run concurrently.
- 8.2. The punishment and sentence should not result in double jeopardy. One of the objects of concurrent running of the sentence is to avoid double punishment. This principle would readily apply when two separate punishments are awarded, and sentences are imposed for two offences relatable to one set of facts. It would call for applying concurrent sufferance of punishment.
9. This takes the Court to the second remaining question as to whether the fine imposed separately as part of the punishment of two offences would be liable to be treated concurrent along with the sentences of imprisonment.
 - 9.1. Section 53 IPC deals with the punishments. It says that punishments for which the offenders are liable under the provisions of this Code are death, imprisonment whether rigorous or simple, forfeiture of property and fine. Both imprisonment and fine are treated as punishments.
 - 9.2. In the present case, the appellant is sentenced by the High Court to undergo 10 years rigorous imprisonment, and to pay fine of ₹1,20,000/- and in default to undergo further rigorous imprisonment for one year. This is a default imprisonment. In **Shahejadjkhan Mahebubkhan Pathan v. State of Gujarat**⁹, this Court observed that the term of imprisonment in default of payment of fine is not a sentence it is a penalty which a person incurs on account of non-payment of fine. On the other hand, it was further observed, if sentence is imposed, an offender must undergo unless it is modified or varied in part or whole in the judicial proceedings.

Hem Raj v. The State of Himachal Pradesh

- 9.3. What it implies is that although the default imprisonment clause is taken out of the concept of sentence and is treated as penalty for not observing sentence of fine, the amount of fine imposed required to be paid by the convict is a sentence and has to be treated as part of sentence. Section 53, IPC mentioned above also includes fine as a punishment to be part of sentence. In that view when the sentence is directed to run concurrently, the appellant cannot be made to pay fine twice.
10. It is not in dispute that the appellant has undergone total 11 years of imprisonment till January 2026, which includes the default imprisonment. Since the appellant has suffered the default imprisonment also and that he is not required to pay double amount of fine, he is entitled to be released from the jail.
- 10.1. As a result, the appellant is directed to be set at liberty forthwith unless he is required to be detained in respect of any other offence.
11. The appeal is disposed of in the above terms and the direction. Interlocutory applications, as may have been pending, shall not survive.

Result of the case: Appeal disposed of.

[†]Headnotes prepared by: Ankit Gyan

**Maharashtra State Electricity Distribution
Company Limited (MSEDCL) & Ors.**

v.

R Z Malpani

(Civil Appeal No. 4307 of 2026)

09 April 2026

[J.K. Maheshwari* and Atul S. Chandurkar, JJ.]

Issue for Consideration

Whether, on a *prima facie* view, there exists an arbitration agreement between the parties and as such, whether the reference to arbitration u/s.11 by the High Court warrants interference by this Court.

Headnotes[†]

Arbitration and Conciliation Act, 1996 – s.7 – Arbitration Agreement – General reference in the letter of intent to an arbitration clause contained in the tender documents does not have the effect of ‘incorporation’ of the arbitration clause contained therein in the contract – High Court on application filed by the Respondent u/s.11, appointed a sole arbitrator to adjudicate upon the disputes between the parties – Respondent’s case is that the Letter of Intent (LOI) incorporated the arbitration agreement from the terms of the tender documents – It is the admitted case of the parties that pursuant to the LOI and in terms of the tender documents, neither any work order was issued to the Respondent nor any formal agreement was entered into between the parties – Appellant contended *inter alia* that even assuming that the LOI itself can be considered a source of binding legal relationship between the parties, the LOI made a general reference to the tender documents and such a general reference cannot have the effect of ‘incorporation’ of the arbitration clause contained therein, in light of s.7(5):

Held: Impugned order set aside – Arbitration clause contained in some document may be incorporated in the contract between the parties only by a specific reference to the arbitration clause – The

* Author

**Maharashtra State Electricity Distribution
Company Limited (Msedcl) & Ors. v. R Z Malpani**

intent of the parties to incorporate the arbitration clause has to be explicitly clear and a mere general 'reference' to the tender conditions would not suffice – Present is a case of 'reference' and not 'incorporation' – There is no mention of any arbitration or dispute resolution clause in the LOI itself, neither does it purport specific incorporation thereof from the tender documents – As such, the arbitration clause contained in the tender documents could not be said to have been incorporated in the LOI to evince the existence of an arbitration agreement between the parties on its conjoint reading with the tender documents – The scope of inquiry at the stage of s.11 is extremely limited and only pertains to an examination about *prima facie* existence of an arbitration agreement – Courts should follow the principle of 'When in doubt, do refer' and lean towards referring matters to arbitration when the arbitration agreement is *prima facie* existent – However, it is only in the rarest of rare cases where even on a *prima facie* view, without going into disputed facts between the parties, there appears to be no existence of arbitration agreement between the parties, the Court can reject the application for appointment of an arbitrator and reference of the parties to arbitration – The instant case is a fit case where even without going into the disputed facts and merely on a *prima facie* view of the matter, there is no existence of arbitration agreement – Moreover, LOI in the instant case was indicative of a preliminary document in course of the contract and was not intended to be an end-all-be-all contract between the parties, it did not create contractual obligations or legal relationship between them. [Paras 38, 39, 41, 42]

Letter of Intent (LOI) – Does not, in and of itself, create a legal relationship or contractual obligations until there is a clear, unambiguous final acceptance by parties – High Court *inter alia* found that the offer made by the Respondent in response to the Tender was accepted by the LOI which resulted in a duly concluded contract and; existence of arbitration agreement can be discerned from correspondence between the parties:

Held: Finding of the High Court that Appellant in its reply to the Respondent's arbitration notice 'did not question the formation of arbitration agreement on any ground other than the fact that the project did not proceed further' is *prima facie* erroneous and is set aside – Therefore, there is no admission of any concluded contract,

Supreme Court Reports

much less an arbitration agreement between the parties by the Appellant in its reply – Appellant throughout maintained that there was no concluded contract between the parties and as such, no reference to arbitration can be made u/cl.23 of Special Conditions of Contract contained in the tender documents merely because of a general reference to the tender documents in the LOI – Further, a letter of intent does not, in and of itself, create a legal relationship or contractual obligations until there is a clear, unambiguous final acceptance by the parties – When the intent of the parties can be evinced from the letter of intent or the tender specifications and it is clear that the letter of intent is to be followed by a final award or a concluded agreement, it cannot be said that the letter of intent itself binds the parties to the terms of the tender – Contractual obligations cannot be foisted upon a party without a clear indication of its intent to enter into a binding concluded contract – LOI in the facts of the instant case was a promise to make a promise and not a promise itself and no agreement had concluded between the parties – It contemplated a work order to be issued at a subsequent stage – Neither the specifications of the tender documents, nor the LOI provides that the LOI itself would result in a concluded contract – The intent behind the LOI is explicitly clarified as merely to ensure that preliminaries are complied with so that the work may begin upon issuance of a work order – From a holistic reading of the tender documents, the LOI and other subsequent communication between the parties, the LOI does not evince the commercial intention of the Appellant to create a binding legal relationship, it informs the Respondent that the work was entrusted to them upon opening of bids and lays down preliminary conditions to be fulfilled in contemplation of a future work order and agreement in order to ensure that prior to the work order being issued, everything is set in place and the work may begin at once upon such issuance – On facts, LOI did not have the effect of creating a binding legal relationship between the parties – Arbitration and Conciliation Act, 1996. [Paras 29, 31, 33-36]

Words and Phrases – “Tender” – “Letter of Intent”:

Held: Letter of Intent is an expression of one party’s intent to enter into a contract with the other party in the forthcoming future – When the intent of the parties can be evinced from the letter of intent or the tender specifications and it is clear that the letter of intent is to

**Maharashtra State Electricity Distribution
Company Limited (Msedcl) & Ors. v. R Z Malpani**

be followed by a final award or a concluded agreement, it cannot be said that the letter of intent itself binds the parties to the terms of the tender – Contractual obligations cannot be foisted upon a party without a clear indication of its intent to enter into a binding concluded contract – Therefore, what needs to be distinguished is whether the intent of the parties is to make a ‘promise’ or a ‘promise to make a promise’ – A tender is essentially in the nature of an ‘invitation to offer’ and submission of a bid by the tenderer is an ‘offer’ – By means of a letter of intent, however, it must be examined by the Court whether the party extending the letter of intent is in consensus *ad idem* with the other party and intends to create a conclusive and binding agreement. [Para 31]

Arbitration and Conciliation Act, 1996 – Scope of examination at the stage of s.11 proceedings – Discussed.

Case Law Cited

State of Himachal Pradesh and Anr. v. OASYS Cybernetics Pvt. Ltd., **2025 INSC 1355 : 2025 SCC OnLine SC 2536**; *South Eastern Coalfields Limited and Ors. v. S. Kumar’s Associates AKM (JV)* **[2021] 8 SCR 8 : (2021) 9 SCC 166**; *NBCC (India) Ltd. v. Zillion Infraprojects Pvt. Ltd.* **[2024] 3 SCR 812 : (2024) 7 SCC 174**; *Office for Alternative Architecture v. Ircon Infrastructure and Services Ltd.* **[2025] 6 SCR 395 : 2025 SCC OnLine SC 1098**; *Maharshi Dayanand University v. Anand Coop. L/C Society Ltd.* **[2006] Supp. 8 SCR 105 : (2007) 5 SCC 295**; *UNISSI (India) (P) Ltd. v. Post Graduate Institute of Medical Education and Research* **[2008] 14 SCR 108 : 2025 SCC OnLine SC 1815 : (2009) 1 SCC 107**; *Vidya Drolia & Ors. v. Durga Trading Corporation* **[2020] 11 SCR 1001 : (2021) 2 SCC 1**; *NTPC Ltd. v. SPML Infra Ltd.* **[2023] 2 SCR 846 : (2023) 9 SCC 385**; *SBI General Insurance Co. Ltd. v. Krish Spg.* **[2024] 7 SCR 840 : (2024) 12 SCC 1**; *Interplay Between Arbitration Agreements under Arbitration Act, 1996 & Stamp Act, 1899, In re.* **[2023] 15 SCR 1081 : (2024) 6 SCC 1**; *Govind Rubber Ltd. v. Louis Dreyfus Commodities Asia (P) Ltd.* **[2014] 12 SCR 488 : (2015) 13 SCC 477**; *M.R. Engineers & Contractors (P) Ltd. v. Som Datt Builders Ltd.* **[2009] 10 SCR 373 : (2009) 7 SCC 696**; *Inox Wind Ltd. v. Thermocables Ltd.* **[2018] 1 SCR 86 : (2018) 2 SCC 519 – referred to.**

Glencore International AG v. Shree Ganesh Metals, **2025 SCC OnLine SC 1815 – held not applicable.**

Supreme Court Reports

List of Acts

Arbitration and Conciliation Act, 1996.

List of Keywords

General reference in letter of intent to an arbitration clause contained in tender documents not sufficient for its incorporation in the contract; No arbitration agreement between parties; No existence of arbitration agreement; Arbitration clause contained in Tender documents not incorporated in Letter of Intent (LOI); 'reference'; 'incorporation'; Incorporation of arbitration clauses contained in tender documents by means of reference in letter of intent; No admission of any concluded contract; Letter of intent; LOI did not create a binding legal relationship between parties; No concluded contract between parties; No reference to arbitration can be made; Special Conditions of Contract in Tender documents; Tender documents along with LOI not sufficient to form a valid contract or arbitration agreement; No work order issued; Scope of inquiry at the stage of Section 11, Arbitration and Conciliation Act, 1996; Examination about prima facie existence of an arbitration agreement; No mention of any arbitration or dispute resolution clause in LOI.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 4307 of 2026

From the Judgment and Order dated 01.10.2025 of the High Court of Judicature at Bombay in ARBA(L) No. 1417 of 2025.

Appearances for Parties

Advs. for the Appellant(s):

Vikas Singh, Sr. Adv., Samir Malik, Tushar Mathur, Mahip Singh Sikarwar, Ms. Snehal Kaila, Ms. Yachana Gupta, Ms. Deepeika Kalia, Deepanshu Shakargaye, Sudeep Chandra, Ms. Khushi, Samir Malik.

Advs. for the Respondent(s):

Abhijit A. Desai, Satyajit A. Desai, Parth Johari, Parth Kumar Singh, Satya Kam Sharma.

**Maharashtra State Electricity Distribution
Company Limited (Msedcl) & Ors. v. R Z Malpani**

Judgment / Order of the Supreme Court

Judgment

J.K. Maheshwari, J.

1. Leave granted.
2. The instant appeal is directed against the judgment dated 01.10.2025 of the Bombay High Court (hereinafter referred to as “**High Court**”) in Arbitration Application (L) No. 1417 of 2025.
3. By the impugned order, the High Court disposed of the application filed by the Respondent under Section 11 of the Arbitration and Conciliation Act, 1996 (hereinafter referred to as “**1996 Act**”) and appointed a sole arbitrator to adjudicate upon the disputes and differences between the parties.

FACTS

4. The Appellant, Maharashtra State Electricity Distribution Company Limited (MSEDCL) is a State Government company, which is a fully-owned corporate entity owned by the Government of Maharashtra. It is an electricity distribution utility which distributes electricity throughout Maharashtra including a few suburbs of Mumbai. The Respondent is a partnership firm engaged in civil construction and other allied businesses.
5. The Appellant floated a Tender dated 11.08.2021 bearing Code EEC/BND/TECH/42/21-22 for ‘Civil & Interior work – Providing / renovating 134 CFC Centres at various O&M Divisions of SEDCL throughout the State’. (hereinafter referred to as the “**Tender**”) Total estimated cost of the tender was ₹17,41,37,020. The Tender document contained four different constituents, being (i) Instructions to Tenderers & Qualifying Criteria (ii) General Specifications (iii) Technical Specifications (iv) Special Conditions of Contract. (collectively referred to as “**Tender documents**”) The Tender documents also contained an agreement pro-forma. The timeline for the tender process as per the Tender documents was as follows:

Supreme Court Reports

<u>Particulars</u>	<u>Date / Time</u>
Bid Start Date	15.07.2011, 13:00
Bid End Date	06.08.2021, 11:30
Techno-commercial Bid opening	18.08.2021, 15:00
Price Bid opening on	Will be declared later
Winner Selection Date	18.08.2021, 15:30

6. The Respondent participated in the tender process and submitted a bank guarantee of ₹17,45,100 valid up to 06.03.2022. Respondent then submitted its bid/quotation against the said Tender with a validity of 120 days on 03.09.2021. Upon opening of the techno-commercial and price bids, the Appellant, *vide* letter bearing No. CEC/CCO/Tech/350 dated 16.11.2022 (hereinafter referred to as “LOI”) accepted the bid of the Respondent and entrusted the work under the said tender process to the Respondent for a value of ₹17,76,19,699.
7. On 29.11.2022, the Respondent furnished a further bank guarantee to the tune of ₹44,40,500 as security deposit valid up to 27.05.2023. The Appellant wrote to the Respondent on 13.12.2022 requesting that bank guarantee be furnished on stamp paper of ₹500 value instead of ₹100 and sent a reminder in that respect on 31.12.2022. The Respondent submitted revised bank guarantee on stamp paper with value of ₹500 on 31.01.2023.
8. On 02.02.2023, the Holding Company of the Appellant wrote to the Executive Engineer of the Appellant seeking correction in the forwarding letter of the bank guarantees. Pursuant thereto, the Respondent sent a corrected forwarding letter with the bank guarantees on 06.02.2023.
9. Thereafter, the Respondent sent various letters and representations to the Appellant seeking issuance of a Work Order in terms of the LOI, but no Work Order was issued by the Appellant. On 08.08.2023, the Respondent submitted revised / renewed bank guarantees as security deposit.
10. Despite repeated requests being made by the Respondent, the Work Order was not issued by the Appellant and ultimately, on 05.08.2024, the Respondent terminated the contract, citing Appellant’s failure to hand over the sites for the work to begin. Thereafter, on 30.08.2024,

**Maharashtra State Electricity Distribution
Company Limited (Msedcl) & Ors. v. R Z Malpani**

the Respondent issued a notice under Clause 23 of the Special Conditions of Contract in the Tender documents, seeking reference of the disputes to arbitration and seeking compensation to the tune of ₹4,89,85,500.

11. On 27.09.2024, the Appellant formally cancelled the Tender and EMD, Security Deposit submitted by the Respondent was duly refunded on 24.10.2024. It is pertinent that the cancellation itself was not challenged by the Respondent availing public law remedies and instead, the Respondent chose to pursue its remedy by means of arbitration under the Tender documents.
12. On 01.10.2024, the Respondent again invoked the arbitration agreement contained in Clause 23 of the Special Conditions of Contract in the Tender documents. On 04.11.2024, the Appellant replied to the Respondent's arbitration notice and specifically stated therein that Tender documents along with LOI are not sufficient to form a valid contract or arbitration agreement. On 06.11.2024 and 03.12.2024, the Appellant informed the Respondent that since the EMD and Security Deposit has been refunded, no claims or dues are pending.
13. At this stage, the Respondent filed an application under Section 11 of the 1996 Act before the High Court being Arbitration Application No. 1417 of 2025, seeking appointment of an arbitrator. Notice was issued by the High Court on 21.01.2025 and service was complete, but on 26.06.2025 and 17.07.2025, the Appellant did not appear before the High Court. The High Court *vide* the impugned *ex-parte* order on 01.10.2025 appointed one Mr. Drupad Patil, Advocate as the Sole Arbitrator to adjudicate the disputes between the parties.

FINDINGS OF THE HIGH COURT

14. The High Court found that the offer made by the Respondent in response to the Tender was accepted by the LOI dated 16.11.2022 which resulted in a duly concluded contract. Existence of arbitration agreement can be discerned from correspondence between the parties and the scope of enquiry in Section 11 proceedings is limited to examining the existence of a valid arbitration agreement. It was observed by the High Court that Appellant in their reply to the arbitration notice has not denied the existence of an arbitration agreement, hence directed appointment of an arbitrator.

Supreme Court Reports

ARGUMENTS ADVANCED

15. Mr. Vikas Singh, learned senior counsel for the Appellants has vehemently argued that there exists no concluded contract between the parties, much less an arbitration agreement under the meaning of Section 7 of the 1996 Act, and as such, the High Court has erred in directing appointment of an arbitrator. He submitted the impugned order is patently erroneous in recording that the Appellant had not disputed the existence of an arbitration agreement in their reply to the notice under Section 21 of the 1996 Act. Drawing our attention to the letter dated 04.11.2024 of the Appellant, it is stated that a specific plea was taken about non-existence of arbitration agreement at the very first instance by the Appellant. He further submitted that in the absence of a concluded contract between the parties, there can be no question of existence of an arbitration agreement complying with Section 7 of the 1996 Act. In reference to the Tender documents with the LOI, it is submitted that looking to the material does not evince a concluded contract since the LOI itself is contingent in nature, it provides that a detailed Work Order and formal agreement was to follow and as such it is a precursor to a contract and not the contract itself. He has placed reliance on the recent judgement of this Court in ***State of Himachal Pradesh and Anr. v. OASYS Cybernatics Pvt. Ltd.***¹ and the judgement of ***South Eastern Coalfields Limited and Ors. v. S. Kumar's Associates AKM (JV)***² in support of this argument.
16. The Appellant has argued that, assuming *arguendo*, even if the LOI is construed to be a contract creating legal relationship, mere reference in the LOI to the terms of the Tender documents would not have the effect of importing the arbitration clause as contained therein. Further, learned senior counsel has drawn our attention to the judgement of this Court in ***NBCC (India) Ltd. v. Zillion Infraprojects Pvt. Ltd.***³ to submit that mere reference to another document containing an arbitration clause is not sufficient unless the arbitration clause is specifically incorporated in the subsequent document. He has submitted, therefore, that the instant appeal

1 2025 SCC OnLine SC 2536.

2 (2021) 9 SCC 166.

3 (2024) 7 SCC 174.

**Maharashtra State Electricity Distribution
Company Limited (Msedcl) & Ors. v. R Z Malpani**

deserves to be allowed and the impugned order passed by the High Court warrants interference by this Court.

17. Appearing for the Respondents, learned counsel Mr. Abhijit A. Desai has argued with equal force that the instant appeal warrants dismissal since an order appointing an arbitrator is final and non-appealable as per Section 11(7) of the 1996 Act. He submits that this Court in a special leave petition arising out of such appointment, must exercise caution while interfering against appointment of an arbitrator and the tribunal has the jurisdiction to decide on its jurisdiction under Section 16 of the 1996 Act in light of the principle of *Kompetenz-Kompetenz*. He has submitted that the instant case is a feeble attempt at delaying arbitration proceedings by the Appellant who has chosen not to appear before the High Court despite adequate service of notice. He has further argued that the existence of an arbitration agreement is clear from a conjoint reading of: (i) Clause 23 of the Special Conditions of the Tender documents; (ii) Respondent's bid dated 03.09.2021; (iii) LOI dated 16.11.2022 accepting the Respondent's bid. It is submitted that furnishing and repeated renewal of bank guarantees by the Appellant, exchange of correspondence regarding renewal of bank guarantees would further show that there was a concluded contract between the parties.
18. Since an arbitration agreement can be formed by exchange of communication under Section 7(4)(b) of the 1996 Act, a formally executed commercial contract is not necessary and tender conditions containing an arbitration clause, once accepted and acted upon, form a valid arbitration agreement under Section 7 of the 1996 Act. Learned counsel has placed reliance on the judgement of this Court in ***Office for Alternative Architecture v. Ircon Infrastructure and Services Ltd.***⁴ to argue that the scope of scrutiny by the Court in an application under Section 11 of the 1996 Act is circumscribed by sub-section (6A) thereto and as such, unnecessary judicial interference in arbitration proceedings is not warranted. Since the question relates to formation of the contract, it must be left to the arbitrator to decide in an application under Section 16 of the 1996 Act as held by this Court in ***Maharshi Dayanand University v. Anand Coop.***

Supreme Court Reports

L/C Society Ltd.⁵ Much emphasis has been laid on the judgement of this Court in **UNISSI (India) (P) Ltd. v. Post Graduate Institute of Medical Education and Research**⁶ to argue that where the tender conditions contain an arbitration clause and the tender has been acted upon by the parties, it cannot be said that there existed no concluded contract and consequently, no arbitration agreement. Lastly, it has been submitted that cancellation of the tender itself does not extinguish the arbitration agreement between the parties and the said cancellation is a subject matter of arbitration. As such, he has urged that the instant appeal warrants dismissal.

ANALYSIS

19. After hearing learned counsel for the parties and having gone through the documents on record, the short question which falls for our consideration in the instant appeal is *whether, on a prima facie view, there exists an arbitration agreement between the parties and as such, whether the reference to arbitration under Section 11 by the High Court warrants interference by this Court?*
20. The law on appointment of an arbitrator under Section 11 of the 1996 Act has undergone windfall change in the recent years, especially after the insertion of sub-section 6A therein w.e.f. 23.10.2015 which confines the Court's jurisdiction to the examination of existence of an arbitration agreement. Initially, this Court in **Vidya Drolia & Ors. v. Durga Trading Corporation**,⁷ had developed what came to be known as the 'ex-facie' test, holding in clear terms that while scope of judicial review and interference by Courts at the Section 11 stage is extremely limited, the Courts may interfere where it is 'manifestly and ex-facie certain that the arbitration agreement is non-existent, invalid or the disputes are non-arbitrable'. The 'eye of the needle' test was propounded by the judgement of this Court in **NTPC Ltd. v. SPML Infra Ltd.**⁸ to hold that limited scrutiny at the pre-arbitral stage by the referral court through the 'eye of the needle' must be done in order to protect the parties from being forced to arbitrate a matter which is demonstrably non-arbitrable. Subsequently, however, a co-

5 (2007) 5 SCC 295.

6 (2009) 1 SCC 107.

7 (2021) 2 SCC 1.

8 (2023) 9 SCC 385.

**Maharashtra State Electricity Distribution
Company Limited (Msedcl) & Ors. v. R Z Malpani**

ordinate bench of this Court in **SBI General Insurance Co. Ltd. v. Krish Spg.**,⁹ relying on the seven-judge bench decision in **Interplay Between Arbitration Agreements under Arbitration Act, 1996 & Stamp Act, 1899, In re**,¹⁰ has held that the ‘ex-facie meritless’ and ‘eye of the needle’ tests cannot be said to be in conformity with the principles of modern arbitration and they would not apply after the decision of the seven-judge bench, since even though they endeavour to minimise judicial interference, yet require the Courts to enter into a factual examination of contested facts and evidence, however minimal. Relevant portion of the judgement in **SBI General Insurance Co. Ltd.** is quoted herein for reference:

“114. In view of the observations made by this Court in In Re : Interplay (supra), it is clear that the scope of enquiry at the stage of appointment of arbitrator is limited to the scrutiny of prima facie existence of the arbitration agreement, and nothing else. For this reason, we find it difficult to hold that the observations made in Vidya Drolia (supra) and adopted in NTPC v. SPML (supra) that the jurisdiction of the referral court when dealing with the issue of “accord and satisfaction” under Section 11 extends to weeding out ex-facie non -arbitrable and frivolous disputes would continue to apply despite the subsequent decision in In Re : Interplay (supra).

....

118. Tests like the “eye of the needle” and “ex-facie meritless”, although try to minimise the extent of judicial interference, yet they require the referral court to examine contested facts and appreciate prima facie evidence (however limited the scope of enquiry may be) and thus are not in conformity with the principles of modern arbitration which place arbitral autonomy and judicial non-interference on the highest pedestal.”

21. As such, the pronouncement of this Court in **SBI General Insurance Co. Ltd.** (Supra) lays down a clear and comprehensive explanation about the scope of examination at the stage of Section 11 proceedings:

9 (2024) 12 SCC 1.

10 (2024) 6 SCC 1.

Supreme Court Reports

it is limited to finding a *prima facie* existence of arbitration agreement and nothing beyond it. Questions of ‘accord and satisfaction’, limitation, dishonesty and frivolity, arbitrability of the subject-matter are to be left to the adjudication by the arbitral tribunal under Section 16 of the 1996 Act which is a reflection of the doctrine of ‘*Kompetenz-Kompetenz*’ or ‘*compétence de la compétence*’. It is therefore incumbent upon us to only examine the *prima facie* existence of an arbitration agreement.

22. At the outset, it would be apposite to extract the arbitration agreement purportedly contained in Clause 23 of the Special Conditions of Contract in the Tender documents. It reads as thus:

“23. Arbitration Clause:

a. The matters to be determine by the Chief Engineer:

All disputes and differences of any kind whatsoever arising out of or in connection with the contract, whether during the progress of the work or after its completion and whether before or after the determination of the contract shall be referred by the contractor to the C. E. and the C. E. shall [within 120 days) after receipt of the contractor’s representation make and notify decisions of all matters referred to by the contractor in writing.

b. Demand for Arbitration:

i) In the event of any dispute or difference between the parties hereto as to the construction or operation of this contract, or the respective rights and liabilities of the parties on any matter in question, the dispute or difference on any account or as to the withholding by M.S.E.D.C.LTD. of any certificate to which the contractor may claim to be entitled to or if the C. E. fails to make a decision (within 120 days), then and in any such case, the contractor (after 120 days) but within (180 days) of his presenting his final claim on disputed matters, shall demand in writing that the dispute or difference to be referred to arbitration.

ii) The demand for arbitration shall specify the matters which are in question, or subject of the dispute or difference as also the amount of claim item wise. Only such dispute(s) or difference(s) in respect of which the demand has

**Maharashtra State Electricity Distribution
Company Limited (Msedcl) & Ors. v. R Z Malpani**

been made, together with counter claims or set off, shall be referred to arbitration and other matters shall not be included in the reference.

a) The arbitration proceedings shall be assumed to have commenced from the day, a written and valid demand for arbitration is received by the Company.

b) The claimant shall submit his claim stating the facts supporting the claims along with all relevant documents and the relief or remedy sought against each claim Within a period of 30 days from the date of appointment of the Arbitral Tribunal.

c) The Company shall submit its defense statement and counter claim(s), if any, within a period of 60 days of receipt of copy of claims from the Tribunal thereafter unless otherwise extension has been granted by the Tribunal.

iii) No new claim shall be added during the proceedings by either party. However, a party may amend or supplement the original claim or defense thereof during the course of arbitration proceedings subject to acceptance by Tribunal having due regard to the delay in making it.

iv) If the contractor(s) does/do not prefer his/their specific and final claims in writing, within a period of 90 days of receiving the intimation from the Company, that the final bill is ready for payment, he/they will be deemed to have waived his/their claim(s) and the Company shall be discharged and released of all liabilities under the contract in respect of these claims.

c. Obligation during pendency of Arbitration:

Work under the contract shall, unless otherwise directed by the Engineer, continue during the arbitration proceedings, and no payment due or payable by the Company shall be withheld on account of such proceedings, provided, however, it shall be open for Arbitral Tribunal to consider and decide whether or not such work should be continued during arbitration proceedings.

Supreme Court Reports

In cases where the total value of all claims in question added together does not exceed Rs.1,00,00,000/- (Rs. One Crore) the Arbitrate Tribunal shall consist of a Sole Arbitrator who shall be either the C.E. of the Company or serving or retired officer of the Company/Government not below the grade of C.E. or equivalent nominated by the Chairman of the Company in that behalf. The Sole Arbitrator shall be appointed within 60 days from the day when a written and valid demand for arbitration is received by the Company.

i) In cases the value of the claim exceeds Rs. 1,00,00,000/- (Rs. One Crore) as above, the Arbitral Tribunal shall consist of panel of 3 serving or retired officers of M.S.E.D.C.LTD./ Govt not below the grade of C.E./CA.O. as the Arbitrators. For this purpose, the Company will send a panel of more than 3 names of arbitrators of one or more department of the Company/Govt. to the contractor who will be asked to suggest to the Chairman at least 2 names for appointment as contractor's nominee. The Chairman shall appoint at least one of them as the contractor's nominee and will also appoint the balance number of arbitrators either from the panel or from outside the panel, duly indicating the presiding arbitrator from amongst the three [3] arbitrators so appointed. While nominating arbitrators, it will be necessary to ensure that one of them is or has worked in Accounts department.

ii) If one or more arbitrators appointed as above refuses to act as arbitrator, withdraws from his office as arbitrator or vacates his/their office/offices or is/are unable or unwilling to perform his functions as arbitrator for any reason whatsoever or dies or in the opinion of the Chairman fails to act without undue delay. The Chairman shall appoint new arbitrators to act in his/their place in the same manner in which the earlier arbitrator/s had been appointed. Such reconstituted Tribunal, may, as its discretion proceed with the reference from the stage at which it was left by the previous arbitrator(s).

iii) The Tribunal shall have powers to call for such evidence by way of affidavits or otherwise as the Arbitral Tribunal

**Maharashtra State Electricity Distribution
Company Limited (Msedcl) & Ors. v. R Z Malpani**

shall think proper, and it shall be the duty of the parties hereto to do or cause to be done all such things as may be necessary to enable the Arbitral Tribunal to make the award without any delay.

iv) While appointing arbitrator(s) as above, due care shall be taken that he/they is/are not the one/those who had an opportunity to deal with the matters to which the contract relates or who in the course of his/their duties as Company's servant(s) expressed views on all or any of the matters under dispute or differences. The proceedings or the Arbitral Tribunal or the award made by such Tribunal will, however, not be invalid merely for the reason that one or more arbitrator had, in the course of his service, opportunity to deal with the matters to which the contract relates or who in the course of his/their duties expressed views on all or any of the matters under dispute.

v) Arbitral award shall state item wise, the sum and reasons upon which it is based.

vi) A party may apply for corrections of any computational errors, any typographical or clerical errors or any other error of similar nature occurring in the award and interpretation of specific point of award to tribunal within 30 days of receipt of the award.

vii) A party may apply to Tribunal within 30 days of receipt of award to make an additional award as to claims presented in the arbitral proceedings, but omitted from the arbitral award.

viii) In case of the Tribunal, comprising of three members any ruling or award shall be made by a majority of Members of Tribunal. In the absence of such a majority, the views of the Presiding Arbitrator shall prevail.

ix) Where the arbitral award is for payment of money, no interest shall be payable on whole or any part of the money for any period till the date on which the award is made.

Supreme Court Reports

x) The cost of the arbitration shall be borne equally by the respective parties. The cost shall inter-alia include fees of the arbitrators as per the rates fixed by the Company from time to time. Provided that the fees payable per arbitrator for claims up to Rs. One Crore, shall not exceed Rs. 2000/- per sitting subject to a maximum of Rs. 25,000/- and the fees payable per arbitrator for claims over Rs. One Crore, shall not exceed Rs. 2000/- per sitting subject to a maximum of Rs. 50,000/-. Provided further that the arbitrators who are in service of Govt/M.S.E.D.C. LTD. shall draw fees at half of the rates mentioned above.

xi) Company shall maintain a list of arbitrators. The Chairman shall have full powers to delete or add the name of the arbitrators in the list or to make amendments to the said list as per his discretion.

xii) The arbitral proceedings should be completed and the award be finalized within one year from the date of appointment of arbitrators.

xiii) Subject to the provisions as aforesaid, Arbitration & Conciliation Act, 1996 and the rules there under, and any statutory notification thereof shall apply to the arbitration proceedings under this clause."

23. The 'Instructions to Tenderers' contained in the Tender documents at Clause 23 provides that the successful tenderer will have to execute an agreement with the Company (Appellant) in the Company's standard proforma. It reads as thus:

"23.0 The successful tenderer will also have to execute an agreement with the Company in Company's standard proforma. The cost of stamp paper shall be borne by the contractor. (The value of Stamp paper for agreement is Rs. 500/- up to ten lakh Plus RS. 100 for every one lakh or part there of above Rs Ten Lacks)"

24. Clause 42 of the 'Instructions to Tenderers' contained in the Tender documents provides that in case the work is cancelled before starting the work for any reason after placement of work order, only E.M.D. / S.D. shall be refunded and no other claim in this respect shall be entertained. Clause 39 of the 'Instructions to Tenderers' in the Tender

**Maharashtra State Electricity Distribution
Company Limited (Msedcl) & Ors. v. R Z Malpani**

documents provides that the 'Instructions to Tenderers' shall form part of the contract.

25. The entire thrust of the argument of the Respondent is that the arbitration clause contained in Clause 23 of the Special Conditions of Contract in the Tender documents has been incorporated in the contract which has been concluded by the Appellant's LOI dated 16.11.2022. The LOI references the Tender documents and in the initial paragraphs, provides that the terms and conditions of the contract as per the reference documents shall be interpreted by reading together with them the terms of the LOI itself and in case of conflict, the terms of the LOI shall prevail. The said portion of the LOI is quoted herein for reference:

" ...

With reference to the above, on behalf of MSEDCL tender No. EEC/BND/TECH/T-42/2021-22 is invited for providing / renovating the CFC center at various O&M Division of MSEDCL throughout the State vide E-Tender Notice PR No. 295/2021 dt. 14.7.2021. In this regards the undersigned is pleased to inform you that your offer for the above work covered under the scope of Schedule-B of the said tender has been accepted and work covered under the scope of the contract is entrusted to you subject to the following terms and conditions.

Notwithstanding that reference are given above, the terms and conditions and specifications of contract shall be interpreted by reading together the terms and conditions, specifications and contents of this Letter of intent as below. In case of any deviations with the contents of this Letter of intent from corresponding conditions in the above said tender specifications or contents of the letter under reference as read and interpreted up to date, the contents of this Letter of intent shall prevail."

26. In the concluding portion of the LOI, it is stated that the LOI has been issued to the Respondent to start with preliminaries and to start the work on the issuance of the detailed work order. The said portion of the LOI is quoted herein for reference:

Supreme Court Reports

“ ...

This letter of intent is issued to enable you to start with preliminaries to start the work as soon as the detailed work order is issued.

...”

27. It is the admitted case of the parties that pursuant to the LOI and in terms of Clause 23 of the ‘Instructions to Tenderers’ of the Tender documents, neither any work order was issued to the Respondent nor any formal agreement was entered into between the parties on the proforma of the Appellant. It is therefore required to be examined as to whether any agreement to arbitrate has formed at this stage in order to meet the requirement of Section 7 of the 1996 Act. The said section is relevant for this purpose and is therefore quoted below for reference:

“7. Arbitration Agreement:

(1) In this Part, ‘arbitration agreement’ means an agreement by the parties to submit to arbitration all or certain disputes which have arisen or which may arise between them in respect of a defined legal relationship, whether contractual or not.

(2) An arbitration agreement may be in the form of an arbitration clause in a contract or in the form of a separate agreement.

(3) An arbitration agreement shall be in writing.

(4) An arbitration agreement is in writing if it is contained in –

(a) a document signed by the parties;

(b) an exchange of letters, telex, telegrams or other means of telecommunications including communication through electronic means which provide a record of the agreement; or

(c) an exchange of statement of claim and defence in which the existence of the agreement is alleged by one party and not denied by the other.

(5) The reference in a contract to a document containing an arbitration clause constitutes an arbitration agreement

**Maharashtra State Electricity Distribution
Company Limited (Msedcl) & Ors. v. R Z Malpani**

*if the contract is in writing and the reference is such as to
make that arbitration clause part of the contract.”*

28. Section 7(1) of the 1996 Act posits that there must be a defined ‘legal relationship’ between the parties and the agreement to arbitrate may be contractual or not. As such, conclusion of a contract might not be necessary for that purpose and what needs to be seen is whether the parties were *ad idem* in their intention to refer a dispute to arbitration as evinced from their communication.¹¹ A distinction, however, is drawn when the arbitration agreement is contained in some document which is sought to be incorporated within another. Section 7(5) is attracted in such a situation and it refers to the incorporation of an arbitration agreement contained in some document into a ‘contract’ which has to be in writing. The use of the word ‘contract’ when dealing with incorporation of an arbitration agreement from some other document is intentional and consequential. Since in the present appeal the Respondent’s case is that the LOI incorporates the arbitration agreement from the terms of the Tender documents, both the contractual nature of the LOI as well as the validity of incorporation becomes relevant for our examination.
29. In this context, at the very threshold it must be observed that the finding of the High Court that Appellant in its reply dated 04.11.2024 to the Respondent’s arbitration notice *‘did not question the formation of arbitration agreement on any ground other than the fact that the project did not proceed further’* is *prima facie* erroneous and stares at the face of the record, and is liable to be set aside. It has been contended in plain terms by the Appellant in its reply dated 04.11.2024 that there was no concluded contract between the parties and that the LOI cannot bind either party to a contract, it is merely indicative of a party’s intention to enter into a contract. There is, therefore, no admission of any concluded contract, much less an arbitration agreement between the parties by the Appellant in its reply dated 04.11.2024. The Appellant has throughout maintained that there was no concluded contract between the parties and as such, no reference to arbitration can be made under Clause 23 of Special Conditions of Contract contained in the Tender documents merely because of a general reference to the Tender documents in the LOI.

¹¹ *Govind Rubber Ltd. v. Louis Dreyfus Commodities Asia (P) Ltd.*, (2015) 13 SCC 477.

Supreme Court Reports

30. A co-ordinate bench of this Court in **OASYS Cybernetics** (Supra) has exhaustively discussed the effect of a letter of intent pursuant to a tender, its legal character and the nature of rights flowing therefrom. Relevant paragraphs of the said judgement are quoted herein for reference:

“11. The first issue that falls for our determination concerns the legal character of the Lol dated 02.09.2022 and the nature of rights, if any, accrued to the Respondent-company thereunder.

12. This question goes to the root of the matter, and is not one of mere semantics, i.e. ascertaining whether the issuance of the Lol created a concluded contract capable of enforcement, or whether it remained a conditional and inchoate expression of intent, leaving the Government free to reassess its position prior to formal acceptance. The answer defines the legal threshold for the Appellant-State’s power to cancel and the Respondent-company’s entitlement to protection.

13. The jurisprudence on the subject is neither nascent nor unsettled. A catena of decisions starting from Rajasthan Cooperative Dairy Federation Ltd. v. Maha Laxmi Mingrate Marketing Service (P) Ltd., through Dresser Rand S.A. v. Bindal Agro Chem Ltd., to Level 9 Biz Pvt. Ltd. v. HP Housing & Urban Development Authority, this Court has consistently held that an Lol is, in the ordinary course, a precursor to a contract and not the contract itself.

14. In Dresser Rand (supra), it was re-stated with clarity that “a letter of intent merely indicates a party’s intention to enter into a contract with the other party in future. A letter of intent is not intended to bind either party ultimately to enter into any contract.” The same principle animated Rajasthan Cooperative Dairy Federation (supra), where this Court observed that until the offer is accepted unconditionally and the preconditions are satisfied, “no binding legal relationship” comes into existence. The rationale is thus simple but fundamental: the law of contract distinguishes between a promise to make a promise and

**Maharashtra State Electricity Distribution
Company Limited (Msedcl) & Ors. v. R Z Malpani**

a promise performed. The former is not legally binding until its contingencies are fulfilled.

15. *These authorities collectively articulate a coherent doctrine: an Lol creates no vested right until it passes the threshold of final and unconditional acceptance. It is but a “promise in embryo,” capable of maturing into a contract only upon the satisfaction of stipulated preconditions or upon the issue of an LoA. A bidder’s expectation that such a contract will follow may be commercially genuine, but it is not a juridical entitlement. To hold otherwise would be to bind the State in contract before it has consciously chosen to be bound—a proposition foreign to both contract law and public administration.*

16. *Turning then to the Lol before us, its conditionality is beyond doubt. As noticed heretofore in **para 5.7**, it required the Respondent-company to:*

- (i) undertake compatibility testing of its proposed ePoS devices at NICSI, Hyderabad;*
- (ii) provide a live demonstration of the devices with NIC’s application before the Directorate at Shimla;*
- (iii) execute a formal agreement only after successful completion of the aforesaid steps; and*
- (iv) furnish a detailed MRP and landing cost of the devices and their major components.*

17. *Each requirement was framed as a condition precedent; the Lol itself stated that a “**final award letter**” would issue only after the successful completion of these tasks. This language admits of no ambiguity. The tender architecture was sequential: testing, demonstration, acceptance, then execution. It was never contemplated that the Lol would operate as the contract itself.*

18. *The cumulative effect of the foregoing analysis is that the Lol was no more than a provisional communication signifying the Appellant-State’s intent to enter into a formal arrangement upon fulfilment of certain technical and procedural conditions. The acceptance of tender and*

Supreme Court Reports

the consequential formation of a binding contract were contingent upon satisfaction of these prerequisites. The Respondent-company's reliance upon the Lol as a source of vested contractual rights is, therefore, wholly misplaced.

19. *As a result, the **First Issue is answered in the negative.** We have no difficulty in holding that the Lol did not give rise to any binding or enforceable rights in favour of the Respondent-company."*

31. It is settled law that a letter of intent does not, in and of itself, create a legal relationship or contractual obligations until there is a clear, unambiguous final acceptance by the parties. It is an expression of one party's intent to enter into a contract with the other party in the forthcoming future. When the intent of the parties can be evinced from the letter of intent or the tender specifications and it is clear that the letter of intent is to be followed by a final award or a concluded agreement, it cannot be said that the letter of intent itself binds the parties to the terms of the tender. Contractual obligations cannot be foisted upon a party without a clear indication of its intent to enter into a binding concluded contract. Therefore, what needs to be distinguished is whether the intent of the parties is to make a 'promise' or a 'promise to make a promise'. We are mindful of the fact that a tender is essentially in the nature of an 'invitation to offer' and submission of a bid by the tenderer is an 'offer'. By means of a letter of intent, however, it must be examined by the Court whether the party extending the letter of intent is in *consensus ad idem* with the other party and intends to create a conclusive and binding agreement.
32. Further, in ***South Eastern Coalfields Ltd.*** (Supra), this Court held that the question as to whether a contract had been concluded between the parties can be discerned by the notice inviting tender, the letter of intent and the conduct of parties. Relevant paragraph of the said judgement is quoted herein for reference:

"22. We would like to state the issue whether a concluded contract had been arrived at inter se the parties is in turn dependent on the terms and conditions of the NIT, the Lol and the conduct of the parties. The judicial views before us leave little doubt over the proposition that an Lol merely indicates a party's intention to enter into a contract with

**Maharashtra State Electricity Distribution
Company Limited (Msedcl) & Ors. v. R Z Malpani**

the other party in future. No binding relationship between the parties at this stage emerges and the totality of the circumstances have to be considered in each case. It is no doubt possible to construe a letter of intent as a binding contract if such an intention is evident from its terms. But then the intention to do so must be clear and unambiguous as it takes a deviation from how normally a letter of intent has to be understood. This Court did consider in Dresser Rand S.A. case that there are cases where a detailed contract is drawn up later on account of anxiety to start work on an urgent basis. In that case it was clearly stated that the contract will come into force upon receipt of letter by the supplier, and yet on a holistic analysis - it was held that the Lol could not be interpreted as a work order.”

33. Applying the said principles of law to the facts of this case, we are in agreement with the argument of the Appellant that the LOI in the facts of the instant case was a promise to make a promise and not a promise itself and no agreement had concluded between the parties. The word ‘contract’ as defined in Clause 1(c) of the Special Conditions contained in the Tender documents is ‘*the document forming Notice Inviting Tenders, Tender Form, General Conditions of Contract, Technical Specifications, priced schedule of items, contract agreement and drawings and any other document which may be included at the time of signing of contract agreement along with acceptance of the contract thereof together*’. This definition incorporates the tender framework under Clause 23 of the ‘Instructions to Tenderers’ of the Tender documents, which posits that an agreement will be entered into by the Appellant with the successful bidder.
34. The LOI provided that the work under the contract is entrusted to the Respondent subject to terms and conditions and as per clause 2 of the LOI, the time-limit to complete the entire work was six months from the date of handing over of the sites. Pertinently, the Appellant never handed over the sites to the Respondent. Clause 3 provided that security deposit to the tune of 5% of order value, being ₹88,81,000 must be deposited by means of demand draft or F.D.R. or B.G. of any nationalized bank within 10 days from the date of receipt of LOI. Alternatively, 50% of the security deposit, amounting to ₹44,40,500 shall be deposited in the said form and the balance

Supreme Court Reports

amount of ₹44,40,500 may be deducted from the R.A. bill. Clause 7 of the LOI provides for the requirement to obtain insurance in specific form as mentioned therein. At the end of the LOI, it is mentioned that the LOI has been issued to enable the Respondent to start with the preliminaries so that work may be initiated as soon as the work order is issued. It contemplates a work order to be issued at a subsequent stage.

35. Neither the specifications of the Tender documents, nor the LOI provides that the LOI itself would result in a concluded contract. Rather, the Tender documents in Clause 23 of the 'Instructions to Tenderers' specifically provides for an agreement to be entered into between the Appellant and the successful tenderer and same is the import of Clause 1(c) defining the word 'contract'. The intent behind the LOI is explicitly clarified as merely to ensure that preliminaries are complied with so that the work may begin upon issuance of a work order. No such work order was issued pursuant to the LOI. On this count, it is stressed by the Respondent that it had submitted the requisite security deposit by means of bank guarantees and they were renewed from time to time. However, neither the LOI nor the Tender documents contemplate that upon submission of bank guarantees, the contract would be said to be concluded, creating a binding legal relationship. Rather, they both contemplate the issuance of a work order and the signing of an agreement; mere completion of preliminaries cannot be said to be sufficient to form a binding legal relationship unless specified in the terms of the tender specifications. From a reading of the LOI, the clauses relating to submission of security deposit and insurance clearly show the tender framework, where after acceptance of the bid, work was entrusted to the Respondent subject to terms and conditions which were procedural in nature, contemplating that at a later stage, a final work order was to be issued and an agreement was to be entered into between the parties.
36. In the above conspectus of facts, from a holistic reading of the Tender documents, the LOI and other subsequent communication between the parties, the LOI does not evince the commercial intention of the Appellant to create a binding legal relationship, it informs the Respondent that the work was entrusted to them upon opening of bids and lays down preliminary conditions to be fulfilled in contemplation of a future work order and agreement in order to ensure that prior to

**Maharashtra State Electricity Distribution
Company Limited (Msedcl) & Ors. v. R Z Malpani**

the work order being issued, everything is set in place and the work may begin at once upon such issuance. As such, it cannot be said that the LOI had the effect of creating a binding legal relationship between the parties.

37. In the instant case, the Appellant argues further that even assuming *arguendo* that the LOI itself can be considered a source of binding legal relationship between the parties, the LOI has made a general reference to the Tender documents and such a general reference cannot have the effect of ‘incorporation’ of the arbitration clause contained therein, in light of Section 7(5) of the 1996 Act. Section 7(5) provides that ‘*The reference in a contract to a document containing an arbitration clause constitutes an arbitration agreement if the contract is in writing and the reference is such as to make that arbitration clause part of the contract.*’.
38. Reference in this respect has also been made to the judgement of this Court in **NBCC (India) Ltd.** (Supra). In the said judgement, this Court dealt with facts which are somewhat similar to the instant appeal; the arbitration clause was contained in the ‘Request for Proposal’ in the tender documents and the contract was awarded to the Respondent therein by means of issuance of a letter of intent which made the terms and conditions of the said tender documents applicable to the letter of intent as well. This Court drew a distinction between ‘reference’ and ‘incorporation’ of an arbitration clause, and after discussing the decisions in **M.R. Engineers & Contractors (P) Ltd. v. Som Datt Builders Ltd.**,¹² and **Inox Wind Ltd. v. Thermocables Ltd.**,¹³ found that the arbitration clause contained in some document may be incorporated in the contract between the parties only by a specific reference to the arbitration clause. The intent of the parties to incorporate the arbitration clause has to be explicitly clear and a mere general ‘reference’ to the tender conditions would not suffice. Relevant paragraphs of the said judgement are quoted herein for reference:

“**16.** *The issue is no more res integra. The provisions of sub-section (5) of Section 7 of the Arbitration Act have been considered by this Court in M.R. Engineers &*

¹² (2009) 7 SCC 696.

¹³ (2018) 2 SCC 519.

Supreme Court Reports

Contractors [M.R. Engineers & Contractors (P) Ltd. v. Som Datt Builders Ltd., (2009) 7 SCC 696 : (2009) 3 SCC (Civ) 271] . After considering the relevant passages from *Russell on Arbitration* and various English judgments, this Court held thus : (SCC p. 707, para 24)

“24. The scope and intent of Section 7(5) of the Act may therefore be summarised thus—

(i) An arbitration clause in another document, would get incorporated into a contract by reference, if the following conditions are fulfilled;

(1) the contract should contain a clear reference to the documents containing arbitration clause,

(2) the reference to the other document should clearly indicate an intention to incorporate the arbitration clause into the contract,

(3) the arbitration clause should be appropriate, that is capable of application in respect of disputes under the contract and should not be repugnant to any term of the contract.

(ii) When the parties enter into a contract, making a general reference to another contract, such general reference would not have the effect of incorporating the arbitration clause from the referred document into the contract between the parties. The arbitration clause from another contract can be incorporated into the contract (where such reference is made), only by a specific reference to arbitration clause.

(iii) Where a contract between the parties provides that the execution or performance of that contract shall be in terms of another contract (which contains the terms and conditions relating to performance and a provision for settlement of disputes by arbitration), then, the terms of the referred contract in regard to execution/performance alone will apply, and not the arbitration agreement in the referred contract, unless there is special reference to the arbitration clause also.

**Maharashtra State Electricity Distribution
Company Limited (Msedcl) & Ors. v. R Z Malpani**

(iv) Where the contract provides that the standard form of terms and conditions of an independent trade or professional institution (as for example the standard terms and conditions of a trade association or architects association) will bind them or apply to the contract, such standard form of terms and conditions including any provision for arbitration in such standard terms and conditions, shall be deemed to be incorporated by reference. Sometimes the contract may also say that the parties are familiar with those terms and conditions or that the parties have read and understood the said terms and conditions.

(v) Where the contract between the parties stipulates that the conditions of contract of one of the parties to the contract shall form a part of their contract (as for example the general conditions of contract of the Government where the Government is a party), the arbitration clause forming part of such general conditions of contract will apply to the contract between the parties.”

17. *It could thus be seen that this Court has held that when the parties enter into a contract, making a general reference to another contract, such general reference would not have the effect of incorporating the arbitration clause from the referred document into the contract between the parties. It has been held that the arbitration clause from another contract can be incorporated into the contract (where such reference is made), only by a specific reference to arbitration clause. It has further been held that where a contract between the parties provides that the execution or performance of that contract shall be in terms of another contract (which contains the terms and conditions relating to performance and a provision for settlement of disputes by arbitration), then, the terms of the referred contract in regard to execution/performance alone will apply, and not the arbitration agreement in the referred contract, unless there is special reference to the arbitration clause also.*

18. *This Court further held that where the contract provides that the standard form of terms and conditions of an*

Supreme Court Reports

independent trade or professional institution will bind them or apply to the contract, such standard form of terms and conditions including any provision for arbitration in such standard terms and conditions, shall be deemed to be incorporated by reference. It has been held that sometimes the contract may also say that the parties are familiar with those terms and conditions or that the parties have read and understood the said terms and conditions. It has also been held that where the contract between the parties stipulates that the conditions of contract of one of the parties to the contract shall form a part of their contract, the arbitration clause forming part of such general conditions of contract will apply to the contract between the parties.

19. *A perusal of sub-section (5) of Section 7 of the Arbitration Act itself would reveal that it provides for a conscious acceptance of the arbitration clause from another document, by the parties, as a part of their contract, before such arbitration clause could be read as a part of the contract between the parties.*

20. *It is thus clear that a reference to the document in the contract should be such that shows the intention to incorporate the arbitration clause contained in the document into the contract.*

21. *The law laid down in M.R. Engineers & Contractors [M.R. Engineers & Contractors (P) Ltd. v. Som Datt Builders Ltd., (2009) 7 SCC 696 : (2009) 3 SCC (Civ) 271] has been followed by this Court in Duro Felguera, S.A. v. Gangavaram Port Ltd. [Duro Felguera, S.A. v. Gangavaram Port Ltd., (2017) 9 SCC 729 : (2017) 4 SCC (Civ) 764] and Elite Engg. & Construction (Hyd.) (P) Ltd. v. Techtrans Construction India (P) Ltd. [Elite Engg. & Construction (Hyd.) (P) Ltd. v. Techtrans Construction India (P) Ltd., (2018) 4 SCC 281 : (2018) 3 SCC (Civ) 60]*

22. *No doubt that this Court in Inox Wind Ltd. v. Thermocables Ltd. [Inox Wind Ltd. v. Thermocables Ltd., (2018) 2 SCC 519 : (2018) 2 SCC (Civ) 195] has distinguished the law laid down in M.R. Engineers & Contractors [M.R. Engineers & Contractors (P) Ltd. v. Som*

**Maharashtra State Electricity Distribution
Company Limited (Msedcl) & Ors. v. R Z Malpani**

Datt Builders Ltd., (2009) 7 SCC 696 : (2009) 3 SCC (Civ) 271]. In the said case (i.e. Inox Wind [Inox Wind Ltd. v. Thermocables Ltd., (2018) 2 SCC 519 : (2018) 2 SCC (Civ) 195]), this Court has held that though general reference to an earlier contract is not sufficient for incorporation of an arbitration clause in the later contract, a general reference to a standard form would be enough for incorporation of the arbitration clause. Though this Court in Inox Wind [Inox Wind Ltd. v. Thermocables Ltd., (2018) 2 SCC 519 : (2018) 2 SCC (Civ) 195] agrees with the judgment in M.R. Engineers & Contractors [M.R. Engineers & Contractors (P) Ltd. v. Som Datt Builders Ltd., (2009) 7 SCC 696 : (2009) 3 SCC (Civ) 271], it holds that general reference to a standard form of contract of one party along with those of trade associations and professional bodies will be sufficient to incorporate the arbitration clause. In the said case (i.e. Inox Wind [Inox Wind Ltd. v. Thermocables Ltd., (2018) 2 SCC 519 : (2018) 2 SCC (Civ) 195]), this Court found that the purchase order was issued by the appellant therein in which it was categorically mentioned that the supply would be as per the terms mentioned therein and in the attached standard terms and conditions. The respondent therein by his letter had confirmed its acceptance. This Court found that the case before it was a case of a single contract and not two-contract case and, therefore, held that the arbitration clause as mentioned in the terms and conditions would be applicable.

23. *The present case is a “two-contract” case and not a “single-contract” case.*

...

29. *As already discussed hereinabove, when there is a reference in the second contract to the terms and conditions of the first contract, the arbitration clause would not ipso facto be applicable to the second contract unless there is a specific mention/reference thereto.*

30. *We are of the considered view that the present case is not a case of “incorporation” but a case of “reference”. As such, a general reference would not have the effect of*

Supreme Court Reports

incorporating the arbitration clause. In any case, Clause 7.0 of the LoI, which is also a part of the agreement, makes it amply clear that the redressal of the dispute between NBCC and the respondent has to be only through civil courts having jurisdiction of Delhi alone.”

39. Although this Court in **NBCC (India) Ltd.** (Supra) was dealing with a factual situation which was quite similar to the instant case, the reasons why the Court interfered with the appointment of an arbitrator in the said case were twofold. Apart from the fact that a general reference in the letter of intent to an arbitration clause contained in the tender documents was found to not be sufficient for its incorporation, the second reason was that the letter of intent in that case had a separate dispute resolution clause which limited redressal of disputes to civil courts having jurisdiction of Delhi alone. Even then, the law laid down in respect of incorporation of arbitration clauses contained in tender documents by means of reference in the letter of intent is squarely applicable to the facts of the instant case. The LOI in the instant case makes a reference to the Tender documents contained in the following terms:

“Notwithstanding that reference are given above, the terms and conditions and specifications of contract shall be interpreted by reading together the terms and conditions, specifications and contents of this Letter of intent as below. In case of any deviations with the contents of this Letter of intent from corresponding conditions in the above said tender specifications or contents of the letter under reference as read and interpreted up to date, the contents of this Letter of intent shall prevail.”

In our view, this is a case of ‘reference’ and not ‘incorporation’. There is no mention of any arbitration or dispute resolution clause in the LOI itself, neither does it purport specific incorporation thereof from the tender documents. As such, the arbitration clause contained in the Tender documents could not be said to have been incorporated in the LOI to evince the existence of an arbitration agreement between the parties on its conjoint reading with the Tender documents.

40. The judgements of this Court in **NBCC (India) Ltd.** (Supra) as well as **M.R. Engineers & Contractors (P) Ltd.** (Supra) were recently discussed and distinguished on facts by a co-ordinate bench of this

**Maharashtra State Electricity Distribution
Company Limited (Msedcl) & Ors. v. R Z Malpani**

Court in **Glencore International AG v. Shree Ganesh Metals**¹⁴. In the facts of that case, there was no incorporation of the arbitration agreement, but rather the contract containing the arbitration agreement was never signed by the parties, but it was acted upon and the communication between the parties evinced the creation of a binding legal relationship between them. In such context, the Court placed reliance on the judgement in **Govind Rubber Ltd.** (Supra) and held that non-signing of the contract containing the arbitration agreement cannot invalidate the arbitration agreement which is in writing and the parties seem to be *ad idem* in respect of the agreement by communication about the contract. The judgement in **Glencore International AG** (Supra) is not applicable to the facts of this case since it distinguishes the judgement in **NBCC (India) Ltd.** (Supra) where the factual scenario was quite similar to the facts of the instant appeal.

41. Similar is the case of the judgement in **UNISSI (India) (P) Ltd.** (Supra) relied upon by the Appellant where the tender documents contained an arbitration clause and the tender offer of the Appellant therein was accepted and the Appellant therein acted upon the said acceptance and made supply of oxymeters required under the tender even though no formal contract was signed between the parties. In such context, the Court held that the arbitration agreement contained in the tender was applicable and dispute between the parties ought to be referred to an arbitrator. In the facts of the present case, the terms of the tender itself have never been worked upon by the Respondent. The Work Order was never issued by the Appellant and the sites were never handed over by the Appellant. The Respondent has submitted bank guarantees pursuant to the LOI, which at best is a preliminary requirement as a precursor to the Work Order being issued. As discussed above, the LOI in the instant case was indicative of a preliminary document in course of the contract and was not intended to be an end-all-be-all contract between the parties, it did not create contractual obligations or legal relationship between them.
42. It goes without saying that the scope of inquiry at the stage of Section 11 is extremely limited and only pertains to an examination about *prima facie* existence of an arbitration agreement. Judicial

Supreme Court Reports

non-interference in the arbitration process is the sacrosanct principle which guides alternative dispute resolution and Courts must be highly circumspect in interfering at the referral stage, especially since there is no appeal available in the 1996 Act against an order under Section 11. The Arbitral Tribunal, in exercise of its jurisdiction under Section 16 must be left to decide on its jurisdiction. The Courts should follow the principle of 'When in doubt, do refer' and lean towards referring matters to arbitration when the arbitration agreement is *prima facie* existent. However, it is only in the rarest of rare cases where even on a *prima facie* view, without going into disputed facts between the parties, there appears to be no existence of arbitration agreement between the parties, the Court can reject the application for appointment of an arbitrator and reference of the parties to arbitration. The instant case appears to be a fit case where, as discussed, even without going into the disputed facts and merely on a *prima facie* view of the matter, there is no existence of arbitration agreement and therefore, the decision of the High Court to appoint an arbitrator requires interference.

43. As an upshot of the above discussion, the instant appeal deserves to be allowed and the order impugned passed by the High Court stands set aside. The Respondent is given the liberty to pursue other alternative remedies in accordance with law, if any, available to it. All interim application(s) shall be treated to be disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Divya Pandey

The State of Kerala
v.
M. Vijayakumar & Ors.

(Civil Appeal No(s). 4347-4348 of 2026)

10 April 2026

[Manoj Misra* and Prasanna B. Varale, JJ.]

Issue for Consideration

If Dearness Allowance (DA) and Dearness Relief (DR) are to be added on salary and pension payable to serving employees and retired employees, respectively, whether there could be a higher rate for enhancement of DA than what it is for DR.

Headnotes[†]

Constitution of India – Art.14 – Dearness Allowance and Dearness Relief – Retired employees of KSRTC filed a writ petition questioning the lower rate fixed for enhancement of DR on pension than what was fixed for enhancement of DA on salary – Their grievance was that the serving employees got enhancement of DA by 14 per cent whereas the pensioners’ DR was enhanced by 11 per cent – They claimed violation of Art.14 of the Constitution – The Single Judge of the High Court dismissed the writ petitions – However, the Division Bench of the High Court held that benefit extended was discriminatory and violative of Art.14 of the Constitution – Whether the High Court was justified in holding the same to be discriminatory and violative of Art.14:

Held: The object and purpose of dearness allowance/dearness relief is to mitigate the hardship faced by salaried employees/pensioners on account of inflation – The Government Order in question increases the rate of DA by 14% and DR by 11% even though the increase is to serve a common object, which is to mitigate the hardship faced by the serving employees and pensioners on account of inflation – Indisputably, inflation hits both serving and retired employees with equal force, therefore, differentiating the two *qua* the rate of increase of DA and DR, has no rational nexus to the object sought to be achieved – Therefore, the High Court was justified in holding the same to be discriminatory and violative of Article 14. [Paras 25, 26]

* Author

Supreme Court Reports

Constitution of India – Art.14 – Test of reasonable classification – Burden of proof:

Held: Art.14 of the Constitution forbids class legislation but permits reasonable classification which must satisfy twin tests: (1) that the classification must be founded on an intelligible differentia which distinguishes those that are grouped together from others, and (2) that differentia must have rational nexus with the object sought to be achieved by the Act – The differentia which is the basis of the classification and the object of the Act are distinct things and what is necessary is that there must be a nexus between the two – Legislative and executive action may accordingly be sustained if it satisfies the twin tests of reasonable classification and the rational principle correlated to the object sought to be achieved – The burden of proof lies on the State to affirmatively establish that these twin tests have been satisfied – The State must therefore not only establish the rational principle on which classification is founded but correlate it to the objects sought to be achieved. [Para 22]

Constitution of India – Art.14 – Concept of Equality – Equality is antithetic to arbitrariness – Discussed. [Para 22]

Case Law Cited

Ajay Hasia and Others v. Khalid Mujib Sehravardi and Others [1981] 2 SCR 79 : (1981) 1 SCC 722; *State of Punjab & Ors. v. Davinder Singh & Ors.* [2024] 8 SCR 1321 : (2025) 1 SCC 1 – **relied on.**

Kallakkurichi Taluk Retired Officials Association, Tamil Nadu and Ors. v. State of Tamil Nadu [2013] 4 SCR 883 : (2013) 2 SCC 772; *State of West Bengal v. Anwar Ali Sarkar* [1952] 1 SCR 284 : (1952) 1 SCC 1; *Budhan Choudhary & Others v. State of Bihar* [1955] 1 SCR 1045 : (1954) 2 SCC 791; *E.P. Royappa v. State of Tamil Nadu and Another* [1974] 2 SCR 348 : (1974) 4 SCC 3 – **referred to.**

The Managing Director of KSRTC v. M. Venugopalan Nair, W.A. No.176/2014; : *M. Venugopalan Nair vs. The Chairman and Managing Director, KSRTC, Writ Petition (C) No. 13798/2012* – **referred to.**

T.N. Electricity Board v. R. Veerasamy & Ors. [1999] 2 SCR 221 : (1999) 3 SCC 414; *State of Punjab and Ors. v. Amar Nath Goyal*

The State of Kerala v. M. Vijayakumar & Ors.

and Ors. [2005] Supp. 2 SCR 549 : (2005) 6 SCC 754; *State of Rajasthan and Anr. v. Amrit Lal Gandhi and Ors.* [1997] 1 SCR 121 : (1997) 2 SCC 342; *Chairman & MD, Kerala SRTC v. K.O. Varghese and Ors.* [2007] 8 SCR 164 : (2007) 8 SCC 231; *Himachal Road Transport Corporation and Anr. v. Himachal Road Transport Corporation Retired Employees Union* [2021] 2 SCR 104 : (2021) 4 SCC 502 – held inapplicable.

List of Acts

Constitution of India.

List of Keywords

Dearness Allowance; Dearness Relief; Arbitrary action; Object of Dearness allowance and Dearness relief; Burden of Proof; Twin tests of reasonable classification; Mitigate the hardship; Concept of Equality; Pensioners; Employees; Enhancement of DA/DR; Inflation; Inflationary pressures.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s). 4347-4348 of 2026

From the Judgment and Order dated 22.11.2022 of the High Court of Kerala at Ernakulam in WA Nos. 131 and 202 of 2022

With

Civil Appeal No. 4349 of 2026

Appearances for Parties

Advs. for the Appellant(s):

P.V. Dinesh, Jaideep Gupta, Sr. Advs., Deepak Prakash, Nachiketa Vajpayee, Ms. Divyangna Malik, Ms. Jyoti Pandey, Rahul Suresh, Ms. Shivangi Rajawat, Chetan Jadon, Ms. Anna Oommen, C. K. Sasi, Ms. Meena K Poullose, Riddhi Bose, Ms. Racheeta Chawla, Ms. Sampriti Bakshi, Siddharth Banerjee.

Advs. for the Respondent(s):

V. Chitambareash, Sr. Adv., Vipin Nair, Aditya Narendranath, Mohd Aman Alam, Ms. M. B. Ramya, Ms. Deeksha Gupta, C. K. Sasi, Ms. Meena K Poullose, Deepak Prakash.

Supreme Court Reports**Judgment / Order of the Supreme Court****Judgment****Manoj Misra, J.**

1. Leave granted.
2. These two appeals impugn a common judgment and order of the High Court of Kerala at Ernakulam¹ dated 22.11.2022 passed in Writ Appeal Nos.131 and 202 of 2022 which arose from W.P. (C) No.12062 of 2021 and W.P. (C) No.6411 of 2021. As these appeals impugn a common judgment, they were heard together and are being decided by a common judgment.

ISSUE

3. The short question posited for our consideration in these appeals is: *If dearness allowance² and dearness relief³ are to be added on salary and pension payable to serving employees and retired employees, respectively, whether there could be a higher rate for enhancement of DA than what it is for DR?*

FACTS

4. Retired employees of Kerala State Road Transport Corporation⁴ filed a writ petition questioning the lower rate fixed for enhancement of DR on pension than what was fixed for enhancement of DA on salary. Their grievance was that the serving employees got enhancement of DA by 14 per cent whereas the pensioners' DR was enhanced by 11 per cent. Claiming that there was no rationale for different rates, and the same violated the mandate of Article 14⁵ of the Constitution of India⁶, writ petitions were filed before a Single Judge of the High Court.

1 The High Court

2 DA

3 DR

4 KSRTC

5 **Article 14.** – The State shall not deny to any person equality before the law or the equal protection of the laws within the territory of India.

6 Constitution

The State of Kerala v. M. Vijayakumar & Ors.

5. The learned Single Judge, *vide* order dated 14.12.2021, dismissed the writ petitions holding that serving employees and pensioners do not constitute one class, and therefore, different rates of enhancement are permissible.
6. Aggrieved by the order of the learned Single Judge, intra court appeals were filed before a division bench of the High Court.
7. The Division Bench, after considering the submissions, formulated the following question for its consideration:

“Whether, after having taken a decision to extend the benefits of the order of the State Government declaring the enhancement of DA/DR to its employees and pensioners, to the KSRTC and its employees and pensioners, the State Government/KSRTC could effect a classification between the employees and pensioners of KSRTC for the purposes of granting the DA/DR at differential rates?”

8. After considering several decisions of this Court, the High Court held as under:

“15. The principles that can be gleaned from the aforesaid decision, when applied in the context of the cases before us, compel us to hold that the action of the State and the KSRTC in restricting the benefit of enhancement of DR to the pensioners of KSRTC to 109 % with effect from March, 2021, while extending the benefit of enhanced DA to its employees @ 112 % with effect from March, 2021, is to be seen as discriminatory and violative of Article 14 of our Constitution. It cannot be disputed that a valid classification must be justified *vis-a-vis* the object that is sought to be achieved through the measure that is adopted by the Government. In the cases before us, the object of extending an enhanced rate of DA/DR was essentially to balance the effects of ongoing inflation so as to ensure that the inflation does not interfere with the enjoyment of life to which an employee /pensioner is accustomed. Through the payment of the allowances in question, the objective aforesaid was to be attained, both in respect of employees

Supreme Court Reports

as well as the pensioners. A restriction of the enhanced benefit to employees alone to the exclusion of pensioners on the specious plea of reasonable classification, appears to us to be violative of the equality clause enshrined in our Constitution. As already noticed, while it was open to the State Government / KSRTC to take into account the possible financial burden that would be fastened on them through the grant of enhanced DA/DR, while deciding whether or not to grant the said benefit to the employees / pensioners of KSRTC, once they decided to extend the benefit to the said employees/pensioners, there could not be discrimination between them in the course of implementation of the decision. It is trite that the question as to whether a classification is reasonable or not must necessarily be tested against the object sought to be achieved for which the classification is held. In the instant cases, and *vis-a-vis* the particular object that was sought to be achieved through the grant of enhanced DA/DR, we feel that a classification between employees and pensioners was not justified. Thus, we find ourselves unable to sustain the impugned judgment of the learned Single Judge. We set aside the same, and allow the Writ Appeals and the Writ Petitions, with consequential reliefs to the appellants herein.”

9. Aggrieved by the decision of the Division Bench of the High Court, the State of Kerala and KSRTC have separately filed appeals before us.
10. We have heard Mr. Jaideep Gupta, learned senior counsel, for the State of Kerala; Mr. P.V. Dinesh, learned senior counsel, for KSRTC; and Mr. V. Chitambaresh, learned senior counsel, for the retired employees (respondents).

SUBMISSIONS ON BEHALF OF THE STATE

11. On behalf of the State, it was submitted that retired employees and serving employees constitute different classes. Therefore, different rates for DA /DR *qua* two separate classes do not violate the right to equality as enshrined in Article 14 of the Constitution. Besides, financial reasons alone can justify different rates for two separate classes.

The State of Kerala v. M. Vijayakumar & Ors.**SUBMISSIONS ON BEHALF OF KSRTC**

12. Learned counsel representing KSRTC adopted the submissions made on behalf of the State of Kerala and added that KSRTC is facing a resource crunch, therefore, considering its financial health, a conscious decision was taken to provide dearness relief to the pensioners at a rate lesser than the one at which dearness allowance is to be provided to the serving employees.

DECISIONS CITED ON BEHALF OF APPELLANT(S)

13. In support of their submissions, the learned counsel for the State and KSRTC have cited following decisions:
 - i. ***T.N. Electricity Board vs. R. Veerasamy & Ors***⁷. Therein the question that arose for consideration was “*whether the appellant Board acted illegally or contrary to law in introducing the pension scheme to the employees, who were hitherto not governed by such pension scheme, prospectively from 01.07.1986. That is, whether the employees who retired before 01.07.1986 after receiving all retiral benefits available to them as per the law existing on their dates of retirement, can compel the appellant/ Board to extend the benefit of newly introduced pension scheme with retrospective effect*”. Upholding the Board’s decision, this court held that the employees who retired before 01.07.1986 cannot compel the appellant/Board to extend the benefit of the newly introduced pension scheme with retrospective effect. While holding so, this Court accepted the explanation of the Board that there were financial constraints in making the scheme applicable to all.
 - ii. ***State of Punjab and Ors. vs Amar Nath Goyal and Ors.***⁸ Therein the Government took a decision that those who retired or died on or after 01.04.1995 were entitled to get retirement gratuity/ death gratuity on the basis of addition of certain portion of the dearness allowance to the basic pay. The employees who retired prior to 01.04.1995, being deprived of its benefits, laid a challenge to such deprivation. Negating the challenge,

7 (1999) 3 SCC 414

8 (2005) 6 SCC 754

Supreme Court Reports

this Court held that financial and economic implications are very relevant and germane for any policy decision touching the administration of the Government. Therefore, the decision of the Government, after assessing the financial implications thereof, to limit the benefits only to employees who retired, or died, on or after 01.04.1995, was neither irrational nor arbitrary.

iii. ***State of Rajasthan and Anr. vs. Amrit Lal Gandhi and Ors.***⁹

Therein the validity of the cut-off date from which the pension scheme was made applicable was under challenge. As per the decision of the Government, the scheme was made applicable with effect from 01.01.1990. The challenge laid to the said cut-off date was accepted by the High Court and a direction was issued to make it applicable from 01.01.1986 as the recommendations were forwarded in 1986. This Court set aside the order of the High Court holding that recommendations made in 1986 did not contain a specific date with effect from which the pension scheme was to be made applicable. Moreover, the recommendations were subject to approval. Additionally, the Court accepted the explanation of the State that the decision for the cut-off date of 01.01.1990 was “wholly economic”. Besides, it was observed that “*financial impact of making the regulations retrospective can be the sole consideration while fixing a cut-off date.*”

iv. ***Chairman & MD, Kerala SRTC vs. K.O. Varghese and Ors.***¹⁰

In this case, the issue was regarding the decision to defer release of the benefits of 5th Pay Commission to the pensioners of KSRTC. The Government of Kerala had authorized KSRTC to pay pension to its employees as per the Kerala Service Rules. Pursuant thereto, KSRTC took a decision to pay pension to all those employees who retired after 01.04.1984, subject to fulfilling certain conditions. When 5th Pay Commission recommendations were accepted by the State Government, due to precarious financial position of KSRTC, a decision was taken to implement only some of the recommendations with effect from 01.11.1986. Further, the implementation of the recommendations of 5th Pay Commission relating to pension and allied matters

9 (1997) 2 SCC 342

10 (2007) 8 SCC 231

The State of Kerala v. M. Vijayakumar & Ors.

was deferred. Some of the employees of KSRTC filed a writ petition in the High Court challenging non-implementation of the recommendations. Those writ petitions were disposed of with direction to the Government to take a policy decision on whether the benefits of 5th Pay Commission recommendations should be extended to the pensioners of KSRTC. Pursuant thereto, a decision was taken by the State Government deferring the implementation of the recommendations for better times. The matter ultimately came to this Court. This Court held that KSRTC is an autonomous corporation established under the Road Transport Corporations Act, 1950. It can regulate the service conditions of its employees by making appropriate regulations in that behalf. Until such regulations are framed, it is entitled to take note of its financial health in considering whether a particular recommendation for enhanced pay or pension in respect of government employees should be adopted by it, and if it is to be adopted by it, from what point of time. Additionally, it was observed that financial condition of a corporation like KSRTC is a relevant factor. Consequently, this Court upheld the decision of KSRTC to defer the implementation of 5th Pay Commission recommendations.

- v. ***Himachal Road Transport Corporation and Anr. vs. Himachal Road Transport Corporation Retired Employees Union***¹¹. Therein, this Court held that employees who were governed by CPF scheme and retired prior to 05.06.1995 by availing benefit of the scheme and employees who were in service and continued after 05.06.1995 cannot be treated as a homogenous class. Besides, fixing the cut-off date is an executive function based on several factors like economic conditions, financial constraints, administrative and other circumstances. This Court also observed that it is always open for the employer to introduce new schemes and benefits, having regard to financial health of the employer. It was further observed that whenever such new benefit is extended for the existing employees, retired employees cannot seek such benefit merely on the ground that they too were the former employees of the Corporation.

Supreme Court Reports

14. By relying on the aforesaid decisions, it was contended that serving and retired employees cannot be equated and financial decisions are not amenable to challenge, as the employer is the best judge of which scheme is to be brought and implemented, and to what extent.

SUBMISSIONS ON BEHALF OF THE RETIRED EMPLOYEES/RESPONDENTS

15. On behalf of the pensioners, it was submitted that this is not a case where eligibility to pension or dearness relief is in issue. The State Government has authorized KSRTC to give pensionary benefits to its employees. Pursuant thereto, KSRTC has taken a conscious decision to pay pension to its employees. Therefore, there is no doubt regarding eligibility to pension, and there is no dispute that DR, which is linked to inflation, is payable to pensioners. However, the issue is whether DR could be enhanced at a rate lower than at which DA is enhanced for the serving employees. In that context, it is submitted that the object of DA as well as DR is to ensure that serving employees / pensioners do not suffer on account of inflation. But since inflation is common for both serving and non-serving/retired employees, there is no rationale for differential rates. Hence, the High Court's decision does not warrant any interference.
16. In support of his submissions, the learned counsel for the petitioner relied on:
 - (i) ***Kallakkurichi Taluk Retired Officials Association, Tamil Nadu and Ors. vs. State of Tamil Nadu.***¹² In this case, it was observed that the object of extending DA and Dearness Pay, which is equivalent to DR, to employees / retired employees is to balance the effects of ongoing inflation. Since the component of inflation similarly affects all employees and all pensioners irrespective of the date of their entry into service or retirement, it is not per se possible to accept different levels of dearness pay to remedy the malady of inflation.
 - (ii) Kerala High Court judgment in ***Writ Petition (C) No.13798/2012: M. Venugopalan Nair vs. The Chairman and Managing Director, KSRTC***, dated 03.07.2013. Therein it was held as follows:

The State of Kerala v. M. Vijayakumar & Ors.

“Learned Standing Counsel contended that the serving employees and retired employees are two different and distinct classes. Once KSRTC takes a decision to disburse such benefits to distinct classes on different dates, no discrimination can be attributed, is the contention. It is to be accepted that serving employees and pensioners fall within two distinct and different categories. But question to be considered is as to whether the decision for giving benefits on different dates among those categories is justified or not. When it comes to the question of sustainability or justification of such decision, the objective has to be looked into. Merely because they fall within two categories, there cannot have different yardsticks in the matter of payment of benefits. Once KSRTC takes a decision to implement the revision of D.A., the same should have been uniformly applied. Unless there is any nexus with any objective sought to be achieved, no justifiable reasoning can be there for the differentiation among the two categories, and in such situation, it will amount to discrimination. Therefore, I am of the view that there is justification in the claim made by the petitioner seeking declaration for uniform treatment.”

- (iii) Division bench decision of the Kerala High Court in ***W.A. No. 176/2014: The Managing Director of KSRTC vs. M. Venugopalan Nair***, dated 09.02.2017. In this case, the High Court had observed:

“Though serving employees and pensioners fall under two distinct and different categories, there cannot be different yardsticks in the matter of payment of benefits on revision of DA. Once the appellant corporation takes a decision to implement the revision of DA the same should have been uniformly applied. Unless there is any nexus with any objective sought to be achieved, no justifiable reasoning can be there for the differentiation among the two categories, and in such situation, it will amount to discrimination.”

Supreme Court Reports

17. Relying on the above decisions, the learned counsel for the respondents submitted that as KSTRC had taken a decision to provide DR to meet inflationary pressure, there was no justification to have a different rate for increase of DR than what it is for DA, when the inflation index is common.

REJOINDER SUBMISSIONS

18. In his rejoinder submission, learned counsel for the State invited our attention to paragraph 37 of the judgment in ***Kallakkurichi Taluk (supra)***, wherein it was observed as follows: -

“37. The issue in hand needs to be examined from another perspective as well. It must be clearly understood that no employee has a right to draw “dearness allowance” as “dearness pay” till such time as the State Government decides to treat “dearness allowance” as “dearness pay”. And therefore, the State Government has the right to choose whether or not “dearness allowance” should be treated as “dearness pay”. As such, it is open to the State Government not to treat any part of “dearness allowance” as “dearness pay”. In case of financial constraints, this would be the most appropriate course to be adopted. Likewise, the State Government has the right to choose how much of “dearness allowance” should be treated as “dearness pay”. As such, it is open to the State Government to treat a fraction, or even the whole of “dearness allowance” as “dearness pay”. Based on Rule 30 of the Pension Rules, it is clear that the component of “dearness pay” would be added to emoluments of an employee for calculating pension. In a situation where the State Government has chosen, that a particular component of “dearness allowance” would be treated as “dearness pay”, it cannot discriminate between one set of pensioners and another, while calculating the pension payable to them (for the reasons expressed in the preceding paragraphs). Of course, a valid classification may justify such an action. In this case, the State Government has not come out with any justification/basis for the classification whereby one set of pensioners has been distinguished from others for differential treatment.”

The State of Kerala v. M. Vijayakumar & Ors.

19. We have considered the rival submissions and have perused the materials on record.

DISCUSSION

20. Before we dwell on the question framed above, it would be apposite to have a glimpse at the undisputed facts. There is no dispute *inter se* parties that the State of Kerala, *vide* G.O. (Rt) No.98/2021/TRANS dt. 25.02.2021, to meet inflationary pressures had sanctioned a certain sum of money, by way of temporary relief, while enhancing DA to 112% (an increase of 14%) for KSRTC employees and DR to 109% (an increase of 11%) for pensioners, effective March 2021. Thus, what is clear is that DR is payable to pensioners of KSRTC and the same is to be increased from time to time. The issue is that why should DR be raised at 11% when DA has been raised at 14%, when both are linked to inflation index.
21. DA is paid to serving employees whereas DR is paid to pensioners. The object of both DA and DR is common, which is to enable the serving employees /pensioners meet the exigencies of inflation. As the object of both DR/ DA is common, which is to meet inflationary pressures, and the inflation index is common to both the serving and the non-serving/ retired employees, *qua* the measure, that is, the rate(s) of increase of DA/ DR, could serving and retired employees be differentiated, is the issue which we shall address.
22. Article 14 of the Constitution forbids class legislation but permits reasonable classification which must satisfy twin tests: (1) that the classification must be founded on an intelligible differentia which distinguishes those that are grouped together from others, and (2) that differentia must have rational nexus with the object sought to be achieved by the Act – The differentia which is the basis of the classification and the object of the Act are distinct things and what is necessary is that there must be a nexus between the two.¹³ Legislative and executive action may accordingly be sustained if it satisfies the twin tests of reasonable classification and the rational principle correlated to the object sought to be achieved. The burden of proof lies on the State to affirmatively establish that these twin tests

¹³ See: (1952) 1 SCC 1 : 1952 SCC OnLine SC 1 : State of West Bengal v. Anwar Ali Sarkar; (1954) 2 SCC 791 : 1954 SCC OnLine SC 19 : Bhudhan Choudhary & Others v. State of Bihar

Supreme Court Reports

have been satisfied. The State must therefore not only establish the rational principle on which classification is founded but correlate it to the objects sought to be achieved¹⁴. Besides, equality is a dynamic concept with many aspects and dimensions, and it cannot be cribbed, cabined and confined within traditional and doctrinaire limits. From a positivistic point of view, equality is antithetic to arbitrariness. In fact, equality and arbitrariness are sworn enemies; one belongs to the rule of law in a republic while the other, to the whim and caprice of an absolute monarch. Where an act is arbitrary, it is implicit in it that it is unequal both according to political logic and constitutional law and is therefore violative of Article 14, and if it affects any matter relating to public employment, it is also violative of Article 16. Articles 14 and 16 strike at arbitrariness in State action and ensure fairness and equality of treatment. They require that State action must be based on valid relevant principles applicable alike to all similar situate and it must not be guided by any extraneous or irrelevant considerations because that would be denial of equality¹⁵.

23. In *Ajay Hasia and others v. Khalid Mujib Sehravardi and others*¹⁶, this Court observed that doctrine of classification is the judicial formula for determining whether the legislative or executive action in question is arbitrary and therefore constituting denial of equality. If the classification is not reasonable and does not satisfy the two conditions referred to above, the impugned legislative or executive action would plainly be arbitrary and the guarantee of equality under Article 14 would be breached. Wherever therefore there is arbitrariness in State action whether it be of the legislature or of the executive or of an authority under Article 12, Article 14 immediately springs into action and strikes down such State action.
24. In *State of Punjab & Ors. v. Davinder Singh & Ors*¹⁷, Dr. D.Y. Chandrachud, C.J. (as His Lordship then was), while explaining the contours of Article 14, wrote:

“85. The Constitution permits valid classification if two conditions are fulfilled. *First*, there must be an intelligible

14 (1983) 1 SCC 305 : D.S. Nakara & Others v. Union of India, paragraphs 15 and 16

15 (1974) 4 SCC 3 : E.P. Royappa v. State of Tamil Nadu and Another, paragraph 85.

16 (1981) 1 SCC 722, paragraph 16

17 (2025) 1 SCC 1

The State of Kerala v. M. Vijayakumar & Ors.

differentia which distinguishes persons grouped together from others left out of the group. The phrase “intelligible differentia” means difference capable of being understood. The difference is capable of being understood when there is a yardstick to differentiate the class included and others excluded from the group. In the absence of the yardstick, the differentiation would be without a basis and hence, unreasonable. The basis of classification must be deducible from the provisions of the statute; surrounding circumstances or matters of common knowledge. In making the classification, the State is free to recognize degrees of harm. Though the classification need not be mathematical in precision, there must be some difference between the persons grouped and the persons left out, and the difference must be real and pertinent. The classification is unreasonable if there is little or no difference. Second, the differentia must have a rational relation to the object sought to be achieved by the law, that is, the basis of classification must have a nexus with the object of the classification”.

(Emphasis supplied)

25. Now, applying the twin-tests principle, we shall test the validity of the Government Order to the extent it provides a lower rate of increase for DR than what it provides for DA. The object and purpose of dearness allowance/dearness relief is to mitigate the hardship faced by salaried employees/pensioners on account of inflation. The Government Order in question increases the rate of DA by 14% and DR by 11% even though the increase is to serve a common object, which is to mitigate the hardship faced by the serving employees and pensioners on account of inflation. Indisputably, inflation hits both serving and retired employees with equal force, therefore, differentiating the two *qua* the rate of increase of DA and DR, in our view, has no rational nexus to the object sought to be achieved.
26. The issue here is not about entitlement to DR on pension. Therefore, in our view, the decisions cited by the learned counsel for the appellants are not applicable on the facts of the case on hand. Besides, once pension is admissible and, based on inflation, DR is admissible on it, announcing DR at a rate lower than at what DA is provided, when

Supreme Court Reports

both are linked to inflation and serve a common object, would be nothing but discriminatory as well as arbitrary. Therefore, in our view, the High Court was justified in holding the same to be discriminatory and violative of Article 14.

27. The decisions cited by the learned counsel for the State as well as KSRTC do not deal with a situation where there is no dispute as regards entitlement to the benefit in question. Here, the retired employees are not only entitled to pension but also dearness relief, which is revisable from time to time, based on inflation. Thus, the issue is not of entitlement to the benefit but of differential rates at which those benefits are provided, dependent on whether the recipient is a serving or a retired employee. In our view, when those benefits serve a common purpose and are linked to inflation, and inflationary pressures do not discriminate between a serving employee and a pensioner, fixing different rates of enhancement of dearness allowance and dearness relief have no rational nexus to the object sought to be achieved and is clearly discriminatory as well as arbitrary.
28. No doubt a financial crunch might be a guiding factor to defer disbursement of certain benefits or may justify separate dates for implementation of beneficial schemes. But once a decision is taken to provide certain allowances as also to increase them, based on inflation, fixing a higher rate of increase for the ones who are serving than the ones who have retired, would be arbitrary and violative of Article 14 of the Constitution. The question posited above, is answered accordingly.
29. As a result, we do not find any merit in these appeals. The same are accordingly dismissed. Pending application (s), if any, shall stand disposed of. There is no order as to costs.

Result of the case: Appeals dismissed.

Kamal Prasad Dubey
v.
The State of Madhya Pradesh and Others

(Civil Appeal No(s). 4350-4351 of 2026)

10 April 2026

[Prashant Kumar Mishra and N.V. Anjaria,* JJ.]

Issue for Consideration

Whether the Division Bench of the High Court in its impugned order misdirected itself in its approach and reasoning to reverse the judgment of Single Judge for all the stated facts, reasons and circumstances, the non-acceptance of the case of the appellant for promotion to the post of Society Manager.

Headnotes[†]

Madhya Pradesh Cooperative Societies Act, 1960 – Appellant having experience 28 years of working in the Society, came to be appointed as *Sahayak Samiti Sevak* vide order dated 02.09.1987, on permanent basis – He had passed the Higher Secondary School Examination – In view of experience of the appellant, respondent no.5-Society passed a resolution dated 26.02.2014 deciding and resolving to promote the appellant from the post of *Sahayak Samiti Prabandhak* to *Samiti Prabandhak* (Society Manager) – Respondent no. 5-Society in its meeting held on 02.07.2015 passed a resolution recommending the grant of relaxation in the educational qualification of the appellant for the purpose of promotion to the post of Society Manager – However, the Registrar rejected the proposal made by the Board of Directors which was also approved by the General Body, taking a stance that relaxation could not have been granted – The Single Judge of the High Court directed respondent no. 2-Registrar to pass order extending the benefit of relaxation in the educational qualification granting promotion to the appellant – The Division Bench of the High Court held that the Registrar was right in declining to grant the relaxation – Correctness:

* Author

Supreme Court Reports

Held: The Registrar, in approving two other employees for promotion and negating and discarding the case of the appellant though all the three cases were attended by similar circumstances, acted arbitrarily – In the same way stands the case of the appellant who was also otherwise qualified and eligible, by extending the provision for relaxation in educational qualification, to be promoted to the post of Society Manager to sail in the same boat with the said two similarly situated employees – Thus, the case of the appellant is not one that the appellant seeks parity and equality for promotion with ineligible or that he is not fit to be promoted – While on one hand, the Division Bench of the High Court in its impugned order recorded that the Registrar was within his jurisdiction to refuse the relaxation, it specifically observed in the previous paragraph of the impugned order that at the relevant time, the discretion for granting relaxation was vested with the Board of Directors of the society and not with the Registrar – The reasoning in the impugned order amounted to a clear contradiction – The equal treatment came to be denied to the appellant to his discrimination – It is to be noted that the appellant now holds the degree of M.A. and has also successfully completed the diploma in computers – The impugned order passed by the Division Bench of the High Court is unsustainable in law. [Paras 7.1, 7.2, 8.2, 9.1, 9.3, 10]

List of Acts

Madhya Pradesh Cooperative Societies Act, 1960; Constitution of India.

List of Keywords

Service Law; Promotion; Educational Qualification; Equal treatment; Concept of equality; Doctrine of equality.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s). 4350-4351 of 2026

From the Judgment and Order dated 11.11.2019 and 17.12.2019 of the High Court of Madhya Pradesh Principal Seat at Jabalpur in WA No. 1758 of 2019 and RP No. 1665 of 2019, respectively.

Kamal Prasad Dubey v. The State of Madhya Pradesh and Others**Appearances for Parties**

Advs. for the Appellant(s):

Ms. Ruchi Gupta, Anirudh Sharma.

Advs. for the Respondent(s):

Abhimanyu Singh Ga, Yashraj Singh Bundela, Mrs. Pratima Singh, Arpit Garg, Ms. Sakshi, Chand Qureshi, Vijay Kumar, Sundeep Pandhi, Nand Ram.

Judgment / Order of the Supreme Court**Judgment**

N.V. Anjaria, J.

Leave granted.

2. Discrimination is the other name of injustice.
 - 2.1 The challenge in these appeal addressed by the appellant-original petitioner to the order dated 11.11.2019 passed by the Division Bench of the High Court of Madhya Pradesh, Jabalpur, allowing Writ Appeal No. 1758 of 2019, and to order dated 17.12.2019 dismissing the corresponding Review Petition No. 1665 of 2019, deserves to be considered in light of the above principle.
 - 2.2 The appellant filed Writ Petition No. 12814 of 2016 before learned Single Judge of the High Court in which he challenged order dated 07.06.2016 passed by the Commissioner-cum-Registrar, Cooperative Societies, Bhopal-respondent No. 2 herein, whereby the request of respondent No. 5- Primary Agricultural Cooperative Society for relaxing the educational qualification of the appellant for the promotion to the post of Society Manager came to be rejected.
 - 2.3 Learned Single Judge of the High Court, by his order dated 22.01.2019, allowed the Writ Petition, setting aside the aforementioned order dated 07.06.2016, and directed respondent No. 2-Registrar to pass order extending the benefit of relaxation in the educational qualification granting promotion to the appellant.

Supreme Court Reports

- 2.4 The Division Bench, however took the view, as per the impugned order, that the discretion to grant the relaxation was with the Board of Directors of the society, and not with the Registrar and that the appellant since did not have the necessary qualification, the Registrar was right in declining to grant the relaxation.
- 2.5 It may be mentioned that this Court, in the present proceedings, by order dated 05.11.2020, directed that the appellant shall not be demoted, which has continued till date.
3. Outlining the attendant facts, the appellant who is presently posted as Manager, Primary Agriculture Credit Cooperative Society, Nayagaon, Panna District-respondent No. 5, a society registered under the Madhya Pradesh Cooperative Societies Act, 1960, and has the experience of 28 years of working in the Society, came to be appointed as *Sahayak Samiti Sevak* vide order dated 02.09.1987, on permanent basis.
- 3.1 The service conditions of the employees of the society are governed by the service rules framed by the Registrar of Cooperative Society in exercise of powers under Section 55(1) of the Madhya Pradesh Cooperative Societies Act, 1960. It was stated that the earlier Rules framed by order dated 09.10.1990 came to be substituted with new Rules on 30.08.2013, repealing the old Rules. The appellant was appointed as *Sahayak Samiti Sevak* by order dated 02.09.1987. He had passed the Higher Secondary School Examination conducted by the Board of Secondary Education, Madhya Pradesh, in the year 1984.
- 3.2 At the time when the appellant was appointed as *Samiti Sevak*, he was Higher Secondary passed, and had undergone various training programmes. By order dated 23.07.1996, he was deputed as Clerk in *Jila Sahkari Kendriya Bank*. In view of experience of the appellant, respondent No.5-Society passed a resolution dated 26.02.2014 deciding and resolving to promote the appellant from the post of *Sahayak Samiti Prabandhak* to *Samiti Prabandhak* (Society Manager).
- 3.3 One Mr. Sajid Ali was transferred on 19.06.2014 to respondent No.5-Society and came to be posted as *Samiti Prabandhak*, which was the post on which the appellant had already been working. In that view, when guidance was sought from the Registrar, by his communication dated 15.10.2015 the Registrar

Kamal Prasad Dubey v. The State of Madhya Pradesh and Others

accepted the recommendation made by the Assistant Registrar and allowed the appellant to continue on the post of Society Manager, having regard to his long work experience. It was provided that reasonable time may be given to him to acquire the necessary eligibility qualification of graduation as requisite under the new rules.

- 3.4 Respondent No. 5-Society in its meeting held on 02.07.2015 passed a resolution recommending the grant of relaxation in the educational qualification of the appellant for the purpose of promotion to the post of Society Manager, in light of the fact that under the old Rules, an employee possessing the educational qualification of Higher Secondary was eligible and that the appellant possessed such qualification, and further he had a long work experience. The General Body of the Society ratified the aforesaid resolution of the Board of Directors, in the General Body meeting held on 28.09.2015. However, the Registrar rejected the proposal made by the Board of Directors which was also approved by the General Body, taking a stance that relaxation could not have been granted.
- 3.5 It is the case of the appellant, based on admitted facts, that one Sushil Kumar Tripathi, who also held the qualification of Higher Secondary, was promoted by order dated 29.02.2016. Similarly, another employee named Ram Swaroop Pandey, also a Higher Secondary pass, came to be appointed as Society Manager on 12.12.2014, who had 20 years' work experience as against the work experience of more than 28 years to the credit of the appellant.
- 3.6 As stated, under the old rules prevailing at the time of the appointment of the appellant, the educational qualification prescribed for the purpose of promotion to the higher post of *Samiti Prabandhak* (Society Manager) was Higher Secondary. In the new Rules which came into force on 30.08.2013, any additional qualification for the promotion to the said post was not prescribed.
4. Heard learned advocate on record Ms. Ruchi Gupta with learned advocate Mr. Anirudh Sharma for the appellant and learned advocate Mr. Yashraj Singh Bundela for respondent Nos.1 to 4 and 6 and learned advocate Mr. Chand Qureshi for respondent No.5.

Supreme Court Reports

5. It is to be noted that when in the meeting of the Board of Directors of respondent No.5-Society passed resolution dated 02.07.2015 to consider the case of promotion of the appellant to the post of *Samiti Prabandhak* from the post of *Sahayak Samiti Prabandhak* and recommended him for promotion, several relevant considerations were taken into account as could be seen from the proceedings of the meeting figuring on record. It was noted in decision No.3 corresponding to proposal No.3 that no employee of the cadre of *Samiti Prabandhak* has been posted during the last 5 months and that due to the same, the work of the institution had been suffering.
 - 5.1 It was noted that the appellant had been working in the Institution since last 26 years, having been appointed on 02.09.1987, and that his track record was clean and no charge of irregularities of any kind was levelled against him. Further, it was recorded that as the society had been receiving satisfactory services since last 26-27 years from the appellant, who was the senior-most employee, he was unanimously recommended for promotion in the interests of smooth conduct and working of the society.
 - 5.2 While ratifying the recommendation of the Board of Directors, the General Body in its meeting held on 28.09.2015 expressly noted that the proposal of the Board of Directors to promote the appellant on the basis of his long work experience was justified, that he was rendering regular services for the last 28 years, and looking to his seniority, competence, and experience, the relaxation given in educational qualification was justified. It was unanimously decided by the General Body to submit the recommendation to the Commissioner-cum-Registrar, Cooperative Societies for his approval.
 - 5.3 It is to be noticed that the Registrar, by his communication dated 07.06.2016, which was the decision impugned in the writ petition, without assigning any reason and in a cryptic manner, rejected the proposal of the Board of Directors and the General Body for granting relaxation in the educational qualification to promote the appellant.
 - 5.4 The said communication dated 07.06.2016, whereby the proposal was filed, is extracted hereunder in its relevant part,

Kamal Prasad Dubey v. The State of Madhya Pradesh and Others

To,

The Chairman,
Primary Agriculture Credit Cooperative Society
Nayagaon District Panna M.P.

Subject: Regarding grant of relaxation in educational qualification to Shri Kamal Prasad Dubey posted as Samiti Prabandhak in the Society.

Reference:- Your Office Letter Number Q dated 15/10/2015,

Please peruse the letter under reference under the above mentioned subject. By the letter under reference, proposal to grant relaxation in the educational qualification to Shri Kamal Prasad Dubey Samiti Prabandhak as per the proposal number 5 Decision number 5 dated 02/07/2015 of the Board of directors has been forwarded.

After examining the same, the aforesaid proposal is filed.

(Approved by the Commissioner Cooperative)

Sd/- Illegible

Additional Commissioner
Cooperative, Madhya Pradesh

- 5.5 At this stage, Rule 19-A of the *Prathmic, Krishi Saakh Sahakari Sanstha, Vrihattakar Saakh Sahakari Sanstha, Adim Jati Sewa Sahakari Sewa Sanstha, Krishak Sewa Sahakari Sanstha Karmchari Sewa (Niyojan, Nibandhan, Tatha Karya Stithi) Niyam, 2013* may be considered with relevance. It *inter alia* provided that upon acquiring the prescribed qualification, promotion to the various classes of posts shall be granted to the employees. It was stated that from Class II to Class I, promotion to the post of *Samiti Prabandhak* from the post of *Sahayak Samiti Prabandhak/Accountant* would be granted. It was stated that for the purpose of promotion, minimum 5 years' tenure on the present post and acquiring of the prescribed educational qualification shall be compulsory requirement and that the criteria of promotion shall be seniority-cum-merit.
- 5.6 Proviso to said Rule 19A becomes relevant in the facts of the case, which reads as under,

Supreme Court Reports

‘Provided that on the basis of employee’s special experience/competence/seniority, relaxation in the educational qualification for promotion may be granted by the Registrar.’

- 5.7 Rule 11 of the aforesaid Rules, however, mentioned about eligibility criteria. It required that a person should have a graduation degree along with diploma/degree in computer application and further that a person holding graduation in Commerce and diploma/degree in Cooperative Management will be given preference. At the same time, as mentioned above, Proviso to Rule 19A contemplated about relaxation in the educational qualification to promote the employee on the post of *Samiti Prabandhak* on the basis of employees’ special experience/competence/seniority.
6. Recollecting at this stage the relevant facts, when the appellant was appointed as an Assistant Society Manager in the year 1987 by the Board of Directors of respondent No. 5-Society, the educational qualification necessary for the purpose of appointment to the Society Manager was Higher Secondary. This was as per the Rules in force at that time. From 30.08.2013 in the new Rules, the qualifications for the post of Society Manager were revised to requirement of graduation with diploma in computer, and it was further provided that the relaxation in such educational qualification could be granted by the Registrar to the employees who had been working for more than 5 years.
- 6.1 In light of the appellant’s experience of work, his case was recommended for promotion to the post of Society Manager by the Board of Directors and was approved and furthered by the General Body. The Registrar, by order dated 07.06.2016, did not grant the relaxation in educational qualification, refusing the recommendation of the Board of Directors and the General Body.
- 6.2 There is no gainsaying that at all material times, the power to grant relaxation was available and was vested with the Board of Directors. In the case of the appellant, it was the Board of Directors which passed the resolution granting the relaxation to the appellant, exercising the powers duly vested in it. The Registrar could not have disapproved the resolution, once it was validly passed by the Board of Directors, which was a competent authority exercising its powers.

Kamal Prasad Dubey v. The State of Madhya Pradesh and Others

7. In the entire scenario, what becomes conspicuous is that during the same period, two other employees named Sushil Kumar Tripathi and Ram Swaroop Pandey were recommended for promotion by the Board of Directors of the society and that the Registrar accepted those recommendations by his order. Both the above employees named Sushil Kumar and Ram Swaroop possessed the same qualification of Higher Secondary as that of the appellant at the time they were approved by the Registrar to be promoted upon recommendation by the Board of Directors.
 - 7.1 Sushil Kumar and Ram Swaroop could be grouped together to be the homogeneous class of persons to be approved for promotion, without inviting a breach of any law or statutory rule. The relaxation in educational qualification was permissible and the Board of Directors extended the same to the appellant in view of his long-standing service and work experience. The Registrar, in approving two other employees for promotion and negating and discarding the case of the appellant though all the three cases were attended by similar circumstances, acted arbitrarily.
 - 7.2 It is not that said Sushil Kumar and Ram Swaroop were not eligible to be promoted and yet they were promoted. In the same way stands the case of the appellant who was also otherwise qualified and eligible, by extending the provision for relaxation in educational qualification, to be promoted to the post of Society Manager to sail in the same boat with the said two similarly situated employees. Thus, the case of the appellant is not one that the appellant seeks parity and equality for promotion with ineligible or that he is not fit to be promoted. No concept of negative equality is attracted that the appellant is to be given equal treatment with those persons who are not eligible.
8. Learned Single Judge could rightly notice the equality aspect as observed thus,
 - ‘9. ...The respondents have also not denied the fact that other two persons namely Sushil Kumar Pandey and Ramswaroop Pandey, whose appointments have been placed on record as Annexure P-16 and P-17 have been given relaxation in their educational qualification. In view of the same this Court does not find any reason or justification to uphold the impugned order passed by the respondent

Supreme Court Reports

No.2 as reproduced herein above which is cryptic in nature and does not disclose any reason for rejection of relaxation in petitioner's educational qualification for the post of Society Manager as has been recommended by the respondent No.5 in their resolution. Thus on merits as also on the ground of parity, the petitioner is entitled for relaxation in his educational qualification for his promotion to the post of Society Manager.'

- 8.1 Even as the discriminatory treatment writ large in case of the appellant, the Division Bench, for no good reason, did not approve the finding of the learned Single Judge regarding discrimination. It was observed in paragraph 11 of the impugned order by the Division Bench that since the appellant did not have the necessary qualification to be promoted, the Registrar, Cooperative Societies, was well within his powers in declining to grant the relaxation, overlooking the fact that the relaxation was permissible under the rules itself.
- 8.2 While on one hand, the Division Bench of the High Court in its impugned order recorded that the Registrar was within his jurisdiction to refuse the relaxation, it specifically observed in the previous paragraph 10 of the impugned order that at the relevant time, the discretion for granting relaxation was vested with the Board of Directors of the society and not with the Registrar. The reasoning in the impugned order amounted to a clear contradiction.
9. While the Division Bench of the High Court in its impugned order misdirected itself in its approach and reasoning to reverse the judgment of Learned Single Judge for all the aforesaid facts, reasons and circumstances, the non-acceptance of the case of the appellant for promotion to the post of Society Manager, does not stand to reason, defies rationale, smothers reasonableness and does not hold good on merits.
- 9.1 The equal treatment came to be denied to the appellant to his discrimination. The facts obtained strikingly attract the tenets of Articles 14 and 16 of the Constitution, to violate the fundamental concept of equality in law and equal treatment in the matters of employment. Substantive justice and real justice is always subserved by applying the doctrine of equality.

Kamal Prasad Dubey v. The State of Madhya Pradesh and Others

- 9.2 In the year 2019, new Rules came into force. The educational qualification for the post of Society Manager came to be reframed to be lowered again and the requirement was re-enacted to Higher Secondary with one-year diploma in computer education. Order dated 01.11.2019, whereby the aforesaid qualification was provided for, figures on record, having been produced by the appellant. It further contemplated that if the person concerned does not possess the computer-related qualification, he would be granted one-year period to acquire such qualification.
- 9.3 It is to be noted that the appellant has attained the said qualification in the year 2020. The appellant now holds the degree of M.A. and has also successfully completed the diploma in computers.
10. In view of the foregoing reasons and discussion, the impugned order passed by the Division Bench of the High Court of Madhya Pradesh, Jabalpur is rendered unsustainable in law. Resultantly, order dated 11.11.2019 passed by the Division Bench of the High Court of Madhya Pradesh, Jabalpur in Writ Appeal No.1758 of 2019 and order dated 17.12.2019 in Review Petition No.1665 of 2019, are hereby set aside.
11. The Appeals stand allowed.
- In view of the disposal of the Appeals, the interlocutory applications, as may be pending, shall not survive.

Result of the case: Appeals allowed.

**Nitendra Kumar Tomer, Suspended Director,
Ambro Asia Private Limited**

v.

Unox S.P.A. and Another

(Civil Appeal No. 3607 of 2026)

10 April 2026

[Sanjay Kumar* and K. Vinod Chandran, JJ.]

Issue for Consideration

Once the prescribed limitation period u/s.61(2) of Insolvency and Bankruptcy Code, 2016 expired, whether it was open to the suspended director to take steps to convert the incompetent appeal and maintain an appeal in his own name.

Headnotes[†]

Insolvency and Bankruptcy Code, 2016 – ss.16, 17, 61 – A suspended director of Ambro Asia Private Limited, the corporate debtor, filed the present appeal u/s.62 of the Insolvency and Bankruptcy Code, 2016, aggrieved by the judgment dated 07.01.2026 passed by the NCLAT – By the said judgment, the NCLAT confirmed the order dated 18.04.2024 passed by the NCLT, admitting CP (IB) No. 722/ND/2021, an application filed u/s.9 of the Code by Unox S.P.A., an operational creditor, respondent no.1 – Earlier, the NCLAT had permitted the appeal to be prosecuted by the suspended director of the corporate debtor – Correctness:

Held: Once the interim resolution professional was named by the NCLT in the admission order, s.17(1)(a) of the Code would become operative – Therefore, with effect from the date of admission in the case on hand, *i.e.*, 18.04.2024, the management of the affairs of the corporate debtor, Ambro Asia Private Limited, stood vested in Interim Resolution Professional, and it was not open to the suspended director of the corporate debtor to file an appeal in the name of the corporate debtor, Ambro Asia Private Limited, claiming to be its director and authorized representative – The appeal as framed and filed on 24.04.2024 before the NCLAT was, therefore, wholly incompetent – It was not merely a ‘defective’ appeal as it was not maintainable in its very inception – The normal period of limitation

^{*} Author

**Nitendra Kumar Tomer, Suspended Director, Ambro Asia
Private Limited v. Unox S.P.A. and Another**

prescribed u/s.61(2) is 30 days but the proviso thereto permits the NCLAT to condone the delay of up to 15 days, if sufficient cause is shown for not filing the appeal within the prescribed period of 30 days – This being the legal position, the indulgence shown by the NCLAT on 12.08.2025 completely desecrated the aforestated statutory prescription – The suspended director of the corporate debtor, could have filed an appeal against the admission order dated 18.04.2024 only within the limitation period prescribed u/s.61(2) of the Code – The misconceived appeal filed by him in the name of the corporate debtor, Ambro Asia Private Limited, professing to be its director and authorized representative, was wholly incompetent and was not an appeal with a ‘curable’ defect, which could have been attended to at a later point of time – It was, therefore, not open to the said suspended director to seek modification of the cause title in this incompetent appeal – Unfortunately, the NCLAT lost sight of this aspect and treated the wholly incompetent appeal as a merely defective one, whereby it deemed it appropriate to grant time to the suspended director to amend the memo of the appeal – Once the prescribed limitation period u/s.61(2) expired, it was not open to the suspended director to take steps to convert the incompetent appeal and maintain an appeal in his own name – The NCLAT ought not to have permitted him to do so, whereby a time-barred appeal in the name of the suspended director was presented and entertained. [Paras 6, 7, 8]

Case Law Cited

Uday Shankar Triyar v. Ram Kalewar Prasad Singh and another [2005] Supp. 5 SCR 157 : (2006) 1 SCC 75; *Varun Pahwa v. Renu Chaudhary* [2019] 4 SCR 128 : (2019) 15 SCC 628; *Innovators Cleantech Pvt. Ltd. v. Pasari Multi Projects Pvt. Ltd.*, 2024 SCC OnLine NCLAT 909 – held inapplicable.

List of Acts

Insolvency and Bankruptcy Code, 2016.

List of Keywords

Corporate debtor; Operational creditor; Interim resolution professional; Limitation; Curable defect; Maintainability; Modification of cause title; Incompetent appeal; Suspended director; Amended memo of appeal; Section 61(2) of Insolvency and Bankruptcy Code, 2016.

Supreme Court Reports

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 3607 of 2026

From the Judgment and Order dated 07.01.2026 of the National Company Law Appellate Tribunal in CAAT(I) No. 931 of 2024.

Appearances for Parties

Advs. for the Appellant(s):

Rakesh Kumar Khanna, Sr. Adv., Abhishek Swarup, Manoj Swarup, Aditya Pushkar Khanna, Ms. Arushi Jindal, Govind Kashyap, S.S. Nehra, Chetan Sharma, M/s. Manoj Swarup And Co.

Advs. for the Respondent(s):

Rahul Chitnis, Savinder Singh, Parth Awasthi, Ms. Barnali Mukherjee, Hersh Desai, M/s. F.M. Associates.

Judgment / Order of the Supreme Court

Judgment

Sanjay Kumar, J.

1. Nitendra Kumar Tomer, a suspended director of Ambro Asia Private Limited, the corporate debtor, filed the present appeal under Section 62 of the Insolvency and Bankruptcy Code, 2016¹, aggrieved by the judgment dated 07.01.2026 passed by the National Company Law Appellate Tribunal, Principal Bench, New Delhi (*hereinafter*, 'the NCLAT'), in Company Appeal (AT) (Insolvency) No. 931 of 2024. By the said judgment, the NCLAT confirmed the order dated 18.04.2024 passed by the National Company Law Tribunal, New Delhi Bench (*hereinafter*, 'the NCLT'), admitting CP (IB) No. 722/ND/2021, an application filed under Section 9 of the Code by Unox S.P.A., an operational creditor, respondent No. 1 herein.
2. At the outset, we entertained a doubt as to how the appeal before the NCLAT had been filed in the name of the corporate debtor, Ambro Asia Private Limited, after admission of the Section 9 application by the NCLT, *vide* order dated 18.04.2024. Thereupon, we were informed that this aspect was taken note of by the NCLAT. Our attention was

¹ For short, 'the Code'

**Nitendra Kumar Tomer, Suspended Director, Ambro Asia
Private Limited v. Unox S.P.A. and Another**

drawn to the order dated 12.08.2025 passed by the NCLAT. Therein, the NCLAT noted that the appeal had been filed in the name of the corporate debtor whereas, after admission of the application under Section 9, the corporate debtor could be represented only by the interim resolution professional but the appeal, as instituted, was verified by Nitendra Kumar Tomer, a suspended director of the corporate debtor. The NCLAT further noted that an appeal in the name of the corporate debtor was not maintainable against an order of admission of an application under Section 9.

3. Having stated so, the NCLAT surprisingly went on to state that for the ends of justice, it deemed it appropriate to provide an opportunity to the appellant to amend the memo of appeal by filing an appropriate application and granted time. Thereafter, IA No. 4983 of 2025 was filed seeking amendment of the memo of appeal and the NCLAT allowed that application on 29.08.2025, permitting the appeal to be prosecuted by Nitendra Kumar Tomer, the suspended director of the corporate debtor. The appeal memo was taken on record, but we find that the final judgment dated 07.01.2026, presently under challenge before us, did not take note of the amended appeal memo and the judgment, as it stands, reflects the name of the corporate debtor as the appellant.
4. Having given thoughtful consideration to the matter, we are of the considered opinion that the NCLAT grossly erred in permitting a wholly incompetent appeal to be converted in the manner it was done. We may note that this incompetent appeal was filed on 24.04.2024 or thereabouts, assailing the order of admission dated 18.04.2024, and it was verified in the name of the corporate debtor, viz., Ambro Asia Private Limited, by Nitendra Kumar Tomer, claiming to be its director and authorized representative. However, respondent No. 2 in the appeal was none other than Piyush Moona, Interim Resolution Professional, who was appointed by the NCLT, *vide* the admission order dated 18.04.2024.
5. In this regard, reference may be made to Section 16 of the Code, titled 'Appointment and tenure of interim resolution professional'. Insofar as an application under Section 9 of the Code is concerned, Section 16(3) is of relevance and it reads as under: -

'(3) Where the application for corporate insolvency resolution process is made by an operational creditor and –

Supreme Court Reports

(a) no proposal for an interim resolution professional is made, the Adjudicating Authority shall make a reference to the Board for the recommendation of an insolvency professional who may act as an interim resolution professional;

(b) a proposal for an interim resolution professional is made under sub-section (4) of section 9, the resolution professional as proposed, shall be appointed as the interim resolution professional, if no disciplinary proceedings are pending against him.'

6. Section 17(1)(a) of the Code provides that, from the date of appointment of the interim resolution professional, the management of the affairs of the corporate debtor shall vest in the interim resolution professional. In the case on hand, it is clear that the application filed by Unox S.P.A. under Section 9 of the Code itself named the proposed interim resolution professional, as the order dated 18.04.2024, which is conveniently not placed on record along with this appeal, named Piyush Moona as the Interim Resolution Professional and he was, accordingly, shown as respondent No. 2 in the appeal filed before the NCLAT. Once the interim resolution professional was named by the NCLT in the admission order, Section 17(1)(a) of the Code would become operative. Therefore, with effect from the date of admission in the case on hand, i.e., 18.04.2024, the management of the affairs of the corporate debtor, Ambro Asia Private Limited, stood vested in Piyush Moona, Interim Resolution Professional, and it was not open to the suspended director of the corporate debtor to file an appeal in the name of the corporate debtor, Ambro Asia Private Limited, claiming to be its director and authorized representative. The appeal as framed and filed on 24.04.2024 was, therefore, wholly incompetent. It was not merely a 'defective' appeal as it was not maintainable in its very inception.
7. In this regard, the limitation prescribed under Section 61(2) of the Code assumes importance. In terms thereof, an appeal before the NCLAT must be filed within the time frames fixed thereunder. The normal period of limitation prescribed under Section 61(2) is 30 days but the *proviso* thereto permits the NCLAT to condone the delay of up to 15 days, if sufficient cause is shown for not filing the appeal within the prescribed period of 30 days. Notably, no discretion is left

**Nitendra Kumar Tomer, Suspended Director, Ambro Asia
Private Limited v. Unox S.P.A. and Another**

in the NCLAT to condone delay beyond the prescribed condonable period of 15 days. This being the legal position, the indulgence shown by the NCLAT on 12.08.2025 completely desecrated the aforestated statutory prescription.

8. Nitendra Kumar Tomer, the suspended director of the corporate debtor, could have filed an appeal against the admission order dated 18.04.2024 only within the limitation period prescribed under Section 61(2) of the Code. The misconceived appeal filed by him in the name of the corporate debtor, Ambro Asia Private Limited, professing to be its director and authorized representative, was wholly incompetent and was not an appeal with a 'curable' defect, which could have been attended to at a later point of time. It was, therefore, not open to the said suspended director to seek modification of the cause title in this incompetent appeal. Unfortunately, the NCLAT lost sight of this aspect and treated the wholly incompetent appeal as a merely defective one, whereby it deemed it appropriate to grant time to the suspended director to amend the memo of the appeal. Once the prescribed limitation period under Section 61(2) expired, it was not open to the suspended director to take steps to convert the incompetent appeal and maintain an appeal in his own name in August, 2025, long after expiry of the prescribed limitation. The NCLAT ought not to have permitted him to do so, whereby a time-barred appeal in the name of the suspended director was presented and entertained.
9. Though, the learned senior counsel appearing for the suspended director placed reliance on case law in support of his contention that the NCLAT was justified in permitting the amendment of the memo of appeal, we find the decisions relied upon to be wholly inapplicable. In **Uday Shankar Triyar vs. Ram Kalewar Prasad Singh and another²**, this Court was dealing with a defective appeal, wherein two appellants were shown in the appeal memo but the vakalatnama was signed by only one of them. The High Court permitted the other appellant to come on record and pursue the appeal before the appellate Court. The said decision was subjected to challenge before this Court. In this context, this Court observed that any defect in signing the memorandum of appeal or any defect in the authority

Supreme Court Reports

of the person signing the memorandum of appeal or the omission to file the vakalatnama executed by the appellant along with the appeal would not invalidate the memorandum of appeal, if such omission or defect is not deliberate. These observations were made in the context of an omission or defect, being one relatable to procedure which could be corrected subsequently. As already noted, the appeal in the case on hand was not a merely defective appeal but a wholly incompetent appeal, having been presented in the name of the corporate debtor by a suspended director even though he had no right to file such an appeal after the interim resolution professional was appointed. Therefore, the observations in the aforesaid decision have no application.

10. In **Varun Pahwa vs. Renu Chaudhary**³, the plaint was not properly drafted inasmuch as, in the memo of parties, the plaintiff was described as Varun Pahwa through director of Siddharth Garments Private Limited, though it should have read as Siddharth Garments Private Limited through its director, Varun Pahwa. Holding this to be an inadvertent mistake in the plaint, which the trial Court should have allowed to be corrected so as to permit the company to sue as a plaintiff, this Court set aside the order declining to correct the memo of parties. Reference was made to the earlier decision in **Uday Shankar Triyar** (*supra*), wherein it was held that procedural defects and irregularities which are curable should not be allowed to defeat substantive rights or to cause injustice. Significantly, this Court had also observed therein that non-compliance with any procedural requirement relating to a pleading, memorandum of appeal or application or petition for relief should not entail automatic dismissal or rejection, unless the relevant statute or rule so mandates.
11. Presently, we find that the appeal, as framed and filed in the name of the corporate debtor by a suspended director claiming to be its authorized representative, was contrary to the mandate of the Code and was, therefore, not at all maintainable. Permitting it to be converted to an appeal by the suspended director at a later point of time, throwing the prescription of limitation to the winds, was a further violation of the Code. The question of rectifying or modifying a wholly incompetent appeal in violation of the mandate of the Code

**Nitendra Kumar Tomer, Suspended Director, Ambro Asia
Private Limited v. Unox S.P.A. and Another**

did not arise and the NCLAT, therefore, ought not to have extended indulgence in that regard. **Varun Pahwa** (*supra*), therefore, does not further the appellant's case.

12. Lastly, reliance is placed on **Innovators Cleantech Pvt. Ltd. vs. Pasari Multi Projects Pvt. Ltd.**⁴. This was a case involving defects in an appeal filed before the NCLAT and the curing of such defects within the time prescribed under the rules. This decision also does not further the case of the appellant, as we have already held that this was not a defective appeal that the NCLAT was dealing with but a wholly incompetent appeal.
13. Though, the order dated 12.08.2025 passed by the NCLAT and its later order dated 29.08.2025, permitting the amendment of the appeal, were not subjected to challenge by Unox S.P.A., the operational creditor, or by Piyush Moona, the Interim Resolution Professional, we are of the opinion that, despite such failure on their part, we must give primacy to the provisions of the Code, which lay down strict mandates in terms of time, which are sacrosanct and cannot be lightly discarded. Therefore, notwithstanding the aforestated orders attaining finality, the legal position obtaining under the Code is that the appeal, as framed and filed, was not maintainable being wholly incompetent and it could not have been converted into a 'maintainable appeal' after expiry of the period of limitation under Section 61(2) of the Code. The NCLAT erred grievously in permitting such an exercise to be undertaken and adjudicating the appeal on merits thereafter. Though the decision finally rendered by the NCLAT in the said appeal went against the suspended director, whereby he is now before this Court, we are not prepared to look into the merits of the said order, as the said appeal ought not to have been entertained.

The appeal is dismissed on the aforestated grounds.

Result of the case: Appeal dismissed.

⁴Headnotes prepared by: Ankit Gyan

State of West Bengal & Ors.

v.

M/s B.B.M. Enterprises

(Civil Appeal No. 4320 of 2026)

09 April 2026

[Sanjay Kumar and K. Vinod Chandran, JJ.]

Issue for Consideration

Whether a notice seeking commencement of arbitration, issued on 02.06.2022, could set in motion the process of resolution of a dispute regarding a work completed as early as on 30.07.2000.

Headnotes[†]

Arbitration and Conciliation Act, 1996 – ss.42, 43 – Limitation Act, 1963 – Article 18 – Work completed in the year 2000 – Notice seeking commencement of arbitration issued after 21 years in 2022 – By way of the impugned judgment, Arbitrator appointed by High Court – Sustainability:

Held: Unsustainable – Arbitration though is an alternate dispute resolution system, which has to be encouraged, it cannot deviate from the fundamental principle that law favours the diligent and not the indolent – For recovery of amounts, as in this case, the limitation is three years as provided in Article 18 of the Limitation Act, 1963 – The commencement of arbitration proceedings as per sub-section (2) of s.43 being the date referred in s.21, which is the date on which a request for initiation of arbitration is received by the respondent, the claim itself was hopelessly time barred, the notice having been issued after 21 years – Despite the work having concluded on 30.07.2000, the petitioner did not attempt to raise a bill or initiate the arbitration proceedings till 2022, when a notice requiring commencement of arbitration proceedings was first issued – Appellant slept over its claim for 21 years before the notice seeking arbitration was issued in 2022; an *ex-facie* dead claim – High Court erred insofar as finding failure on the part of the Engineer-in-Charge to determine the final amount payable, having extended the limitation – If there was such a failure on the part of the Engineer-in-Charge, it was for the contractor to have initiated arbitration then and there – Neither was notice issued

State of West Bengal & Ors. v. M/s B.B.M. Enterprises

for arbitration nor was a final bill raised or a request made to determine the total amount payable – Order initiating arbitration set aside. [Paras 5, 6]

Case Law Cited

Vishram Varu and Company v. Union of India (2023) 12 SCC 588; *Arif Azim Company Limited v. Aptech Limited* [2024] 3 SCR 73 : (2024) 5 SCC 313; *Aslam Ismail Khan Deshmukh v. ASAP Fluids Private Limited and Another* [2024] 12 SCR 108 : (2025) 1 SCC 502; *Vidya Drolia and Ors. v. Durga Trading Corporation* [2020] 11 SCR 1001 : (2021) 2 SCC 1; *Bharat Sanchar Nigam Limited and Anr. v. Nortel Networks India Private Limited* [2021] 2 SCR 644 : (2021) 5 SCC 738; *Interplay between Arbitration Agreements under Arbitration and Conciliation Act, 1996 and Stamp Act, 1899, In Re.* [2023] 15 SCR 1081 : (2024) 6 SCC 1 – referred to.

List of Acts

Arbitration and Conciliation Act, 1996; Limitation Act, 1963.

List of Keywords

Claim *ex-facie* time barred; Claim hopelessly time barred; Section 42 of the Arbitration and Conciliation Act, 1996; Limitation for recovery of amounts; Article 18 of the Limitation Act, 1963; Law favours the diligent; *Ex-facie* dead claim; Notice seeking commencement of arbitration issued after 21 years.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 4320 of 2026

From the Judgment and Order dated 27.06.2024 of the High Court at Calcutta in AP No. 535 of 2022.

Appearances for Parties

Advs. for the Appellant(s):

Kunal Chatterji, Ms. Maitrayee Banerjee, Rohit Bansal, Varij Nayan Mishra.

Advs. for the Respondent(s):

Sudhanshu Choudhari, Sakya Sen, Sr. Advs., Sarad Kumar Singhania, Yash Singhania, Ms. Nilanjana Adhya.

Supreme Court Reports

Judgment / Order of the Supreme Court

Order

1. The neat question arising in the above case is as to whether a notice seeking commencement of arbitration, issued on 02.06.2022, could set in motion the process of resolution of a dispute regarding a work completed as early as on 30.07.2000. The High Court dealing with the application under Section 11 found from the agreement that there is an ambiguity in Clause 7 which requires the final bill to be submitted by the contractor within one month from the date fixed for completion of work *dehors* which the Engineer-in-Charge is competent to issue a certificate of measurement and the total amount payable for the work, which shall be final and binding on all parties. Since no such certificate was issued by the Engineer concerned and the communication of 04.01.2001 produced as Annexure P9, speaks only of a part payment, the dispute would not be beyond the scope of Section 11 of the Arbitration and Conciliation Act, 1996¹. The objection as to limitation was found to be effaced insofar as the final measurement with the total amounts payable having not been determined by the Engineer-in-Charge.
2. Sri Kunal Chatterji, learned counsel appearing for the State, the appellant, would rely on ***Vishram Varu and Company v. Union of India***². While Sri Sudhanshu Choudhari, learned Senior Counsel appearing for the respondent relied on ***Arif Azim Company Limited v. Aptech Limited***³ and ***Aslam Ismail Khan Deshmukh v. ASAP Fluids Private Limited and Another***⁴.
3. ***Vishram Varu and Company***² was a case in which the work undertaken was completed in the year 1985-86 when the claim for money accrued. Correspondences were initiated from the year 2012 under the RTI Act and eventually a legal notice seeking arbitration was issued on 22.10.2018. It was held that since the claim arose in the year 1985-86, the mere issuance of a notice in 2018 cannot

1 For brevity, '1996 Act'

2 (2023) 12 SCC 588

3 (2024) 5 SCC 313

4 (2025) 1 SCC 502

State of West Bengal & Ors. v. M/s B.B.M. Enterprises

enable the party to contend that the cause of action arose in the year 2018, after expiry of 32 years.

4. **Arif Azim Company Limited³** considered both the question of limitation with respect to the claim for recovery of money and the limitation provided for filing an application under Section 11(6). It was categorically found after referring to a host of precedents of this Court that the Limitation Act, 1963 is applicable to arbitration proceedings in general and Article 137 of that Act applies to a petition under Section 11(6) of the 1996 Act in particular. Insofar as the substantive claim in that case was concerned, it was found that the right to bring a claim arose on 28.03.2018, the claim being one of recovery of money. The period of limitation of three years ended on 27.03.2021; within the period in which limitation was suspended by this Court by reason only of the Covid-19 pandemic. The limitation having commenced from 01.03.2022 again as per the orders of this Court, the balance period available from the date of suspension, extended the expiry of limitation to 13.03.2023. The notice seeking arbitration under Section 21 was issued on 24.11.2022, bringing the initiation of the proceeding within the limitation of three years. Insofar as the limitation for making an application under Section 11(6), this Court found applicable Article 137, which also provides for a period of three years, the commencement of which was on expiry of 30 days from the date of receipt of the notice for initiation of arbitration. Notice issued on 24.11.2022 was delivered on 29.11.2022, thus, the limitation having commenced from 28.12.2022. The application under Section 11(6) was filed on 19.04.2023 within the period of three years from the expiry of 30 days from the receipt of notice. Thus, both the claim and the application under Section 11(6) were found to be within the limitation period, which in the present case is not satisfied insofar as the claim is concerned. We extract paragraph 68 from the aforesaid decision :

“68. Although, limitation is an admissibility issue, yet it is the duty of the Courts to prima facie examine and reject non-arbitrable or dead claims, so as to protect the other party from being drawn into a time-consuming and costly arbitration process.”

5. **Aslam Ismail Khan Deshmukh⁴**, was a case in which the question arose as to whether the claim was barred by limitation, while the

Supreme Court Reports

application for appointment of an Arbitrator under Section 11(6) though moved before a wrong forum, the High Court, was within the limitation period of 3 years as found in **Arif Azim**³. **Arif Azim**³ was found to have been concerned with two issues. First whether Limitation Act, 1963 is applicable to an application for appointment of arbitrator under Section 11(6) and whether the Court may decline reference under Section 11 if the claims are ex-facie and hopelessly time barred. This Court noticing **Vidya Drolia and Ors v. Durga Trading Corporation**⁵, and **Bharat Sanchar Nigan Limited and Anr. v. Nortel Networks India Private Limited**⁶ held that period of limitation for filing a petition seeking appointment of an Arbitrator cannot be confused or conflated with the period of limitation applicable to substantive claims made in the underlying contract. In **BSNL**⁶, the notice invoking arbitration having been issued five and a half years after the cause of action arose i.e. rejection of claims of Nortel by BSNL, the claim itself was held to be ex-facie time barred. However, noticing the decision in **Interplay between Arbitration Agreements under Arbitration and Conciliation Act, 1996 and Stamp Act, 1899, In Re.**⁷, it was held that in a scenario where the Referral Court is able to deal with the frivolity of the litigation on the basis of bare minimum pleadings it would be incorrect to assume or doubt that the Arbitral Tribunal would not be able to arrive at the same inference. It was held that the Referral Court cannot indulge in any intricate evidentiary inquiry into the question whether the claims raised by the petitioner are time barred which determination has to be left to the decision of the Arbitrator. In the case of **Arif Azim**³, the question of limitation was to be considered on the basis of the facts disclosed, whether the period commenced from; the date of the letter forming the basis of the claim, the date of resignation of the petitioner or the date of subsequent legal notice sent by the respondent to the petitioner, which was left to be considered by the Arbitrator. However, in the present case there is no intricate evidentiary inquiry to be done. After Annexure P9 of 04.01.2001, whether it be the interim determination of dues or not, the appellant slept over its claim for 21 years before the notice seeking arbitration was issued on 02.06.2022; an *ex-facie* dead claim.

5 (2021) 2 SCC 1

6 (2021) 5 SCC 738

7 (2024) 6 SCC 1

State of West Bengal & Ors. v. M/s B.B.M. Enterprises

6. Arbitration though is an alternate dispute resolution system, which has to be encouraged, it cannot deviate from the fundamental principle that law favours the diligent and not the indolent. Section 42 of the Arbitration and Conciliation Act, 1996 applies the Limitation Act, 1963 to arbitrations as it is applied to proceedings in Court. Hence, for recovery of amounts, as in this case, the limitation is three years as provided in Article 18 of the Limitation Act, 1963. The commencement of arbitration proceedings as per sub-section (2) of Section 43 being the date referred in Section 21, which is the date on which a request for initiation of arbitration is received by the respondent, the claim itself was hopelessly time barred, the notice having been issued after 21 years.
7. In the present case, despite the work having concluded on 30.07.2000, the petitioner did not attempt to raise a bill or initiate the arbitration proceedings till 2022, when a notice requiring commencement of arbitration proceedings was first issued. The High Court erred insofar as finding failure on the part of the Engineer-in-Charge to determine the final amount payable, having extended the limitation. If there was such a failure on the part of the Engineer-in-Charge, it was for the contractor to have initiated arbitration then and there. Neither was notice issued for arbitration nor was a final bill raised or a request made to determine the total amount payable.
8. We find absolutely no reason to sustain the order initiating arbitration. We set aside the same and allow the appeal.
9. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

Aspinwall and Co. Ltd.
v.
Inspecting Assistant Commissioner

(Civil Appeal No. 7796 of 2012)

13 April 2026

[Rajesh Bindal* and Vijay Bishnoi, JJ.]

Issue for Consideration

Whether in terms of the provisions of Kerala Agricultural Income Tax Act, 1991, the amalgamated company as successor of the amalgamating company shall be entitled to set-off of the losses suffered.

Headnotes[†]

Kerala Agricultural Income Tax Act, 1991 – ss.12, 54 – Income Tax, 1961 – s.72A – A company named PRP amalgamated with the appellant company – The scheme of amalgamation was sanctioned in November 2006 – The appointed date was fixed as 01.01.2006 – There were accumulated losses in the balance sheet of amalgamating company – The issue is, as to whether the same could be claimed as a set-off against the income of the amalgamated company – Appellant has relied only on the clause 14.2 in the scheme of amalgamation – High Court turned down the claim of the appellants – Correctness:

Held: The appellant has not been able to refer to any provision under the Kerala Act in terms of which the losses suffered by amalgamating company can be set-off against the income of the amalgamated company – The reliance on clause 14.2 of the Scheme is rejected – Further, the High Court recorded that the loss of the amalgamating company pertained to a period beyond 8 years, hence, in terms of s.12 of the Kerala Act the appellant will not be entitled to any set-off – It is a case wherein the appellant had lost in all fora – To challenge the aforesaid findings of fact recorded by the High Court in the impugned order, no specific ground has been raised in the petitions filed before this

* Author

Aspinwall and Co. Ltd. v. Inspecting Assistant Commissioner

Court – This Court does not find any merit in the present appeals.
[Paras 14, 15]

Kerala Agricultural Income Tax Act, 1991 – ss.12, 54 – Income Tax, 1961 – s.72A – Companies Act, 1956 – Whether the judgment in *Dalmia Power Ltd.*'s case covers the case of the appellant:

Held: The facts in the present case are distinguishable – Neither there is any statutory requirement for issuing notice to the State Government before any scheme of amalgamation is approved by the Court under the 1956 Act nor such notice was issued – Hence, to state that the judgment in *Dalmia Power Ltd.*'s case covers the case of the appellant, is misconceived and deserves to be rejected. [Para 13]

Companies Act, 1956 – s.394-A – Scope of – Discussed:

Held: s.394A of 1956 Act makes it mandatory on the Tribunal to issue notice in every application filed u/ss. 391 or 394 to the Central Government and any objections raised are to be considered – s.394 of the aforesaid Act talks about amalgamation of the companies – The Ministry of Corporate Affairs, Government of India, had issued a Circular dated 15.01.2014 bearing F.No.2/1/2014 providing that while responding to the notices issued to the Government u/s. 394-A, the Regional Director shall invite specific comments from the Income Tax Department within 15 days – If no response is received from the Income Tax Department during the aforesaid period, it may be presumed that the Income Tax Department has no objection to the action proposed u/ss.391 or 394, as the case may be – It is in the light of the aforesaid provision and the circular that the comments of the Income Tax Department are mandatory. [Para12]

Kerala Agricultural Income Tax Act, 1991 – ss.2(7), 2(20), 3, 48, 54, 60 – Scope of – Discussed. [Paras 9-12]

Case Law Cited

General Radio & Appliances Co. Ltd. v. M.A. Khader, 1986 INSC 85 : [1986] 2 SCR 607 : (1986) 2 SCC 656; *Saraswati Industrial Syndicate Ltd. v. CIT*, 1990 INSC 266 : [1990] Supp. 1

Supreme Court Reports

SCR 332 : (1990) Supp. SCC 675; *Singer India Limited v. Chander Mohan Chadha and Others*, 2004 INSC 447 : [2004] 3 Supp. 3 SCR 535 : (2004) 7 SCC 1; *CIT v. Maruti Suzuki (India) Ltd*, 2019 INSC 815 : [2019] 9 SCR 799 : (2020) 18 SCC 331; *Religare Finvest Ltd. v. State (NCT of Delhi)*, 2023 INSC 819 : [2023] 12 SCR 197 : (2024) 1 SCC 797 – referred to.

Dalmia Power Ltd. and Another v. Assistant Commissioner of Income-Tax, 2019 INSC 1410 : [2019] 18 SCR 1236 : (2020) 420 ITR 339 – distinguished.

List of Acts

Kerala Agricultural Income Tax Act, 1991; Income Tax, 1961; Companies Act, 1956; Companies Act, 2013.

List of Keywords

Amalgamation; Scheme of amalgamation; Loss of amalgamating company; Set off of losses; s.394A of Companies Act, 1956; Set off of accumulated loss.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 7796 of 2012

From the Judgment and Order dated 23.09.2011 of the High Court of Kerala at Ernakulam in OTC No. 3 of 2011.

With

Civil Appeal No. 6617 of 2019, Civil Appeal No(s). 13454 and 13455 of 2015 and Civil Appeal No. 19865 of 2017.

Appearances for Parties

Advs. for the Appellant(s):

S. Ganesh, Sr. Adv., M/S. K J John And Co, Amarjit Singh Bedi, Ms. Surekha Raman, Shreyash Kumar, Sidharth Nair, Harshit Singh.

Advs. for the Respondent(s):

Pallav Shishodia, Sr. Adv., M. T. George, C. K. Sasi, Dr. K K Geetha, Ms. Meena K Poulouse.

Aspinwall and Co. Ltd. v. Inspecting Assistant Commissioner**Judgment / Order of the Supreme Court****Judgment****Rajesh Bindal, J.**

1. This order will dispose of five appeals.

FACTS OF THE CASES

2. In Civil Appeal No.7796 of 2012 challenge is to the order dated 23.09.2011 passed by the High Court¹ in OTC No.3 of 2011 whereby order dated 22.03.2011 passed in AITA Nos.2/2010 by the Kerala Agricultural Income Tax and Sales Tax Appellate Tribunal², Addl. Bench, Ernakulam, was upheld.
 - 2.1 In Civil Appeal No.19865 of 2017 challenge is to the order dated 27.07.2017 passed by the High Court in OTC No.11 of 2013 wherein order dated 30.11.2012 passed in AITA No.1/2011 by the Tribunal, was upheld.
 - 2.2 In Civil Appeal No.13454 of 2015 challenge is to the order dated 27.07.2015 passed by the High Court in OTC No.1 of 2015 wherein order dated 19.02.2015 passed in AITA Nos.2 & 3 /2012 by the Tribunal, was upheld.
 - 2.3 In Civil Appeal No.13455 of 2015 challenge is to the order dated 27.07.2015 passed by the High Court in OTC No.2 of 2015 wherein order dated 19.02.2015 passed in AITA Nos. 2 & 3/2012 by the Tribunal, was upheld.
 - 2.4 In Civil Appeal No.6617 of 2019 challenge is to the order dated 24.05.2019 passed by the High Court in OTC No.1 of 2019 wherein order dated 30.08.2018 passed in AITA Nos.2-4/2016 by the Tribunal, was upheld.
3. All the appeals are being taken up together, as common questions of fact and law are involved in these appeals. Facts are being noticed from Civil Appeal No.7796 of 2012.

1 High Court of Kerala at Ernakulam

2 Hereinafter referred to 'Tribunal'

Supreme Court Reports

4. A company named 'Pullangode Rubber & Produce Co. Ltd.'³ was amalgamated with the appellant company⁴. The scheme of amalgamation was sanctioned in November 2006. The appointed date was fixed as 01.01.2006. As there were accumulated losses in the balance sheet of amalgamating company, the issue is, as to whether the same could be claimed as a set-off against the income of the amalgamated company.
5. The argument raised by Mr. S. Ganesh, learned senior counsel for the appellant is that in terms of the provisions of Section 54 of the Kerala Agricultural Income Tax Act, 1991⁵, the amalgamated company as successor of the amalgamating company shall be entitled to set-off of the losses suffered. In terms of Section 12 of the Kerala Act, the losses suffered by an assessee can be carried forward for a period of 8 years for set-off against the income of subsequent years. Relying upon the judgment of this Court in **Dalmia Power Ltd. and Another v. Assistant Commissioner of Income-Tax**⁶, it was submitted that once the scheme of amalgamation is approved, all the clauses contained therein stand approved. The rights of the parties flow therefrom. In the aforesaid judgment, no objection was raised by the Income Tax Department to various clauses of the scheme. Hence, the same were held to be binding. In the case in hand as well, no objection was raised to the scheme of amalgamation. Clause 14(2) thereof clearly provides for set-off of losses incurred by amalgamating company against the profits of the amalgamated company. The findings recorded by the High Court in the impugned order are erroneous and are totally contrary to the law laid down in **Dalmia Power Ltd.'s case (supra)**. In fact, the judgment of the High Court was delivered prior to the judgment of this Court in the aforesaid case. The prayer is for setting aside the judgment of the High Court and allowing the appellant's claim for setting off accumulated losses of the amalgamating company with the profits of the amalgamated company.
6. In response, Mr. Pallav Shishodia, learned senior counsel appearing for the respondent submitted that reliance on the judgment of this

3 Hereinafter referred to 'amalgamating company'

4 Hereinafter referred to 'amalgamated company'

5 Hereinafter referred to 'the Kerala Act'

6 2019 INSC 1410 : (2020) 420 ITR 339

Aspinwall and Co. Ltd. v. Inspecting Assistant Commissioner

Court in ***Dalmia Power Ltd.'s case (supra)*** is totally misplaced. The core argument raised by the appellant, is that once the scheme of amalgamation has been approved with no objection raised by the respondents therein, the terms and conditions contained therein have to be given full effect thereto. It was submitted that in the aforesaid case, this Court has specifically noticed that despite notice, the Income Tax Department had not raised any objection to any of the terms contained in the scheme of amalgamation whereas in the case in hand, State of Kerala was never issued noticed during the process of amalgamation.

- 6.1 It was further submitted that in terms of provisions of the Section 12 of Kerala Act, set-off of accumulated losses can be claimed only by the assessee who suffered the losses. As the appellant/amalgamated company had not suffered those losses, no set-off can be claimed. In any case, in ***Dalmia Power Ltd.'s case (supra)***, the only issue was regarding filing of returns which was allowed. The issue on merit regarding entitlement of the relief was not gone into. Even as per the conditions laid down in the scheme of amalgamation, especially Clause 17.1, the amalgamating company stands dissolved without winding up. Meaning thereby, the assessee under the Kerala Act, who had suffered the losses, is no longer in existence to claim any set-off.
- 6.2 Mr. Pallav Shishodia, learned senior counsel for the respondent further submitted that the language of Section 72A of the Income Tax Act, 1961⁷ is altogether different when compared with the provisions of the Kerala Act. Section 2(7) of the Kerala Act defines an assessee. Section 2(20) defines a person whereas Section 3 thereof is the charging section. Section 12 thereof deals with carry forward of losses, whereas Section 48 deals with legal representatives of a person who dies. Section 54, which talks about succession of a business, also does not come to the rescue of the appellant as nothing contained therein provides that amalgamated company/appellant can claim set-off of the losses suffered by amalgamating company. Proviso to the aforesaid section provides that if there is any existing

7 Hereinafter referred to 'the 1961 Act'

Supreme Court Reports

tax demand against the amalgamating company, the same can always be recovered from successor, namely, the amalgamated company, but no other benefit accrues. Sections 57 to 59 of the Kerala Act deal with the assessment of a person transferring property, assessment in case of discontinued business of a company, firm or association and assessment of the firm/ association which has been dissolved or has discontinued its business. Section 60 of the Kerala Act deals with a case where a company is in liquidation.

- 6.3 As the amalgamating company has ceased to exist, the appellant cannot claim any set-off of the losses suffered by it. In support of the arguments, reliance was placed upon the judgment of this Court in ***General Radio & Appliances Co. Ltd. v. M.A. Khader***,⁸ ***Saraswati Industrial Syndicate Ltd. v. CIT***,⁹ ***Singer India Limited v. Chander Mohan Chadha and Others***,¹⁰ ***CIT v. Maruti Suzuki (India) Ltd.***,¹¹ and ***Religare Finvest Ltd. v. State (NCT of Delhi)***.¹²
- 6.4 He further referred to the impugned order dated 23.09.2011 passed by the High Court where a specific finding has been recorded that the losses for which the set-off is sought to be claimed by the appellant/amalgamated company pertains to a period beyond 8 years, which otherwise also is not permissible in terms of Section 12 of the Kerala Act.
7. Heard learned counsel for the parties and perused the relevant referred record.
8. The provisions of the Kerala Act which are relevant for consideration of the arguments raised by learned counsel for the parties are extracted below:

“Section 2. Definitions. – In this Act unless the context otherwise requires,

X X X

8 1986 INSC 85 : (1986) 2 SCC 656

9 1990 INSC 266 : 1990 Supp. SCC 675

10 2004 INSC 447 : (2004) 7 SCC 1

11 2019 INSC 815 : (2020) 18 SCC 331

12 2023 INSC 819 : (2024) 1 SCC 797

Aspinwall and Co. Ltd. v. Inspecting Assistant Commissioner

(7) “assessee” means a person by whom any tax or any other sum of money is payable under this Act, and includes:

- (i) every person in respect of whom any proceeding under this Act has been taken for the assessment of his income or of the income of any other person in respect of which he is assessable, or of the loss sustained by him or by such other person; or of the amount of refund due to him or to such other person;
- (ii) every person who owns or possesses any land in which any crop is grown, the agricultural income of which is liable to tax under the provisions of this Act either on his own account or on account of others;
- (iii) every person who is deemed to be an assessee under any provision of this Act;
- (iv) every person who is deemed to be an assessee in default under any provision of this Act;

(20) “person” means any individual or association of individuals owning, possessing or holding property for himself or for any other, or partly for his own benefit and partly for another, either as owner, possessor, trustee, receiver, common manager, administrator or executor or any capacity and includes a firm or a company, an association of individuals, whether incorporated or not, and any institution capable of holding property;

x x x

Section 3. Charge of agricultural income tax.- (1) Tax at the rate or rates specified in the Schedule to this Act shall be charged for each assessment year in accordance with and subject to the provisions of this Act, on the total agricultural income of the previous year of every person.

Provided that no tax shall be charged on any person other than a company registered under the Companies Act, 1956 (Central Act 1 of 1956) with effect from 1st April, 2013.

x x x

Supreme Court Reports

Section 12. Carrying forward of loss. –

Where any person sustains a loss as a result of computation of agricultural income any year, the loss shall be carried forward to the following year and set off against the agricultural income of that year and if it cannot be wholly set off, the amount of loss not so set off, shall be carried forward to the following year and so on, but no loss shall be carried forward for more than eight years.

X X X

Section 48. Legal Representative:-

- (1) Where a person dies, his legal representative shall be liable to pay any sum which the deceased would have been liable to pay under this Act if he had not died, in the like manner and to the same extent as the deceased.
- (2) For the purpose of making an assessment (including an assessment, re-assessment or recomputation under chapter VII), of the agricultural income of the deceased and for the purpose of levying any sum at the hands of the legal representative in accordance with the provisions of sub-section (1)
 - (a) any proceeding taken against the deceased before his death shall be deemed to have been taken against the legal representative and may be continued against the legal representative from the stage at which it stood on the date of death of the deceased;
 - (b) any proceeding which could have been taken against the deceased if he had survived, may be taken against the legal representative; and
 - (c) all the provisions of this Act shall apply accordingly,
- (3) The legal representative of the deceased shall for the purposes of this Act, be deemed to be an assessee.
- (4) Every legal representative shall be personally liable

Aspinwall and Co. Ltd. v. Inspecting Assistant Commissioner

for any tax payable by him in his capacity as legal representative, if, while his liability for tax remains undercharged, he creates a charge on or disposes of or parts with any assets of the estate of the deceased, which are in, or may come into, his possession, but such liability shall be limited to the value of the asset so charged, disposed of or parted with in respect of these assets.

- (5) The liability of a legal representative under this section shall, subject to the provisions of sub-section (4) be limited to the extent to which the assets of the deceased is capable of meeting the liability.

X X X

Section 54. Succession to business:-

Where a person carrying on any business in the course of which agricultural income is received, has been succeeded in such capacity by another person, such person and such other person, shall each be assessed in respect of his actual share of the agricultural income of the previous year:

Provided that when the persons succeeded in the business cannot be found, the assessment of the agricultural income or the year in which the succession took place upto the date of succession, and for the years preceding that year shall be made on the person succeeding him, in like manner and to the same extent, as it would have been made on the person succeeded or when the tax in respect of the assessment made for such years assessed on the person succeeded cannot be recovered from him, it shall be payable by and recoverable from the person succeeding and such person shall be entitled to recover from the person succeeded the, amount of any tax so paid.

AND

Income Tax Act, 1961

“Section 72A. Provisions relating to carry forward and set off of accumulated loss and unabsorbed

Supreme Court Reports**depreciation allowance in amalgamation or demerger, etc.**

- (1) Where there has been an amalgamation of—
- (a) a company owning an industrial undertaking or a ship or a hotel with another company; or
 - (b) a banking company referred to in clause (c) of section 5 of the Banking Regulation Act, 1949 (10 of 1949) with a specified bank; or
 - (c) one or more public sector company or companies with one or more public sector company or companies; or
 - (d) an erstwhile public sector company with one or more company or companies, if the share purchase agreement entered into under strategic disinvestment restricted immediate amalgamation of the said public sector company and the amalgamation is carried out within five years from the end of the previous year in which the restriction on amalgamation in the share purchase agreement ends,]then, notwithstanding anything contained in any other provision of this Act, the accumulated loss and the unabsorbed depreciation of the amalgamating company shall be deemed to be the loss or, as the case may be, allowance for unabsorbed depreciation of the amalgamated company for the previous year in which the amalgamation was effected, and other provisions of this Act relating to set off and carry forward of loss and allowance for depreciation shall apply accordingly:

Provided that the accumulated loss and the unabsorbed depreciation of the amalgamating company, in case of an amalgamation referred to in clause (d), which is deemed to be the loss or, as the case may be, the allowance for unabsorbed depreciation of the amalgamated company, shall not be more than the accumulated loss and unabsorbed

Aspinwall and Co. Ltd. v. Inspecting Assistant Commissioner

depreciation of the public sector company as on the date on which the public sector company ceases to be a public sector company as a result of strategic disinvestment.

Explanation.—For the purposes of clause (d),—

- (i) “control” shall have the same meaning as assigned to in clause (27) of section 2 of the Companies Act, 2013 (18 of 2013);
- (ii) “erstwhile public sector company” means a company which was a public sector company in earlier previous years and ceases to be a public sector company by way of strategic disinvestment by the Government;
- (iii) “strategic disinvestment” means sale of shareholding by the Central Government or any State Government in a public sector company which results in reduction of its shareholding to below fifty-one per cent along with transfer of control to the buyer.”

9. From a perusal of the aforesaid provisions it is evident that Section 2(7) defines an assessee to mean a person liable to pay tax under the Kerala Act. Section 2(20) defines a person to mean an individual etc. owning, possessing or holding property which includes a corporate as well. Section 3 of the Kerala Act, which is the charging Section, provides for charging of tax as per the rates prescribed in the aforesaid Act on the agricultural income. Section 12 of the Kerala Act enables any person to carry forward any loss sustained in any year for set-off against the income of subsequent years. Such loss can be carried forward for a maximum period of 8 years. Section 48 of the Kerala Act provides that in case, a person dies, his legal representatives shall be liable to pay tax, which the deceased would have been liable to pay under the aforesaid Act, if he had not died. Any proceedings for the purpose can be against the legal heirs of such deceased person, who shall be deemed to be an assessee under the aforesaid Act.

- 9.1 Section 54 of the Kerala Act deals with succession to business. It provides that where a person carrying on any business has been succeeded in such capacity by another person, such

Supreme Court Reports

person and such other person shall each be assessed in respect of their actual share of agricultural income in the previous year. Proviso to the aforesaid section provides that in case a person who succeeded cannot be found, action can be taken against a person who is succeeding such person. The succeeding person is liable to pay tax, if any, due from the succeeded person.

- 9.2 Section 60 of the Kerala Act deals with the status of a company in liquidation. In terms thereof, a liquidator of a company, being wound up under order of the court or otherwise, has to issue notice to the Agricultural Income Tax Officer, who in turn has to specify to him, the amount of tax due under the aforesaid Act.
- 9.3 Section 72A of the 1961 Act deals with carry forward and set off of accumulated losses and unabsorbed depreciation allowance in the cases of amalgamation or demerger. The provision, starting with a non-obstante clause, clearly provides that accumulated losses and unabsorbed depreciation of the amalgamating company shall be deemed to be loss or as the case may be, allowance for unabsorbed depreciation of the amalgamated company for the previous year in which amalgamation was effected.
10. Learned counsel for the appellant has placed heavy reliance upon Clause 14.2 of the scheme of amalgamation. The same is extracted below:

“Clause 14.2. With effect from the Appointed Date, all the profits or Income accruing or arising to PRPL or expenditure or losses arising or incurred by PRPL shall, for all purposes, be treated as and shall deemed to accrue as the profits or income or expenditure or losses, as the case may be, of Aspinwall & Co.”
11. The fact which was not disputed by learned senior counsel for the appellant at the time of hearing is that no notice of amalgamation proceedings was issued to the State of Kerala to raise objection with reference to any terms referred to with the amalgamation scheme.
12. Section 394-A of the Companies Act, 1956¹³ makes it mandatory on the Tribunal to issue notice in every application filed under Sections

¹³ Hereinafter referred to as ‘1956 Act’

Aspinwall and Co. Ltd. v. Inspecting Assistant Commissioner

391 or 394 to the Central Government and any objections raised are to be considered. Section 394 of the aforesaid Act talks about amalgamation of the companies. The Ministry of Corporate Affairs, Government of India, had issued a Circular dated 15.01.2014 bearing F.No.2/1/2014 providing that while responding to the notices issued to the Government under Section 394-A, the Regional Director shall invite specific comments from the Income Tax Department within 15 days. If no response is received from the Income Tax Department during the aforesaid period, it may be presumed that the Income Tax Department has no objection to the action proposed under Section 391 or 394, as the case may be. It is in the light of the aforesaid provision and the circular that the comments of the Income Tax Department are mandatory. The judgment of this Court in ***Dalmia Power Ltd.'s case (supra)*** is dealing with a case under the Companies Act, 2013 where similar provision is contained in Section 230(5) specifically and in Rule 8(3) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. There is a specific finding recorded in the aforesaid judgment that despite notice, Income Tax Department did not raise any objection, within the stipulated time, to the scheme, as proposed. The same was approved. As the scheme was approved, all terms and conditions contained therein stood approved and could be acted upon.

13. The facts in the present case are distinguishable. Neither there is any statutory requirement for issuing notice to the State Government before any scheme of amalgamation is approved by the Court under the 1956 Act nor such notice was issued. Hence, to state that the judgment in ***Dalmia Power Ltd.'s case (supra)*** covers the case of the appellant, is misconceived and deserves to be rejected. Ordered accordingly.
14. Learned counsel for the appellant has not been able to refer to any provision under the Kerala Act in terms of which the losses suffered by amalgamating company can be set-off against the income of the amalgamated company. His main reliance was only on the Clause 14.2 in the scheme of amalgamation. The argument addressed with reference thereto has already been dealt with in the previous paragraphs and rejected.
15. There is another finding on facts recorded by the High Court in the impugned order dated 23.09.2011 dealing with the Assessment Year

Supreme Court Reports

2006-07, i.e. that the loss of the amalgamating company/Pullangode Rubber & Produce Co. Ltd. pertained to a period beyond 8 years. Assessment years in all other appeals are subsequent to that. Hence, in terms of Section 12 of the Kerala Act the appellant/Aspinwall and Co. Ltd. will not be entitled to any set-off. It is a case wherein the appellant had lost in all fora. To challenge the aforesaid findings of fact recorded by the High Court in the impugned order, no specific ground has been raised in the petitions filed before this Court.

16. For the reasons mentioned above, we do not find any merit in the present appeals. The same are accordingly dismissed. There shall not be any order as to costs.
17. Pending application(s), if any, shall also stand disposed of.

Result of the case: Appeals dismissed.

[†]Headnotes prepared by: Ankit Gyan

Dhananjay Rath

v.

Ruchika Rath

(Criminal Appeal No. 1924 of 2026)

13 April 2026

[Rajesh Bindal and Vijay Bishnoi,* JJ.]

Issue for Consideration

Issue pertains to whether the proceedings initiated by the respondent-wife under the DV Act should be quashed; whether any party can back out from the Settlement Agreement arrived at in the mediation proceedings; and whether this Court, can exercise its powers u/Art.142(1) of the Constitution to grant a decree of divorce to the parties herein on the ground of irretrievable breakdown of marriage, upon an application filed by the appellant-husband; if yes, then on what terms and conditions.

Headnotes[†]

Hindu Marriage Act, 1955 – Protection of Women from Domestic Violence Act, 2005 – Divorce petition – Parties, appellant-husband and respondent-wife entered into settlement agreement – Petition for divorce by mutual consent filed – First Motion of the petition allowed, in view of the settlement arrived at, and in compliance thereof, the appellant paid ₹75,00,000/- as first installment of the final settlement amount along with ₹14,00,000/- for purchase of the car and also returned the jewellery items as stated therein to the respondent, and the respondent executed a gift deed/forfeited her claim – However, subsequently, the respondent withdrew the consent for the mutual divorce, and later filed complaint u/s.12 of DV Act against the appellant and his mother – Appellant then filed petition for quashing of complaint – High Court directed continuance of DV proceedings – Correctness:

Held: It is well within the law, for any party, to withdraw consent at any stage before grant of divorce by mutual agreement, however, in case compromise deed or settlement agreement has

* Author

Supreme Court Reports

been entered in between the parties regarding the full and final settlement of their disputes, then in that case it is not open for the party to step back from the terms and conditions so arrived between them – However, a party can resile from the Settlement Agreement arrived in the mediation proceedings, if it successfully demonstrates that the said Settlement Agreement was procured by force, fraud or undue influence, or on account of non-fulfillment of any of the conditions by the opposite party as set out in the Settlement Agreement – On facts, withdrawal of consent before the Second Motion, was merely on the ground of non-adherence to the promise made by the appellant-husband which was not even the part of the Settlement Agreement – Also no plausible explanation as to why the respondent-wife waited for eight long months from the date of the Second Motion Petition before initiating the DV proceedings – Complaint filed by the respondent-wife under the DV Act depicts that there are no specific allegations regarding any sort of domestic violence that could emanate from the pleadings – Respondent-wife failed to mention any event describing any sort of violence carried out either by the appellant-Husband or his mother – Proceedings under the DV Act appear to be premeditated, one filed in order to sustain some sort of litigation between the parties after she had resiled from the Settlement Agreement – Thus, the proceedings under the DV Act as initiated by the respondent liable to be quashed, the continuance of which would be an abuse of the process of law – It is evident from records that there has been a complete and irretrievable breakdown of the matrimonial relationship between the parties – In such a case, when there is no scope of parties peacefully co-existing together, no point in continuation of any sorts of litigation in between the parties arising solely out of the matrimonial discord – Thus, a fit case for exercise of powers u/Art.142(1) to grant a divorce as there had been an irretrievable breakdown of the marriage – Marriage between the party dissolved subject to the terms specified – DV complaint quashed and impugned order set aside. [Paras 29, 31, 37, 40, 41, 52, 53, 55]

Case Law Cited

Shilpa Sailesh v. Varun Sreenivasan [2023] 5 SCR 165 : (2023) 14 SCC 231 – followed.

Smt Sureshta Devi v. Om Prakash [1991] 1 SCR 274 : (1991) 2 SCC 25; *Hitesh Bhatnagar v. Deepa Bhatnagar* [2011] 6 SCR 118 :

Dhananjay Rath v. Ruchika Rath

(2011) 5 SCC 234; *Smruti Pahariya v. Sanjay Pahariya* [2009] 8 SCR 631 : (2009) 12 SCC 338 – held inapplicable.

Ruchi Agarwal v. Amit Kumar Agarwal and Others (2005) 3 SCC 299; *Mohd. Shamim and Others v. Nhahid Begum and Another* (2005) 3 SCC 302; *Trisha Singh v. Anurag Kumar* [2024] 5 SCR 567 : 2024 SCC OnLine SC 1191; *Anurag Vijaykumar Goel v. State of Maharashtra*, 2025 INSC 926 : 2025 SCC OnLine SC 1611; *Gimpex Private Limited v. Manoj Goel* [2021] 11 SCR 432 : (2022) 11 SCC 705; *Rinku Baheti v. Sandesh Sharda* [2024] 12 SCR 1355 : (2025) 3 SCC 686; *Vishal Shah v. Monalisha Gupta*, 2025 INSC 254 : 2025 SCC OnLine SC 383; *Vineet Taneja v. Ritu Johari* (2025) 3 SCC 732; *Neha Lal v. Abhishek Kumar*, 2026 INSC 73 : 2026 SCC OnLine SC 95 – referred to.

List of Acts

Protection of Women from Domestic Violence Act, 2005; Bharatiya Nagarik Suraksha Sanhita, 2023; Hindu Marriage Act, 1955; Constitution of India.

List of Keywords

Settlement Agreement; Divorce; Irretrievable breakdown of marriage; Divorce by mutual consent; Domestic violence; Matrimonial discord; Mediation proceedings; First Motion; Withdrew the consent for mutual divorce; Quashing of complaint.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No(s). 1924 of 2026

From the Judgment and Order dated 07.01.2026 of the High Court of Delhi at New Delhi in CRLMC No. 116 of 2026.

Appearances for Parties

Advs. for the Appellant(s):

Prabhjit Jauhar, Sehaj Kataria, Ms. Shreyangana Bag, S. S. Jauhar.

Advs. for the Respondent(s):

Prashant Mendiratta, T. V. S. Raghavendra Sreyas, Ms. Neha Jain, Siddharth Vasudev.

Supreme Court Reports

Judgment / Order of the Supreme Court

Judgment

Vijay Bishnoi, J.

Leave granted.

2. This appeal has been preferred by the Appellant-Husband challenging the order dated 07.01.2026 (hereinafter referred to as “**Impugned Order**”) passed in **Crl. M.C. No. 116 of 2026** by the High Court of Delhi at New Delhi (hereinafter referred to as “**the High Court**”) wherein the High Court issued notice and granted an interim order directing that the proceedings initiated in DV Complaint No. 3186 of 2025 (hereinafter referred to as “**DV Proceedings**”) under the Protection of Women from Domestic Violence Act, 2005 (hereinafter referred to as “**the DV Act**”) by the Respondent-Wife against the Appellant-Husband and his mother (mother-in-law of the Respondent-Wife) shall proceed, subject to deposit of ₹89,00,000/- by the Respondent-Wife before the Registrar General of the High Court.

FACTUAL BACKGROUND

3. The marriage between the Appellant-Husband and the Respondent-Wife was solemnized on 19.02.2000 in accordance with the Hindu rites and ceremonies and from the wedlock, a daughter was born on 06.06.2003 and a son was born on 01.01.2006. Thereafter, due to temperamental differences, matrimonial disputes arose between the parties and they started living separately from the year 2022-23. Consequently, the Appellant-Husband filed Divorce Petition bearing H.M.A. No. 275/2023 under Sections 13(1)(i-a) & 13(1)(i)(ia) of the Hindu Marriage Act, 1955 (hereinafter referred to as “**the Act**”) before the Court of Principal Judge, Family Court, Saket Court House, Delhi.
4. The Court of Principal Judge, Family Court, Saket Court House, Delhi *vide* order dated 13.07.2023 referred the matter to mediation. Pursuant to mediation, a settlement was entered into between the parties on 16.05.2024, settling all the disputes between them (hereinafter referred to as “**Settlement Agreement**”). It is not the case of either of the party that the said Settlement Agreement is not accepted by the Principal Judge, Family Court, Saket Court House. The terms of the Settlement Agreement are summarised as follows:

Dhananjay Rath v. Ruchika Rath

- 4.1 Both agreed to dissolve their marriage by a Decree of Divorce by Mutual Consent as per Sections 13B(1) and 13B(2) of the Act.
- 4.2 The Appellant-Husband agreed to withdraw the Divorce Petition bearing H.M.A. No. 275/2023 filed under Sections 13(1)(i-a) & 13(1)(i)(ia) of the Act.
- 4.3 The Appellant-Husband agreed to pay and the Respondent-Wife agreed to accept ₹1,50,00,000/- (including ₹4,77,129/- invested in the PPF Account) towards full and final settlement of all the claims arising out of the matrimonial discord, in two installments:
 - 4.3.1 A sum of ₹75,00,000/- at the time of recording of statement under First Motion.
 - 4.3.2 A sum of ₹70,22,871/- at the time of recording of statement under Second Motion.
- 4.4 A Gift Deed would be executed by the Respondent-Wife for an amount of ₹2,52,38,794/- in favour of the Appellant-husband to validate the accounts which stand reflected in the business account of Appellant-Husband on account of their relations as husband and wife.
- 4.5 The Appellant-Husband agreed to pay ₹14,00,000/- for purchase of a car.
- 4.6 The Appellant-Husband agreed to hand over jewellery items as per APPENDIX A to P to the Respondent-Wife.
- 4.7 Pursuant to the grant of the First Motion, the Respondent-Wife agreed to present herself for executing Gift Deeds and such other documents required for transfer of properties, shares and policies bought in her name by the Appellant-Husband, which are as follows:
 - 4.7.1 Project Manorath: Flat No. E-2002, Mascot GH-04B/1, Sector 16, Greater Noida.
 - 4.7.2 Project Neo Town: Flat No. 02/1704 Patel GH-03 Tech zone, Greater Noida.
 - 4.7.3 Project Neo Town: Flat No. D2/1705 Patel GH-03 Tech zone, Greater Noida.
 - 4.7.4 LIC Policy No. 117410693 and Bajaj Allianz Policy No. 0506426223

Supreme Court Reports

- 4.7.5 Shares held in Globe Capital, K.L. Rath Steel and Rath Steel Ltd.
- 4.7.6 Jewellery account as maintained by the Appellant-Husband in favor of their daughter.
- 4.8 Both the parties further agreed to put an end to all the disputes between them and their family members, and additionally both the parties also agreed to refrain from instituting any case (civil or criminal) against each other or their family members.
5. Thereafter, on 04.07.2024, the Divorce petition bearing H.M.A. No. 235/2023 filed under Sections 13(1)(i-a) & 13(1)(i)(ia) of the Act was withdrawn by the Appellant-Husband and furthermore, a petition for Divorce under Section 13-B(1) of the Act was jointly filed by the Appellant-Husband and the Respondent-Wife, which was registered as H.M.A. No. 1185/2024, in the Court of Principal Judge, Family Court, Saket Court House, Delhi. Both the parties therein signed an Affidavit of Undertaking dated 03.07.2024, agreeing to comply with the terms of the Settlement Agreement.
6. Thereafter, the Court of Principal Judge, Family Court, Saket Court House, Delhi, *vide* order dated 14.08.2024, allowed the First Motion of the petition filed under Section 13B(1) of the Act, in view of the settlement arrived at between the parties. In compliance with the terms of the Settlement Agreement, the Appellant-Husband paid ₹75,00,000/- as first installment of the final settlement amount along with a sum of ₹14,00,000/- for purchase of the car. The Appellant-Husband has also returned the Jewellery Items as described in APPENDIX A to P to the Respondent-Wife. At the same time, the Respondent-Wife, in compliance with her obligations under the Settlement Agreement, transferred a sum of ₹2,52,38,794/- to the Appellant-Husband.
7. Subsequently, the Respondent-Wife withdrew her consent for the mutual divorce and in response, the Appellant-Husband filed a Contempt Petition No. 07/2025 before the Principal Judge, Family Court, South District, Saket District Court, New Delhi. Later, a complaint bearing DV Complaint No. 3186 of 2025, was filed, before the Chief Metropolitan Magistrate, Saket Courts, Delhi, by the Respondent-Wife under Section 12 of the D.V. Act, against the Appellant-Husband and his mother on 16.10.2025 wherein, *vide* order dated 13.11.2025, summons were issued against them.

Dhananjay Rathi v. Ruchika Rathi

8. Thereafter, the Appellant-Husband withdrew the Contempt Petition No. 07/2025 filed before the Principal Judge, Family Court, South District, Saket District Court, New Delhi and proceeded to file a Quashing Petition bearing Crl. M.C. No. 116 of 2026 before the High Court. The Appellant-Husband also filed a Contempt Petition bearing Contempt Case (C) No. 19 of 2026 before the High Court seeking initiation of contempt proceedings against the Respondent-Wife for alleged breach of the Settlement Agreement, which is still pending.
9. The High Court in the Quashing Petition, *vide* Impugned Order passed an interim order issuing notice, and agreeing to continue the D.V. proceedings while directing the Respondent-Wife to deposit ₹89,00,000/- and retain the jewellery received by her in terms of the Settlement Agreement. The relevant portions from the judgment are reproduced hereinunder:

“CRL.M.A. 392/2026 (exemption)”

Exemption granted, subject to just exceptions. Let requisite compliances be made within 01 week. The application stands disposed-of.

CRL.M.C. 116/2026 & CRL.M.A. 391/2026 (stay)

By way of the present petition filed under section 528 of the Bharatiya Nagarik Suraksha Sanhita 2023, the petitioner seeks quashing of domestic violence complaint bearing CT Case No.3186/2025 pending before the learned Judicial Magistrate First Class-02/Mahila Court, South District, Saket Courts, New Delhi.

2. Mr. Prabhjit Jauhar, learned counsel appearing for the petitioner submits, that the parties had resolved their disputes vide a Settlement Agreement dated 16.05.2024 signed under the aegis of the Delhi Mediation Centre, Saket Courts, New Delhi, as per which the parties were to seek divorce by mutual consent. It is submitted that under the said settlement, the petitioner has paid to the respondent Rs. 89 lacs and has also handed-over to her jewellery as referred to in clause ‘B’ of the settlement.

3. Mr. Jauhar submits, that pursuant to the settlement, parties filed the first motion seeking divorce by mutual

Supreme Court Reports

consent under 13B(1) of the Hindu Marriage Act 1955 ('HMA'), wherein the respondent also filed an affidavit of undertaking as required by law, agreeing to abide by the terms of the settlement; and the first motion was passed by the learned Family Court vide order dated 14.08.2024.

4. Mr. Jauhar submits, that one of the terms of the settlement was that the parties will put to an end all disputes between them and with their respective family members; and further the respondent had also agreed as follows:

"12. The Parties agree and acknowledge that by signing of the present Settlement Agreement shall put an end to all disputes between the Parties and their family members and relatives. The Second Party undertakes and acknowledges that neither she nor her parents or any of her family members, relatives, friends shall institute any case or proceedings (civil or criminal) in future against the First Party, his family members, relatives and friends with respect to the present matrimonial discord between the Parties. Similarly, the First Party undertakes and acknowledges that neither he nor his parents or any of his family members, relatives, friends shall institute any case or proceedings (civil or criminal) in future against the Second Party, her family members, relatives and friends with respect to the present matrimonial discord between the Parties."

5. Counsel submits however, that despite the aforesaid position, the respondent has now reneged on the terms of settlement and has filed a complaint under section 12 of the Protection of Women from Domestic Violence Act, 2005 ('DV Act') alleging acts of domestic violence and seeking various reliefs against the petitioner.

6. It is argued, that having signed the mediated settlement agreement and having received benefits thereunder, the respondent cannot now be permitted to file the complaint

Dhananjay Rath v. Ruchika Rath

under section 12 of the DV Act, since that would amount to abuse of the process of law.

7. Mr. Jauhar further submits, that as part of the terms of settlement, the petitioner has in fact withdrawn a petition that he had filed under section 13 of the HMA vide order dated 04.07.2024, whereby the petitioner had sought dissolution of his marriage with the respondent on the ground of adultery; and that the petitioner is accordingly now put to serious disadvantage.

8. Issue notice.

9. Mr. Prashant Mendiratta learned counsel appears for the respondent on advance copy; accepts notice; and opposes the grant of any interim relief.

10. Mr. Mendiratta submits, that in addition to the terms contained in the settlement agreement, there were certain other terms that were also agreed upon between the parties by exchange of e-mails, which the petitioner is now dithering on; and by reason of the petitioner's conduct, the respondent is no longer willing to abide by the mediated settlement and will not concede to a divorce by mutual consent.

11. In support of their respective submissions, learned counsel for the parties have cited certain judgments of the Supreme Court as well as of Coordinate Benches of this court.

12. After hearing learned counsel for the parties, on a prima-facie view of the matter, and in the interests of justice, this court is of opinion that the following directions are required to be passed at this stage:

12.1. The respondent shall, by way of disgorgement, deposit the sum of Rs. 89 lacs that have admittedly been received by her from the petitioner under the terms of Settlement Agreement dated 16.05.2024, with the Registrar General of this court within 04 weeks from today;

12.2. The Registrar General is directed to retain the amount so deposited in a fixed deposit account in a

Supreme Court Reports

nationalised bank, initially for a period of 01 year; to be renewed for the same period from time-to-time, without awaiting any further directions from this court in that behalf, unless otherwise directed by the court;

12.3. Though the respondent shall continue to hold the jewellery, which also she admits to having received from the petitioner in terms of clause 'B' of the settlement agreement, she is restrained from selling, transferring or parting with possession of any part of that jewellery during the pendency of the present proceedings, without prior permission of this court;

12.4. Since this court considers it inadvisable to restrain a party from exercising their legal rights by prosecuting legal proceedings, subject to compliance of the above, the respondent shall be entitled to proceed with the complaint filed by her under section 12 of the DV Act.

13. Let reply to the petition as well as CRL.M.A. No. 391/2026 be filed within 04 weeks; rejoinder thereto, if any, be filed within 03 weeks thereafter; with copy to the opposing counsel.

14. Whether or not the petition filed by the petitioner under section 13 of the HMA (which was subsequently withdrawn by him) should be restored, will be considered subsequently. For the record, Mr. Mendiratta submits, that they have no objection to the petitioner reviving the said divorce case.

15. Re-notify on 05th May 2026. JANUARY 7,2026 CRL.M.C. 116/2026"

10. Aggrieved by the Impugned Order, the Appellant-Husband approached this Court by filing the present SLP. In addition to this, the Appellant-Husband also preferred an application bearing I.A. No. 35342 of 2026 in the present SLP seeking Decree of Divorce under Article 142(1) of the Constitution of India. This Court *vide* order dated 06.02.2026, issued notice and stayed the DV proceedings pending before the Chief Metropolitan Magistrate, Saket Courts, Delhi. Subsequently, a Counter-Affidavit and Rejoinder Affidavit have been filed by the respective parties.

Dhananjay Rathi v. Ruchika Rathi**SUBMISSIONS OF THE PARTIES****A. On behalf of the Appellant-Husband**

11. The learned counsel for the Appellant-Husband vehemently submitted that the Impugned Order suffers from an error of law as it failed to appreciate that the parties have been living separately since 21.12.2022, with no intention whatsoever to resume cohabitation. It was submitted that the Respondent-Wife indulged in an extramarital relationship, leading to the filing of a divorce petition dated 30.01.2023 on the grounds of adultery and cruelty. The matter was thereafter referred to mediation, culminating in a Settlement Agreement dated 16.05.2024, whereby, under Clause 11, the Respondent-Wife agreed to accept a lump sum amount of ₹1,50,00,000/- towards full and final settlement of all claims, along with jewellery and ₹14,00,000/- for the purchase of a new car, as provided under Clause 7 of the Settlement Agreement.
12. It was further submitted that Clause 12 of the Settlement Agreement clearly stipulated that neither the Respondent-Wife nor her family members would initiate any civil or criminal proceedings against the husband or his family members. It has been submitted that the Respondent-Wife admittedly received ₹75,00,000/- as first installment of the lump sum amount, ₹4,00,000/- for the car, and her entire jewellery at the time of the First Motion, which was duly allowed by the Family Court, Saket. It was argued that, despite having accepted ₹89,00,000/- and all her jewellery, the Respondent-Wife, with *malafide* intentions, refused to proceed with the Second Motion Petition and instead filed a vexatious complaint under the DV Act, solely to extract a more financially lucrative settlement. The learned counsel contended that such conduct amounts to a clear abuse of the process of law and is contumacious in nature, and thus, liable to be nipped in the bud, as held by this Court in **Ruchi Agarwal v. Amit Kumar Agarwal and others**, reported as (2005) 3 SCC 299, and **Mohd. Shamim and others v. Nhahid Begum and another**, reported as (2005) 3 SCC 302.
13. The allegations made by the Respondent-Wife is that she provided her consent to the Settlement Agreement and the consequent divorce only on the basis of assurances given by the Appellant-Husband that he would return her jewellery worth ₹120 crores and gold biscuits worth ₹50 crores, were vehemently denied. *Per contra*, it was argued

Supreme Court Reports

that no such agreement ever existed, nor was there any evidence to suggest that jewellery of such value was ever given, and that these claims were merely tactics to extort additional money from the Appellant-Husband. It was further contended that the Respondent-Wife listed all her items to be returned by the Appellant-Husband, which were not specified under the Settlement Agreement, by way of WhatsApp messages dated 17.02.2025, wherein there is not even a whisper of the jewellery worth ₹120 crores and the gold biscuits worth ₹50 crores.

14. The learned counsel further submitted that the marriage between the parties has irretrievably broken down, with both parties having made serious allegations of cruelty, incompatibility, and irreconcilable differences, and neither party having expressed any willingness to resume marital obligations at any stage. Reliance was placed upon the judgment of this Court in **Trisha Singh v. Anurag Kumar**, reported as 2024 SCC OnLine SC 1191, wherein this Court exercised powers under Article 142 to dissolve the marriage when there existed no scope of reconciliation between the parties and directed compliance with the terms of a concluded settlement. It was further submitted that the Appellant-Husband herein is ready and willing to comply with the Settlement Agreement by paying the balance amount of ₹75,00,000/-.
15. It was argued that the High Court erred in permitting the Respondent-Wife to continue with the DV proceedings subject to deposit of ₹89,00,000/-, instead of quashing the same in exercise of powers under Section 528 of the Bharatiya Nagarik Suraksha Sanhita, 2023 (hereinafter referred to as “**BNSS**”), despite the proceedings being *ex facie* an abuse of process in light of the binding Settlement Agreement as well as the Affidavit of Undertaking dated 03.07.2024. The Appellant-Husband has also initiated contempt proceedings for breach of the Settlement Agreement and the Undertaking. The learned counsel finally argued that loss of finality in litigation would ensue if parties are permitted to renege from mediated settlements. As a result, it was prayed that this Court should exercise its extraordinary powers under Article 142 of the Constitution of India to dissolve the marriage and quash the DV proceedings to secure the ends of justice.

B. On behalf of the Respondent-Wife

16. It is submitted by the learned counsel on behalf of the Respondent-Wife that the Appellant-Husband had assured the Respondent-Wife

Dhananjay Rath v. Ruchika Rath

that he will return the jewellery gifted to the Respondent-Wife by his parents, relatives and family members and by her parents worth ₹120 crores at the time of signing of the Settlement Agreement and gold biscuits worth ₹50 crores before signing of the Second Motion Petition. However, the same was not included in the Settlement Agreement and the Respondent-Wife was told by the Appellant-Husband that including the same would alert the Income Tax Department and he may have to give a wealth tax on the same. It was also made clear that in case the Appellant-Husband fails to return the said jewellery, the Respondent-Wife need not sign the Second Motion Petition. Accordingly, it was contended that believing the said assurances being made by the Appellant-Husband, the Respondent-Wife signed the Settlement Agreement and the First Motion Petition.

17. The learned counsel further submitted that after the recording of the statements for the First Motion, the Respondent-Wife asked the Appellant-Husband to hand over the jewellery and the gold biscuits as promised by him. However, the Appellant-Husband completely refused and said that he would hand over the jewellery and gold biscuits only after the grant of decree of divorce by mutual consent. Therefore, the Respondent-Wife refused to sign the Second Motion Petition and withdrew her consent to the mutual divorce because of the conduct and ill-intention of the Appellant-Husband and reliance was placed on the email dated 21.02.2025 sent by the counsel for the Appellant-Husband, wherein it was expressly stated that all payments, terms or personal items agreed upon and not specifically mentioned in the Settlement Agreement shall be made good in toto by 02.03.2025.
18. It is also submitted by the learned counsel that the Respondent-Wife, that in compliance with the direction given by the High Court and within the stipulated time period, she has deposited the amount of ₹89,00,000/- by way of two Demand Drafts (₹75,00,000/- and ₹14,00,000/-, respectively) before the Registrar General of the High Court.
19. Furthermore, it is submitted that in terms of settled principles governing divorce by mutual consent, the consent of the parties must subsist not only at the stage of filing of the petition but also, is required to continue to exist till the passing of the final decree. Reference in this regard was made to the judgment of this Court in **Smt Sureshta Devi v. Om Prakash**, reported as (1991) 2 SCC 25, wherein it was held as follows:

Supreme Court Reports

“14. Sub-section (2) requires the court to hear the parties which means both the parties. If one of the parties at that stage says that “I have withdrawn my consent”, or “I am not a willing party to the divorce”, the court cannot pass a decree of divorce by mutual consent. If the court is held to have the power to make a decree solely based on the initial petition, it negates the whole idea of mutuality and consent for divorce. Mutual consent to the divorce is a sine qua non for passing a decree for divorce under Section 13-B. Mutual consent should continue till the divorce decree is passed. It is a positive requirement for the court to pass a decree of divorce. “The consent must continue to decree nisi and must be valid subsisting consent when the case is heard”. [See (i) Halsbury’s Laws of England, 4th edn., vol. 13 para 645; (ii) Rayden on Divorce, 12th edn., vol. 1, p. 291; and (iii) Beales v. Beales [(1972) 2 All ER 667, 674].”

20. It is also submitted that the Settlement Agreement is entirely one-sided, whereby the Respondent-Wife alone was required to relinquish her rights, share in properties and financial interests in favour of the Appellant-Husband, including transfer of a sum of ₹2,52,38,794/- by diluting and liquidating her mutual funds and shares, despite having no independent source of income, and without receiving any commensurate or reciprocal consideration in return and thus, withdrawal of consent by the Respondent-Wife was a legally justified and inevitable consequence of the conduct of the Appellant-Husband.
21. Moreover, it is submitted that the unlawful retention of the Respondent-Wife’s stridhan, jewellery, gold biscuits, and monies, coupled with her continued deprivation thereof, amounts to continuing economic abuse as recognised under Section 3 of the DV Act and the cause of action continues to subsist and the rights of the Respondent-Wife to seek redressal under the DV Act remain unaffected by the cessation of cohabitation or the alleged severance of matrimonial ties.

ANALYSIS

22. We have heard the parties and perused the materials available on record and the issues arising for consideration before this Court are as follows:

Dhananjay Rath v. Ruchika Rath

- I. Whether the proceedings initiated by the Respondent-Wife under the DV Act should be quashed?
 - II. Whether any party can back out from the Settlement Agreement arrived at in the mediation proceedings? If yes, in what situation?
 - III. Whether this Court, in the case in hand, can exercise its powers under Article 142(1) of the Constitution of India to grant a decree of divorce to the parties herein on the ground of irretrievable breakdown of marriage, upon an application filed by the Appellant-Husband? If yes, then on what terms and conditions?
23. In the present case, the marriage between the parties was solemnized on 19.02.2000 and they have two issues, a daughter aged 23 years and a son aged 20 years. On 30.01.2023, the Appellant-Husband filed a Divorce Petition on grounds of cruelty and adultery. In the said case, the concerned trial Court referred the parties for mediation at the mediation centre. During mediation, both the parties agreed to settle all their disputes and accordingly, a Settlement Agreement was entered between the parties, wherein, subject to the compliance with the terms thereof, the parties were to apply for divorce by mutual consent.
24. The First Motion Petition in the petition for divorce by mutual consent was allowed on 14.08.2024 after fulfilling the terms as per the Settlement Agreement to that effect and the Second Motion Petition was to be filed on or before 20.02.2025. However, the Respondent-Wife refused to sign the Second Motion Petition within the stipulated time period and withdrew her consent to the mutual divorce.
25. Subsequently, the Appellant-Husband filed a contempt petition being Contempt Petition No. 7/2025, which was later withdrawn by the Appellant-Husband to pursue his remedy before the High Court. Soon after filing the contempt petition, the Respondent-Wife initiated proceedings under Section 12 of the DV Act and filed a case bearing D.V. Complaint No. 3186/2025 on 16.10.2025.
26. This Court in the case of **Ruchi Agarwal** (*supra*) was caught up with a similar situation wherein the husband performed his part of the compromise agreed for mutual consent divorce, however, the wife partly performed her obligations and did not withdraw certain cases. It was argued by the wife that the said compromise was obtained by the husband and his family through threat and coercion. This

Supreme Court Reports

Court therein held that it was difficult to accept the argument that the compromise was signed under coercion since the wife partly performed the obligations mentioned thereunder. The relevant portions from the judgment are reproduced hereinunder:

“7. It is based on the said compromise the appellant obtained a divorce as desired by her under Section 13-B of the Hindu Marriage Act and in partial compliance with the terms of the compromise she withdrew the criminal case filed under Section 125 of the Criminal Procedure Code but for reasons better known to her she did not withdraw that complaint from which this appeal arises. That apart after the order of the High Court quashing the said complaint on the ground of territorial jurisdiction, she has chosen to file this appeal. It is in this background, we will have to appreciate the merits of this appeal.

8. Learned counsel appearing for the appellant, however, contended that though the appellant had signed the compromise deed with the abovementioned terms in it, the same was obtained by the respondent husband and his family under threat and coercion and in fact she did not receive lump sum maintenance and her stridhan properties. We find it extremely difficult to accept this argument in the background of the fact that pursuant to the compromise deed the respondent husband has given her a consent divorce which she wanted, thus had performed his part of the obligation under the compromise deed. Even the appellant partially performed her part of the obligations by withdrawing her criminal complaint filed under Section 125. It is true that she had made a complaint in writing to the Family Court where Section 125 CrPC proceedings were pending that the compromise deed was filed under coercion but she withdrew the same and gave a statement before the said court affirming the terms of the compromise which statement was recorded by the Family Court and the proceedings were dropped and a divorce was obtained. Therefore, we are of the opinion that the appellant having received the relief she wanted without contest on the basis of the terms of the compromise, we cannot now accept the argument of the learned counsel for the appellant. In

Dhananjay Rath v. Ruchika Rath

our opinion, the conduct of the appellant indicates that the criminal complaint from which this appeal arises was filed by the wife only to harass the respondents.

9. In view of the abovesaid subsequent events and the conduct of the appellant, it would be an abuse of the process of the court if the criminal proceedings from which this appeal arises is allowed to continue. Therefore, we are of the considered opinion to do complete justice, we should while dismissing this appeal also quash the proceedings arising from criminal case Cr. No. 224 of 2003 registered in Police Station Bilaspur (District Rampur) filed under Sections 498-A, 323 and 506 IPC and under Sections 3 and 4 of the Dowry Prohibition Act against the respondents herein. It is ordered accordingly. The appeal is disposed of."

(Emphasis Supplied)

27. The case of **Anurag Vijaykumar Goel v. State of Maharashtra**, reported in 2025 SCC OnLine SC 1611, was also based on an almost identical set of facts. In that case, the first motion for divorce by mutual consent was moved by both the parties along with the Settlement Agreement and the same was allowed by the Family Court. Before moving the Second Motion Petition, the wife resiled from the settlement agreement. A three-judge Bench of this Court therein noting down that the marriage has irretrievably broken, granted divorce and quashed all the proceedings between the parties arising out of the matrimonial relationship. The relevant portion from the judgment is reproduced hereinunder:

4. The first motion dated 03.09.2022 for divorce on mutual consent under Section 13B of the Hindu Marriage Act, 1955 was moved by both the parties along with settlement entered into between them, which was recorded by the Family Court on 14.09.2022. But before the second motion, the respondent-wife resiled from the agreement which prompted the appellant to approach the High Court of Bombay for quashing the criminal proceedings pending before the Metropolitan Magistrate, 15th Court at Sewree, Mumbai arising out of CR No. 63 of 2018 dated

Supreme Court Reports

19.04.2018. *The principal ground raised before the High Court was the appellant's withdrawal from the divorce on mutual consent, which according to the appellant justified the quashing of the criminal proceedings. The appellant also moved the High Court of Delhi alleging contempt insofar as withdrawing from the consent and refusing to follow it up on the second motion before the Family Court. A learned Single Judge of the Delhi High Court punished the respondent for contempt which order was set aside by the Division Bench on an appeal filed by the respondent.*

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13. *We have already found that the allegations in the statement of 19.04.2018 based on which the crime was registered against the appellant inter-alia under Section 498-A are common-place, banal and vague, without any specific instances mentioned and filed one year after the admitted separation of the couple. The High Court in the impugned order has rejected the contention of the appellant to quash the criminal proceedings with respect to the agreement having been resiled from, at the second motion. We cannot fault the findings of the High Court that the ground raised of the respondent-wife having withdrawn from her consent on the second motion, is perfectly in exercise of the statutory right of the respondent-wife. However, but for a casual reference to the other grounds set out in the petition, the High Court has not considered those at all. It was observed peremptorily that the contrary statements of the witnesses should be tested in a trial and there is no question of the veracity of the allegations in the FIR or charge-sheet being considered, at this stage. This cannot be upheld especially when the statement leading to the charge-sheet does not have any grounds leading to an allegation under Section 498-A of the IPC.*

14. *We have already held, but for marital squabbles blown out of proportion there is nothing substantial in the complainant leading to the registration of crime under Section 498-A. Reference can be usefully made to the trite principle for exercise of powers under Section 482 of*

Dhananjay Rathi v. Ruchika Rathi

Cr. P.C. from the oft quoted decision in State of Haryana v. Bhajan Lal². Suffice to refer to one of the grounds laid down by the Constitution Bench, but with a caveat that there cannot be any precise, clearly defined and sufficiently channelized and inflexible guideline or rigid formulae :

“(1) Where the allegations made in the first information report or the complaint, even if they are taken at their face value and accepted in their entirety do not prima facie constitute any offence or make out a case against the accused.”

15. The respondent who appeared in person has specifically taken us through the Division Bench order of the High Court of Delhi which absolved her from the contempt proceedings; especially the observation that the attempt of initiating the contempt is only a coercion to participate in the second motion for divorce. It was also found that an affidavit of undertaking recorded at the first motion would crystallise into an undertaking only if the terms are agreed upon and divorce is consented to by both the parties at the second motion. We are quite in agreement with the finding regarding the second motion, as already observed. But on the question of the maintainability of contempt proceedings, we need not say anything further, since it has been informed across the Bar that there is an SLP filed from the said order and that in the event of closure of all proceedings under Article 142, the appellant would not pursue the same.

16. The facts as detailed by us herein above and the acrimonious relations between the parties for the last 8 years without any let-up and the multiple legal proceedings pending, clearly indicate that the relationship has irretrievably broken down. We are convinced that the invocation of Article 142 is imperative in the above case to do complete justice to both the parties, on being satisfied that the marriage has been rendered totally unworkable, emotionally dead and beyond salvation as held in Shilpa Sailesh¹. What remains is only the terms on which the parties could go their separate ways to live their lives

Supreme Court Reports

independently, without the yoke of a troubled marriage. The terms of the settlement agreed upon according to us, does justice to the estranged wife and does not unduly burden the husband.

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21. We hence quash the criminal proceedings initiated as CC No. 136/PW/2018 pending before the Metropolitan Magistrate, 15th Court at Sewree Mumbai for offence punishable under Section 498-A, 406 r/w Section 34 of the IPC. We also allow the application filed under Article 142 of the Constitution of India dissolving the marriage between the appellant and the second respondent finding the marriage to have irretrievably broken down, in the best interest of both the parties and for doing complete justice, but subject to the following terms:

I) The appellant shall deposit the entire arrears to the Society as on today and upto 1st September, 2025, with the Society as the maintenance charges for the apartment namely A-52, Kalpataru Habitat, Dr. S.S. Rao Road, Mumbai, alongwith the two car parking areas upon which the Society shall give a no-encumbrance certificate to the appellant as also issue the ownership certificate in his name.

II) Along with the above documents the appellant shall execute a gift deed on or before 30.08.2025 on any date informed by written notice; by the appellant to the respondent, with due acknowledgment taken.

III) We have seen from the records that the draft of the deed was exchanged between the parties and both the appellant and the respondent No. 2 shall be present before the jurisdictional Registrar for execution and registration on the date notified.

IV) If the respondent No. 2 does not turn up on the said date, the jurisdictional Registrar shall acknowledge and record the presence of the appellant and in that event the appellant and the respondent shall be present on 15.09.2025 before the Registrar for execution of the deed.

Dhananjay Rath v. Ruchika Rath

V) If the appellant does not comply with the above, then the order of divorce shall not come into effect. However, if the respondent does not present herself on the date notified by the appellant and on such failure even on the date specified by us, the divorce shall come into effect.

VI) All proceedings, civil and criminal, initiated by the parties to the marriage now dissolved, in relation to or arising out of such marriage, shall stand closed. There shall also be no further proceedings, both civil and criminal instituted, by the respective parties, on any aspect arising out of in relation to the marriage.

22. The Criminal Appeal stands allowed along with the application under Article 142 of the Constitution of India dissolving the marriage between the appellant and the second respondent on the ground of irretrievable break down, subject to the terms and conditions specified above. All proceedings pending between the parties shall stand closed and there shall be no further proceedings initiated by either parties, relatable to their marriage, which stands dissolved by this judgment, on the terms and conditions being complied with."

(Emphasis Supplied)

28. Again coming to the facts of the case, even at the cost of repetition, we would like to mention that as per the Settlement Agreement, the Appellant-Husband was to pay ₹75,00,000/- as first installment of the final settlement amount along with a sum of ₹14,00,000/- for purchase of the car, both of which had been complied with. The Appellant-Husband has also returned the jewellery items as per APPENDIX A to P to the Respondent-Wife. The Respondent-Wife, as part of her obligations under the Settlement Agreement, transferred ₹2,52,38,794/- to the Appellant-Husband at the time of filing the First Motion Petition.
29. However, the Respondent-Wife refused to honour the terms of the Settlement Agreement and refused to sign the Second Motion Petition stating that she had withdrawn her consent from the divorce. Though it is well within the law, for any party, to withdraw consent at any

Supreme Court Reports

stage before grant of divorce by mutual agreement, however, in case a compromise deed or a settlement agreement has been entered in between the parties regarding the full and final settlement of their disputes, then in that case it is not open for the party to step back from the terms and conditions so arrived between them.

30. It is trite law that once the parties have entered into a settlement agreement which was duly authenticated by the mediator, in case of any resilement from such terms as agreed upon in the settlement, the resiling party must be encumbered with heavy costs. Any deviation from the terms of the settlement arrived in mediation and later confirmed by the Court should be dealt with strictly as such deviation harbors an attack to the foundational basis of the entire process of mediation. This Court in the case of ***Gimpex Private Limited v. Manoj Goel***, reported as (2022) 11 SCC 705, while dealing with a compromise entered between the parties in case of cheque dishonour, held that the parties cannot be allowed to reverse the effect of a settlement agreement by pursuing either original or subsequent complaints. A three-Judge Bench of this Court therein emphasized that a settlement once entered and authenticated by a mediator subsumed the original complaint. The relevant portion of the said judgment is reproduced herein under:

“41. When a complainant party enters into a compromise agreement with the accused, it may be for a multitude of reasons — higher compensation, faster recovery of money, uncertainty of trial and strength of the complaint, among others. A complainant enters into a settlement with open eyes and undertakes the risk of the accused failing to honour the cheques issued pursuant to the settlement, based on certain benefits that the settlement agreement postulates. Once parties have voluntarily entered into such an agreement and agree to abide by the consequences of non-compliance of the settlement agreement, they cannot be allowed to reverse the effects of the agreement by pursuing both the original complaint and the subsequent complaint arising from such non-compliance. The settlement agreement subsumes the original complaint. Non-compliance of the terms of the settlement agreement or dishonour of cheques issued subsequent to it, would then give rise to a fresh cause of action attracting liability

Dhananjay Rath v. Ruchika Rath

under Section 138 of the NI Act and other remedies under civil law and criminal law.

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C.2. Liability arising from the settlement agreement

49. Once a settlement agreement has been entered into between the parties, the parties are bound by the terms of the agreement and any violation of the same may result in consequential action in civil and criminal law."

(Emphasis Supplied)

31. The exception to the above rule is that a party can resile from the Settlement Agreement arrived in the mediation proceedings is, if it successfully demonstrates that the said Settlement Agreement was procured by force, fraud or undue influence. The party can also resile from the Settlement Agreement on account of non-fulfillment of any of the conditions by the opposite party as set out in the Settlement Agreement.
32. The Respondent-Wife alleged that the Appellant-Husband assured the Respondent-Wife that apart from the considerations specified in the Settlement Agreement, the Appellant-Husband would give ₹120 Crores worth of jewellery along with gold biscuits worth ₹50 Crores in lieu of the stridhan (apart from those mentioned in the Settlement Agreement) to her before signing of the Second Motion Petition. However, since the Appellant-Husband did not adhere to his promise, the Respondent-Wife did not sign the Second Motion Petition.
33. Another argument raised by the Respondent-Wife, that she only agreed to exclude these terms from the Settlement Agreement upon being asked so by the Appellant-Husband in order to avoid alerting the Income Tax Department and to evade any liability towards wealth tax, is highly egregious. We are appalled at the sheer audacity of such a submission being advanced before a court of law and deplore the evident disregard exhibited towards the legal system.
34. We are not impressed by the reasons given by the learned counsel of the Respondent-Wife for resiling out of the Settlement Agreement. It is difficult to comprehend as to why in the Settlement Agreement the condition for return of jewellery and gold biscuits have not been mentioned. It is an admitted position that the Respondent-

Supreme Court Reports

Wife had signed the Settlement Agreement and we are not sure as to why she, being a mature and educated woman assisted by her advocate, did not press for the inclusion of these conditions in the Settlement Agreement.

35. In addition, we find no plausible explanation as to why the Respondent-Wife waited for eight long months from the date of the Second Motion Petition before initiating the DV proceedings. It is evident from the WhatsApp chats dated 17.02.2025 between them, wherein the Respondent-Wife listed all articles she sought to be returned, that were not a part of the Settlement Agreement, that the said list did not make any mention whatsoever of any jewellery worth ₹120 crores or gold biscuits worth ₹50 crores, which she claims were assured to her by the Appellant-Husband. Notably, these allegations were raised for the first time only in the DV complaint. This prolonged delay in raising such a substantial ground raises serious suspicion as to the credibility and authenticity of the allegations made therein in blatant disregard of the terms of the Settlement Agreement. In addition to this, with regard to the email sent by the counsel for the Appellant-Husband dated 21.02.2025, wherein it was mentioned that the Appellant-Husband would make good all other obligations, apart from those mentioned in the Settlement Agreement, it must have been in pursuance of the list of items sent by the Respondent-Wife through the WhatsApp chat dated 17.02.2025 and it cannot be construed in such a manner that it would have included the demands for jewellery worth ₹120 Crores or gold biscuits worth ₹50 Crores.
36. Reliance was placed upon by the learned counsel for the Respondent-Wife on certain judgments, however, all the said cases would not apply in the present case for the following reasons:
 - A. ***Smt Sureshta Devi v. Om Prakash***, reported as (1991) 2 SCC 25: The Respondent-Wife relied on the said judgment to the effect that the consent of the parties must subsist not only at the stage of filing of the petition but also, is required to continue to exist till the passing of the final decree. However, in the present case, regarding the withdrawal of consent before the Second Motion, the Respondent-Wife could not prove any fraud, force, or undue influence and her withdrawal of consent is merely on the ground of non-adherence to the promise made

Dhananjay Rathi v. Ruchika Rathi

by the Appellant-Husband which was not even the part of the Settlement Agreement and thus, cannot benefit her to initiate another proceeding.

- B. *Hitesh Bhatnagar v. Deepa Bhatnagar***, reported as (2011) 5 SCC 234: The Respondent relied on the said judgment to the effect that one of the parties could withdraw his/her consent at any time before passing of the decree. In the said case, the agreement was entered into between the parties independently, however, in the present case the settlement was arrived upon mediation between the parties on specific order of the Court and which was also later ratified by the Court.
- C. *Smruti Pahariya v. Sanjay Pahariya***, reported as (2009) 12 SCC 338: The said judgment of the Court was given after following the reasoning given in the case of ***Surestha Devi*** (*supra*) which has been already distinguished above.

Proceedings under the DV Act

37. A careful perusal of the complaint filed by the Respondent-Wife under the DV Act depicts that there are no specific allegations regarding any sort of domestic violence that could emanate from the pleadings. The Respondent-Wife has failed to mention any event describing any sort of violence carried out either by the Appellant-Husband or his mother. A criminal complaint regarding domestic violence, with mere reference to the names of the family members or the husband without any specific allegation that points towards their active involvement in commission of such an act of violence, shall be nipped in the bud.
38. While we are conscious of the fact that the parties to a long standing marital dispute are often fuelled by emotions, we cannot allow such emotions to take a drastic turn in as much as allowing the bursts of emotions to form the basis of criminal prosecution. Such criminal prosecution, if allowed, would lead to an abuse of law and cause harassment.
39. It is evident from the petition filed by the Respondent-Wife that apart from the Appellant-Husband's non-compliance with the condition of giving ₹120 Crores and gold biscuits worth ₹50 Crores, all the other allegations seems to be trivial disagreements exaggerated, solely to justify the institution of the complaint under the DV Act.

Supreme Court Reports

40. Moreover, we cannot be oblivious to the fact that, admittedly, since the last couple of years (from 2022-23), the Respondent-Wife is living separately from the Appellant-Husband. The proceedings under the DV Act appear to be premeditated, one filed in order to sustain some sort of litigation between the parties after she had resiled from the Settlement Agreement, as it was evidently for the first time in a long span of about 23 years of their sustained marriage, that such a petition alleging domestic violence has been filed by the Respondent-Wife. The proceedings initiated under the DV Act were merely an afterthought, as they were filed after notice was issued in the contempt petition filed by the Appellant-Husband.
41. Therefore, we are of the view that the proceedings under the DV Act as initiated by the Respondent-Wife are liable to be quashed, the continuance of which would be an abuse of the process of law.

ARTICLE 142(1) AND IRRETRIEVABLE BREAKDOWN OF MARRIAGE

42. Now we shall proceed on to adjudicate upon the application filed by the Appellant-Husband under Article 142(1) to examine if in the instant case, exercise of powers under Article 142(1) of the Constitution of India for dissolution of marriage would be justified.
43. Article 142(1) of the Constitution of India grants powers to the Supreme Court to pass any orders or decree in order to achieve complete justice. Article 142(1) has been reproduced hereinbelow for easy reference:

“142. Enforcement of decrees and orders of the Supreme Court and orders as to discovery, etc.—(1)
The Supreme Court in the exercise of its jurisdiction may pass such decree or make such order as is necessary for doing complete justice in any cause or matter pending before it, and any decree so passed or order so made shall be enforceable throughout the territory of India in such manner as may be prescribed by or under any law made by Parliament and, until provision in that behalf is so made, in such manner as the President may by order prescribe.

(2) Subject to the provisions of any law made in this behalf by Parliament, the Supreme Court shall, as respects

Dhananjay Rath v. Ruchika Rath

the whole of the territory of India, have all and every power to make any order for the purpose of securing the attendance of any person, the discovery or production of any documents, or the investigation or punishment of any contempt of itself."

This vast power vested in the highest court of the country by the insertion of the phrase "*such order as is necessary for doing complete justice*" has been done with the intent to protect the interests of the persons (and not merely "the litigants") approaching the institution of judiciary with the hopes of seeking justice. Having been empowered with these extraordinary powers, it is the quintessential duty of this Court to ensure that the parties who are present before it are not left remediless merely because certain statutory gaps exist and their rights are adequately safeguarded.

44. Irretrievable breakdown of marriage is not a valid ground under the Act for the ground of divorce. The Act permits a decree of divorce to be passed either when certain matrimonial offences have been committed by either party or through mutual consent. The jurisprudence pertaining to the grant of divorce under Article 142(1) on the ground of irretrievable breakdown of marriage has been developed with caution through various judgments.
45. A Constitution Bench of this Court in the judgment of ***Shilpa Sailesh v. Varun Sreenivasan***, reported as (2023) 14 SCC 231 held that the power to grant divorce under the aegis of Article 142(1) is exercisable by this Court only in those cases where in the opinion of the Court, there has been a "*complete and irretrievable breakdown*" of the marriage. This Court therein however specified that irretrievable breakdown of marriage has to be ascertained factually while weighing all the underlying circumstances. This relevant paragraphs from ***Shilpa Sailesh*** to this effect are reproduced hereinbelow:

"62. Having said so, we wish to clearly state that grant of divorce on the ground of irretrievable breakdown of marriage by this Court is not a matter of right, but a discretion which is to be exercised with great care and caution, keeping in mind several factors ensuring that 'complete justice' is done to both parties. It is obvious that this Court should be fully convinced and satisfied that the marriage is totally unworkable, emotionally dead and

Supreme Court Reports

beyond salvation and, therefore, dissolution of marriage is the right solution and the only way forward.

63. That the marriage has irretrievably broken down is to be factually determined and firmly established. For this, several factors are to be considered such as the period of time the parties had cohabited after marriage; when the parties had last cohabited; the nature of allegations made by the parties against each other and their family members; the orders passed in the legal proceedings from time to time, cumulative impact on the personal relationship; whether, and how many attempts were made to settle the disputes by intervention of the court or through mediation, and when the last attempt was made, etc. The period of separation should be sufficiently long, and anything above six years or more will be a relevant factor. But these facts have to be evaluated keeping in view the economic and social status of the parties, including their educational qualifications, whether the parties have any children, their age, educational qualification, and whether the other spouse and children are dependent, in which event how and in what manner the party seeking divorce intends to take care and provide for the spouse or the children. Question of custody and welfare of minor children, provision for fair and adequate alimony for the wife, and economic rights of the children and other pending matters, if any, are relevant considerations. We would not like to codify the factors so as to curtail exercise of jurisdiction under Article 142(1) of the Constitution of India, which is situation specific. Some of the factors mentioned can be taken as illustrative, and worthy of consideration."

(Emphasis Supplied)

46. In ***Rinku Baheti v. Sandesh Sharda***, reported in (2025) 3 SCC 686, it was held that the Court is required to take a holistic view on the relationship between the parties and then conclude whether there is an irretrievable breakdown of marriage. The relevant portion from the judgment is reproduced herein below:

"43. Unlike a divorce proceeding before the Family Court, where the court is bound by the fault-divorce provisions

Dhananjay Rath v. Ruchika Rath

contained in the HMA and other allied legislations and thus has to necessarily appreciate the evidence to give a finding about whether a party had indeed committed the alleged matrimonial offence or not, this Court while dealing with an application seeking divorce under Article 142(1) of the Constitution can depart from the said procedure as well as the substantive laws by acting as a problem solver and balancing out the equities between the conflicting claims. This Court is therefore not required to look deep into the veracity of the detailed allegations made by the parties against each other to find as to who is at fault, but is required to take a holistic view on the relationship between the parties and conclude if there is an irretrievable breakdown of the marriage and the parties have no scope of reconciliation. Thus, the thrust of considering an application under Article 142(1) of the Constitution is in order to ascertain whether there is an irretrievable breakdown of marriage between the parties and as a result, it is in their interest that they should part ways by passing a decree of divorce by exercising jurisdiction under Article 142(1) of the Constitution and thereby doing complete justice between the parties.”

(Emphasis Supplied)

47. Even recently, in the case of **Trisha Singh** (*supra*) this Court was faced with a similar situation wherein the wife resiled from the terms of settlement as agreed before the mediator, and this Court while relying upon **Ruchi Agarwal** (*supra*) held that such conduct from wife proves that the marriage has been irretrievably broken down and therefore granted divorce under Article 142(1) of the Constitution of India. The relevant portions from the judgment are reproduced hereinunder:

“3. It is thus manifest that there was a clear undertaking by the parties before the Mediator that they shall part ways peacefully.

4. It is also clear that the respondent-husband had voluntarily paid a sum of Rs. 20 lakhs for the support of his child during the period from March, 2020 to October, 2023. The respondent-husband also paid a sum of Rs. 50 lakhs

Supreme Court Reports

to the petitioner-wife in the terms of the settlement. The remaining amount of permanent alimony has been agreed to be paid as per the schedule indicated in the settlement deed. Out of this agreed amount, the respondent-husband has paid a sum of Rs. 50,00,000/-(fifty lacs) only to the petitioner-wife.

5. However, today when the matter was taken up, this Court was apprised that the petitioner-wife seems to have resiled from the settlement agreement.

6. Learned counsel for the petitioner-wife has affirmed that his client has stopped instructing him in the matter. Acting on the terms of the settlement, the respondent-husband has already withdrawn the matrimonial case on 23rd April, 2024 which fact is recorded in the order sheet of the Family Court placed on record with I.A. No. 112620 of 2024 and thus he is abiding by the terms of settlement in letter and spirit.

7. It seems, the petitioner-wife having taken advantage of the settlement executed before the Mediator has managed to get the matrimonial case instituted by the respondent-husband withdrawn. She has also accepted a sum of Rs. 50 lakhs from the respondent-husband towards part payment of the permanent alimony and thereafter, she is trying to resile from the settlement without any justification. The conduct of the petitioner-wife is clearly, recalcitrant inasmuch as she has disregarded the terms and conditions agreed before the Mediator in the settlement proceedings which were undertaken pursuant to the directions of this Court. Not only this, because of her conduct, the respondent-husband has been put to grave disadvantage inasmuch as he has withdrawn the matrimonial case and has also paid a significant proportion of the permanent alimony to the petitioner-wife in terms of the settlement agreement.

8. Learned counsel for the respondent-husband on instructions states that his client undertakes to abide by the remaining terms and conditions of the settlement agreement in letter and spirit and shall make due payments on the schedule dates if the marriage is dissolved.

Dhananjay Rathi v. Ruchika Rathi

9. A similar situation was examined by this Court in the case of *Ruchi Agarwal v. Amit Kumar Agrawal*...

XXXX

10. On going through the material available on record, we find that the matrimonial relations between the spouses have broken down irrevocably and there is no possibility of reconciliation and revival of the spousal relationship. Hence, looking at the conduct of the petitioner-wife as indicated supra and the other attending facts and circumstances, we are inclined to exercise the powers under Article 142 of the Constitution of India so as to grant decree of divorce and hence, the marriage between the petitioner and the respondent is dissolved.

11. However, it is made clear that the respondent in terms of the settlement shall make the remaining payment to the petitioner.

12. The petition is allowed in these terms.”

(Emphasis Supplied)

48. The aforesaid line of reasoning has been continuously adopted by this Court in a catena of judgments including but not limited to ***Vishal Shah v. Monalisha Gupta*** reported in 2025 SCC OnLine SC 383; ***Vineet Taneja v. Ritu Johari*** reported in (2025) 3 SCC 732; ***Neha Lal v. Abhishek Kumar*** reported in 2026 SCC OnLine SC 95.
49. A perusal of the dicta laid down by this Court in the above mentioned judgments and several others holding authority on the said law point makes it crystal clear that the Court while exercising its power under Article 142(1) for grant of divorce has to first conclude that there has been an irretrievable breakdown of marriage.
50. In the case at hand, the Appellant-Husband had first filed a divorce petition being H.M.A. No. 275/2023 under Sections 13(1)(i-a) & 13(1)(i)(a) of the Act, which was later withdrawn as per the terms of the Settlement Agreement. Further, in the petition for divorce by mutual consent filed on joint petition by both the parties, First Motion Petition has been allowed *vide* order dated 14.08.2024 and the Second Motion Petition has not been filed as yet.

Supreme Court Reports

51. Apart from the above, the parties have been admittedly living separately from around 2022-23. Both the children of the parties have attained majority and are now living their respective lives. Moreover, even after the Settlement Agreement, the Respondent-Wife proceeded to file a case of domestic violence against the Appellant-Husband and his mother. Thus, we are convinced that the sacrosanct thread tying the parties in this martial relationship has been snapped for long now and we perceive no possibility that they could be united (for good) in a matrimonial relationship.
52. On going through the materials on record, it is evident that there has been a complete and irretrievable breakdown of the matrimonial relationship between the parties. In such a case, when there is no scope of parties peacefully co-existing together, we see no point in continuation of any sorts of litigation in between the parties arising solely out of the matrimonial discord.
53. Thus, in the light of the abovestated facts, we conclude that the present is a fit case for exercise of powers under Article 142(1) to grant a divorce as there had been an irretrievable breakdown of the marriage.

Prevailing Position of the Settlement between the Parties

54. We notice that various terms and conditions have been set out in the Settlement Agreement and out of all such conditions, some have been already performed by the parties and the rest are yet to be completed. The following table indicates the terms of the Settlement Agreement between the parties and their status:

S. No.	Condition of the Settlement Agreement	Status of Completion
1.	Dissolution of Marriage by Mutual Consent: Parties agreed to dissolve their marriage under Section 13B(1) and 13B(2) of the Hindu Marriage Act by filing a joint petition.	Partially Completed: The First Motion was jointly filed and granted by the Family Court on 14.08.2024, However, the Second Motion was not signed as the Respondent-Wife withdrew her consent.

Dhananjay Rathi v. Ruchika Rathi

2.	Withdrawal of Fault-Based Divorce Petition: The Appellant-Husband undertook to withdraw his pending Divorce Petition (H.M.A. No. 275/2023) filed on grounds of adultery and cruelty.	Completed
3.	Payment of First Installment (Alimony): Appellant-Husband agreed to pay ₹75,00,000/- via Demand Draft towards full and final settlement at the time of recording the First Motion.	Completed
4.	Payment for Purchase of a New Car: Appellant-Husband agreed to pay an additional ₹14,00,000/- via Demand Draft for the purchase of a car at the time of the First Motion.	Completed
5.	Handing over of Jewellery (Appendix A to P): Appellant-Husband agreed to hand over specific jewellery items listed in Appendix A to P to the Respondent-Wife at the time of the First Motion.	Completed
6.	Execution of Gift Deed/Indemnity for Funds: Respondent-Wife agreed to execute a Gift Deed/forfeit her claim to ₹2,52,38,794/- to validate accounts reflected in the Appellant-Husband business.	Completed
7.	Relinquishment of Properties, Shares, and Policies: Respondent-Wife obligated to forfeit her rights and execute transfer documents/gift deeds for properties (in Mascot & Neo Town), LIC/Bajaj Allianz policies, and company shares (Globe Capital, K.L. Rathi Steels) back to the Husband.	Pending/Not Complete
8.	Investment in PPF Account & Handover of Passbook: A Sum of ₹4,77,129/- has been invested in the PPF Account No. 152900PPF00000031787 under the name of the Respondent-Wife. The Appellant-Husband was required to hand over the PPF passbook to the Wife at the time of recording the Second Motion	Pending/Not Complete

Supreme Court Reports

9.	Payment of Second Installment (Alimony): Appellant-Husband agreed to pay the remaining balance of ₹70,22,871/- via Demand Draft at the time of recording the Second Motion.	Pending/Not Completed
10.	Bar on Future Litigation: Both parties undertook that neither they nor their family members would institute any civil or criminal proceedings against each other regarding the matrimonial discord in the future.	Breached/Not Completed

DIRECTIONS

55. In the above situation, we pass the following directions:

- i. The criminal appeal stands allowed and the proceedings initiated by the Respondent-Wife pursuant to DV Complaint No. 3186/2025 are quashed hereby and the Impugned Order is set aside.
- ii. The application filed by the Appellant-Husband under Article 142(1) for grant of divorce stands allowed and the marriage between the party is dissolved subject to the terms specified hereunder.
- iii. Contempt Case (C) No. 19 of 2026 pending before the High Court of Delhi filed by the Appellant-Husband and all consequential proceedings thereto stands closed.
- iv. The Appellant-Husband shall pay the remaining amount of ₹70,22,871/- (after deduction of a sum of ₹4,77,129/- towards PPF Account) and he shall also handover the passbook of the said PPF Account in the bank account of the Respondent-Wife within two (2) weeks from the date of the judgment. In case the Appellant-Husband fails to comply with the same, the divorce shall not come into effect.
- v. Immediately after the transfer of the amount mentioned in the preceding clause, on the next working day, the parties shall appear before the jurisdictional Registrar to execute all the relinquishment deeds as agreed between the parties as per Clause 8(E) of the Settlement Agreement within four (4) weeks from the date of the judgment. If the Respondent-Wife

Dhananjay Rathi v. Ruchika Rathi

fails to appear on the said date, the jurisdictional Registrar shall acknowledge and record the presence of the parties and the Registrar shall register such deed in the favour of the Appellant-Husband on the said date itself and the rights of the Respondent-Wife would be relinquished.

- vi. The amount of ₹89,00,000 as deposited by the Respondent-Wife before the High Court of Delhi shall be returned back to her along with the interest accrued on the said amount within two (2) weeks from the date of receipt of the bank details submitted by the Respondent-Wife to the Registrar General of the High Court.
 - vii. All proceedings, civil and criminal, initiated by the Appellant-Husband or the Respondent-Wife, their family members, relatives, friends, in relation to or arising out of such marriage between the parties, shall stand closed and quashed. In addition to this, there shall be a complete bar on all future proceedings, either civil or criminal, by the Appellant-Husband or the Respondent-Wife, their family members, relatives, friends, on any aspect arising out of or in relation to the marriage.
 - viii. A copy of this judgment shall be sent to the Courts concerned for taking action as per the directions in this judgment. However, if there is any other case arising out of the matrimonial dispute, though not mentioned in the list, but pending, the same shall also stand disposed of on production of a copy of this judgment by the parties.
56. Pending application(s), if any, shall also stand disposed of.

Result of the case: Appeal allowed.

**Headnotes prepared by:* Nidhi Jain

J&K Economic Reconstruction Agency

v.

Rash Builders India Private Limited

(Civil Appeal No. 4461 of 2026)

15 April 2026

[Pamidighantam Sri Narasimha and Alok Aradhe,* JJ.]

Issue for Consideration

Issue pertains whether, despite an express designation of Srinagar as seat of arbitration, the conduct of proceedings and rendering of the award at New Delhi would confer jurisdiction upon courts at New Delhi; and the distinction between the seat and venue of arbitration, and consequent determination of supervisory jurisdiction of the courts.

Headnotes[†]

Jammu & Kashmir Arbitration and Conciliation Act, 1997 – s.34 – Juridical seat of arbitration – Appellant engaged respondent-contractor for execution of road projects – Disputes between the parties regarding the contractual claims – Respondent invoked arbitration, and filed separate applications u/s.11 for the appointment of a sole arbitrator for each project – High Court appointed the former District and Sessions Judge as sole arbitrator – This Court, having regard to the value of the contracts, modified the High Court order and appointed former Judge of this Court as the sole arbitrator in substitution of the previously appointed arbitrator – Arbitral Tribunal, with the consent of the parties, fixed Srinagar as the seat of arbitration and New Delhi as the venue – Upon the demise of the sole arbitrator, the High Court appointed another former Judge of this Court, as the sole arbitrator to continue proceedings – Arbitral award delivered in New Delhi – Applications u/s.33 filed by appellant subsequently decided – Appellant then filed petition u/s.34 before the High Court seeking to set aside the arbitral award insofar as it related to Shahdra Project – Respondent raised preliminary objection regarding territorial jurisdiction – High Court returned the petition, holding that since the arbitration proceedings were conducted and the award was rendered at New Delhi, the courts at New Delhi alone had jurisdiction – Correctness:

* Author

**J&K Economic Reconstruction Agency v.
Rash Builders India Private Limited**

Held: Not only have the parties expressly agreed upon Srinagar as seat of arbitration, but even the surrounding circumstances reinforce this – Contracts executed in the State of Jammu & Kashmir and the works were to be carried out within the said State – Arbitration proceedings were initiated in the State of Jammu and Kashmir and the High Court had appointed the arbitrator – These factors as well as the ‘closest and most intimate connection test’ unmistakably anchors the arbitration at Srinagar – Submission that arbitral award records New Delhi as place of arbitration and is thus, determinative of the seat cannot be accepted – Seat of arbitration is governed by the agreement of the parties and not by any stray recital in the award – Once the seat of arbitration is fixed, it remains immutable unless altered by an express agreement – In the absence of any agreement, the designation of Srinagar as seat of the arbitration continues to hold the field – High Court ought to have appreciated that Srinagar was consciously designated as the seat of arbitration – Once such a designation was made, the legal consequence that inexorably follows is that courts at Srinagar alone would have supervisory jurisdiction over the arbitral proceeding – Mere fact that arbitral tribunal for reasons of convenience, conducted proceeding at New Delhi or rendered the award at that place does not and cannot, alter the juridical seat of arbitration – Approach adopted by the High Court, if upheld, would have the effect of rendering the concept of juridical seat otiose, and would introduce uncertainty in arbitration proceeding by allowing the place of hearing or the place where the award is signed to determine the jurisdiction – Such a consequence would be contrary to principles of party autonomy and legal certainty – Impugned order cannot be sustained – Court at Srinagar being the court of seat of arbitration, alone possesses the jurisdiction to entertain and decide the challenge to the arbitral award – Impugned order quashed and set aside – Proceeding u/s.34 restored. [Paras 19-24]

Arbitration and Conciliation Act, 1996 – s.20 – Principles governing the distinction between the seat and venue of the arbitration, and the jurisdictional consequences:

Held: Seat of arbitration constitutes the juridical home or legal place of arbitration – It determines the curial law governing the arbitral process and identifies the Court having supervisory control over the arbitration – Once the seat is designated by agreement of the parties, the courts of that place alone have exclusive jurisdiction to entertain all proceedings arising out of the arbitration, including

Supreme Court Reports

challenges to the award – Venue is merely a geographical location chosen for convenience for holding hearings, examination of witnesses, or meetings of the arbitral tribunal – It does not confer jurisdiction and does not, by itself, alter or determine the seat – Arbitral tribunal is free to conduct proceedings at locations different from the seat without affecting the juridical seat – Mere fact that arbitral proceedings are conducted or the award is rendered at a particular place does not confer jurisdiction on courts of that place if it is different from the designated seat – Seat remains fixed unless expressly altered by agreement of the parties – Where the seat is not expressly designated, courts determine it by applying the closest and most intimate connection test, identifying the place most closely connected with the arbitration (based on the *Naviera Amazonica* principle); and in appropriate cases, construing the venue as the seat where the agreement and surrounding circumstances indicate such intention (as reflected in the *Shashoua* principle) – Intention of the parties, as discerned from the arbitration agreement and surrounding circumstances, is the paramount factor in determining the seat – Once such intention is expressed-either expressly or by necessary implication-it must be given full effect by Courts. [Para 18]

Case Law Cited

Inox Renewables Ltd. v. Jayesh Electricals Ltd. [2021] 4 SCR 376 : (2023) 3 SCC 733; *BBR (India) Private Limited v. S.P. Singla Constructions Private Limited* [2022] 19 SCR 977 : (2023) 1 SCC 693; *BGS SGS SOMA JV v. NHPC Ltd.* [2019] 17 SCR 742 : (2020) 4 SCC 234; *Mankastu Impex (Pvt.) Ltd. v. Airvisual Ltd.* [2020] 4 SCR 565 : (2020) 5 SCC 399; *Bharat Aluminium Co. v. Kaiser Aluminium Technical Services Inc.* [2012] 12 SCR 327 : (2012) 9 SCC 552; *Enercon (India) Ltd. & Ors. v. Enercon GMBH & Anr.* [2014] 2 SCR 855 : (2014) 5 SCC 1; *Indus Mobile Distribution Pvt. Ltd. v. Datawind Innovations Pvt. Ltd. & Ors.* [2017] 4 SCR 744 : (2017) 7 SCC 678; *Hindustan Construction Co. Ltd. v. NHPC Ltd. & Anr.* (2020) 4 SCC 310; *Arif Azam Co. Ltd. v. Micromax Informatics FZE* [2024] 11 SCR 1142 : (2025) 9 SCC 750 - referred to.

Shashoua v. Sharma, 2009 EWHC 957 (COMM) – referred to.

Naviera Amazonica Peruana S.A. v. Compania Internacional de Seguros del Peru (1988) 1 Lloyd's Rep 116 (CA) – referred to.

**J&K Economic Reconstruction Agency v.
Rash Builders India Private Limited**

List of Acts

Jammu & Kashmir Arbitration and Conciliation Act, 1997; Societies Registration Act, 1941; Code of Civil Procedure, 1908.

List of Keywords

Designation of Srinagar as seat of arbitration; Conduct of proceedings; Rendering of the award at New Delhi; Jurisdiction upon courts at New Delhi; Distinction between the seat and venue of arbitration; Determination of supervisory jurisdiction of the courts; Juridical seat of arbitration; Execution of infrastructure road projects; Contractual claims; Appointment of sole arbitrator for each project; Appointment of the former District and Sessions Judge as sole arbitrator; Appointment of the former Judge of this Court as the sole arbitrator; Substitution of the previously appointed arbitrator; Territorial jurisdiction; Naviera Amazonica principle; Shashoua principle.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 4461 of 2026

From the Judgment and Order dated 08.07.2024 of the High Court of Jammu & Kashmir and Ladakh at Srinagar in ARBP No. 28 of 2024.

Appearances for Parties

Advs. for the Appellant(s):

Parth Awasthi, Pashupathi Nath Razdan.

Advs. for the Respondent(s):

Ms. Renu Gupta, Ms. Mandakini Ghosh, Ms. Pratiksha Jalan.

Judgment / Order of the Supreme Court

Judgment

Alok Aradhe, J.

1. Delay condoned.
2. Leave granted.
3. The present appeal presents an occasion to revisit the settled distinction between the seat and venue of arbitration, and consequent

Supreme Court Reports

determination of supervisory jurisdiction of the courts. The appeal arises from an order directing return of a petition under Section 34 of Jammu & Kashmir Arbitration and Conciliation Act, 1997 (Act).

FACTS: -

4. The facts giving rise to the present appeal are undisputed and may be briefly stated. The appellant, Jammu and Kashmir Economic Reconstruction Agency (JKERA) is a society registered under the Societies Registration Act, 1941 functioning as a special purpose vehicle for execution of externally aided infrastructure projects. The respondent is a contractor engaged by the appellant for execution of four infrastructure road projects namely, (i) Kralgund-Ashpora-Qaziabad Road Project (Kralgund Project) (ii) Handwara-Zachaldara-Waddur Road Project (Handwara Project) (iii) Hubdipora-Kadar-Qaimoh Road Project (Hubdipora Project) and (iv) Shahdra-Kamalkote Road Project (Shahdra Project) in the State of Jammu & Kashmir. The agreements between the parties were executed on 31.03.2008.
5. Disputes having arisen between the parties regarding the contractual claims, the respondent invoked the arbitration, by issuing a notice on 18.04.2014, in terms of Arbitration clause contained in the agreements. The respondent thereafter filed four separate applications on 12.06.2014 under Section 11 of the Act before the High Court of Jammu & Kashmir and Ladakh at Srinagar (High Court) for appointment of sole arbitrator for each project. By an order dated 30.07.2015, the High Court, appointed Mr. Javed Ahmad Kawoosa, former District and Sessions Judge as sole arbitrator.
6. The appellant challenged the said order by filing Civil Appeal Nos.14167-14170 of 2015. By an order dated 07.12.2015, this Court, having regard to the value of the contracts, modified the High Court order and appointed Mr. Justice S.S. Nijjar, former Judge of this Court as the sole arbitrator in substitution of the previously appointed arbitrator.
7. By an order dated 26.03.2016, the Arbitral Tribunal, with the consent of the parties fixed Srinagar as seat of arbitration and New Delhi as the venue. Upon the demise of sole arbitrator, on 26.03.2021, the High Court in exercise of powers under Sections 14 and 15 of the Act vide order dated 17.09.2021 appointed Mr. Justice Amitava Roy, a former Judge of this Court, as the sole arbitrator to continue

**J&K Economic Reconstruction Agency v.
Rash Builders India Private Limited**

proceedings from the stage left by the previous arbitrator. The arbitral award was delivered on 15.01.2024 at New Delhi. The applications under Section 33 of the Act filed by the appellant, were subsequently decided by an order dated 12.03.2024.

8. The appellant filed a petition under Section 34 of the Act before the High Court seeking to set aside the arbitral award dated 15.01.2024 and order dated 12.03.2024 in so far it related to Shahdra Project. The respondent raised a preliminary objection regarding the territorial jurisdiction.
9. By an order dated 08.07.2024, the High Court returned the petition, holding that since the arbitration proceedings were conducted and the award was rendered at New Delhi, the courts at New Delhi alone had jurisdiction.

SUBMISSIONS: -

10. Learned counsel for the appellant contended that by an order dated 26.03.2016, with the consent of the parties, the arbitrator had fixed the seat of arbitration at Srinagar and the same could be altered only by mutual agreement. It is submitted that where the seat and venue differ, the seat determines the supervisory jurisdiction, hence the courts at Srinagar alone possess jurisdiction under Section 34 of the Act.
11. Learned counsel for the respondent, on the other hand, submitted that appellant had also approached High Court of Delhi by filing petitions under Section 34 of the Act and thereafter has filed the Special Leave Petition. It is contended that arbitral award recorded New Delhi as the place of arbitration for all intents and purposes, and parties may alter seat by mutual consent. Therefore, the appeal is liable to be dismissed. In support of the aforesaid submissions, reliance has been placed on the decisions of this Court¹.

CASE LAW AND THE LEGAL PRINCIPLES: -

12. The distinction between the seat and venue of arbitration though, firmly embedded in arbitral jurisprudence, continues to give rise to jurisdictional errors. The present appeal exemplifies one such

¹ *Inox Renewables Ltd. v. Jayesh Electricals Ltd.*; (2023) 3 SCC 733, *BBR (India) Private Limited v. S.P. Singla Constructions Private Limited*; (2023) 1 SCC 693, *BGS SGS SOMA JV v. NHPC Ltd.*; (2020) 4 SCC 234 and *Mankastu Impex (Pvt.) Ltd. v. Airvisual Ltd.*; (2020) 5 SCC 399

Supreme Court Reports

instance, necessitating judicial correction. The core issue is whether, despite an express designation of Srinagar as seat of arbitration, the conduct of proceedings and rendering of the award at New Delhi would confer jurisdiction upon courts at New Delhi. In order to answer this question, it becomes necessary to revisit the well-settled principles governing the concept of juridical seat of arbitration.

13. A Constitution Bench of this Court², recognised that arbitration is anchored to the seat or place chosen by the parties, and that the law of that seat governs the arbitration. It was observed that Section 20 of the Arbitration and Conciliation Act, 1996 embodies party autonomy in the choice of seat, while also permitting, under sub-section (3), the holding of hearings at a place convenient to the parties. The distinction is both deliberate and doctrinal: while the seat determines jurisdiction and applicable law, the *venue* is merely a matter of convenience for conducting proceedings.
14. A two-Judge Bench of this Court³ while placing reliance on the “closest and most intimate connection” test involved in English jurisprudence⁴, held that seat of arbitration is juridical home of arbitration and where the agreement of the parties is clear, such designation must be given full effect. Even in cases of ambiguity, the seat is to be determined by identifying the place with the closest and most intimate connection to the arbitration.
15. Another two-Judge Bench of this Court⁵ authoritatively expounded the concept of the “juridical seat” and held that the designation of a seat of arbitration is akin to an exclusive jurisdiction clause. It was observed that the expression “subject-matter of arbitration” in Section 2(1)(e) of the Act is not to be confused with the subject-matter of the suit, but rather refers to the process of dispute resolution, thereby identifying the court which exercises supervisory jurisdiction over the arbitral proceedings. It was further held that once a seat is designated, it operates as the centre of gravity of the arbitration and vests exclusive jurisdiction in the courts of that place for all matters

2 Bharat Aluminium Co. v. Kaiser Aluminium Technical Services Inc. (2012) 9 SCC 552.

3 Enercon (India) Ltd. & Ors. v. Enercon GMBH & Anr.; (2014) 5 SCC 1.

4 Naviera Amazonica Peruana S.A. v. Compania Internacional de Seguros del Peru (1988) 1 Lloyd's Rep 116 (CA).

5 Indus Mobile Distribution Pvt. Ltd. v. Datawind Innovations Pvt. Ltd. & Ors.; (2017) 7 SCC 678

**J&K Economic Reconstruction Agency v.
Rash Builders India Private Limited**

arising out of the arbitration, including challenges to the arbitral award. The designation of a seat, therefore, is not a matter of mere form, but carries with it significant legal consequences.

16. The aforesaid principle has been affirmed by a three-Judge Bench of this Court⁶ and it has been held that the moment the seat is designated, it operates as an exclusive jurisdiction clause, irrespective of whether any part of the cause of action has arisen there. Arbitration law, in this respect, departs from the Code of Civil Procedure, permitting parties to choose a neutral seat which may have no connection with the underlying dispute, yet vests exclusive jurisdiction in the Courts of that place.
17. A three-Judge Bench of this Court⁷ held that once the seat of arbitration is designated, such clause becomes the exclusive jurisdiction clause as a result of which only the courts where the seat is located would have jurisdiction to the exclusion of all other courts. Recently, another three-Judge Bench of this Court⁸ reaffirmed the principle that seat remains the judicial anchor, determining both the applicable law and the supervisory jurisdiction.
18. Thus, the principles governing the distinction between the seat and venue of the arbitration, and the jurisdictional consequences that follow, may be summarised as under: -
 - (i) The seat of arbitration constitutes the juridical home or legal place of arbitration. It determines the curial law governing the arbitral process and identifies the Court having supervisory control over the arbitration.
 - (ii) Once the seat is designated by agreement of the parties, the courts of that place alone have exclusive jurisdiction to entertain all proceedings arising out of the arbitration, including challenges to the award. The designation of the seat operates akin to an exclusive jurisdiction clause, excluding all other courts – even those where the cause of action may have arisen.

⁶ BGS SGS Soma JV v. NHPC Ltd.; (supra)

⁷ Hindustan Construction Co. Ltd. v. NHPC Ltd. & Anr.; (2020) 4 SCC 310; See also: Mankastu Impex Pvt. Ltd. v. Airvisual Ltd. (supra) and BBR (India) Pvt. Ltd. v. S.P. Singla Constructions Pvt. Ltd. (supra).

⁸ Arif Azam Co. Ltd. v. Micromax Informatics FZE; (2025) 9 SCC 750.

Supreme Court Reports

- (iii) The *venue* is merely a geographical location chosen for convenience for holding hearings, examination of witnesses, or meetings of the arbitral tribunal. It does not confer jurisdiction and does not, by itself, alter or determine the seat. The arbitral tribunal is free to conduct proceedings at locations different from the seat without affecting the juridical seat.
- (iv) The mere fact that arbitral proceedings are conducted or the award is rendered at a particular place does not confer jurisdiction on courts of that place if it is different from the designated seat. The seat remains fixed unless expressly altered by agreement of the parties.
- (v) Where the seat is not expressly designated, courts determine it by applying:
 - (a) the closest and most intimate connection test, identifying the place most closely connected with the arbitration (based on the *Naviera Amazonica* principle); and
 - (b) in appropriate cases, construing the venue as the seat where the agreement and surrounding circumstances indicate such intention (as reflected in the *Shashoua* principle⁹).
- (vi) The intention of the parties, as discerned from the arbitration agreement and surrounding circumstances, is the paramount factor in determining the seat. Once such intention is expressed—either expressly or by necessary implication—it must be given full effect by Courts.

APPLICATION TO FACTS: -

19. In the backdrop of aforesaid well-settled legal principles, we may advert to the facts of the case in hand. In the instant case, the sole arbitrator by an order dated 26.03.2016 had fixed the seat of arbitration as Srinagar and venue of arbitration as New Delhi. The relevant extract of the order dated 26.03.2016 reads as under: -

“...In the order dated 16.01.2016 the direction that the seat of arbitration shall be Srinagar and that the venue

**J&K Economic Reconstruction Agency v.
Rash Builders India Private Limited**

shall be New Delhi has been inadvertently omitted. Please note that on agreement of the parties seat of Arbitration shall be at Srinagar and Venue shall be at New Delhi.”

20. In the present case, not only have the parties expressly agreed upon Srinagar as seat of arbitration, but even the surrounding circumstances reinforce this conclusion. The contracts are executed in the State of Jammu & Kashmir and the works were to be carried out within the said State. The arbitration proceedings were initiated in the State of Jammu and Kashmir and the High Court had appointed the arbitrator. These factors as well as the ‘closest and most intimate connection test’ unmistakably anchors the arbitration at Srinagar.
21. The contention of the respondent that arbitral award records New Delhi as place of arbitration and is therefore determinative of the seat cannot be accepted. The seat of arbitration is governed by the agreement of the parties and not by any stray recital in the award. Once the seat of arbitration is fixed, it remains immutable unless altered by an express agreement. In the absence of any agreement, the designation of Srinagar as seat of the arbitration continues to hold the field.
22. The High Court ought to have appreciated that Srinagar was consciously designated as the seat of arbitration. Once such a designation was made, the legal consequence that inexorably follows is that courts at Srinagar alone would have supervisory jurisdiction over the arbitral proceeding. The mere fact that arbitral tribunal for reasons of convenience, conducted proceeding at New Delhi or rendered the award at that place does not and cannot, alter the juridical seat of arbitration
23. The approach adopted by the High Court, if upheld, would have the effect of rendering the concept of juridical seat otiose, and would introduce uncertainty in arbitration proceeding by allowing the place of hearing or the place where the award is signed to determine the jurisdiction. Such a consequence would be contrary to principles of party autonomy and legal certainty that underly the Arbitration and Conciliation Act, 1996.

CONCLUSION: -

24. For the foregoing reasons, the impugned order returning the application filed by the appellant under Section 34 of the Act cannot

Supreme Court Reports

be sustained. The court at Srinagar being the court of seat of arbitration, alone possesses the jurisdiction to entertain and decide the challenge to the arbitral award. It was stated at the Bar that after the impugned order, the appellant had filed four separate petitions under Section 34 of the Act before High Court of Delhi. Needless to state that the appellant shall be at liberty to withdraw the petition under Section 34 of the Act relating to Shahdra Project and the fate of remaining three petitions shall abide by this decision.

25. In the result, impugned order dated 08.07.2024 passed by the High Court is quashed and set aside. The proceeding under Section 34 of the Act shall stand restored. The High Court shall consider and decide the same on its own merits, with due expedition. The appeal is allowed. There shall be no order as to costs.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Nidhi Jain

Shuvendu Saha
v.
The State of West Bengal and Anr.

(Criminal Appeal No. 1836 of 2026)

09 April 2026

[Vikram Nath and Sandeep Mehta,* JJ.]

Issue for Consideration

The High Court, in a revision filed at the instance of the respondent no.2-complainant, set aside the order granting bail to the accused-appellant herein in a case involving offences triable by the Court of Magistrate after a gap of nearly 8 years.

Headnotes[†]

Code of Criminal Procedure, 1973 – s.437 – Bharatiya Nagarik Suraksha Sanhita, 2023 – s.480 – Bail – Grant of – The dispute between the appellant and respondent no.2-complainant was regarding tenancy rights over a portion of a building – Respondent no.2-complainant instituted a civil suit against the appellant regarding the same – In the said proceedings, the respondent no.2-complainant deposed that the disputes between the parties was amicably settled – The Court, taking note of the said statement, dismissed the suit – Concealing this *factum*, respondent no.2-complainant filed a complaint before the Additional Chief Judicial Magistrate, who in turn, exercised powers u/s.156(3) of the CrPC and forwarded the said complaint to the Officer-in-Charge, Police Station, for investigation, leading to the registration of FIR u/ss.409, 417, 418, 419, 420, and 506(ii) of the IPC – The appellant was arrested – Subsequently, appellant was granted interim bail and thereafter, bail was confirmed on 04.07.2018 – The complainant filed a criminal revision before the High Court – The High Court set aside the order granting interim bail as well as the subsequent orders confirming bail on 06.03.2026 – **Correctness:**

Held: On a perusal of the above order, it is clear that all parameters for deciding a bail application filed u/s.437 CrPC (corresponding s.480 of the BNSS) were considered by the Magistrate and even

* Author

Supreme Court Reports

the respondent no.2-complainant was provided an opportunity of hearing – There was no justification for the Single Judge of the High Court to have interfered with the order granting bail, more so after a lapse of nearly eight years from the date of order granting bail – The issues highlighted in the complaint were predominantly having civil overtones, and yet the Single Judge proceeded to decide the revision as if it involved questions of grave legal importance – Once the trial Court had exercised jurisdiction u/s.437 CrPC to affirm the order of interim bail passed in favour of the accused, the same could only be cancelled or set aside on the principles governing cancellation of bail laid down by this Court in a catena of decisions – The discretion of the High Court was heavily swayed by the reason that safety of the respondent no.2-complainant was at risk, was far removed from reality – The order of the High Court does not reflect or refer to any such event or incident which may have caused any life threat or risk to the respondent no.2-complainant – The view taken by the High Court is wholly perverse, apart from being in gross disregard of the mandate of s.437 of CrPC – A Rule (Rule 183 of the Calcutta High Court Criminal (Subordinate Courts) Rules, 1985) contained in the Criminal Rules and Orders, which governs the procedural aspects of day-to-day functioning of criminal Courts, could not have been invoked to override the substantive mandate of the CrPC unless a gross failure of justice was demonstrated in the proceedings – No palpable material on record to show that the Magistrate had substantially breached the procedure provided under the said rule – The impugned order is audaciously perverse and illegal, and hence, the same cannot be sustained. [Paras 21, 22, 25, 27, 29, 32, 33]

Judiciary – Adverse remarks – Castigation of Judicial Officers – Recording of adverse remarks/strictures against them by the High Court – Power of superintendence is not a tool of oppression:

Held: It has become a trend to castigate Judicial Officers and record adverse remarks/strictures against them in judicial orders passed by the High Court in the exercise of supervisory, appellate or revisional jurisdiction – The High Court, being a Court of record in the State, is expected to act as the guardian of the Officers in district judiciary – While finding infirmities in the order passed by a Judicial Officer, the immediate reaction ought not to be to

Shuvendu Saha v. The State of West Bengal and Anr.

make adverse or disparaging observations against the concerned Judicial Officer in a judicial dispensation – Such disparaging remarks/strictures may ruin the career of the Judicial Officer in addition to demoralising the district judiciary as a whole – Power of superintendence conferred upon the High Courts by Art.227 of the Constitution of India ought not to be used as a tool of oppression but rather as a mechanism for nurturing and guiding the Judicial Officers in the State. [Paras 35, 36]

Constitution of India – Art.227 – Power of Superintendence conferred upon the High Court – Mechanism to guide Judicial Officers – Merits or quality of the order to be noted on the remark slip:

Held: In some High Courts an in-house mechanism is already in place to take care of a situation, whenever any flaw or infirmity is noted in any order passed by the trial Judge by the High Court while exercising the supervisory jurisdiction – The observations of the Hon'ble Judge/Bench on the merits or quality of the order or the proceedings of the presiding officer of the trial Court can be noted in a remark slip which, in turn, would be placed before the administrative Judge or the Chief Justice of the High Court, as the case may be, for necessary follow-up action. [Para 37]

Constitution of India – Art.227 – Power of Superintendence conferred upon the High Court – Merits or quality of the order passed by Judicial Officers – A format of remark-slip – Illustrated. [Para 38]

Case Law Cited

Dolat Ram v. State of Haryana [1994] Supp. 6 SCR 69 : (1995) 1 SCC 349 – relied on.

X v. State of Telangana [2018] 4 SCR 466 : (2018) 16 SCC 511; *CBI v. Subramani Gopalakrishnan* [2011] 5 SCR 824 : (2011) 5 SCC 296; *Neeru Yadav v. State of U.P.* [2015] 10 SCR 802 : (2016) 15 SCC 422 – referred to.

List of Acts

Penal Code, 1860; Code of Criminal Procedure, 1973; Bharatiya Nagarik Suraksha Sanhita, 2023; Constitution of India; Calcutta High Court Criminal (Subordinate Courts) Rules, 1985.

Supreme Court Reports

List of Keywords

Bail; *sublato fundamento cadit opus*; Opportunity of hearing; Section 437 of CrPC; Cancellation of bail; Rule 183 of Calcutta High Court Criminal (Subordinate Courts) Rules, 1985; Hyper-technical view; Judiciary; Adverse remarks; Castigation of Judicial Officers; Art.227 of Constitution; Power of Superintendence conferred upon the High Court; Format of remark slip.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 1836 of 2026

From the Judgment and Order dated 06.03.2026 of the High Court at Calcutta in CRR No. 1248 of 2018.

Appearances for Parties

Advs. for the Appellant(s):

Siva Prasad Ghose, Anondo Mukherjee, Ms. Parul Sharma, Jitender Kumar, Anil Kumar.

Advs. for the Respondent(s):

Rohit Dutta, Anas Tanwir, Suryanu Sengupta, Dhruvajit Saikia, Ms. A. Banerjee, Ms. Geetanjali Nagpal, Kunal Mimani, Prashant Alai, Abhinav Rana.

Judgment / Order of the Supreme Court

Order

Mehta, J.

1. Heard.
2. Issue notice.
3. Mr. Kunal Mimani, learned counsel appearing for the State of West Bengal, accepts notice on advance service. Mr. Rohit Dutta, learned counsel, appears *via* video conferencing on behalf of respondent No.2¹ on caveat.

1 Hereinafter, referred to as the “respondent No.2-complainant”.

Shuvendu Saha v. The State of West Bengal and Anr.

4. Leave granted.
5. Facts involved in the present appeal manifest a remarkably perverse exercise of revisional jurisdiction by learned Single Judge of the High Court at Calcutta² who has, in a revision filed at the instance of the respondent No.2-complainant, set aside the order granting bail to the accused-appellant³ herein in a case involving offences triable by Court of Magistrate after a gap of nearly 8 years on absolutely hyper technical and untenable reasons.
6. The dispute between the appellant and respondent No.2-complainant is with regard to tenancy rights over a portion of a building, which was purchased by the appellant from its erstwhile owner. Respondent No.2-complainant instituted a civil suit against the appellant, being Title Suit No.328 of 2016, seeking declaration of her tenancy in respect of a room admeasuring approximately 150 sq. ft.
7. On 15th September, 2017, in the proceedings of the civil suit, the respondent No.2-complainant entered the witness box and deposed that the disputes between the parties had been amicably settled and, in view thereof, she did not wish to proceed with the said suit. The Court, taking note of the said statement, recorded that the dispute stood settled between the parties and dismissed the suit by an order of the even date. Concealing the factum of the aforesaid civil proceedings and the settlement, the respondent No.2-complainant filed a complaint on 28th November, 2017 before the learned Additional Chief Judicial Magistrate⁴, Sealdah, who in turn, by order dated 28th November, 2017 exercised powers under Section 156(3) of the Code of Criminal Procedure⁵ and forwarded the said complaint to the Officer-in-Charge, Cossipore Police Station, for investigation, leading to the registration of FIR No.257 dated 8th December, 2017 for the offences punishable under Sections 409, 417, 418, 419, 420, and 506(ii) of the Indian Penal Code, 1860⁶.
8. The appellant was arrested in connection with the aforesaid case and was produced before the Magistrate concerned on 3rd May,

2 Hereinafter, referred to as the "High Court".

3 Hereinafter, referred to as the "appellant" or "accused".

4 Hereinafter, referred to as the "Magistrate".

5 For short, 'CrPC'.

6 For short, 'IPC'.

Supreme Court Reports

2018. His initial prayer for bail came to be rejected on the same day. Subsequently, the learned Magistrate granted interim bail to the appellant on 7th May, 2018, which was thereafter confirmed by the learned Magistrate on 4th July, 2018. The complainant challenged the order granting interim bail to the appellant by filing Criminal Revision No.1248 of 2018 before the High Court.

9. Learned Single Judge of the High Court allowed the said revision by the impugned order dated 6th March, 2026, holding that the Magistrate had acted contrary to Rule 183 of the Calcutta High Court Criminal (Subordinate Courts) Rules, 1985, and that there was an infirmity in the order of the learned Magistrate, which only bore his initials and lacked proper authentication. The High Court, accordingly, set aside the order granting interim bail as well as the subsequent orders confirming bail.
10. The learned Single Judge further held that the order granting bail was also vitiated on account of not providing an opportunity of effective hearing to the respondent No.2-complainant. While concluding the order, the learned Single Judge granted interim protection to the appellant.
11. The aforesaid order dated 6th March, 2026 is under challenge at the instance of the appellant in the present appeal by special leave.
12. We have extensively heard learned counsel for the parties and have gone through the impugned order and the material placed on record.
13. Learned counsel representing the appellant has placed for our perusal a copy of the order dated 16th March, 2026 passed by the learned ACJM, Sealdah, whereby the appellant, upon being re-arrested post passing of the impugned order, was presented before the learned Magistrate and was granted bail on certain terms and conditions. We could have closed these proceedings on this premise alone. However, we deem it necessary that some discussion be made on the order passed by the High Court, which, *ex facie*, suffers from gross perversity.
14. First of all, we may note that in a case involving Magistrate triable offences, the appellant had been granted bail by the jurisdictional Magistrate way back in the year 2018. The revision preferred by respondent No.2-complainant against the said order granting bail came to be heard and decided by the learned Single Judge of the

Shuvendu Saha v. The State of West Bengal and Anr.

High Court in the year 2026, and on absolutely hyper-technical grounds and by undertaking a hair-splitting exercise, the learned Single Judge proceeded to set aside the order granting bail to the appellant.

15. We are of the firm opinion that the learned Single Judge misdirected himself while setting aside the order granting bail passed by the learned Magistrate. It is manifest from the impugned order that the learned Single Judge failed to advert to the fact that prior to the lodging of the complaint, respondent No.2-complainant had filed a civil suit in relation to the very same dispute, wherein, she made a deposition stating that the matter had been amicably settled and, therefore, the suit was not required to be proceeded with.
16. Consequently, based on the said statement, the civil suit was dismissed on 15th September, 2017 noting that the dispute stood amicably settled. Concealing this material fact, respondent No.2-complainant preferred the application under Section 156(3) of CrPC, on the basis whereof FIR No.257 dated 8th December, 2017 came to be registered against the appellant at Police Station Cossipore.
17. On going through the FIR, we find the same to be highly belated and additionally, even if the allegations set out in the FIR were accepted as true on the face of record, the case has overtones of a civil dispute, plain and simple, and hence, it was not a case wherein the accused could have been denied bail.
18. Needless to state that cancellation of bail/setting aside of the bail order impinges upon the liberty of an individual. Law is well settled by a catena of decisions⁷ of this Court that orders granting bail ought not to be lightly interfered with.
19. In the present case, which involves magistrate triable offences, the accused had been arrested on 3rd May, 2018, and he was granted interim bail by the learned Magistrate on 7th May, 2018, which order was subsequently confirmed on 4th July, 2018.
20. For the sake of ready reference, we extract the order dated 7th May, 2018, passed by the learned Magistrate: -

⁷ *X v. State of Telangana*, (2018) 16 SCC 511; *Dolat Ram v. State of Haryana*, (1995) 1 SCC 349; *CBI v. Subramani Gopalakrishnan*, (2011) 5 SCC 296; *Neeru Yadav v. State of U.P.*, (2016) 15 SCC 422.

Supreme Court Reports

“Heard both sides. Perused C/R and C/D perused petition filed by *defacto* complainant. Heard Ld. Advocate for the *defacto* complainant.

Considering-

- a) Period of detention
- b) No progress in investigation during P/C period.
- c) No prayer for further P/C by I/O.
- d) No prayer for custodial interrogation.
- e) No mention to threat to *defacto* in today’s remand by I/O.

I do not find any reason for further detention of prosecute accused in I/C in the interest of investigation. Hence, all objections raised against bail are turned down. Bail prayer is allowed, albeit on interim basis.

Sole accused may be enlarged on A/I bail of Rs.2000/-with 1 surety (*sic*) Rs. of like amount. ID to J/C.

If no bail to 7.6.18 for app. Further order as to bail and report.

Return C/D.

Sd/-”

21. On a perusal of the above order, it is clear that all parameters for deciding a bail application filed under Section 437 CrPC (corresponding Section 480 of the BNSS) were considered by the learned Magistrate and even the respondent No.2-complainant was provided an opportunity of hearing. Hence, we have no hesitation in holding that there was no justification whatsoever for the learned Single Judge to have interfered with the order granting bail, more so after a lapse of nearly eight years from the date of order granting bail.
22. We, emphatically reiterate that the issues highlighted in the complaint were predominantly having civil overtones, and yet the learned Single Judge proceeded to decide the revision as if it involved questions of grave legal importance. The following questions of law and fact were in fact formulated and thereafter adjudicated upon: -

Shuvendu Saha v. The State of West Bengal and Anr.

“6. The resolution of the instant revision hinges upon the following pivotal questions of law and fact:

i. whether an order of interim bail is sustainable in law if it fails to comply with the mandatory procedural safeguards enshrined in Rule 183 of the Criminal Rules and Orders (Cr.R.O.) regarding authentication?

ii. whether the Learned Magistrate’s refusal to record specific reasons for “turning down” the victim’s objections, despite the mandate of Section 2(wa) of the Code, constitutes an abdication of judicial duty?

iii. whether this Court, in exercise of its supervisory jurisdiction under Article 227, is empowered to strike down an order passed in manifest violation of binding administrative directions and judicial precedents of the High Court?”

23. The learned Single Judge, for cancelling the bail granted to the accused in a case involving Magistrate’s triable offences after 8 years of the event and after nearly 15 years of the alleged offence, assigned the following reasons in the impugned order: -

“21. Upon a holistic consideration of the facts and the settled position of law, I am of the firm opinion that the impugned order of bail suffers from a dual infirmity-procedural and substantive. Procedurally, the total disregard for the authentication protocols under Rule 183 of the Cr.R.O. and the binding directives of this Court in Sharmistha Chowdhuri (supra) renders the record a mere scrap of paper lacking judicial solemnity. Substantively, the failure to recognize the statutory rights of the “victim” under Section 2(w)(a) of the Code and the summary dismissal of documented life-threats constitutes a manifest failure of justice.

22. Therefore, this Court arrives at the legal conclusion that the liberty of an accused, while precious, cannot be protected by an order that is “born in sin,” i.e., an order passed in defiance of the High Court’s administrative and judicial discipline. A bail order which is (a) unsigned or partially initialled in violation of Rule 183 Cr.R.O., (b) unreasoned regarding the specific objections of a victim,

Supreme Court Reports

and (c) indifferent to the history of witness intimidation, is a perverse order that the High Court is duty-bound to strike down under Section 482 and under Article 227 of the Constitution to prevent a miscarriage of justice.

23. This Court finds that the Learned Magistrate exercised his discretion arbitrarily and in defiance of binding precedents. The subsequent confirmation of bail cannot validate an order that failed to consider the life-threat to the elderly widow/petitioner. Consequentially, it is ordered that:

a. the order dated May 7, 2018, and all subsequent orders confirming the bail of Opposite Party No. 2, Suvendu Saha, are hereby set aside and quashed. The liberty granted to the accused stands revoked with immediate effect.

b. the Opposite Party No. 2 is directed to surrender before the Learned Additional Chief Judicial Magistrate, Sealdah, within 48 hours from the communication of this order. Failure to do so shall result in immediate arrest of the petitioner / accused by the Officer-in-Charge, Cossipore P.S. and produce him before the Court below in custody.

c. Upon surrender/arrest, the Learned Additional Chief Judicial Magistrate shall hear the bail prayer de novo, providing a mandatory and meaningful hearing to the Victim or her authorized counsel, perusing the updated Case Diary and specifically record findings on the allegations of post-arrest threats and intimidation, and recording the order in strict compliance with Rule 183 Cr.R.O. and the format mandated in Sharmistha Chowdhuri.

d. The failure of the Learned Additional Chief Judicial Magistrate to comply with the mandatory requirements of Rule 183 of the Cr.R.O. and the administrative circulars issued by this Court, is a matter of grave concern. Judicial discipline requires that District courts strictly adhere to the formats and

Shuvendu Saha v. The State of West Bengal and Anr.

protocols established by the High Court to ensure the transparency and integrity of judicial records.

e. the Registrar (Judicial Service) is directed to call for an explanation from the concerned Judicial Officer as to why the mandatory provisions of Rule 183 and the administrative circulars of this Court were bypassed. A copy of this order shall be placed in the Annual Confidential Report (ACR) dossier of the said officer, and a formal warning shall be issued to ensure future circumspection.

f. To prevent such “jurisdictional insubordination” from becoming a norm, the Registrar General is directed to re-circulate the mandatory directions contained in Paragraphs 35, 36, and 37 of Sharmistha Chowdhuri to all judicial officers in the State of West Bengal and the Union Territory of Andaman and Nicobar Islands.

g. All District Judges are directed to ensure compliance through periodic inspections of order-sheets. Any persistent default by any judicial officer in signing order sheets in full or taking external assistance for recording orders shall be reported to the High Court on the administrative side for the initiation of appropriate departmental proceedings.

h. The Director of the West Bengal State Judicial Academy is directed to include a specific module on the “Recording of Judicial Orders and Authentication of Records” in the induction and refresher courses for judicial officers, emphasizing the legal consequences of non-compliance with the Criminal Rules and Orders.

i. The Commissioner of Police, Kolkata, is directed to ensure adequate and continuous protection for the Petitioner and her family. The interim protection already granted shall remain in force until the final disposal of the de novo bail prayer by the Court below.”

24. Learned Single Judge, while setting aside the order of the Magistrate, held the order granting bail to be arbitrary and in defiance of binding

Supreme Court Reports

precedents. The learned Single Judge also directed the Registrar General to call for an explanation from the concerned Judicial Officer and considered the same to be a case of “jurisdictional insubordination” which had to be prevented. We feel that the aforesaid observations were wholly misplaced and uncalled for.

25. The High Court proceeded on the premise of the latin maxim ‘***sublato fundamento cadit opus***’, which, translated literally, means ‘when infrastructure fails, superstructure must fail’. We are of the firm opinion that the said maxim had no application to the case at hand as herein, the purported infrastructure was the order dated 7th May, 2018, granting interim bail to the accused which stood subsumed in the final order granting bail dated 4th July, 2018. It is absolutely unacceptable that the final order granting bail could have been set at naught merely because in the opinion of the High Court, some infirmities existed in the order granting interim bail to the accused. Once the trial Court had exercised jurisdiction under Section 437 CrPC to affirm the order of interim bail passed in favour of the accused, the same could only be cancelled or set aside on the principles governing cancellation of bail laid down by this Court in a catena of decisions. In this regard, we may gainfully refer to the judgment of this Court in ***Dolat Ram v. State of Haryana***⁸, the relevant paragraph whereof is extracted hereinbelow:-

“4. Rejection of bail in a non-bailable case at the initial stage and the cancellation of bail so granted, have to be considered and dealt with on different basis. Very cogent and overwhelming circumstances are necessary for an order directing the cancellation of the bail, already granted. **Generally speaking, the grounds for cancellation of bail, broadly (illustrative and not exhaustive) are: interference or attempt to interfere with the due course of administration of justice or evasion or attempt to evade the due course of justice or abuse of the concession granted to the accused in any manner. The satisfaction of the court, on the basis of material placed on the record of the**

Shuvendu Saha v. The State of West Bengal and Anr.**possibility of the accused absconding is yet another reason justifying the cancellation of bail.**

However, bail once granted should not be cancelled in a mechanical manner without considering whether any supervening circumstances have rendered it no longer conducive to a fair trial to allow the accused to retain his freedom by enjoying the concession of bail during the trial. These principles, it appears, were lost sight of by the High Court when it decided to cancel the bail, already granted. The High Court it appears to us overlooked the distinction of the factors relevant for rejecting bail in a non-bailable case in the first instance and the cancellation of bail already granted.”

[Emphasis supplied]

26. The discretion of the High Court was also heavily swayed by the reason that safety of the respondent No.2-complainant was at risk. We feel that the said observation of the High Court was far removed from reality.
27. The order granting bail was passed in the year 2018, whereas the revision came to be heard and decided in the year 2026. Neither does the order of the High Court reflect so nor was any such material available on record which could have compelled the High Court to hold that there was any risk to the life of the respondent No.2-complainant. The order of the High Court does not reflect or refer to any such event or incident which may have caused any life threat or risk to the respondent No.2-complainant. Hence, we are of the firm opinion that the order passed by the High Court suffers from total non-application of mind.
28. Graciously enough, while setting aside the bail granted to the accused, the High Court directed that adequate protection be provided to the respondent No.2-complainant and that the interim protection granted to the accused shall remain in force till the final disposal of the *de novo* bail prayer by the jurisdictional Court. In consequence thereof, the accused surrendered before the trial Court and has been released on bail by order dated 16th March, 2026, which has been placed for our perusal by learned counsel for the accused.

Supreme Court Reports

29. We find that the view taken by the High Court is wholly perverse, apart from being in gross disregard of the mandate of Section 437 of CrPC. The learned Single Judge gave primacy to Rule 183 of the Calcutta High Court Criminal (Subordinate Courts) Rules, 1985 to set at naught an order granting bail to the accused under the provisions of CrPC. We, *prima facie*, feel that a Rule contained in the Criminal Rules and Orders, which governs the procedural aspects of day-to-day functioning of criminal Courts, could not have been invoked to override the substantive mandate of the CrPC unless a gross failure of justice was demonstrated in the proceedings.
30. On going through the order dated 7th May, 2018 passed by the learned Magistrate granting interim bail to the accused, we find that the same records that an opportunity of hearing was granted to respondent No.2-complainant and assigns cogent and substantial reasons for releasing the accused on bail.
31. Rule 183 of Calcutta High Court Criminal (Subordinate Courts) Rules, 1985, on which the order of the learned Single Judge is premised, provides that orders requiring the exercise of judicial discretion and the final order shall be recorded by the Magistrate in his own hand or typed by him, others may be recorded under his direction by the Bench Clerk.
32. However, we do not find any palpable material on record to show that the learned Magistrate had substantially breached the procedure provided under the said rule while drawing up the order granting bail to the accused. The violation, if any, was too hyper-technical and trivial so as to be made a ground for setting aside the bail granted to the accused nearly 8 years ago.
33. Therefore, we have no option but to hold that the impugned order is audaciously perverse and illegal, and hence, the same cannot be sustained. The impugned order dated 6th March, 2026, is hence quashed and set aside.
34. Though we have already quashed and set aside the impugned order in entirety still, for ensuring that the service career of the concerned Judicial officer is not adversely effected, we further emphasize and provide that the directions given by the learned Single Judge in paragraphs e, f, g and h of the impugned order making observations on the conduct of the Ld. Judicial Officer; directing placement of the impugned order dated 6th March, 2026 in the Annual Confidential

Shuvendu Saha v. The State of West Bengal and Anr.

Report (A.C.R.) of the Judicial Officer; directing the Registrar (Judicial Service) to call for an explanation from the Judicial Officer and making an observation that the order passed by the Judicial Officer tantamounted to “jurisdictional insubordination” shall stand expressly omitted, quashed and set aside.

35. Before parting, we may record a discordant note that it has become a recent trend to castigate Judicial Officers and record adverse remarks/strictures against them in judicial orders passed by the High Court in the exercise of supervisory, appellate or revisional jurisdiction. The High Court, being a Court of record in the State, is expected to act as the guardian of the Officers in district judiciary. While finding infirmities in the order passed by a Judicial Officer, the immediate reaction ought not to be to make adverse or disparaging observations against the concerned Judicial Officer in a judicial dispensation.
36. Such disparaging remarks/strictures may ruin the career of the Judicial Officer in addition to demoralising the district judiciary as a whole. Power of superintendence conferred upon the High Courts by Article 227 of the Constitution of India ought not to be used as a tool of oppression but rather as a mechanism for nurturing and guiding the Judicial Officers in the State.
37. In some High Courts an in-house mechanism is already in place to take care of a situation, whenever any flaw or infirmity is noted in any order passed by the trial Judge by the High Court while exercising the supervisory jurisdiction. The observations of the Hon'ble Judge/Bench on the merits or quality of the order or the proceedings of the presiding officer of the trial Court can be noted in a remark slip which, in turn, would be placed before the administrative Judge or the Chief Justice of the High Court, as the case may be, for necessary follow-up action.
38. For the sake of illustration, the format of such remark-slip which is provided in the practice and procedure of the High Court of Judicature for Rajasthan is extracted hereinbelow: -

**COURT REMARKS ON THE
JUDGMENT DATED**
X v. Y
RENDERED BY SHRI.....

Supreme Court Reports

Description of case.
No. of 20
Date of Judgment

- (a) Judgment dated: -
- (1) Whether lucid, to the point, logical,
 - (2) Whether discussion of evidence and thorough.
 - (3) Whether sentence or order appropriate.
 - (4) Whether above standard or below standard.
- (b) Conduct of proceedings: -

[Here any remarks about clearing of pleadings, framing of issues or charge sheets, control over examination of witnesses, proper keeping of double record, eliciting of all material facts, adjournments, delay in delivery of judgment and doing of full day's work may be entered.]

- Note:-
- (1) Bench Reader will attach this slip at the top of the first page of each judgment when the Judge is being asked to sign that judgment.
 - (2) The slip containing the remarks shall be sent to the Hon'ble Judge in the Administrative Department.

PROFORMA

S. No.	Particulars of the case in the lower court viz No. of case/appeal/tile/ date of decision	Particular of the case of the High Court viz. No. of appeal/ revision, title and date of decision	Whether categories as standard or No remarks

39. It is our firm opinion that it would be highly advisable if similar practice of recording remarks on various facets of the judgments/ orders passed by Officers in the district judiciary is adopted by all High Courts for appropriate action on the administrative side.

Shuvendu Saha v. The State of West Bengal and Anr.

40. The Registry shall circulate a copy of this order to the Registrar Generals of all the High Courts for being placed before the Hon'ble Chief Justice for information and such follow-up action as may be deemed appropriate.
41. The appeal is allowed accordingly.
42. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

†Headnotes prepared by: Ankit Gyan

S. Valliammai & Others
v.
S. Ramanathan & Another

(Civil Appeal No. 3624 of 2024)

16 April 2026

[B.V. Nagarathna* and Ujjal Bhuyan, JJ.]

Issue for Consideration

Correctness or otherwise of the impugned order granting rejection of the plaint.

Headnotes[†]

Code of Civil Procedure, 1908 – Or.VII r.11(d); Or.II r.2 – Application of Or.II r.2 not a ground for rejection of plaint u/Or.VII r.11(d) – Original owner and his wife-appellant No.1 herein filed the first suit against defendant No.1-son, seeking *inter alia* permanent injunction – After the death of the original owner, Appellants herein (his wife and daughters) filed the second suit – Respondent-defendants filed application u/Or.VII r.11 in the second suit seeking rejection of the plaint contending that the said suit was barred u/Or.II r.2 – Application dismissed by trial court holding *inter alia* that the second suit was not barred on account of Or.II r.2 as the causes of action and properties involved in the two suits were distinct and separate – Order set aside by High Court by analysing the averments in the first suit in juxtaposition with the second suit and holding that the cause of action for both the suits was one and the same and the suit was barred u/Or.II r.2 – Revision petition filed by the defendants was allowed; plaint was rejected u/Or.VII r.11– Interference with:

Held: Order of High Court set aside – Plea u/Or.II r.2 cannot be a basis or a ground for rejection of the plaint – In a case where Or.II r.2 applies, there is no legal bar to filing a suit but the reliefs sought for or the claims made therein cannot be granted if the conditions mentioned therein apply – For arriving at such a conclusion, there has to be evidence let in in order to determine whether the provision of Or.II r.2 would apply to the suit or not – On the other hand, in the

* Author

S. Valliammai & Others v. S. Ramanathan & Another

case of Or.VII r.11(d), if there is express or implied bar for filing of a suit under any law then on a meaningful reading of the plaint, it has to be rejected – The suit need not proceed to record evidence on merits but only to the extent where evidence is necessary to be recorded for the purpose of rejection of the plaint such as on the ground of the suit being bit by law of limitation or on the principle of *res judicata* – Thus, the bar created by any law to the filing of a suit is different from a plaintiff suing for certain claims or reliefs which he could not have claimed or sued having regard to Or.II r.2 – Therefore, the application of Or.II r.2 cannot be construed to be a ground for rejection of the plaint u/Or.VII r.11(d) – In the present case, the approach of the High Court in analysing the averments made in the second suit as if it is evidence, in juxtaposition with the averments made in the first suit was improper – Order of the trial court in the second suit restored along with the plaint. [Paras 5.9, 5.21, 8.1, 9]

Code of Civil Procedure, 1908 – Or.VII r.11(d); Or.II r.2 – Two suits, if distinct and separate – Distinctions to be analysed while analysing the plaints in the first/former suit and a subsequent suit:

Held: On a conjoint reading of Or.II r.2 with Or.VII r.11(d), it emerges that the plea under Or.II r.2 cannot be a basis or a ground for rejection of the plaint – It is for the defendant to establish by way of evidence, the bar of the subsequent suit u Or.II r.2 filed by the very same plaintiff – In such an event, on a comparative analysis of the plaint filed in the first suit and the plaint filed in the second suit, if the Court comes to the conclusion that the second suit was filed on an identical cause of action which led to the filing of the first suit and there was an omission to make the claim or to reserve the reliefs to be claimed in the first suit in a subsequent suit, then the bar u/Or.II r.2 would apply to the subsequent suit or the second suit – Then the claims or reliefs not maintainable would be rejected as the plaintiff could not have sued for those reliefs by filing a second suit, although technically, the filing of such a suit was not barred by any law – On the other hand, if the cause of action for filing the second suit is totally distinct from the cause of action from filing the first suit and the reliefs claimed are distinct, subject-matter of the suits are different and if the parties to the suit are also different then in such a case, the plea u/Or.II r.2 would not arise at all. [Para 7]

Supreme Court Reports

Code of Civil Procedure, 1908 – Or.VII r.11(d); Or.II r.2 – “barred by any law”; “statement in the plaint”– Whether the suit is barred by any law has to be determined from the statement in the plaint – Application of Or.II r.2 does not result in rejection of the plaint u/Or.VII r.11(d):

Held: Or.VII r.11(d) deals with rejection of plaint and not the right to sue being barred – A rejection of a plaint is as per clauses (a) to (f) mentioned in Or.VII r.11 – Or.VII r.11(d) states that the plaint shall be rejected where the suit appears from the statement in the plaint to be barred by any law – Therefore, the crucial words are, the filing of the suit being barred by any law – The issue, whether the suit is barred by any law has to be determined from the statement in the plaint – The expression “statement in the plaint” would mean not only a meaningful reading of the averments in the plaint but also a meaningful reading of the documents appended to the plaint – Thus, it is on a meaningful reading of the plaint and the annexed documents, the suit should appear to be barred by any law – Hence, the written statement or any other document cannot be taken into consideration in order to ascertain whether the suit is barred by any law – When the expression “barred by any law” is read in juxtaposition with Or.II r.2, it is already noted that Or.II r.2 does not bar the filing of any suit but sub-rules (2) and (3) forbids the suing for certain claims which have been relinquished or certain reliefs which have been omitted to sue in the earlier suit in respect of which a plaintiff cannot sue for those claims or reliefs by filing a subsequent suit – On the other hand, the bar to filing of any suit in law u/ Or.VII r.11(d) is distinct – The law must bar the filing of a suit either by an express bar or by an implied bar – Under Or.II r.2, the right to sue is taken away in terms of sub-rules (2) and (3) thereof which means that the suit could not have been filed at all – On the other hand, u/Or.VII r.11 (d), there is “no bar to sue” but “the suit is barred by law from being filed” – There is a subtle but distinct difference between the two – If the conditions under sub-rules (2) and (3) of Or.II r.2 are satisfied in a case, it would be a case of there being a curtailment of the right to sue for the claims relinquished or omitted in the earlier suit – It is not a case where the plaint has to be rejected as it is barred by the provision of Or.II r.2 [sub-rules (2) and (3)] – The application of Or.II r.2 to a case can result in rejection of reliefs being granted to a plaintiff which may, in certain cases, also result in dismissal

S. Valliammai & Others v. S. Ramanathan & Another

of the suit itself – But it does not result in rejection of the plaint u/Or.VII r.11(d). [Paras 5.17-5.20]

Code of Civil Procedure, 1908 – Or.II r.2 – Bar to sue *vis-à-vis* suit being barred by law:

Held: Bar to sue is distinct from a suit being barred by any law – In the former, a suit cannot be commenced at all and, therefore, would have to be dismissed on the application of Or.II r.2, while in the latter case, a suit can be commenced but is not entertainable owing to a bar in law – Under Or.II r.2, a suit can be dismissed after recording evidence depending upon the facts and circumstances of the case and on the analysis of the cause of action in a former suit and a subsequent suit – In the case of rejection of a plaint, recording of evidence on the bar to file a suit may not be necessary in all circumstances – It all depends on the nature of the bar – Further, the right to sue is circumscribed by what is stated u/Or.II rr.1 and 2 – Or.II r.2(1) states that every suit shall include the whole of the claim which the plaintiff is entitled to make in respect of the cause of action; but a plaintiff may relinquish any portion of his claim in order to bring the suit within the jurisdiction of the court – With regard to relinquishment of part of the claim and omission to sue for one of several reliefs, the consequences are stated in sub-rules (2) and (3) of Or.II r.2 – Thus, under the said sub-rules the right to sue in respect of relinquishment of a claim or omitted reliefs in the absence of conditions occurring therein would not arise – Therefore, sub-rules (2) and (3) of Or.II r.2 deal with claims and reliefs. [Paras 5.13, 5.15]

Code of Civil Procedure, 1908 – Or.II r.2 – Application of – Test for. [Paras 5.8, 5.9]

Code of Civil Procedure, 1908 – Or.II r.1 and 2 – Object – Difference between Or.II r.1 and 2. [Paras 5.1-5.4]

Words and Phrases – “same cause of action”; “sue”, discussed. [Paras 5.7, 5.14]

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Supreme Court Reports

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B. Shambumal v. State Bank of Mysore, AIR 1971 Mys. 156 ; *State of Uttar Pradesh v. Mool Chand*, AIR 1972 All. 413 – referred to.

Maqsud Ahmad v. Mathra Datt & Co., AIR 1936 Lah 1021; *Mohammad Khalil Khan v. Mahbub Ali Mian*, 1948 SCC OnLine PC 44 – referred to.

Books and Periodicals Cited

Webster Dictionary; Strouds' Judicial Dictionary, (Fifth Edition, p.2540) – referred to.

List of Acts

Code of Civil Procedure, 1908.

List of Keywords

Order VII Rule 11(d) of the Code of Civil Procedure, 1908; Order II Rule 2 of the Code of Civil Procedure, 1908; First suit; Second suit; Plaintiff in second suit rejected; Rejection of plaintiff; Former suit; Subsequent suit; "same cause of action"; "sue"; Averments made in the second suit; Averments made in the first suit; Plaintiff restored; Cause of action for both suits same.

S. Valliammai & Others v. S. Ramanathan & Another**Case Arising From**

CIVIL APPELLATE JURISDICTION : Civil Appeal No. 3624 of 2024

From the Judgment and Order dated 11.07.2019 of the High Court of Judicature at Madras in CRPPD No. 4472 of 2013.

Appearances for Parties

Advs. for the Appellant(s):

Chander Uday Singh, Sr. Adv., M/s K J John and Co, Ms. Surekha Raman, Amarjit Singh Bedi, B. S. Jhothiraman, Shreyash Kumar, Yashwant Sanjenbam, Sidharth Nair, Harshit Singh.

Advs. for the Respondent(s):

Jayanth Muth Raj, Sr. Adv., Mrs. Malavika Jayanth, Ms. Isha Singh, C. K. Sasi, Ms. Meena K Poulouse.

Judgment / Order of the Supreme Court**Judgment****Nagarathna, J.**

The appellants herein are aggrieved by the impugned order dated 11.07.2019 passed by the High Court of Judicature at Madras in C.R.P.(PD) No.4472 of 2013 whereby the Civil Revision Petition filed by the respondents herein was allowed and the order dated 24.06.2013 passed by the VIth Assistant Judge, City Civil Court, Chennai (hereinafter referred to as “trial court”) in O.S. No.2320 of 2013 (hereinafter called the ‘second suit’ for the sake of convenience) was set aside. Consequently, the plaint in the second suit was rejected. The trial court, by the said order, had rejected I.A. No.7712/2013 filed by the respondents under Order VII Rule 11 of the Code of Civil Procedure, 1908 (hereinafter referred to as “Code”) and allowed I.A. No.6381/2013 filed by the appellants herein under Order XXXIX Rules 1 and 2 of the Code.

- 1.1 For the sake of convenience, the parties shall be referred to in terms of their status and position before the trial court in O.S. No.2320 of 2013 (the second suit).
- 1.2 Briefly stated, the facts of the case are that Late Shri M. Sokkalingam (“original owner”) and his wife S Valliammai-

Supreme Court Reports

appellant No.1 herein (hereinafter referred to as plaintiff No.1) entered into a partition of family properties by way of oral settlement dated 01.11.2011 with their children, i.e., two daughters namely Meena – appellant No.2 herein (hereinafter referred to as plaintiff No.2) and Muthumeena – appellant No.3 herein (hereinafter referred to as “plaintiff No.3”) and son namely, S. Ramanathan - respondent No.1 herein (hereinafter referred to as defendant No.1). According to the oral settlement, plaintiff Nos.2 and 3 received Rs.9,00,00,000/- (Rupees Nine Crores) each through cheques and executed deeds dated 02.11.2011, relinquishing their share in the properties in favour of their brother-defendant No.1.

1.3 Thereafter on 04.11.2011, the original owner executed a registered Power of Attorney bearing Document No.724 of 2011 in favour of Shri E.J. Ayyappan - respondent No.2 herein (herein referred to as “defendant No.2”), with respect to the following properties:

- i) Regent Place bearing R.S. No.3907/2A, Survey No.C-263 (part) New Survey No.43 situated in Ward E, Block No.6, admeasuring 1 acre 56 cents, situated at 374, 375 and 376, Peyton Road, Opposite Ratan Tata Officer’s Home, Ootacamund, Nilgiris (“Ooty (Nilgiris) property”, for the sake of convenience) (Schedule ‘A’ Property).
- ii) Vacant land situated at Door No.1/29, Rayavaram Main Road, (Kadiyapatti village), Ramachandrapuram, Panangudi, Vettam, Thirumayam Taluk, Pudukottai District, comprised in Old Survey No.177 (Natham) New Survey No.90/11 (“Pudukottai property”, for the sake of convenience) (Schedule ‘B’ Property)

1.4 Pursuant thereto, settlement deeds dated 09.11.2011 and 10.11.2011 with respect to the aforesaid properties were executed in favour of defendant No.1 by defendant No.2, as the power of attorney of the original owner.

1.5 Subsequently, on 30.07.2012, plaintiff No.1 and the original owner instituted O.S. No.4722 of 2012 (‘first suit’) before the VIth Assistant Judge, City Civil Court, Chennai against defendant

S. Valliammai & Others v. S. Ramanathan & Another

No.1 (in the second suit), seeking the relief of permanent injunction and peaceful possession and enjoyment of:

- i) property situated at Old Door No.23, Harrington Avenue, subsequently at Door No.48, fifth avenue and presently Door No.2, fifth avenue, Harrington road, Chetpet, Chennai-600031 ("Chennai property", for the sake of convenience) ("Schedule 'A'" therein); and
- ii) operation of the cash deposits, stocks, shared, debentures, mutual fund deposit etc lying in A/c No. excess plus 42710180701, 42710180698, 42705092018 with Standard Chartered Bank, No.1, Rajaji Salai, Parrys, Chennai-600104 ("Schedule 'B'" therein).

- 1.6 In the aforesaid suit, it was alleged that defendant No.1, by intimidating the original owner as well as plaintiff No.1 in the second suit and by exploiting their emotions, forced them to execute some documents on 04.11.2011. Further, defendant No.1 compelled them to execute the settlement deed dated 04.11.2011, settling the property described in Schedule 'A' therein to the son of defendant No.1 after reserving life interest for plaintiff No.1.
- 1.7 During the pendency of the aforesaid first suit, the original owner, M. Sokkalingam, passed away on 13.03.2013.
- 1.8 Subsequently, the appellant-plaintiffs herein (wife and the daughters of plaintiff No.1 in the first suit) instituted O.S. No.2320 of 2013 ("second suit") on 08.04.2013 before the trial court, seeking a declaration that the Power of Attorney dated 04.11.2011, registered as Doc. No.724/2011 was illegal, null and void, and the same was obtained by sheer misrepresentation, coercion, fraud and undue influence together with all consequential acts and deeds if any made on the strength of the power of attorney dated 04.11.2011 and for permanent injunction restraining the defendant, his men, agents and servants from alienating the Schedules 'A' and 'B' properties. Further, the plaintiffs also filed I.A. No.6381/2013 under Order XXXIX Rules 1 and 2 of the Code seeking an interim injunction, restraining the defendants from alienating or encumbering the suit properties pending disposal of the suit.

Supreme Court Reports

- 1.9 Subsequently, the respondent-defendants preferred I.A. No.7712 of 2013 in the second suit under Order VII Rule 11 of the Code seeking rejection of the plaint by contending that the said suit was barred under Order II Rule 2 of the Code.
- 1.10 The trial court by common order dated 24.06.2013, dismissed I.A. No.7712/2013 filed by the defendants being not maintainable and allowed I.A. No.6381/2013 filed by the plaintiff, granting temporary injunction against the defendants restraining alienation and encumbrance of the suit properties pending disposal of the suit. It was held that the second suit was not barred on account of Order II Rule 2 of the Code as the causes of action and properties involved in the two suits were distinct and separate and that the plaintiffs came to know about the General Power of Attorney only after the written statement was filed by the defendant No.1 in the first suit and at that juncture, the cause of action arose. The trial court further doubted the manner in which the suit properties had been settled through a third party i.e., defendant No.2.
- 1.11 Being aggrieved, the defendants preferred C.R.P.(PD) No.4472 of 2013 before the Madras High Court. By way of impugned order dated 11.07.2019, the High Court allowed the revision petition filed by the defendants and set aside the Trial Court's order in O.S. No.2320 of 2013 and thereby rejected the plaint under Order VII Rule 11 of the Code. The Court observed that upon perusal of the plaint in O.S. No.4722/2012, it was apparent that the plaintiffs were aware of the execution of the Power of Attorney dated 04.11.2011. It was further observed that the cause of action for both the suits was one and the same and that the plaintiffs were parties and privy to all the events, including the oral settlement and subsequent execution of the Power of Attorney. It was further held that the trial court deviated from its jurisdiction by going into the aspect of why and for what purpose the Power of Attorney was executed, brushing aside the fact that the plaintiff Nos.2 and 3 were witnesses to the said document. The High Court expressed that the trial court did not appreciate the fact that plaintiff No.2 herself wrote a letter requesting the Sub-Registrar, Periamet, to undertake a home visit to register the Power of Attorney in favour of defendant No.2, and therefore she subsequently

S. Valliammai & Others v. S. Ramanathan & Another

could not be allowed to take a contradictory stand to contend that she came to know about the Power of Attorney only after filing of the written statement by defendant No.1 in the first suit.

- 1.12 Being aggrieved, the appellants have preferred the present civil appeal.
2. Before proceeding further, it is necessary to distill the averments of the plaint in O.S. No.4722 of 2012 which is the first suit and O.S. No.2320 of 2013 which is the second suit.

Averments of Plaint in O.S. No.4722 of 2012 (First Suit):

- 2.1 The plaintiffs in the said suit are the parents of the defendant therein (defendant No.1 in the second suit). They averred that they are residing at Door No.2, Vth Avenue, Harrington Road, Chennai-600031; the property more fully described in Schedule 'A' thereunder which is the absolute property of plaintiff No.1 and he is in continuous possession and enjoyment of the same. The plaintiffs have three children, namely, two daughters and defendant-son who is an advocate. The plaintiffs were residing in Schedule 'A' property and their daughters are married and settled in USA.
 - 2.1.1 That their defendant-son had been insisting the plaintiffs to part with all their properties including properties mentioned in Schedules 'A' and 'B'.
 - 2.1.2 That plaintiff No.2 was sick and bedridden most of the times and the plaintiffs are helpless as they have to live in constant fear and anxiety because of the intimidating tactics of the defendant who was none other than their son. That the plaintiff No.2 has several ailments and suffered from disorientation and had suffered a heart attack in the month of July 2011 and was also hospitalized. Instead of attending to his parents, the defendant - son has been insisting on the plaintiffs parting with their properties. On 24.08.2011, the defendant physically assaulted and verbally abused plaintiff No.2 for not settling the property on him.
 - 2.1.3 That owing to the intimidation of the defendant, plaintiff No.2 was forced to execute some documents on

Supreme Court Reports

04.11.2011 when the Registrar took the thumb impression of the plaintiff No.2 on a settlement deed dated 04.11.2011 settling Schedule 'A' property in favour of defendant - son after reserving life interest in the said property for plaintiff No.1. The defendant has also taken away the original title deeds and documents from the house of the plaintiffs.

- 2.1.4 Further, the plaintiffs had valuable shares and securities which they had liquidated and divided the amount by giving their two daughters a lesser amount as compared to the defendant-son and a small balance was deposited in the bank account of plaintiff No.1 for the last stages of their life. The plaintiffs are residing in Schedule 'A' property therein and they do not have any independent source of income except the interest income from the bank account more fully described as Schedule 'B' in the plaint.
- 2.1.5 That the defendant was pestering the plaintiffs to change the Schedule 'B' account into a joint account by including him as a joint account holder along with the plaintiffs which the plaintiffs were not willing to do so. That the plaintiffs were a respectable family from Chettinad and therefore had not lodged any police complaint.
- 2.1.6 It was also averred that the greed of the defendant had not been satisfied with the settlement deed executed by compelling plaintiff No.1 to part with properties such as 1.5 acres of land in Ooty with the Bungalow and several valuable properties at Pudukottai District belonging to plaintiff No.2. Hence, he was now eyeing the bank account. That on 23.07.2012, the defendant demanded plaintiff No.1 to include his name also in the bank account.
- 2.1.7 The defendant was living in his own house at Mylapore and the plaintiffs were residing in the Schedule 'A' property and even according to the settlement deed dated 04.11.2011, plaintiff No.1 was entitled for life interest over the said property. However, the defendant frequently visited the plaintiffs and bothered them mentally affecting their peace and coming in the way of their enjoyment of their property.

S. Valliammai & Others v. S. Ramanathan & Another

2.1.8 The cause of action arose when the defendant demanded his parents to part with all their properties and a settlement deed was executed on 04.11.2011 and later on 23.07.2012 when the defendant came to the house and demanded the plaintiff to convert the bank account into a joint account. Plaintiffs were entirely dependent upon the interest yield from the bank account and the plaintiffs were in constant fear of the defendant.

2.1.9 The plaintiffs sought the following reliefs (in the first suit):

- a) Permanent injunction restraining the defendant, his men, agents and servants from interfering with the plaintiffs peaceful possession and enjoyment of the Schedule 'A' mentioned property;
- b) Permanent injunction restraining the defendant, his men, agents and servants from interfering with operation of Schedule 'B' bank account;
- c) Permanent injunction restraining the defendant against exercising any undue influence, coercion, threat, blackmailing against the plaintiff for transfer or opening of joint bank account in respect of Schedule 'B' bank account;
- d) To pay the cost of this suit; and
- e) Grant such other relief the Court may deem fit and proper in the circumstances of this case.

Averments in O.S. No.2320 of 2013 (Second Suit):

3. This suit has been filed by the widow of late M. Sokkalingam as plaintiff No.1 and their two daughters as plaintiff Nos.2 and 3 against defendant No.1 who is the son of late M. Sokkalingam and defendant No.2 who is his power of attorney holder.

3.1 According to the plaintiffs, M. Sokkalingam died intestate on 13.03.2013 leaving the plaintiffs and defendant No.1 to jointly inherit the properties. Defendant No.2 was the friend of defendant No.1 who has acted as the power agent of late M. Sokkalingam under an illegal and invalid power of attorney deed dated 04.11.2011 which is challenged.

Supreme Court Reports

- 3.2 That M. Sokkalingam had heart and kidney ailments and was suffering from diabetes and other ailments. He had undergone knee and heart surgeries and had been hospitalized for a number of months and was in altered state of consciousness from mid 2010 to February, 2012. Often he would be disoriented and later gain his consciousness after some interval. Around October 2011 to December, 2011, the problem became acute when he had altered levels of consciousness for two to three months. He was hospitalized in the month of July 2011 due to heart attack. That late M. Sokkalingam and plaintiff No.1 were residing at Door No.2, Vth Avenue, Harrington Road, Chennai-600031 and plaintiff Nos.2 and 3, being their daughters were married and settled in the United States of America and they used to visit their parents now and then. Defendant No.1, who is the son, has been greedy and money-minded and insisted plaintiff No.1 and her husband to part with all the properties to the exclusion of his two sisters. Defendant No.1 has been adopting a hostile attitude and tactics to take control of all the properties of his father by blackmailing and threatening that he would commit suicide if all the properties were not conveyed to him. That plaintiff No.1 and her husband were stripped of all their moveable and immoveable properties except the amount lying in the bank account of plaintiff No.1 in Standard Chartered Bank, Chennai. That defendant No.1 was continuously pestering plaintiff No.1 and her husband to convert the said bank account into a joint bank account by including his name and by frequently calling the officials of the Standard Chartered Bank by giving unnecessary instructions to convert the bank account into a joint account but the account holders being the parents of defendant No.1 were not willing to do so. Hence, they filed O.S. No.4722 of 2012 (first suit) on the file of the VIIth Assistant City Civil Court, Chennai seeking the relief for permanent injunction against defendant No.1 from interfering with their possession of the property and the bank account. The said suit is still pending. That the parents of defendant No.1 had to live in constant fear and anxiety because of the intimidating tactics of defendant No.1 who is none other than their own son.
- 3.3 That plaintiff No.1 is a heart patient and her husband was also a heart patient and defendant No.1, instead of lending

S. Valliammai & Others v. S. Ramanathan & Another

any help and being of solace to them was insisting on them for parting with their properties. That on one occasion dated 24.08.2011, defendant No.1 came home at around 08:00 PM and physically assaulted and verbally abused the handicapped father for not settling the properties on him. Considering the reputation of the family, no criminal complaint was lodged. That defendant No.1 by intimidating plaintiff No.1 and her husband (M. Sokkalingam) forced them to execute some documents on 04.11.2011 when her husband was in a semi-conscious state of mind. The Registrar was brought to the house and the thumb impression of M. Sokkalingam was obtained by force. He was thus compelled to execute the settlement deed dated 04.11.2011 setting the property described in Schedule 'A' in the said plaint to the defendant after reserving the life interest for the plaintiff No.1. Defendant No.1 has also taken away all the original title deeds and documents of the Schedule mentioned properties from the house of the plaintiffs even earlier.

- 3.4 That on 04.11.2011, defendant No.1 got the thumb impression of M. Sokkalingam without his knowledge on various papers and the signatures of the plaintiff Nos. 2 and 3 were also obtained on various papers as witnesses to the documents in which thumb impression of M. Sokkalingam were obtained by force, fraud and without his knowledge since at that time he was in a semi-conscious state of mind. That the rude behaviour and inexorable greed of defendant No.1 prompted plaintiff No.1 and her husband to file the suit i.e. O.S. No.4722 of 2012 (first suit) to allay their immediate apprehension. That M. Sokkalingam made an inquiry with the help of plaintiff Nos.2 and 3 herein in the Registrar's office about any document alleged to have been executed by him on 04.11.2011, when the Registrar visited the house of plaintiff No.1 for the purpose of the execution of the settlement deed. It is to the utter shock and dismay the power of attorney dated 04.11.2011, bearing Document No.724 of 2011 on the file of Sub-Registrar's office (SRO), Periamet in favour of defendant No.2 was brought to his notice. M. Sokkalingam had instructed his counsel to prepare the case to declare the power of attorney dated 04.11.2011 on the file of SRO, Periamet as invalid but before the suit could be instituted he died.

Supreme Court Reports

- 3.5 That defendant No.1 was not invited by his father (M. Sokkalingam) for his 80th birthday and his father wanted his wife to perform his last rites but defendant No.1 ultimately performed his last rites.
- 3.6 Defendant No.2 was stated to be appointed as the power agent of M. Sokkalingam to execute the settlement deed in favour of defendant No.1. That, M. Sokkalingam during the said period was in a semi-conscious state of mind and defendant No.1 had threatened and coerced all the family members to put signature on the documents. That M. Sokkalingam never intended to settle the Schedules 'A' and 'B' properties upon defendant No.1 as the relationship between them was not cordial; rather was very much strained. That the father was beaten by his son-defendant No.1 and there was no love and affection between them.
- 3.7 That, M. Sokkalingam was a reputed member of the Chettiar Community having trustworthy friends and relatives and there was no occasion for him to choose defendant No.2, who is an advocate and friend of defendant No.1 as the power agent for the execution of the settlement deed. If at all, any such document had to be executed by M. Sokkalingam, it would have been done so at Chennai by appointing power agent to present the settlement deed for registration. That the power of attorney dated 04.11.2011, bearing Document No.724 of 2011 on the file of SRO, Periamet is *per se* illegal and void and the same was executed by fraud, coercion and further as the executant at the time of the execution was not in a sound state of mind. Therefore, any consequential act on the strength of the said power of attorney is also illegal and invalid. That defendant No.1 is not entitled to have any absolute right over the suit properties.
- 3.8 That the cause of action for the suit arose when M. Sokkalingam died intestate on 13.03.2013 leaving the plaintiffs and the defendant No.1 to jointly inherit the properties. On 04.11.2011, when M. Sokkalingam was in a semi-conscious state of mind, was compelled to put his thumb impression on some documents. Hence, the plaintiffs sought following reliefs:
- a) Declare the Power of Attorney deed dated 04.11.2011 registered as Doc. No.724 of 2011 on the file of SRO,

S. Valliammai & Others v. S. Ramanathan & Another

Periamet, Chennai-600003 as illegal, null and void and the same is obtained by sheer misrepresentation, coercion, fraud and undue influence together with all consequential acts and deeds if any made on the strength of the power of attorney dated 04.11.2011;

- b) Permanent injunction restraining the defendant, his men, agents and servants from alienating the Schedules 'A' and 'B' properties;
- c) Grant such other relief as deemed fit and proper under the circumstances of the case; and
- d) To pay the cost of the suit.

Order VII Rule 11 of the Code:

4. Since the issue in this appeal pertains to the correctness or otherwise of the impugned order granting rejection of the plaint, at this stage, we deem it necessary to extract Order VII Rules 11 and 13 of the Code which deal with the grounds for rejection of a plaint, as under:

“11. Rejection of plaint. - The plaint shall be rejected in the following cases-

- (a) where it does not disclose a cause of action;
- (b) where the relief claimed is undervalued, and the plaintiff, on being required by the Court to correct the valuation within a time to be fixed by the Court, fails to do so;
- (c) where the relief claimed is properly valued, but the plaint is written upon paper insufficiently stamped, and the plaintiff, on being required by the Court to supply the requisite stamp-paper within a time to be fixed by the Court, fails to do so;
- (d) where the suit appears from the statement in the plaint to be barred by any law;
- (e) where it is not filed in duplicate;
- (f) where the plaintiff fails to comply with the provision of rule 9:

Supreme Court Reports

Provided that the time fixed by the Court for the correction of the valuation or supplying of the requisite stamp-paper shall not be extended unless the Court, for reasons to be recorded, is satisfied that the plaintiff was prevented by any cause of an exceptional nature for correcting the valuation or supplying the requisite stamp-paper, as the case may be, within the time fixed by the Court and that refusal to extend such time would cause grave injustice to the plaintiff.

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13. Where rejection of plaint does not preclude presentation of fresh plaint. — The rejection of the plaint on any of the grounds hereinbefore mentioned shall not of its own force preclude the plaintiff from presenting a fresh plaint in respect of the same cause of action.”

- 4.1 In the instant case, an application was filed under Order VII Rule 11(d) of the Code where the ground of rejection of the plaint was that the suit appears from the statement in the plaint to be barred by any law. In this regard, various decisions of this Court with regard to rejection of plaint under Order VII Rule 11 of the Code could be discussed as follows:
 - a) In ***T. Arivandandam vs. T.V. Satyapal, (1977) 4 SCC 467***, this Court while examining the aforesaid provision held that the trial court must remember that if on a meaningful and not a formal reading of the plaint it is manifestly vexatious and meritless in the sense of not disclosing a clear right to sue, it should exercise the power under Order VII Rule 11 of the Code taking care to see that the ground mentioned therein is fulfilled. If clever drafting has created the illusion of a cause of action, it has to be nipped in the bud at the first hearing by examining the party searchingly under Order X of the Code.
 - b) The object of the said provision was laid down by this Court in ***Sopan Sukhdeo Sable vs. Assistant Charity Commissioner, (2004) 3 SCC 137***. Similarly, in ***Popat and Kotecha Property vs. State Bank of India Staff Association, (2005) 7 SCC 510***, this Court has culled out

S. Valliammai & Others v. S. Ramanathan & Another

the legal ambit of Order VII Rule 11 of the Code.

- c) It is trite law that not any particular plea has to be considered, but the whole plaint has to be read. As was observed by this Court in **Roop Lal Sathi vs. Nachhattar Singh Gill, (1982) 3 SCC 487**, only a part of the plaint cannot be rejected and if no cause of action is disclosed, the plaint as a whole must be rejected. Similarly, in **Raptakos Brett & Co. Ltd. vs. Ganesh Property, (1998) 7 SCC 184**, it was observed that the averments in the plaint as a whole have to be seen to find out whether clause (d) of Order VII Rule 11 of the Code is applicable.
- d) It was further held with reference to Order VII Rule 11 of the Code in **Saleem Bhai vs. State of Maharashtra, (2003) 1 SCC 557** that the relevant facts which need to be looked into for deciding an application thereunder are the averments in the plaint. The trial court can exercise the power at any stage of the suit i.e. before registering the plaint or after issuing summons to the defendant at any time before the conclusion of the trial. For the purposes of deciding an application under clauses (a) and (d) of Order VII Rule 11 of the Code, the averments in the plaint are germane and the pleas taken by the defendant in the written statement would be wholly irrelevant at that stage.
- e) In **R.K. Roja vs. U.S. Rayudu, (2016) 14 SCC 275**, it was reiterated that the only restriction was that the consideration of the application for rejection should not be on the basis of the allegations made by the defendant in his written statement or on the basis of the allegations in the application for rejection of the plaint. The court has to consider only the plaint as a whole and in case the entire plaint comes under the situations covered by Order VII Rules 11(a) to (f) of the Code, the same has to be rejected.
- f) In **Kuldeep Singh Pathania vs. Bikram Singh Jaryal, (2017) 5 SCC 345**, this Court observed that the court can only see whether the plaint, or rather the pleadings of the plaintiff, constitute a cause of action. Pleadings in the sense where, even after the stage of written statement, if there is a replication filed, in a given situation the same also

Supreme Court Reports

can be looked into to see whether there is any admission on the part of the plaintiff. In other words, under Order VII Rule 11 of the Code, the court has to take a decision looking at the pleadings of the plaintiff only and not on the rebuttal made by the defendant or any other materials produced by the defendant.

- g) In an application under Order VII Rule 11 of the Code, a plaint cannot be rejected in part. This principle is well established and has been continuously followed since the 1936 decision in ***Maqsud Ahmad vs. Mathra Datt & Co.* AIR 1936 Lah 1021**. This principle is also explained in another decision of this Court in ***Sejal Glass Ltd. vs. Navilan Merchants Private Ltd., (2018) 11 SCC 780*** which was again followed in ***Madhav Prasad Aggarwal vs. Axis Bank Ltd., (2019) 7 SCC 158***.
- h) In ***Sri Biswanath Banik vs. Sulanga Bose, (2022) 7 SCC 731***, this Court discussed the issue regarding the suit being barred by limitation or not and observed that at that stage, what is required to be considered are the averments in the plaint. Only in a case where on the face of the plaint, it is seen that the suit is barred by limitation, then and only then a plaint can be rejected under Order VII Rule 11(d) of the Code on the ground of limitation. At that stage what is required to be considered is the averments in the plaint. For the aforesaid purpose, the Court has to consider and read the averments in the plaint as a whole.

Order II Rules 1 and 2 of the Code:

- 5. Order II Rules 1 and 2 of the Code are extracted as under:

“Order II – Frame of Suit: -

1. Frame of suit.— Every suit shall as far as practicable be framed so as to afford ground for final decision upon the subjects in dispute and to prevent further litigation concerning them.

2. Suit to include the whole claim.— (1) Every suit shall include the whole of the claim which the plaintiff is entitled to make in respect of the cause of

S. Valliammai & Others v. S. Ramanathan & Another

action; but a plaintiff may relinquish any portion of his claim in order to bring the suit within the jurisdiction of any Court.

(2) **Relinquishment of part of claim.**— Where a plaintiff omits to sue in respect of, or intentionally relinquishes, any portion of his claim, he shall not afterwards sue in respect of the portion so omitted or relinquished.

(3) **Omission to sue for one of several reliefs.**— A person entitled to more than one relief in respect of the same cause of action may sue for all or any of such reliefs; but if he omits, except with the leave of the Court, to sue for all such reliefs, he shall not afterwards sue for any relief so omitted.

Explanation.— For the purposes of this rule an obligation and a collateral security for its performance and successive claims arising under the same obligation shall be deemed respectively to constitute but one cause of action.”

- 5.1 Order II of the Code deals with frame of suit. Order II Rule 1 states that every suit shall as far as practicable be framed so as to afford ground for final decision upon the subjects in dispute and to prevent further litigation concerning them. Thus, the fundamental aim of Order II Rule 1 is to avoid multiple suits which may be founded on the same cause of action or may be relating to the same subject-matter. Similarly, Order II Rule 2 of the Code elaborates the objective of Order II Rule 1 thereof by stating the suit to include the whole claim and deals with the consequences of relinquishment of a part of claim and omission to sue for one of several reliefs. The object of Order II Rule 2 is also to avoid multiplicity of suits. This is because the litigant who does not include all the grounds available to him on the subject in dispute in one suit and institutes several suits against the same parties on the same subject in dispute, would abuse the process of the Court.
- 5.2 The difference between Order II Rule 1 and Order II Rule 2 of the Code is, that in Order II Rule 1, the phrase used is “subjects in dispute” whereas in Order II Rule 2, the phrase used is “cause

Supreme Court Reports

of action". Secondly, Order II Rule 2 provides that failure of a plaintiff to abide by the mandate of the said Rule results in the plaintiff being debarred from instituting a fresh suit for that claim. However, Rule 1 does not provide for the consequences that will result for non-compliance except possibly under Order VII Rule 1(a). Thus, under Order II Rule 2, the bar is with regard to the right to sue in the context of relinquishment of a part of the claim and omission to sue for one of several reliefs [Order II Rule 2 (sub-rules (2) and (3)].

- 5.3 Where a person is entitled to more than one relief in respect of the same cause of action, he may sue for all the reliefs or he may sue for one or more of them and reserve his right with the leave of the court to sue for the rest. It is only when more than one relief is claimed under a particular cause of action sued on, that the plaintiff can reserve one or some of them with the leave of the court.
- 5.4 It is for the defendant who raises the plea of bar under Order II Rule 2 of the Code to establish that:
 - (i) the subsequent suit was in respect of the same cause of action on which the earlier suit was based;
 - (ii) in respect of such a cause of action the plaintiff was entitled to more than one relief; and
 - (iii) without the leave of the court he had omitted to claim such a relief in the earlier suit, claimed by him thereafter in the subsequent suit [***B. Shambumal vs. State Bank of Mysore, AIR 1971 Mys. 156***].

However, if the right to relief in respect of which a further suit is brought did not exist at the date of institution of the former suit, the subsequent suit is not barred [***State of Uttar Pradesh vs. Mool Chand, AIR 1972 All. 413***].

- 5.5 While filing the first suit, if the plaintiff reserves his right with the leave of the court to sue for the rest of the reliefs then he can file a second suit for the remaining reliefs. On the other hand, if no such leave is obtained, he will be precluded from afterwards suing for any relief so omitted. Certain judgments of this Court could be referred to only in the context of rejection

S. Valliammai & Others v. S. Ramanathan & Another

of the plaint under Order VII Rule 11(d) of the Code later as the controversy in the present case is in the above context.

- 5.6 Order II Rule 2 of the Code deals with the reliefs sought in a suit by the plaintiff in respect of a cause of action. Order II Rule 2(1) thereof states that every suit shall include the whole of the claim which the plaintiff is entitled to make in respect of the cause of action; but a plaintiff may relinquish any portion of his claim in order to bring the suit within the jurisdiction of any court. Order II Rule 2(2) of the Code states that where a plaintiff omits to sue in respect of, or intentionally relinquishes, any portion of his claim, he shall not afterwards sue in respect of the portion so omitted or relinquished. Order II Rule 2(3) of the Code states that a person entitled to more than one relief in respect of the same cause of action may sue for all or any of such reliefs; but if he omits, to sue for all such reliefs, except with the leave of the court, he shall not afterwards sue for any relief so omitted.
- 5.7 The expression “same cause of action” is significant. On the basis of a cause of action, if a plaintiff is entitled to several reliefs but he omits to sue for all such reliefs, he is forbidden to sue for such relief unless he has reserved his right to sue thereafter by a separate suit. The object of Order II Rule 2 of the Code is based on the principle that the defendants should not be vexed twice for the same cause of action which is a principle akin to the principle of *res judicata*. Therefore, there cannot be splitting of claims and splitting of remedies which arise on the same cause of action. Secondly, the principle applies between the same parties. Therefore, the test is the identity of cause of action for the principle under Order II Rule 2 of the Code to be applied. If a cause of action enables the person to ask for larger and wider reliefs and if the plaintiff limits his claim, then subsequently, he cannot seek the remaining reliefs by filing fresh proceedings.
- 5.8 However, it is necessary to bear in mind that it is not incumbent that the suit should include all the reliefs even though the cause of action has not arisen for seeking certain reliefs inasmuch as a suit may be filed for an appropriate relief and if a subsequent cause of action arises additional reliefs could be sought by filing

Supreme Court Reports

a subsequent suit. Thus, in order to apply Order II Rule 2 of the Code, the earlier suit should have been founded on the same cause of action on which the subsequent suit is based and if, in the earlier suit, the plaintiff had omitted to sue in respect of or intentionally relinquished any portion of his claim, he will not subsequently be entitled to sue in respect of the portion of his claim so omitted or relinquished.

- 5.9 The tests for determining whether Order II Rule 2 of the Code would apply in a particular case is, whether, the relief sought in the second suit or the subsequent suit is, in fact, founded upon a cause of action distinct from that which was the foundation for the former suit. If the answer to this question is in the affirmative, then the bar under Order II Rule 2 of the Code would not apply. Therefore, if there are different causes of action arising even out of the same transaction, the plaintiff is not obliged to bring a suit with regard to all of them. Similarly, when the cause of action on the basis of which the earlier suit was brought, does not form the foundation for the subsequent suit and in the earlier suit, the relief sought in the subsequent suit could not have been claimed, then, the subsequent suit is not barred. Thus, the applicability of the bar under Order II Rule 2 of the Code revolves on the meaning to be given to the expression 'cause of action'.
- 5.10 In ***Mohammad Khalil Khan vs. Mahbub Ali Mian, 1948 SCC OnLine PC 44 ("Mohammad Khalil Khan")***, the Privy Council noted that the expression 'cause of action' has not been legislatively defined in any enactment but observed that the said expression means every fact which would be necessary for the plaintiff to prove, if traversed, in order to support his right to the judgment of the court. That, the expression 'cause of action' does not comprise every piece of evidence and has no relation whatsoever to the defence that may be set up by the defendant but it references to the media upon which plaintiff requests the court to arrive at a conclusion in his favour.
- 5.11 In ***Mohammad Khalil Khan***, it was observed that what would constitute the cause of action in a suit must always depend upon the particular facts of the case. Further, in order to determine the question whether cause of action in the two suits is the

S. Valliammai & Others v. S. Ramanathan & Another

same or not, one of the tests that could be applied is, whether, the same evidence would support the claims in both suits; if the evidence required to support the claims is different, then the causes of action are also different. In the said case, the following principles were laid down after discussing a number of judicial precedents on the applicability of Order II Rule 2 of the Code in the following way:

“The principles laid down in the cases thus far discussed may be thus summarised:—

(1) The correct test in cases falling under O. 2, R. 2, is “whether the claim in the new suit is in fact founded upon a cause of action distinct from that which was the foundation for the former suit.” [*Moonshee Buzloor Ruheem v. Shumsunnissa Begum*, (1867) 11 Moo. I.A. 551, 605].

(2) The cause of action means every fact which will be necessary for the Plaintiff to prove if traversed in order to support his right to the judgment. [*Read v. Brown*, (1888) 22 Q.B.D. 128, 131].

(3) If the evidence to support the two claims is different, then the causes of action are also different. [*Brunsdon v. Humphrey*, (1884) 14 Q.B.D. 141, 146].

(4) The causes of action in the two suits may be considered to be the same if in substance they are identical. [*Brunsdon v. Humphrey*, (1884) 14 Q.B.D. 141, 146].

(5) The cause of action has no relation whatsoever to the defence that may be set up by the Defendant nor does it depend upon the character of the relief prayed for by the Plaintiff. It refers... to the *media* upon which the Plaintiff asks the Court to arrive at a conclusion in his favour. [*Mst. Chand Kour v. Partab Singh*, (1888) L.R. 15 I.A. 156, 157]. This observation was made by Lord Watson in a case under S. 43 of the Act of 1882 (corresponding to O. 2, R. 2) where Plaintiff made various claims in the same suit.”

- 5.12 Recently, in **Cuddalore Powergen Corporation Ltd. vs. Chemplast Cuddalore Vinyls Limited**, 2025 SCC OnLine

Supreme Court Reports

82, this Court speaking through Pardiwala J. observed in paragraph 47 as under:

“47. On a conspectus of the aforesaid discussion, what follows is that:

- i. The object of Order II Rule 2 is to prevent the multiplicity of suits and the provision is founded on the principle that a person shall not be vexed twice for one and the same cause.
- ii. The mandate of Order II Rule 2 is the inclusion of the whole claim arising in respect of one and the same cause of action, in one suit. It must not be misunderstood to mean that all the different causes of action arising from the same transaction must be included in a single suit.
- iii. Several definitions have been given to the phrase “*cause of action*” and it can safely be said to mean - “*every fact which would be necessary for the plaintiff to prove, if traversed, in order to support his right to the judgment of the Court*”. Such a cause of action has no relation whatsoever to the defence that may be set up by the defendant, nor does it depend upon the character of the relief which is prayed for by the plaintiff but refers to the media upon which the plaintiff asks the Court to arrive at a conclusion in his favour.
- iv. Similarly, several tests have been laid out to determine the applicability of Order II Rule 2 to a suit. While it is acknowledged that the same heavily depends on the particular facts and circumstances of each case, it can be said that a correct and reliable test is to determine whether the claim in the new suit is in fact founded upon a cause of action distinct from that which was the foundation of the former suit. Additionally, if the evidence required to support the claims is different, then the causes of action can also be considered to be different. Furthermore, it is necessary for the causes of action

S. Valliammai & Others v. S. Ramanathan & Another

in the two suits to be identical in substance and not merely technically identical.

- v. The defendant who takes shelter under the bar imposed by Order II Rule 2(3) must establish that (a) the second suit was in respect of the same cause of action as that on which the previous suit was based; (b) in respect of that cause of action, the plaintiff was entitled to more than one relief; and (c) being thus entitled to more than one relief, the plaintiff, without any leave obtained from the Court, omitted to sue for the relief for which the second suit had been filed.
- vi. The defendant must also have produced the earlier plaint in evidence in order to establish that there is an identity in the causes of action between both the suits and that there was a deliberate relinquishment of a larger relief on the part of the plaintiff.
- vii. Since the plea is a technical bar, it has to be established satisfactorily and cannot be presumed merely on the basis of inferential reasoning.”

(Underlining by us)

On a reading of the above, what emerges is that the defendant must establish that the second suit was in respect of the same cause of action on which the previous suit was based. The defendant must produce the plaint in the earlier suit in evidence in order to establish that there is an identity in the causes of action between the two suits and there was a deliberate relinquishment of a larger relief on the part of the plaintiff. The defendant in a suit must establish satisfactorily the issue and the technical bar cannot be presumed merely on the basis of an inferential reasoning.

- 5.13 Bar to sue is distinct from a suit being barred by any law. In the former, a suit cannot be commenced at all and, therefore, would have to be dismissed on the application of Order II Rule 2 of the Code, while in the latter case, a suit can be commenced but is not entertainable owing to a bar in law. Under Order II

Supreme Court Reports

Rule 2, a suit can be dismissed after recording evidence depending upon the facts and circumstances of the case and on the analysis of the cause of action in a former suit and a subsequent suit. In the case of rejection of a plaint, recording of evidence on the bar to file a suit may not be necessary in all circumstances. It all depends on the nature of the bar.

- 5.14 To sue, according to Webster Dictionary, is “to seek justice or right by legal process”. According to Strouds’ Judicial Dictionary, (Fifth Edition, p.2540) the words “to sue” is said to have meaning generally speaking, ‘of bringing action’. Thus, the word ‘sue’ means to institute or commence a proceeding and has reference to the point of time when the suit is instituted and not to any subsequent stages of the suit. The word ‘sue’ means to take any legal proceedings in accordance with the provisions of the Code.
- 5.15 Thus, the right to sue is circumscribed by what is stated under Order II Rules 1 and 2 of the Code. Order II Rule 2(1) states that every suit **shall** include the whole of the claim which the plaintiff is entitled to make in respect of the cause of action; but a plaintiff may relinquish any portion of his claim in order to bring the suit within the jurisdiction of the court. With regard to relinquishment of part of the claim and omission to sue for one of several reliefs, the consequences are stated in sub-rules (2) and (3) of Order II Rule 2 of the Code. Thus, under the said sub-rules the right to sue in respect of relinquishment of a claim or omitted reliefs in the absence of conditions occurring therein would not arise. Therefore, sub-rules (2) and (3) of Order II Rule 2 deal with claims and reliefs.
- 5.16 Further, on a comparative analysis of the plaint in the first suit and the second suit, the following aspects have to be considered:
- (i) Whether parties and their privies are the same in the two suits?
 - (ii) Whether the cause of action in the two suits is identical or distinct?
 - (iii) Whether the subject matters of the two suits are different?
 - (iv) Any such other point of identity or distinction.

S. Valliammai & Others v. S. Ramanathan & Another

- 5.17 Turning to Order VII Rule 11 (d), it deals with rejection of plaint and not the right to sue being barred. A rejection of a plaint is as per clauses (a) to (f) mentioned in Order VII Rule 11. Order VII Rule 11 (d) states that the plaint shall be rejected where the suit appears from the statement in the plaint to be barred by any law. Therefore, the crucial words are, the filing of the suit being barred by any law. The issue, whether the suit is barred by any law has to be determined from the statement in the plaint. The expression “statement in the plaint” would mean not only a meaningful reading of the averments in the plaint but also a meaningful reading of the documents appended to the plaint. Thus, it is on a meaningful reading of the plaint and the annexed documents, the suit should appear to be barred by any law. Hence, the written statement or any other document cannot be taken into consideration in order to ascertain whether the suit is barred by any law.
- 5.18 When the expression “barred by any law” is read in juxtaposition with Order II Rule 2 of the Code, it is already noted that Order II Rule 2 does not bar the filing of any suit but sub-rules (2) and (3) forbids the suing for certain claims which have been relinquished or certain reliefs which have been omitted to sue in the earlier suit in respect of which a plaintiff cannot sue for those claims or reliefs by filing a subsequent suit.
- 5.19 On the other hand, the bar to filing of any suit in law under Order VII Rule 11(d) is distinct. The law must bar the filing of a suit either by an express bar or by an implied bar. An example of an express bar of a suit is in Section 34 of the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 (for short, “SARFAESI Act, 2002”) which reads as under:

“34. Civil court not to have jurisdiction.—No civil court shall have jurisdiction to entertain any suit or proceeding in respect of any matter which a Debts Recovery Tribunal or the Appellate Tribunal is empowered by or under this Act to determine and no injunction shall be granted by any court or other authority in respect of any action taken or to be taken in pursuance of any power conferred by or under this

Supreme Court Reports

Act or under the Recovery of Debts Due to Banks and Financial Institutions Act, 1993 (51 of 1993).”

If Section 34 of the SARFAESI Act, 2002 applies in a case, then, such a suit is barred in law. If on a meaningful reading of the plaint a suit is barred in law, then the plaint itself has to be rejected. In other words, the suit can be filed but the plaint has to be rejected for reasons enumerated in Order VII Rule 11 of the Code such as the suit being barred by any law. When a plaint is rejected, a fresh suit could be filed only in terms of Order VII Rule 13 which is extracted above. The said provision would however not apply, if there is absence of a cause of action, the suit is hit by limitation or on the principle of *res judicata* or is otherwise barred by law.

- 5.20 As opposed to the above, under Order II Rule 2 of the Code, the right to sue is taken away in terms of sub-rules (2) and (3) thereof which means that the suit could not have been filed at all. On the other hand, under Order VII Rule 11(d), there is “no bar to sue” but “the suit is barred by law from being filed”. There is a subtle but distinct difference between the two. If the conditions under sub-rules (2) and (3) of Order II Rule 2 of the Code are satisfied in a case, it would be a case of there being a curtailment of the right to sue for the claims relinquished or omitted in the earlier suit. It is not a case where the plaint has to be rejected as it is barred by the provision of Order II Rule 2 [sub-rules (2) and (3)]. In other words, the application of Order II Rule 2 of the Code to a case can result in rejection of reliefs being granted to a plaintiff which may, in certain cases, also result in dismissal of the suit itself. But it does not result in rejection of the plaint under Order VII Rule 11 (d) of the Code.
- 5.21 We think that in a case where Order II Rule 2 of the Code applies, there is no legal bar to filing a suit but the reliefs sought for or the claims made therein cannot be granted if the conditions mentioned therein apply. For arriving at such a conclusion, there has to be evidence let in in order to determine whether the provision of Order II Rule 2 would apply to the suit or not. On the other hand, in the case of Order VII Rule 11(d), if there is express or implied bar for filing of a suit under

S. Valliammai & Others v. S. Ramanathan & Another

any law then on a meaningful reading of the plaint, it has to be rejected. The suit need not proceed to record evidence on merits but only to the extent where evidence is necessary to be recorded for the purpose of rejection of the plaint such as on the ground of the suit being bit by law of limitation or on the principle of *res judicata*. Thus, the bar created by any law to the filing of a suit is different from a plaintiff suing for certain claims or reliefs which he could not have claimed or sued having regard to Order II Rule 2 of the Code. Therefore, in our view, the application of Order II Rule 2 cannot be construed to be a ground for rejection of the plaint under Order VII Rule 11(d) of the Code.

6. The judgments relied upon by learned senior counsel for the respondent have mainly dealt with Order II Rule 2 of the Code. We refer to the two judgments which deal in the context of Order II Rule 2 as well as Order VII Rule 11 of the Code.

- 6.1 In the case of ***N.V. Srinivasa Murthy vs. Mariyamma (Dead) by proposed LRs, (2005) 5 SCC 548***, the facts were that the appellant-plaintiff therein had earlier filed a suit bearing Civil Suit No.557/1990 seeking the relief of permanent injunction against the defendants from interfering with the possession and enjoyment of scheduled lands. A subsequent suit was filed on 26.08.1996, by the very same plaintiff against the defendant seeking a declaration that the registered sale deed dated 05.05.1953 was a loan transaction and also sought for permanent injunction and specific performance of the oral agreement of reconveyance of the property by a registered instrument.

- 6.1.1 In the said plaint it was contended that the father of the plaintiffs had incurred some debts and had therefore borrowed a sum of Rs. 2000 from the predecessor-in-title of the defendants. By way of security for the loan advanced, a registered sale deed was executed on 05.05.1953 with an oral agreement that on return of the borrowed sum with interest, a registered reconveyance deed shall be executed in favour of the borrower. Thereafter, the defendant executed receipts in favour of the plaintiff, acknowledging the return of loan amount.

Supreme Court Reports

However, it was alleged that the defendants made an attempt to interfere with the plaintiffs' possession and enjoyment of the suit lands. Answering the issue of whether the subsequent suit was barred under Order II Rule 2 of the Code, this Court observed that whatever relief the plaintiffs desired to claim from the civil court on the basis of averment with regard to the registered sale deed of 1953 could and ought to have been claimed in original Civil Suit No. 557 of 1990 which was pending at that time and therefore it was held that the second suit claiming indirectly relief of declaration and injunction was barred by Order II Rule 2 of the Code. It was held that the plaint in the subsequent suit was liable to be rejected, if not on the ground that it does not disclose "cause of action", on the ground that from the averments in the plaint, the suit was barred by law within the meaning of clause (d) of Order VII Rule 11 of the Code.

6.1.2 In the aforesaid case, the issue of suit being barred by limitation was accepted as the registered sale-deed dated 05.05.1953 was the basis for instituting the suit by taking recourse to orders passed in the mutation proceedings by the Revenue Courts. Hence, it was stated that on a critical examination of the plaint, the suit was clearly barred on the facts stated in the plaint itself. In the above context, it was also observed that the second suit indirectly claimed the relief of declaration and injunction, and hence it was apparently barred by Order II Rule 2 of the Code. What primarily impressed this Court in the aforesaid case was the fact that the second suit was barred by the law of limitation and hence Order VII Rule 11(d) of the Code applied.

6.2 In ***State Bank of India vs. Gracure Pharmaceuticals Ltd., (2014) 3 SCC 595-602***, respondent-plaintiffs therein had availed of various credit facilities from the appellant-defendant bank therein. The plaintiffs had an export order from M/s Medipharma Company, France, which had opened two letters of credit (for short, "LCs")- one was opened with Credit du Nord Paris (for short, "CDN") and another was opened with BNP-Paribas S.A, Ivry-Sur-Seine (for short, "BNP"). The date of issue of

S. Valliammai & Others v. S. Ramanathan & Another

the first LC by CDN was 16.01.2001 and it was to expire on 10.04.2001. Similarly, a second LC opened with BNP was issued on 16.01.2001 and was to expire on 30.04.2001. The proceeds of the export deal were paid by the appellant bank honouring the bills of exchange against the LC opened with CDN and BNP and credited the same to the account of the respondent-plaintiffs therein subject to realisation of the Letter of Credit ("LCs"). Since the amounts of the LCs were not received with the issuing bank, the amounts were debited to the account of the respondent on account of non-receipt of the LCs. The Bank sent various letters to the respondent to regularise the accounts. Since the accounts were not regularised, the appellant-bank decided not to grant further facility. The closure of the account was done on 20.03.2002 due to the fault of respondent-plaintiffs therein on non-regularisation of their accounts i.e. after non-receipt of payment of the LCs, the account became irregular and remained so continuously. Plaintiffs therein filed the first suit dated 15.05.2003 before the High Court seeking recovery of Rs.44,30,994 with interest, alleging wrongful debits relating to the LCs. Subsequently, a second suit dated 21.05.2003 was filed before the District Court seeking damages of ₹3,09,000 with interest, alleging wrongful withdrawal of credit facilities by the bank. This Court held that both suits arose from the same cause of action, the relief claimed in the second suit could have been claimed in the first suit, and therefore the second suit was barred under Order II Rule 2 of the Code. It was observed that the facts, on the basis of which the subsequent suit was filed, existed on the date on which the earlier suit was filed. The earlier suit was filed on 15.03.2003, and the subsequent suit was filed on 21.05.2003. No fresh cause of action arose between the first suit and the second suit. The closure of the account, as already indicated, was intimated on 20.03.2002 due to the alleged fault of the respondent – plaintiff therein in not regularising their accounts, i.e. after non-receipt of payment of LC, the account became irregular. When the first suit for recovery of dues was filed, i.e. on 15.03.2001 for alleged relief, damages sought for in the subsequent suit could have also been sought for. It was therefore held that the respondent had omitted certain reliefs which were available to it at the time of filing of the first suit and after having relinquished the same, it

Supreme Court Reports

could not have filed a separate suit in view of the provisions of sub-rule 2 of Order II Rule 2 of the Code.

6.2.1 In this case, it was observed that the earlier suit was filed on 15.03.2003 and the subsequent suit was filed on 21.05.2003 and there was no fresh cause of action which arose between the first and the second suit. Therefore, the respondent therein was not entitled to split the cause of action into parts by filing separate suits. However, it is necessary to note that although Order II Rule 2 of the Code may have been applied to the facts of the said case, the plaint was not rejected under Order VII Rule 11(d) thereof as such but possibly under Order VII Rule 11(a) of the Code as in paragraph 17, it was noted by this Court as under:

“17. When we go through the abovequoted paragraph it is clear that the facts on the basis of which the subsequent suit was filed, existed on the date on which the earlier suit was filed. The earlier suit was filed on 15.03.2003 and subsequent suit was filed on 21.05.2003. No fresh cause of action arose in between the first suit and the second suit. The closure of account, as already indicated, was intimated on 20.03.2002 due to the alleged fault of the respondent in not regularising their accounts i.e. after non-receipt of the payment of the LC, the account became irregular. When the first suit for recovery of dues was filed i.e. on 15.03.2001 for alleged relief, damages sought for in the subsequent suit could have also been sought for.”

(Underling by us)

Therefore, the aforesaid two decisions of this Court could be distinguished from the facts applicable to the present case.

7. A juxtaposition of the above discussion with the discussion for rejection of a plaint under Order VII Rule 11(d) of the Code must be made. On a conjoint reading of Order II Rule 2 with Order VII Rule 11(d)

S. Valliammai & Others v. S. Ramanathan & Another

of the Code, it emerges that the plea under Order II Rule 2 of the Code cannot be a basis or a ground for rejection of the plaint. In other words, it is for the defendant to establish by way of evidence, the bar of the subsequent suit under Order II Rule 2 of the Code filed by the very same plaintiff. In such an event, on a comparative analysis of the plaint filed in the first suit and the plaint filed in the second suit, if the Court comes to the conclusion that the second suit was filed on an identical cause of action which led to the filing of the first suit and there was an omission to make the claim or to reserve the reliefs to be claimed in the first suit in a subsequent suit, then the bar under Order II Rule 2 of the Code would apply to the subsequent suit or the second suit. Then the claims or reliefs not maintainable would be rejected as the plaintiff could not have sued for those reliefs by filing a second suit, although technically, the filing of such a suit was not barred by any law. On the other hand, if the cause of action for filing the second suit is totally distinct from the cause of action from filing the first suit and the reliefs claimed are distinct, subject-matter of the suits are different and if the parties to the suit are also different then in such a case, the plea under Order II Rule 2 of the Code would not arise at all. The above are, *inter alia*, the heads of distinction to be analysed while analysing the plaints in the first/former suit and a subsequent suit.

8. In the present case, the defendant was not successful in getting his application under Order VII Rule 11(d) of the Code allowed. Consequently, the defendant filed civil revision petition under Section 115 of the Code before the High Court. The High Court, after narrating the respective contentions of the parties, has analysed the averments in the plaint filed in OS No.4722 of 2012 (first suit) in juxtaposition with the plaint in OS No.2320 of 2013 (second suit). On a conjoint reading of the two plaints, the High Court has observed that on a reading of the averments in paragraph 7 of the plaint in OS No.4722 of 2012 that S Valliammai (plaintiff No.1 in the second suit) was aware that the properties in the present suit were already given to the share of defendant No.1 in the said suit (revision petitioner No.1 before the High Court). That the power of attorney dated 04.11.2011 was not challenged by M. Sokkalingam during his lifetime (plaintiff No.2 in the first suit). That the second suit was filed after the demise of M. Sokkalingam by his widow and his two daughters challenging the power of attorney in favour of defendant No.2 in the said suit. The High

Supreme Court Reports

Court has also gone into the merits of the prayers sought for by the plaintiff in the second suit. The High Court has further observed that the first plaintiff in the second suit did not seek leave to file another suit and that there was an omission to assail the power of attorney in the first suit and that there was no separate cause of action to file another suit. That the plaintiffs in the second suit were aware of the execution of the power of attorney dated 04.11.2011, hence, the cause of action for both the suits were one and the same. The High Court has further analysed the averments in the second suit, as if it is evidence. The High Court has also considered the implication of the release letters executed by the daughters and consequently, held that the Trial Court erred in concluding that the cause of action for the two suits is different and distinct.

- 8.1 The above approach of the High Court in analysing the averments made in the second suit as if it is evidence, in juxtaposition with the averments made in the first suit is improper in view of our aforesaid discussion. Therefore, the High Court was not justified in allowing the Civil Revision Petition.
9. In the result, the appeal is allowed and the judgment and order of the High Court is set-aside. The order of the trial court in O.S. No.2320 of 2013 is restored along with the plaint.

All observations made in this appeal are only for the purpose of disposal of this appeal and would not have a bearing on the merits of the suit to be tried by the trial court.

The parties to bear the respective costs.

Result of the case: Appeal allowed.

[2026] 5 S.C.R. 273 : 2026 INSC 442

Sujal Vishwas Attavar & Anr.
v.
The State of Maharashtra & Ors.

(Criminal Appeal No. 2325 of 2026)

04 May 2026

[Sanjay Karol* and Augustine George Masih, JJ.]

Issue for Consideration

Whether u/Art.226 of the Constitution of India a direction could be given to State Authorities to register an FIR without the applicant first having taken recourse to the alternative remedies provided in law.

Headnotes[†]

Constitution of India – Art.226 – Extraordinary jurisdiction under, cannot be invoked seeking directions for registration of FIR when alternative statutory remedies are available – Complainant Company filed complaints before the Deputy Superintendent of Land Records Office alleging forgery, impersonation and fraud by accused persons including the appellant(s) in the measurement application for measurement of the property and sought registration of FIR – Land Records Authority declined to take any coercive action – Allegations of fake measurement were also brought to the notice of the Police however, the matter was returned to the Land Records Department for further inquiry – Writ petition filed by complainant Company – High Court directed the police to record the statement of Director of the Complainant Company and initiate necessary action as per provisions of law – FIR registered against the appellant(s) pursuant thereto – Interference with:

Held: The extraordinary jurisdiction u/Art.226 ought not to have been invoked when alternative equally efficacious statutory remedies were available – If a person has a grievance that his FIR has not been registered by the police, or having been registered, proper investigation is not being conducted, then the remedy does not ordinarily lie in invoking the writ jurisdiction in the first instance, but in seeking recourse to the statutory framework, unless of course the urgency of the circumstances warrant otherwise – Complainant Company did not exhaust the sequential statutory remedies

* Author

Supreme Court Reports

available under BNSS – Therefore, there is no foundation to invoke the extraordinary jurisdiction of the High Court as efficacious and efficient alternative remedies exist – Writ petition premature – Impugned interim order set aside – FIR registered pursuant thereto quashed – Bharatiya Nagarik Suraksha Sanhita 2023 – Alternative remedy. [Paras 7, 11, 12]

Constitution of India – Art.226 – Exercise of writ jurisdiction by High Court in the presence of an alternative remedy – Impermissibility:

Held: High Court is not bound to entertain a writ petition merely because a case of alleged inaction or negligence is made out against a statutory authority – Ordinarily, where a statute provides a complete and efficacious remedy, the same must be exhausted before invoking constitutional jurisdiction – Complainant Company initially approached the Land Record Authority, by way of complaints with copies thereof being sent to the police authority – However, it did not avail any of the statutory remedies provided under BNSS and instead directly invoked the writ jurisdiction of the High Court, *inter alia*, seeking directions for registration of FIR – Such a recourse, in the first instance, is contrary to the settled principles of law – Particularly in the absence of imminent danger of violation of life or liberty of an individual – Art.226 is not a panacea for all grievances – Entertaining a writ petition, in the said circumstances, would in effect, result in the High Court, acting as a forum of first instance thereby bypassing the statutory scheme in its entirety – This is impermissible, save and except in special circumstances which are conspicuously absent in the present case. [Paras 9, 10]

Case Law Cited

Radha Krishan Industries v. State of H.P. [2021] 3 SCR 406 : (2021) 6 SCC 771; *Thansingh Nathmal v. Superintendent of Taxes* [1964] 6 SCR 654 : AIR 1964 SC 1419; *Whirlpool Corporation v. Registrar of Trade Marks* [1998] Supp. 2 SCR 359 : (1998) 8 SCC 1; *Rikhab Chand Jain v. Union of India*, 2025 INSC 1337 : 2025 SCC OnLine 2510; *Sakiri Vasu v. State of U.P.* [2007] 12 SCR 1100 : (2008) 2 SCC 409; *All India Institute of Medical Sciences Employees' Union (Regd.) v. Union of India* [1996] Supp. 8 SCR 138 : (1996) 11 SCC 582; *Aleque Padamsee v. Union of India* [2007] 8 SCR 390 : (2007) 6 SCC 171; *M. Subramaniam v. S. Janaki* (2020) 16 SCC 728; *Anurag Bhatnagar v. State (NCT of*

Sujal Vishwas Attavar & Anr. v. The State of Maharashtra & Ors.

Delhi) [2025] 7 SCR 1599 : 2025 SCC OnLine SC 1514; *Sudhir Bhaskarrao Tambe v. Hemant Yashwant Dhage* (2016) 6 SCC 277 – referred to.

List of Acts

Constitution of India; Insolvency and Bankruptcy Code 2016; Bharatiya Nyaya Sanhita 2023; Code of Criminal Procedure, 1973.

List of Keywords

Alternative remedies; Alternative remedy; Alternative equally efficacious statutory remedies available; Statutory remedies not availed; Extraordinary jurisdiction of High Court; Jurisdiction of High Court under Article 226 of the Constitution of India; Writ jurisdiction of High Court; Forged documents; Forgery; Fabrication of details; Fabrication of signatures; Impersonation; Fraud; Measurement application; Measurement of property; Allegations of fake measurement.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 2325 of 2026

From the Judgment and Order dated 17.12.2025 of the High Court of Judicature at Bombay in WP No. 5154 of 2025

With

Criminal Appeal No. 2326 of 2026

Appearances for Parties

Advs. for the Appellant(s):

Ms. Geeta Luthra, Sr. Advs, Nilesh Tribhuvann, Anand Dilip Landge, Burzin Bharucha, Rohit Saraswat, Pururaj Agarwal, Rishabh Dahiya, Ms. Prashansika Thakur, Ms. Janvi Desai, Nilesh Tribhuvann, Burzin Bharucha, Rohit Saraswat, Shahrukh Ahmad, Pururaj Aggarwal, Rishabh Dahiya, Ms. Prashansika Thakur, Ms. Janvi Desai.

Advs. for the Respondent(s):

Samrat Krishnarao Shinde, Siddharth Dharmadhikari, Aaditya Aniruddha Pande, Shirang B. Varma, Ms. Manjeet Kirpal.

Supreme Court Reports**Judgment / Order of the Supreme Court****Judgment****Sanjay Karol, J.**

Leave Granted.

2. The appellant(s) have preferred the present appeal(s) against the impugned interim order dated 17.12.2025 passed by the High Court of Judicature at Bombay in Writ Petition No.5154 of 2025, whereby the High Court had directed the police to record the statement of Director, Mrs. Asha Shivajirao Sanap, of E & G Global Estates Ltd. (hereinafter referred to as the '*Complainant Company*') and initiate necessary action as per provisions of law. Pursuant to the said direction, FIR¹ No.0194/2025 came to be registered against the present appellant(s).
3. Although the question raised in this appeal is one of relative simplicity i.e., whether under Article 226 of the Constitution of India a direction could be given to State Authorities to register an FIR without the applicant first having taken recourse to the alternative remedies provided in law. This question however arises from a convoluted set of facts involving various commercial transactions and as such it would be important for the purposes of clarity to appreciate the same.
 - 3.1 The property in question, bearing Gut No.82 situated at Mouje Talwade, Trimbakeshwar, District Nashik, was purchased by the complainant Company (Respondent No.2 herein) *vide* a Sale Deed dated 11.10.2010 and was thereafter developed into a leisure resort named as '*E&G Green Valley*' comprising of 22 villas (Unit No.1 to 22) and a composite Unit No.23 consisting of studio apartments and allied structures.
 - 3.2 Upon its completion, the complainant Company executed an Agreement to Lease dated 31.03.2012 in favour M/s. E & G Resorts Pvt. Ltd., a Company in which respondent no.7² is the Director. It is alleged that a registered Lease Deed dated 27.06.2014 was fraudulently executed between the complainant

1 Short for 'First Information Report'.

2 Mrs. Sheetal Vishwas Attavar – Appellant No.1 in CrI A@SLP (CrI) No.1133/2026.

Sujal Vishwas Attavar & Anr. v. The State of Maharashtra & Ors.

Company and M/s. E & G Resorts Pvt. Ltd., in respect of Unit No.23, pursuant to which possession of the said unit was taken over by the latter as a lessee.

- 3.3 Subsequently, since the complainant Company was classified as a Non-Performing Asset, a Corporate Insolvency Resolution Process³ was initiated and *vide* order dated 24.06.2020, a statutory moratorium under Section 14 of the Insolvency and Bankruptcy Code 2016⁴ came into force.
- 3.4 It is the case of the complainant Company that during the subsistence of the aforesaid moratorium, M/s. E&G Resorts Pvt. Ltd., executed a sub-lease deed dated 14.10.2022 in favour of respondent no.7 – Mrs. Sheetal Vishwas Attavar. Under the guise of said sub-lease deed, respondent no.7 along with the present appellants(s) is alleged to have asserted rights over the entire project including Unit No.23 and began collecting maintenance charge, creating third-party interests and carrying out unauthorized constructions causing inconvenience to other lessees.
- 3.5 Consequently, multiple civil suits were instituted *inter se* the parties, including suits challenging the validity of the sub-lease deed dated 14.10.2022 and seeking an injunction from creating encumbrances or third-party rights. It is not in dispute that such civil proceedings are presently pending adjudication before competent Courts.
- 3.6 The genesis of the criminal allegations, however, arise from certain events stated to have occurred between December 2024 and April 2025. It is alleged that the accused persons, including the present appellant(s), submitted an application for measurement of the property on 02.04.2025 in the name of the complainant Company using forged documents and fabricated details and signatures. It is further alleged that during the survey on 19.04.2025, a woman impersonated herself as the Director of the complainant Company, namely Mrs. Asha Shivajirao Sanap, and misled the Revenue officials into completing the measurement process. According to the complainant Company,

3 Hereinafter 'CIRP'.

4 Hereinafter 'IBC'.

Supreme Court Reports

the aforesaid acts were undertaken with an intent to regularize the alleged unauthorized constructions and assert control over the property, particularly after the complainant had, in September 2024, directed certain lessees, including the appellant(s), to remove encroachments and illegal structures.

- 3.7 Upon discovering these facts in June 2025, the complainant Company, through Mrs. Asha Shivajirao Sanap, filed complaints dated 13.06.2025 and 09.07.2025 before the Deputy Superintendent of Land Records Office, Trimbakeshwar, alleging commission of forgery, impersonation and fraud in the measurement application and sought registration of FIR.
- 3.8 The matter was considered by the Land Records Authority, and a hearing was conducted; however, by letter dated 29.07.2025, the Authority declined to take any coercive action and advised the complainant to seek redressal from the competent authority. The relevant part of the letter is extracted below:

“Subsequently, in connection with your above mentioned complaint application regarding the above reference, the date of 16.7.2025 was fixed by giving notice to the survey applicant and you/the complainant to present your respective statements. ... It was found that you have not filed the survey application for the said Gut No. 82 nor paid the survey fee. You stated in the complaint application and during the hearing that the said survey application should be disposed of without action. Looking at the points mentioned in your complaint application, it is your contention that a third party has filed the application by providing forged documents in your name. You have also mentioned in the complaint application you/the company and the lessees of the said property are in a court dispute and that sale of the said property is mutual, etc. Despite being served with the hearing notice, the holders who filed the survey application were not present for the said hearing.

Therefore, considering your complaint application, the statement filed by you at the time of the hearing, and all the documents submitted, it would be appropriate

Sujal Vishwas Attavar & Anr. v. The State of Maharashtra & Ors.

for you to seek redressal from the competent authority,
if necessary, regarding the said property dispute”

(emphasis supplied)

- 3.9 On the same date, the Deputy Superintendent of Land Records, Trimbakeshwar, also wrote a letter to the Police Inspector, Trimbakeshwar, bringing to notice the allegations of fake measurement and stated:

“Sir,

In the above-referenced complaint applications dated 13.06.2025 and 09.07.2025 of M/s E. and G. Global Estate Ltd., it has been stated that a fake measurement application for Gut No. 82 at Village Talwade (Tr) by forging signatures and other documents, including Aadhaar cards, has been uploaded online to the Office of the Deputy Superintendent of Land Records, Trimbakeshwar. Looking at the contents of the application, fake measurement applications and documents are, mentioned therein. It is requested that appropriate legal action be taken from your level following the investigation of the facts as per the complainant’s demand.”

- 3.10 In response, the Police Authorities, by letter dated 01.09.2025, returned the matter to the Land Records Department, for further inquiry stating that:

“... Upon reviewing the said complaint application, the nature of the matter in the application is very serious and since this matter is related to your office, it is necessary that the redressal of this matter be done by your department. If there is anything contrary to the rules in this matter, a written complaint to that effect should be given to this office by your office.

Therefore, the original complaint application and photocopies of the referenced applications numbered 01 to 09 are being returned to your office for further, inquiry.”

(emphasis supplied)

Sujal Vishwas Attavar & Anr. v. The State of Maharashtra & Ors.

4. In that view of the matter, the accused-appellant(s) are before us contending that the registration of the FIR is a direct consequence of the directions issued in writ proceedings, and is therefore, contrary to law since alternative remedies available under the statutory framework have not been exhausted. It is further contended that the FIR has been lodged as a counterblast to the civil disputes pending between the parties. We have heard the learned senior counsel for the appellant(s) and learned counsel for the respondent(s) as also perused the material placed on record.
5. At the outset, it would be apposite to reiterate the settled principle of law governing the exercise of writ jurisdiction. While the jurisdiction of the High Court under Article 226 of the Constitution of India is wide, it is well established that such jurisdiction is extraordinary, discretionary and subject to certain self-imposed restrictions. In ***Radha Krishan Industries v. State of H.P.***⁶, a co-ordinate Bench of this Court has summarized the principles governing the exercise of writ jurisdiction by the High Court in the presence of an alternative remedy and held as under:

“27. The principles of law which emerge are that:

27.1. The power under Article 226 of the Constitution to issue writs can be exercised not only for the enforcement of fundamental rights, but for any other purpose as well.

27.2. The High Court has the discretion not to entertain a writ petition. One of the restrictions placed on the power of the High Court is where an effective alternate remedy is available to the aggrieved person.

27.3. Exceptions to the rule of alternate remedy arise where:
 (a) the writ petition has been filed for the enforcement of a fundamental right protected by Part III of the Constitution;
 (b) there has been a violation of the principles of natural justice; (c) the order or proceedings are wholly without jurisdiction; or (d) the vires of a legislation is challenged.

27.4. An alternate remedy by itself does not divest the High Court of its powers under Article 226 of the Constitution

Supreme Court Reports

in an appropriate case though ordinarily, a writ petition should not be entertained when an efficacious alternate remedy is provided by law.

27.5. When a right is created by a statute, which itself prescribes the remedy or procedure for enforcing the right or liability, resort must be had to that particular statutory remedy before invoking the discretionary remedy under Article 226 of the Constitution. This rule of exhaustion of statutory remedies is a rule of policy, convenience and discretion.

27.6. In cases where there are disputed questions of fact, the High Court may decide to decline jurisdiction in a writ petition. However, if the High Court is objectively of the view that the nature of the controversy requires the exercise of its writ jurisdiction, such a view would not readily be interfered with.”

(emphasis supplied)

[See also: ***Thansingh Nathmal v. Superintendent of Taxes***⁷ and ***Whirlpool Corporation. v. Registrar of Trade Marks***⁸]

5.1 Similarly, very recently this Court in ***Rikhab Chand Jain v. Union of India***⁹ held as under:

“**10.** We may profitably refer, in this context, to the Constitution Bench decision in *Thansingh Nathmal v. Superintendent of Taxes* [(1964) 15 STC 468 (SC); 1964 SCC OnLine SC 13; AIR 1964 SC 1419.] . In *Thansingh Nathmal v. Superintendent of Taxes* [(1964) 15 STC 468 (SC); 1964 SCC OnLine SC 13; AIR 1964 SC 1419.] , this court had the occasion to lay down a principle of law which is salutary and not to be found in any other previous decision rendered by it. The principle, plainly, is that, if a remedy is available to a party before the High Court in another

7 AIR 1964 SC 1419.

8 (1998) 8 SCC 1.

9 2025 SCC OnLine 2510.

Sujal Vishwas Attavar & Anr. v. The State of Maharashtra & Ors.

jurisdiction, the writ jurisdiction should not normally be exercised on a petition under article 226, for, that would allow the machinery set up by the concerned statute to be bye-passed. The relevant passage from the decision reads as follows (page 474 in 15 STC):

“... The jurisdiction of the High Court under article 226 of the Constitution is couched in wide terms and the exercise thereof is not subject to any restrictions except the territorial restrictions which are expressly provided in the article. But the exercise of the jurisdiction is discretionary; it is not exercised merely because it is lawful to do so. The very amplitude of the jurisdiction demands that it will ordinarily be exercised subject to certain self-imposed limitations. Resort to that jurisdiction is not intended as an alternative remedy for relief which may be obtained in a suit or other mode prescribed by statute. Ordinarily the court will not entertain a petition for a writ under article 226, where the petitioner has an alternative remedy, which, without being unduly onerous, provides an equally efficacious remedy. Again the High Court does not generally enter upon a determination of questions which demand an elaborate examination of evidence to establish the right to enforce which the writ is claimed. The High Court does not therefore act as a court of appeal against the decision of a court or Tribunal, to correct errors of fact, and does not by assuming jurisdiction under article 226 trench upon an alternative remedy provided by statute for obtaining relief. Where it is open to the aggrieved petitioner to move another Tribunal, or even itself in another jurisdiction for obtaining redress

Supreme Court Reports

in the manner provided by a statute, the High Court normally will not permit, by entertaining a petition under article 226 of the Constitution, the machinery created under the statute to be by-passed, and will leave the party applying to it to seek resort to the machinery so set up.”

(emphasis ours)

12. That apart, the majority view in a previous Constitution Bench in *A.V. Venkateswaran, Collector of Customs v. Ramchand Sobhraj Wadhwani* [1961 SCC OnLine SC 16; AIR 1961 SC 1506.] reads thus:

“14... ., we must express our dissent from the reasoning by which the learned judges of the High Court held that the writ petitioner was absolved from the normal obligation to exhaust his statutory remedies before invoking the jurisdiction of the High Court under article 226 of the Constitution. If a petitioner has disabled himself from availing himself of the statutory remedy by his own fault in not doing so within the prescribed time, he cannot certainly be permitted to urge that as a ground for the court dealing with his petition under article 226 to exercise its discretion in his favour. Indeed, the second passage extracted from the judgment of the learned C.J. in *State of U.P. v. Mohammad Nooh* [1957 SCC OnLine SC 21; AIR 1958 SC 86.] with its reference to the right to appeal being lost ‘through no fault of his own’ emphasizes this aspect of the Rule.”

(emphasis ours)

In essence, this court was of the opinion that once a petitioner has due to his own fault disabled himself

Sujal Vishwas Attavar & Anr. v. The State of Maharashtra & Ors.

from availing a statutory remedy, the discretionary remedy under article 226 may not be available.”

6. In the same vein, this Court has duly considered the question as to whether the remedy under Article 226 can be availed of if there exists inaction and/or nonaction by the police in registering the FIR relating to a cognizable offence. We may refer to few such pronouncements:

- 6.1 In ***Sakiri Vasu v. State of U.P.***¹⁰, a co-ordinate Bench of this Court observed:

“11. In this connection we would like to state that if a person has a grievance that the police station is not registering his FIR under Section 154 CrPC, then he can approach the Superintendent of Police under Section 154(3) CrPC by an application in writing. Even if that does not yield any satisfactory result in the sense that either the FIR is still not registered, or that even after registering it no proper investigation is held, it is open to the aggrieved person to file an application under Section 156(3) CrPC before the learned Magistrate concerned. ...

... ..

25. ... we often find that when someone has a grievance that his FIR has not been registered at the police station and/or a proper investigation is not being done by the police, he rushes to the High Court to file a writ petition or a petition under Section 482 CrPC. We are of the opinion that the High Court should not encourage this practice and should ordinarily refuse to interfere in such matters and relegate the petitioner to his alternating remedy...

26. If a person has a grievance that his FIR has not been registered by the police station his first remedy is to approach the Superintendent of Police under Section 154(3) CrPC or other police officer referred

¹⁰ (2008) 2 SCC 409.

Supreme Court Reports

to in Section 36 CrPC. If despite approaching the Superintendent of Police or the officer referred to in Section 36 his grievance still persists, then he can approach a Magistrate under Section 156(3) CrPC instead of rushing to the High Court by way of a writ petition or a petition under Section 482 CrPC. Moreover, he has a further remedy of filing a criminal complaint under Section 200 CrPC. Why then should writ petitions or Section 482 petitions be entertained when there are so many alternative remedies?

27. As we have already observed above, the Magistrate has very wide powers to direct registration of an FIR and to ensure a proper investigation and for this purpose he can monitor the investigation to ensure that the investigation is done properly (though he cannot investigate himself). The High Court should discourage the practice of filing a writ petition or petition under Section 482 CrPC simply because a person has a grievance that his FIR has not been registered by the police, or after being registered, proper investigation has not been done by the police. ...

28. It is true that alternative remedy is not an absolute bar to a writ petition, but it is equally well settled that if there is an alternative remedy the High Court should not ordinarily interfere."

(emphasis supplied)

[See also: ***All India Institute of Medical Sciences Employees' Union (Regd.) v. Union of India***¹¹; ***Aleque Padamsee v. Union of India***¹²; ***M. Subramaniam v. S. Janaki***¹³; and ***Anurag Bhatnagar v. State (NCT of Delhi)***¹⁴]

¹¹ (1996) 11 SCC 582.

¹² (2007) 6 SCC 171.

¹³ (2020) 16 SCC 728.

¹⁴ 2025 SCC OnLine SC 1514.

Sujal Vishwas Attavar & Anr. v. The State of Maharashtra & Ors.

- 6.2 Following the law laid in ***Sakiri Vasu*** (supra), this Court in ***Sudhir Bhaskarrao Tambe v. Hemant Yashwant Dhage***¹⁵, observed as under:

“2. This Court has held in *Sakiri Vasu v. State of U.P.* [*Sakiri Vasu v. State of U.P.*, (2008) 2 SCC 409 : (2008) 1 SCC (Cri) 440 : AIR 2008 SC 907], that if a person has a grievance that his FIR has not been registered by the police, or having been registered, proper investigation is not being done, then the remedy of the aggrieved person is not to go to the High Court under Article 226 of the Constitution of India, but to approach the Magistrate concerned under Section 156(3) CrPC. ... We have said this in *Sakiri Vasu case* [*Sakiri Vasu v. State of U.P.*, (2008) 2 SCC 409 : (2008) 1 SCC (Cri) 440 : AIR 2008 SC 907] because what we have found in this country is that the High Courts have been flooded with writ petitions praying for registration of the first information report or praying for a proper investigation.

3. We are of the opinion that if the High Courts entertain such writ petitions, then they will be flooded with such writ petitions and will not be able to do any other work except dealing with such writ petitions. Hence, we have held that the complainant must avail of his alternate remedy to approach the Magistrate concerned under Section 156(3) CrPC and if he does so, the Magistrate will ensure, if prima facie he is satisfied, registration of the first information report and also ensure a proper investigation in the matter, and he can also monitor the investigation.”

(emphasis supplied)

7. Keeping in view the above exposition of law, we find that the extraordinary jurisdiction under Article 226 of the Constitution of India ought not to have been invoked when alternative equally efficacious statutory remedies were available. If a person has a grievance that his

¹⁵ (2016) 6 SCC 277.

Supreme Court Reports

FIR has not been registered by the police, or having been registered, proper investigation is not being conducted, then the remedy does not ordinarily lie in invoking the writ jurisdiction in the first instance, but in seeking recourse to the statutory framework, unless of course the urgency of the circumstances warrant otherwise.

8. The Bharatiya Nagarik Suraksha Sanhita 2023¹⁶ (*erstwhile Code of Criminal Procedure, 1973*¹⁷) provides a structured sequential mechanism for initiating criminal prosecution. The statutory framework contemplates that information relating to the commission of a cognizable offence is first placed before the officer-in-charge of the police station and an FIR is registered under Section 173(1) BNSS. In the event of refusal to register the FIR, recourse lies before the jurisdictional Superintendent of Police under Section 173(4) BNSS and, thereafter, before the Magistrate, under Section 175(3) BNSS.
9. In the present case, it is evident from the record that the complainant Company initially approached the Land Record Authority, by way of complaints dated 13.06.2025 and 09.07.2025, with copies thereof being sent to the police authority. However, it did not avail any of the statutory remedies provided under BNSS and instead directly invoked the writ jurisdiction of the High Court, *inter alia*, seeking directions for registration of FIR. In our considered view, such a recourse, in the first instance, is contrary to the settled principles of law. Particularly in the absence of imminent danger of violation of life or liberty of an individual. Article 226 is not a panacea for all grievances.
10. It is not the case of the complainant Company that it had approached the concerned Superintendent of Police or Magistrate prior to filing the writ petition, nor has any material been placed on record to show that such remedies were unavailable or inefficacious. Entertaining a writ petition, in the said circumstances, would in effect, result in the High Court, acting as a forum of first instance thereby bypassing the statutory scheme in its entirety. This is impermissible, save and except in special circumstances as mentioned in ***Radha Krishan Industries*** (supra), which are conspicuously absent in the present case.

¹⁶ Hereinafter referred to as 'BNSS'.

¹⁷ Hereinafter referred to as 'CrPC'.

Sujal Vishwas Attavar & Anr. v. The State of Maharashtra & Ors.

11. The High Court is not bound to entertain a writ petition merely because a case of alleged inaction or negligence is made out against a statutory authority. Ordinarily, where a statute provides a complete and efficacious remedy, the same must be exhausted before invoking constitutional jurisdiction [See: **Sakiri Vasu** (supra) and **Sudhir Bhaskarrao Tambe** (supra)]. In the present facts, the complainant Company, has not exhausted the sequential statutory remedies available under BNSS. There is, therefore, no foundation to invoke the extraordinary jurisdiction of the High Court for the reason that efficacious and efficient alternative remedies exists. Hence, at this stage, we find the instant writ petition to be premature, and, therefore, not fit to be entertained.
12. Considering the above, we set aside the impugned interim order and quash FIR No.0194/2025 registered pursuant thereto. Liberty is reserved for the parties to espouse alternative remedies, as may be available, in accordance with law, if so advised. Any recourse to such a remedy shall be considered on its own merits by the competent forum.
13. Nothing contained in the present judgment shall be construed as an expression of opinion on the merits of the case or as to whether or not the facts disclose the commission of any criminal offence.
14. In view of the above, appeal(s) stand allowed. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal(s) allowed.

[†]Headnotes prepared by: Divya Pandey

Rajasthan Public Service Commission

v.

Lavanshu Sankhla & Ors.

(Civil Appeal No. 7026 of 2026)

04 May 2026

[Vikram Nath* and Sandeep Mehta, JJ.]

Issue for Consideration

Whether the relevant date for acquiring the minimum essential qualification is the date of submission of the application pursuant to the advertisement, or any time prior to the commencement of the interview process.

Headnotes[†]

Service Law – Assistant Prosecution Officer Examination – Minimum essential qualification – Appellant-Rajasthan Public Service Commission issued an advertisement inviting applications for the posts of Assistant Prosecution Officer – Essential qualification included degree in law – The respondents submitted their online application forms – On the date of submission of the applications, the respondents had not acquired their degree and were yet to appear in the final year examination – A press note dated 29.11.2024 issued by the appellant-RPSC clarified that candidates who had not acquired the requisite qualification as on the date of the selection examination, were not eligible to participate in the selection process – Writ petitions – The High Court directed the appellant-RPSC to issue admit cards to the writ petitioners and permit them to appear in the preliminary examination – Correctness:

Held: A conjoint reading of the advertisement and the governing rules makes it evident that the relevant date for determining eligibility, including educational qualification, is the date of submission of the application – This is for the reason that the eligibility of a candidate is assessed on the basis of the particulars and documents furnished at the time of application, and there is

* Author

Rajasthan Public Service Commission v. Lavanshu Sankhla & Ors.

no provision for subsequent supplementation or re-submission of such documents at a later stage – The Rule 12 of Rajasthan Prosecution Subordinate Service Rules, 1978 earlier contained a proviso granting exemption to candidates who had appeared or were appearing in the final year examination of the course – However, it is pertinent to note that the aforesaid proviso to Rule 12, came to be deleted by respondent no. 2-State – The legislative intent underlying such deletion is clear and unambiguous, namely, that candidates who have not acquired the requisite educational qualification as on the relevant date are not eligible to apply for the post in question – The requirement in the advertisement that a candidate must “possess” a Degree in Law (Professional) or an integrated Law degree from a recognised university necessarily excludes those candidates who are yet to acquire such qualification or who may acquire it at a future date – The prescribed eligibility condition unequivocally requires possession of the degree at the relevant point of time – The press note dated 29.11.2024 is in complete consonance with the Rajasthan Prosecution Subordinate Service Rules, 1978 and the advertisement dated 07.03.2024 and merely clarifies the position that eligibility must be determined with reference to the date of submission of the application. [Paras 18-20, 23, 25]

Maxim – *Aliquid prohibetur ex directo, prohibetur et per obliquum*:

Held: What cannot be done directly cannot be permitted to be done indirectly – The said principle embodies the rule that what is expressly prohibited by law cannot be circumvented through indirect means. [Para 21]

List of Acts

Rajasthan Prosecution Subordinate Service Rules, 1978.

List of Keywords

Service Law; Assistant Prosecution Officer Examination; Minimum essential qualification; Law degree; *Aliquid prohibetur ex directo, prohibetur et per obliquum*; Application form; Advertisement; Time of application; Re-submission of documents; Rule 12 of Rajasthan Prosecution Subordinate Service Rules, 1978.

Supreme Court Reports

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 7026 of 2026

From the Judgment and Order dated 12.08.2025 of the High Court of Judicature for Rajasthan at Jodhpur in DBSAW No. 169 of 2025.

With

Civil Appeal No(s). 7027, 7028, 7029, 7030, 7031, 7032, 7033 of 2026.

Appearances for Parties

Advs. for the Appellant(s):

Yuvraj Samant, Ms. Nehal Amola, Ms. Neha Amola, Rajesh Singh Chauhan.

Advs. for the Respondent(s):

Siddhartha Jha, Nikhil Purohit, Harpreet Singh Gupta, Jatinder Lalwani, Sandeep Malik, Ms. Arzoo Khan, Ms. Aarzoo Khan, Satpal, Dalganjan Singh, Tara Chand Singh, Vinay Jaidka, Vaibhav Sharma, Ms. Prabjeet Sandhu, Amit, Ms. Aneesha Rastogi, Ms. Nidhi Jaswal.

Judgment / Order of the Supreme Court

Judgment

Vikram Nath, J.

1. Leave granted.
2. We have heard learned counsel appearing on behalf of the parties.
3. The issue that falls for our consideration is whether the relevant date for acquiring the minimum essential qualification is the date of submission of the application pursuant to the advertisement, or any time prior to the commencement of the interview process.
4. The present appeals have been filed by the Rajasthan Public Service Commission, Ajmer¹ assailing the common judgment dated 12th

¹ Hereinafter, referred to as “appellant-RPSC”.

Rajasthan Public Service Commission v. Lavanshu Sankhla & Ors.

August, 2025, passed by the Division Bench of the High Court of Judicature for Rajasthan at Jodhpur² in intra-court appeals³, whereby the judgment dated 15th January, 2025, passed by the learned Single Judge in S.B. Civil Writ Petition No. 20295 of 2024 and connected matters⁴ was affirmed. By the said judgment, the learned Single Judge had allowed the writ petitions filed by the respondents herein and directed the appellant-RPSC to issue admit cards to the writ petitioners (private respondents herein) and permit them to appear in the preliminary examination.

5. The brief facts, to the extent necessary for the disposal of the present appeals, are set out hereinbelow: –
6. The private respondents herein were the writ petitioners before the High Court and were recent law graduates at the time of institution of the writ petitions.
7. On 7th March, 2024, the appellant-Rajasthan Public Service Commission issued an advertisement inviting applications for 181 posts of Assistant Prosecution Officer. The relevant extract of the said advertisement providing the essential educational qualification is reproduced hereinbelow: -

“Rajasthan Public Service Commission, Ajmer

Advertisement No.: 19/Exam/ A.P.O./ Prosecution Deptt./ EP-I/ 2023-24

Date: 07.03.2024

Online applications are invited by the Commission for recruitment to a total of 181 posts of **Assistant Prosecution Officer for Home Department (Prosecution)** under Rajasthan Prosecution Subordinate Service Rules, 1978 for non-scheduled area and under the Rajasthan Scheduled Areas Subordinate, Ministerial and Class-IV

² Hereinafter, referred to as “High Court”.

³ D.B. Spl. Appl. Writ Nos. 169 of 2025, 130 of 2025, 135 of 2025, 244 of 2025, 279 of 2025, 631 of 2025, 789 of 2025 and 823 of 2025.

⁴ S.B. Civil Writ Petition Nos. 75 of 2025, 20456 of 2024, 20541 of 2024, 20580 of 2024, 20586 of 2024, 20598 of 2024 and 20611 of 2024.

Supreme Court Reports

Service (Recruitment and other Service Conditions) Rules, 2014 for scheduled area. ...

...

Essential Educational Qualification:

(1) Degree in Law (Professional) or integrated Law Course from a University established by law in India.

(2) Working Knowledge of Hindi written in Devnagri Script and knowledge of Rajasthani dialects and social customs of Rajasthan.”

8. Pursuant thereto, the respondents submitted their online application forms. It is an admitted position that, as on the date of submission of the applications, the respondents had not acquired their degree and were yet to appear in the final year examination.
9. By a press note dated 19th November, 2024, issued by the appellant–Rajasthan Public Service Commission, the preliminary examination for the subject post was scheduled to be held on 19th January, 2025. It was further clarified therein that candidates who did not possess the prescribed qualifications or requisite experience for the said post were required to withdraw their applications, failing which they would be liable to be disqualified. Being germane to the controversy, the relevant extract is reproduced hereinbelow: -

“RAJASTHAN PUBLIC SERVICE COMMISSION, AJMER

- : PRESS NOTE : -

Date: 19.11.2024

Rajasthan Public Service Commission, Ajmer the Commission proposes to conduct the Assistant Prosecution Officer Home Department (Prosecution) Competitive (Preliminary) Examination, 2024 on 19.01.2025.

...

Also, candidates who have applied online despite not possessing the educational qualification/experience

Rajasthan Public Service Commission v. Lavanshu Sankhla & Ors.

as per the advertisement, action can be taken against such candidates under Section 217 of the Bhartiya Nyaya Sanhita and to debar them from the upcoming recruitment examination of the Commission. Therefore, such candidates can also withdraw their online application form by logging on to the SSO Portal from 20.11.2024 to 26.11.2024, selecting the Recruitment Portal and clicking on the Withdraw Button available in front of the concerned examination under My Recruitment Section. ...”

(emphasis supplied)

10. Subsequently, by another press note dated 29th November, 2024, the appellant-RPSC clarified that under the Rajasthan Prosecution Subordinate Service Rules, 1978, candidates who were appearing in the final year of the prescribed educational qualification, or who had not acquired the requisite qualification as on the date of the selection examination, were not eligible to participate in the selection process. The relevant extract of the said press note is reproduced hereinbelow: -

**“RAJASTHAN PUBLIC SERVICE COMMISSION,
AJMER**

- : PRESS NOTE : -

Date: 29.11.2024

Advertisement number 19/2023-24 dated 07.03.2024 was issued by the Commission for recruitment to a total of 181 posts of Assistant Prosecution Officer for Home (Prosecution) Department under Rajasthan Prosecution Subordinate Service Rules, 1978. ...

...

In the said service rules, there is no provision for the candidates who are/have already acquired the educational qualification till the date of examination and are appearing in the final year of educational qualification.

Supreme Court Reports

In the sequence of the said recruitment notification, it is clarified again that only those candidates who have acquired the educational qualification till the last date of application will be considered eligible under this recruitment. Therefore, those candidates who do not have the educational qualification till the last date of application, should withdraw their online application form from 30.11.2024 to 09.12.2024 at 12:00 PM. After the said date, the link will automatically become Inactive. ...”

(emphasis supplied)

11. Admittedly, the respondents did not possess an LL.B. degree as on the last date for submission of online applications, as they were yet to appear in the final examination of their course. They subsequently acquired the requisite qualification on 22nd August, 2024.
12. Aggrieved thereby, the respondents approached the High Court by filing writ petitions seeking a direction to the appellant-RPSC to permit them to participate in the selection process for the subject post.
13. By judgment dated 15th January, 2025, the learned Single Judge allowed the writ petitions and directed the appellant-RPSC to issue admit cards to the writ petitioners and permit them to appear in the preliminary examination scheduled for 19th January, 2025.
14. Aggrieved thereby, the appellant preferred intra-court appeals before the High Court. The Division Bench, by judgment dated 12th August, 2025, dismissed the said appeals and affirmed the decision of the learned Single Judge.
15. The appellant–RPSC is, thus, before us.
16. At the outset, we are unable to concur with the reasoning adopted by the High Court in arriving at its conclusion. In order to appreciate the controversy in its proper perspective, it is necessary to advert to the reasoning recorded by the courts below while allowing the writ petitions, which may be summarised as follows: -

Rajasthan Public Service Commission v. Lavanshu Sankhla & Ors.

- i. That the advertisement and guidelines issued by the appellant–RPSC permitted candidates who were in the final year of the qualifying examination to apply, subject to their acquiring the requisite qualification by the date of the examination.
 - ii. That the writ petitioners had acquired the requisite qualification on 22nd August, 2024, well before the date of the preliminary examination, i.e., 19th January, 2025.
 - iii. That Clause 7 of the advertisement indicated that the prescribed educational qualification or experience could be acquired by the last date of application, the date of examination, or the date of interview.
 - iv. That the press notes dated 19th November, 2024 and 29th November, 2024 altered the eligibility conditions mid-process, thereby causing prejudice to candidates who had acted on the basis of the original advertisement.
 - v. That where two interpretations are possible, the one favouring the candidates ought to be preferred, as it enlarges the pool of eligible candidates and promotes fair competition.
17. It is pertinent to note that the essential educational qualification prescribed under the subject advertisement requires a candidate to possess a Degree in Law (Professional) or an integrated Law degree from a university established by law in India. Further, the seventh clause under the heading “Very Important Points/Notes” in the advertisement clearly stipulates that applications shall initially be provisionally admitted to the recruitment process, subject to verification, and that the candidature of any applicant is liable to be cancelled upon detection of ineligibility on account of age, educational qualification, or other prescribed conditions.
18. A conjoint reading of the advertisement and the governing rules makes it evident that the relevant date for determining eligibility, including educational qualification, is the date of submission of the application. This is for the reason that the eligibility of a candidate is assessed on the basis of the particulars and documents furnished at the time of application, and there is no provision for subsequent supplementation or re-submission of such documents at a later stage.

Supreme Court Reports

19. It would be apposite, at this stage, to refer to the Rajasthan Prosecution Subordinate Service Rules, 1978. Rule 12 thereof deals with the “Academic Qualification” prescribed for the post in question. Notably, the said Rule earlier contained a proviso granting exemption to candidates who had appeared or were appearing in the final year examination of the course constituting the requisite educational qualification for direct recruitment under the Rules. Being relevant to the controversy at hand, Rule 12 is reproduced hereinbelow: -

“12. Academic qualification:- A candidate for direct recruitment to the posts enumerated in Schedule-1, shall possess,-

(i) the qualification and experience given in column 4 of the Schedule-I; and

(ii) working knowledge of Hindi written in Devnagari script and knowledge of Rajasthani dialects and social customs of Rajasthan.

Provided that the person who has appeared or is appearing in the final year examination of the course which is the requisite educational qualification for the post as mentioned in the rules or schedule for direct recruitment, shall be eligible to apply for the post but he/she shall have to submit proof of having acquired the requisite educational qualification to the appropriate selection agency. ...”

(emphasis supplied)

20. However, it is pertinent to note that the aforesaid proviso to Rule 12, which granted relaxation to candidates appearing in the final year of the qualifying examination, came to be deleted by a notification dated 10th October, 2002 issued by respondent No. 2-State. The legislative intent underlying such deletion is clear and unambiguous, namely, that candidates who have not acquired the requisite educational qualification as on the relevant date are not eligible to apply for the post in question.

Rajasthan Public Service Commission v. Lavanshu Sankhla & Ors.

21. The maxim "*aliquid prohibetur ex directo, prohibetur et per obliquum*", what cannot be done directly cannot be permitted to be done indirectly, squarely applies to the present case. The said principle embodies the rule that what is expressly prohibited by law cannot be circumvented through indirect means. The requirement in the advertisement that a candidate must "possess" a Degree in Law (Professional) or an integrated Law degree from a recognised university necessarily excludes those candidates who are yet to acquire such qualification or who may acquire it at a future date.
22. This position stands further clarified by the press note dated 29th November, 2024, which reiterates that under the Rajasthan Prosecution Subordinate Service Rules, 1978, there is no provision permitting candidates who are either appearing in the final year of the prescribed qualification or who acquire the qualification by the date of examination to participate in the selection process.
23. We are also unable to concur with the reasoning of the High Court that, where two interpretations of the guidelines are possible, the one favourable to the candidates ought to be adopted. Such an approach, based on considerations of enlarging the pool of candidates or promoting competition, cannot be invoked when the language of the advertisement admits of only one clear and unambiguous interpretation. The prescribed eligibility condition unequivocally requires possession of the degree at the relevant point of time.
24. Even otherwise, acceptance of the respondents' contention, that candidates who acquire the qualification at any stage prior to the interview should be treated as eligible, would introduce uncertainty into the selection process and impose an unwarranted administrative burden upon the appellant-RPSC in tracking subsequent acquisitions of qualifications.
25. In our considered view, the press note dated 29th November, 2024 is in complete consonance with the Rajasthan Prosecution Subordinate Service Rules, 1978 and the advertisement dated 7th March, 2024, and merely clarifies the position that eligibility must be determined with reference to the date of submission of the application.

Supreme Court Reports

26. In view of the foregoing discussion, the common judgment dated 12th August, 2025, passed in D.B. Special Appeal Writ No. 169 of 2025 and connected matters⁵, is hereby set aside.
27. Consequently, the present appeals are allowed.
28. Pending application(s), if any, stand disposed of.

Result of the case: Appeals allowed.

[†]Headnotes prepared by: Ankit Gyan

⁵ D.B. Special Appeal Writ No. 130 of 2025, 135 of 2025, 244 of 2025, 279 of 2025, 631 of 2025, 789 of 2025 and 823 of 2025.

